

Kirloskar Brothers (KIRLOSBROS)

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"Kirloskar Brothers Limited Q2 FY23 Earnings
Conference Call"

November 14, 2022

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MS. RAMA KIRLOSKAR - JOINT MD, KIRLOSKAR
BROTHERS LIMITED & MD, KIRLOSKAR EBARA
PUMPS LIMITED

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MR. ALOK KIRLOSKAR - MANAGING DIRECTOR ,
KIRLOSKAR BROTHERS INTERNATIONAL BV
MR. CHITTARANJAN MATE - CFO, KIRLOSKAR
BROTHERS LIMITED
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Moderator: Ladies and gentlemen, good day and welcome to Kirloskar Brothers Limited Q2 FY23 Earnings Conference Call.

This conference call may contain forward looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. I now hand over the conference to Mr. Sanjay Kirloskar - Chairman & Managing Director at Kirloskar Brothers Limited. Thank you and over to you, sir.

Sanjay Kirloskar: Thank you. Good afternoon, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to everyone for joining us on our call today. I hope all of you have had the opportunity to go through the financial results and the industrial presentation which has been uploaded on the stock exchange and also on our company's website. The company reported healthy performance along with significant improvement on operational parameters driven by excellent operational execution across geographies, easing pressure on input costs, operating leverage and improved product mix.

Domestic as well as international operations witnessed good topline growth. Growth in the international markets was driven by oil and gas, industrial water management while growth in the domestic market was driven by pumps required for various sectors including building and construction, industry, domestic, etc. On a consolidated basis, Q2 FY23 revenue grew by 15% on a year-on-year basis. EBITDA and PAT grew by 72% and 403% on a year-on-year basis for Q2 FY23 respectively. The financial performance is expected to improve going forward as well driven by seasonality impact, wherein the second half of the financial year is typically stronger

for the company, healthy orders in hand, cost rationalization as well as softer commodity prices. Our company has continued to build the momentum in order inflows driven by oil and gas, industry, irrigation and building and construction. The order book as of 30th September 2022 stood at Rs. 2,848 crores up 30% year-on-year. We are witnessing green shoots across geographies and sectors especially for our value-added products. Many countries where KBL operates including India have shown resilience through ongoing global uncertainties. Many of these geographies are expected to deliver a V-shaped economic recovery along with increased public and private sector investment. The company has also not witnessed any significant impact on business operations due to these global uncertainties. Apart from improvement on operational

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parameters, the company has also focused on cost rationalization, working capital optimization, and debottlenecking at the plant level to further improve profitability.

I shall now request Mr. Alok Kirloskar - Managing Director, Kirloskar Brothers International BV to share his thoughts on the performance of the international business.

Alok Kirloskar: Thank you. On the international operations front, the company continues to do well operationally and has shown resilience to various headwinds such as political uncertainties in the UK, the ongoing conflict between Russia and Ukraine and

rising interest rates across the various geographies and the volatility in the currencies. This resilience is a clear testimony of the company's operational excellence, diversified product offering and strong brand recall. Thailand, US, UK and South Africa have performed well in operational parameters, however, the constant devaluation of the pound sterling GBP, the South African ZAR and the Thai Baht against the strengthening USD affected the financial performance. This is mainly due to unrealized mark-to-market losses of Rs. 20 crores arising out of FOREX loss on forward contracts Rs. 14.5 crores taken for off balance sheet items and mark-to-market loss on loan revaluation which amounts to Rs. 5.5 crores out of the Rs. 20 crores. SPP UK has implemented hedge accounting with effect from 1st July 2022. Since hedge accounting is permitted to be implemented only prospectively, SPP UK has booked MTM losses on forward contracts pertaining to hedges taken prior to July 2022 which will be offset by way of higher sales realization in future periods. As such, the group has robust foreign exchange risk management policy and hence these impacts are largely transitory in nature and the group is well insulated going forward from such moves in currency markets.

The momentum in order inflow continued in Q2 FY23 as well. The order book grew 43% year-on-year to Rs. 1,267 crores driven by a significant pickup across geographies led by robust growth in inquiries and conversions. A point to note here is that the product mix also changed in H1 compared to the previous year where we have had 20% lower oil and gas sales in SPP UK compared to the previous H1 same time, but the difference has been made up by other businesses. That said, on the oil and gas side continues to be robust going forward because the effect of all the oil and gas uncertainty or investments both in the market will only be effective from the future year given the way the orders have come in. Apart from this, the company scaled up the subscription platform, spare and maintenance businesses considerably which provides scalable recurring revenue upfront cash payments and increased engagements with the customer. The company's primary goal remains to scale up this business going forward.

With this, let me invite Ms. Rama Kirloskar - Joint MD, KBL and MD, KEPL to take you through the performance of domestic subsidiaries.

Rama Kirloskar: Thank you, Alok. The company's domestic operations continue to grow at a healthy pace driven by improved product mix and sustained momentum for retail pumps across the country. We are

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witnessing an encouraging trend in recent order inflows as well as consumer sentiments for the retail pumps. The private sector CAPEX is on the rise along with significant pickup into government spending especially towards the agriculture, irrigation and waste water management. The company's APOEM program has performed well since its scaleup during the past few months. KBL's unique initiative is expected to reduce the turnaround time significantly which would further improve the customer stickiness along with improved engagement with dealers and distributors.

Now, coming to the domestic subsidiaries, Karad Projects and Motors Limited continued its healthy growth pace. KPML's revenue grew by 27% while its PBT grew by 9% in H1 FY23. The company is well on track to turnaround with Kolhapur Steel Limited which is witnessing sharp growth in revenues as well as production.

With this, let me invite Mr. Chittaranjan Mate - our CFO for the financial performance

highlights.

Chittaranjan Mate: Thank you, Rama. Let me start with consolidated financial performance highlights for Q2 FY23. The topline grew by 15% year-on-year to Rs. 864 crores. EBITDA grew by 72% year-on-year to Rs. 66.6 crores while EBITDA margin improved by 256 basis points

to 7.7%. Profit after tax

grew considerably by 403.3% year-on-year to Rs. 30.7 crores while PAT margin expanded by 274 basis points to 3.6%.

Now, coming to H1, the topline grew by 20% year-on-year to Rs. 1,648 crores, EBITDA grew by 41% year-on-year to Rs. 114.7 crores while EBITDA margin improved by 107 basis points to 7%. Profit after tax grew considerably by 158.1% year-on-year to Rs. 46.2 crores.

Now, coming to standalone performance, Q2 FY23 revenue stood at Rs. 591.6 crores compared to Rs. 484.6 crores, a growth of 22% year-on-year. This contributed approximately 68% to the consolidated revenue. EBITDA was at Rs. 46.9 crores, a growth of 25% year-on-year while EBITDA margin stood largely stable at 7.9%. PAT for Q2 stood at Rs. 20.6 crores, a growth of 18% year-on-year. H1 FY23 revenue stood at Rs. 1,134 crores compared to Rs. 882.1 crores, a growth of 29% year-on-year. This contributed approximately 69% to the consolidated revenue. EBITDA was at Rs. 77.9 crores, a growth of 33% year-on-year while EBITDA margin stood largely stable at 6.9%. PAT for H1 FY23 stood at Rs. 28.6 crores, a growth of 24% year-on-year.

This is all from our side. We can now begin question and answer session. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Mahesh Bendre from LIC. Kindly proceed.

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Mahesh Bendre: Congratulations for the great performance across income statement, balance sheet and cash flows, you have done phenomenally well and I think this performance is commendable after long time. So, the first question is the gross margin in during the quarter has improved by 374 basis points for the quarter, so how sustainable they are going forward? Sir, you mentioned in your opening remarks that going forward also, you are seeing a positive business environment across geographies and expecting financial performance to improve year-on-year going forward, so what kind of growth outlook you see over the next 18 months at a consolidated level? And third question is, the KPML is doing phenomenally well, but during the quarter, the topline of this company has remained almost flat and even the profitability has come a bit under pressure, so what could be the reason for the same?

Sanjay Kirloskar: I believe that the gross margin improvement is sustainable going forward. We have told you that the order board is increasing, we told you that we are trying to reduce, doing cost rationalization, etc., so it is our belief that you will see that this is something that is sustainable. Business environment from what we see now at the current movement is that the order board has risen significantly. Over the last year, the order funnel is also quite good. So, we are expecting that the growth momentum will continue. As far as Karad Projects and Motors is concerned, they are very closely tied to our small pumps business and as you are aware, the seasonality is such that the business reduces when the rain starts which is actually in this Q2 and KBL also tries to ensure that there is not too much inventory that we don't get stuck with when we don't need it. So, that is why you see the topline as flat. The profitability would have had some effect because of the commodity price hikes, but we expect that this company too will continue to do well going forward.

Mahesh Bendre: Sir, last question from my end, the cash flow side, we are doing phenomenally well, during the quarter also, the change in working capital is almost negligible in terms of growth we have reported, so do you think there is further scope to generate, change working capital remaining at this level and generating high cash flows?

Chittaranjan Mate: Yes, we do expect, because as Chairman sir explained, Q2 is generally lean season for small pump business which is

a cash and carry, but we also have to build inventory, so as not to lose production capacity. So, our inventories, you would see that are higher than margin and in the remaining H2, we expect inventories to come down and cash flow being under control.

Moderator: Thank you. The next question is from the line of Renjith Sivaram from Mahindra Mutual Fund. Kindly proceed.

Renjith Sivaram: Congrats on robust performance given the environment and given the challenges we had in Q1, so good to see margins coming back, so in that when I look into your presentation like your US and Thailand has done exceptionally well compared to UK and others, so both in terms of revenue growth and in terms of EBITDA, so is there any currency gains because rupee had depreciated much versus dollar, so what portion of this might be due to that currency related

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games? And also, if you can give some view regarding the other geographies like what had led to this decline in the overall revenues in UK and other geography and how do you see that going forward?

Alok Kirloskar: Thank you Mr. Sivaram, thank you for your question, let me start with the US business since you mentioned that. In terms of dollar terms, we are seeing, the difference you are seeing is \$4 million between last year and this year, \$2 million is coming from currency appreciation in the revenues and \$2 million is coming from the growth in the business. This is mainly, I think as we said before it is purely a distribution business and last few years, we have really been consolidating that business and also releasing new products. So, we have some, we have quite a few new products in the pipeline, but we have released a few of the new products and they touchwood have done exceptionally well in the market and we are just seeing a part of that right now in the numbers. So, that is why the US numbers looks like that. Thailand, actually Thai Baht as you know has depreciated significantly against the dollar from early last year of 30 to 38 at the time when this presentation was made. So, there has been significant deterioration in the Thai Baht, so actually the performance is hidden of how well it has actually done. So, I would say that again, nothing special happened this year. I think we have been seeing every year that the companies like Thailand and South Africa as well as the continental European countries which are Kirloskar Pump and Rodelta and Rotaserve, these three entities are operating in these three geographies. Our objective really has been to grow the baseline business and grow the distribution part of that business and that is really what has been happening. Year-on-year, we have been increasing that business and we have seen the growth coming in more and more year-on-year and as we tip over those, let me call them margin barriers in terms of, after which you get a huge rise in margin, we are really at that stage and that is why you are seeing the numbers come through in a lot better way, but I don't think something has significantly changed from 2 years ago to today apart from the fact that today we have reached that level where we are able to grow and show the growth in margins for Thailand.

UK was your next question, there is a decline, the decline is coming from the fact that UK currency has depreciated significantly in this time period from last year at 1.34 to 1.11 to a dollar. So, that is where you are seeing quite a huge amount of reduction. There is a minor reduction year-on-year, but I would say that I would not really pay too much attention to that because as you know the UK numbers tend to be skewed towards the last quarter, so I would judge the UK based on what the numbers come out in the last quarter more than just H1 number.

Renjith Sivaram: So, what is your outlook is there for the full year, if I looked at overseas businesses, do you believe

this momentum will continue or there will be some adjustment because of these currencies have been, our advantage have been just for this quarter and it will normalize, how do you see the overall growth for the full year?

Alok Kirloskar: When you say overall, I would say actually we have taken a massive hit, like we have said we have taken Rs. 20 crores hit on the bottomline because of FOREX, so currency has only helped

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us marginally in America, but overall it is a huge hit, so you got a 2 million gain in topline in America and Rs. 20 crores hit across gross margins across everyone else. So, in the scheme of things, I don't think currency has helped us, but if you ask me the business point of view, we see the business quite strong, I mean this says that the order intake, we have given the number, 1,267, so that has been quite strong and as it stands we are seeing the mix that we want to see in terms of, as we have always said we want the services business to deliver more, we are seeing that. You can see that in the margins also when you add back the FOREX mark-to-market situation which like I said is transitory and similarly, you see that across other geographies where the numbers have picked up. So, overall, if you ask me, I think it is reasonably strong, we have also made the point about hedge accounting which I am sure you have taken the cue of what that means.

Chittaranjan Mate: Sivaram, Mate here. If you see Thailand numbers, the growth whether it is Q2, it is more than 100% growth. I am referring to slide 56, H1 the growth is more than 50%, I would say 60%. So, even if you take out the currency depreciation, one thing the currency depreciation, they would be only for export business what is going out of Thailand and that too the currency has depreciated over last 12 months by around 17 to 18%. So, I would call at the most some gain on currency depreciation by around 10%, but the rest is because of higher order, higher execution, so there is a real growth, not only due to currency depreciation.

Alok Kirloskar: Just to add to that point is Sivaram, there is no project orders over there.

Renjith Sivaram: In UK?

Alok Kirloskar: No, in Thailand, I think Mr. Mate was mentioning what was mentioning Thailand, so there were no project orders. These are all basic regular day to day orders.

Chittaranjan Mate: I will just respond to Mr. Sivaram, the UK slight decline whatever is there because UK it depends on the order getting released by customer, so orders even if it is ready if it goes delivery in October, you would say one quarter fall, another quarter pickup, but overall looking at strong order book, we would anticipate UK to go up over previous year.

Moderator: Thank you, sir. The next question is from the line of Sunil Kothari from Unique AMC. Kindly proceed.

Sunil Kothari: Congratulations for really good commentary and this press release. Sir, across the sector, your commentary talks about very positive momentum and order book, so with your vantage point, would you like to comment some in detail that this turnaround you see in inquiries and orders, how sustainable these are and something which you feel after coming long this orders, this type of inquiries and orders, what is your thought process? And sir, second question is on, as a shareholder I would like to know is the recent again this controversy on legal fees and legal matter and all these things, would you like to comment on those things and is it possible that this

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matter Kirloskar Brothers as a listed entity can be kept away, how this can be rectified, that is my question?

Sanjay Kirloskar: I will answer the first question, I will ask Mr. Mate to respond to the second because I think in the interest of good corporate governance I shouldn't

be responding to that. For the last few

quarters, we have been saying that the company is taking various actions, not only on the side of improving our reach, improving our product line and taking whatever actions that need to be taken to have better topline, but we have also been working on the bottomline in the sense that the company has had some baggage in the pumps with its old project sectors and we have been telling you that Rama has been working on that to reduce the impact to ensure that we close every single project to the full satisfaction of the customer. To a great extent, we need to wait for the customer to do certain actions, so that we can go forward with our action. So, it is a combination of that the company is in a better place today, the products are well accepted, not only in India, but around the globe, so the products are all world class products, so to speak and that is resulting in customer acceptance of what we are doing. On the other side, various initiatives that are being taken with the help of, earlier we had worked with BCG, we worked with KPMG, there are many things for improvement. We are an old company and we are doing a lot to improve ourselves to see how going forward, everything can become more sustainable. So, for me, it is something that is work in progress, but I think I have said that to the best of our ability, we will ensure that our ratio scheme is improving quarter-on-quarter, year-on-year and I think what you are seeing is just a part of that.

Sunil Kothari: Sir, my question is more related to outside wealth, how you see this situation, is it really outside changed or it is just internal?

Sanjay Kirloskar: Outside India or outside KBL?

Sunil Kothari: No, outside, I mean internally whatever you have done the benefits is shown because of better products, cost control optimization, operating leverage, but do you see overall momentum, macro things also changing?

Sanjay Kirloskar: We see things changing in the sense, I mentioned a little earlier that the inquiry funnel has improved quite a bit and I think that is also something that is helping us and Mr. Mate will respond to the other question.

Chittaranjan Mate: Kirloskar Industries Limited along with Mr. Atul Kirloskar and Mr. Rahul Kirloskar who collectively holds 24.92% of the company's voting capital had sent to the board of the company a special notice and requisition under section 100 subsection 2 clause A of the Company's Act 2013. This requisition dated 21st October 2022 for convening an extraordinary general meeting of the shareholders of the company to pass a resolution for the conduct of an external forensic audit into the affairs of the company which is for the propounded object inter alia of verification of the participation and role of the independent directors of the company in respect of or in Kirloskar Brothers Limited
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connection with certain legal proceedings initiated by the company which according to them are stated to have resulted in huge legal expenses being incurred by the company aggregating to Rs. 274 crores. Based on the legal opinions of obtained from two eminent former judges of the Supreme Court of India. The board of company on 10th November 2022 approved to convene an EGM of the shareholders of the company on 8th December 2022. In pursuance of the said resolution of the board convening the EGM, a notice along with a statement of material facts

will be issued by the company to all the shareholders of the company.

Sonil Kothari: I am sorry, but as a minority shareholder, I would like to understand your view that can this be brought to end or can it be removed from Kirloskar Brothers the balance sheet and P&L, any of your thoughts will be really grateful?

Chittaranjan Mate: At the moment, this is all that we can say.

Moderator: Thank you. The next question is from the line of Riddesh Gandhi from Discovery Capital. Kindly proceed.

Riddesh Gandhi: Congratulations on the numbers, just wanted to understand if you look while all of this is happening at the promoter level, this is not impacting our operations or any of that in any way, right? Just wanted to clarify that at first.

Sanjay Kirloskar: I think if it is impacted, you would have seen it, on performance of the company, there is no way, the company will continue to move forward on the same path.

Riddesh Gandhi: Sir and the other question was with regards to, you guys obviously have to turn a reasonable amount of optimization to sort of bring up actual level of profitability and margins, so just wanted to understand that going forward, what are the incremental drivers to sort of bring us to may be a double-digit EBITDA margin and potentially higher as some of the other industry player?

Sanjay Kirloskar: operating or beginning to operate all the levers that are possible, there are many programs which I obviously can't mention over here, that are on in the company, whether it is product development or cost reduction exercises, better working capital management, all of these activities are going on within the company, I think time and again at different investor calls, I have been asked when will you reach double digit margins and I hope you feel that we are on the way to getting there.

Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from O3 Capital. Kindly proceed.

Himanshu Upadhyay: Congrats on good set of numbers, I have three sets of questions, one is, on the power segment, in most capital goods which are on the power segment, we are seeing very strong order book

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growing and for us also in the last cycle, it was a big segment, it is main driver of the thing, but when we look at our order book in power segment it is not so much growing versus other segments, so what is happening on the power side, secondly related to power only, we see a lot of reach to heat and other segments also growing, especially in Europe and some of the geographies where we are present, even in India captive power plant and all those things, so is there some product gap or so that we are not growing and can you elaborate on this power segment both in India, what is the scenario currently and what is the scope for us to grow our business in Europe especially on the power segment? And one small thing related to this only, we give a standalone order book breakup, can you give the consolidated order book breakup also, so that we just note which segments are the top 3-4 growing overall in the company level, so that was on power related? Second was related to Kolhapur Steel and Rodelta Limited, my question is more on the Kolhapur Steel, we have been spending a lot of energies on Kolhapur Steel breakeven in growing that business and in last 5 years what we have seen is Rs. 45-Rs. 50 crores and even if we believe that the company will double or let us say even triple, can it really move the needle for us, we are nearing Rs. 3,000 crores, so what is the strategic advantage or thought process on this business, why not focus on getting Rs. 150 crores of revenue in other businesses which are our core businesses or my understanding is completely wrong, you can just elaborate on that and it will be helpful especially on Kolhapur Steel Limited? And third and final, in the Karad Power and Motors Limited, what percentage of revenue would be from the Kirloskar Brother itself and what is the scope of selling motors outside also, because we are seeing very strong traction for other companies which are in the motor segment even for small and large motors, both the segments we are seeing very strong traction, what is the business development opportunity for us on the KPML outside Kirloskar Brothers? These were the three

sets of questions, if you can elaborate on them, it would be helpful.

Sanjay Kirloskar: Just you mentioned that we were big in the power segment where coal fired power was large and we see movement in the power segment, we see orders, inquiries coming in, orders being received and I am also very happy to tell you that I have been told last time that the first Boiler Feed Pump for nuclear power plant which has been totally manufactured in India was done by KEPL and has been accepted by NPCIL, so we expect that this product line, something that KBL was not in before, we will be able to go forward and have much broader product line for the nuclear segment.

As far as thermal power, I think there are inquiries coming from not only in India, but also

around the world. Maybe Alok can talk about that. We have also entered into the renewable energy segment; we see many inquiries coming for pumps set turbines and for hydro turbines and for our small pico turbines. So, as far as we are concerned, the power sector has a large order board, it is about I think right now about Rs. 486 crores. Some of that has not moved because there are development orders that are behind that which are slowly, you see that moving in the quarters ahead.

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As far as Kolhapur Steel is concerned, yes, it has not done well in the last 4 or 5 years and we have had large losses. For us, it is important strategically because our IP especially for impellers and what we call impeller walls or casings, it is very important for the large pumps to have that in-house. Similarly for the nuclear pumps we believe it is extremely important to have a company like Kolhapur Steel with us. That being said, I will ask Rama to also speak about the work that is being done to turnaround Kolhapur Steel because we see that coming out well as we move towards the rest of the year, but before I hand it over to her, KPML is the supplier of motors for our motor block pumps and they do a lot of stator rotor units as well as motors for KBL. You may know that Kirloskar Brothers being the original company in the group had offloaded electrical business to Kirloskar Electric Limited and therefore there are agreements in place which we cannot go against, however, KPML does make the latest high efficiency or what would call ultra-high efficiency motor for KBL Pumps. I believe we are the only Indian manufacturer with IE4 and IE5 pumps which are available in the market and these are induction motors, these are not BLDC or whatever, TMFM motors, these are induction motors with the same level of efficiency that qualify as IE5 motors. So, for us, KPML is the company that is very important for our growth and it is also a company that is doing very well. Other than KBL, with our agreement with Kirloskar Electrics, KPML is also able to supply electrical equipment to GE as well as Siemens they are one of three I think global suppliers for medical devices wherever they need these electric motors, KPML supplies them, they also supply to pump elevator, motor manufacturers and they supply complete motors to KBL when we supply through our APOEMs complete pump sets. So, every Kirloskar pump, we would like to be coupled with KBL supplied motor or a KPML supplied motor. So, that is why KPML comes in. Rama will talk about Kolhapur Steel.

Rama Kirloskar: As you are aware, TKSL was a very strategic acquisition and very dependent on good quality castings especially for critical sectors like oil and gas, M&D, power and nuclear customers as there are some very stringent quality norms. That being said, we have mentioned earlier that we have some very ambitious plans for TKSL and the market potential is there. We have undertaken a go-to-market strategy for this foundry because we are actually transitioning TKSL from being a captive foundry which it was up to 3 or 4 years ago

to a standalone foundry that caters to outside customers. We essentially had acquired this foundry to cater to specific sectors such as the power sector, but as you know as power sector demand went down and actually had a huge impact on TKSL's order booking which is why we see the financial issues as of today. I think the only problem with TKSL today is not having a healthy order board and through our go-to-market strategy that essentially what we are trying to do is get external customers in other spaces, such as earth moving, ship building, turbo machinery and valves and I believe that with those orders and there is no dearth of those orders, we should be able to turn this foundry around. That being said, this foundry is a very important part of our group because it allows us better quality control over our castings, it allows us to do very stringent quality checks on our castings such as radiographic testing or magnetic particle testing and that being in-house is a huge advantage for us in terms of stringent quality control as well as ensuring that the kind of products that go out

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of a Kirloskar company abide to the norms that our customer's expect. I hope that answers your question.

Himanshu Upadhyay: Yes, it helps and on the power prospects in Europe and where we are positioned, like?

Rama Kirloskar: Yes, we should be able to get a lot of orders from outside, we are expecting as simply because the foundry's is there are going to have huge cost, they are not going to be viable, so we are also targeting customers abroad.

Alok Kirloskar: Yes, I think in terms of entire full pumps that we supply in Europe, we see two kinds of business, one is replacement where the same plant is being up dated in Europe in the current environment and the other are new coal fired power plants or gas fired power plants. So, we don't see so many of those right now in Europe, most of them are being done through Turkish contractors when the depreciation in the Lira many of them have taken jobs, some replacement upgradation

jobs in Europe, but majority of the new jobs that we are doing are mainly in the old CIS countries which are not aligned to Russia like Kazakhstan and Tajikistan, all these countries as well as some North African countries. So, actually we are working closely with them and we have already got orders from them for the power segment. The other area that we also looking at when you talk about power is hydrogen. So, our delta has also supplied to a major company in the Netherlands, oil and gas company for the hydrogen process pumps where they have orders at the moment and we have also supplied to Shell for the red to green project which is the new biofuel project. So, they are quite closely aligned with both biofuels as well as green hydrogen.

Moderator: Thank you. The next question is from the line of Devansh Nigotia from SIMPL. Kindly proceed.

Devansh Nigotia: Sir, regarding the order intakes, if you can dissect between all the sectors and give a perspective and also share your outlook for irrigation, oil and gas, building construction and power, how do you see the order inflows going forward?

Sanjay Kirloskar: You are asking for a forward-looking statement, I guess.

Devansh Nigotia: Yes, so you specifically mentioned that the inquiries have been very strong, but if sectoral you can just, your deeper perspective?

Sanjay Kirloskar: You know what has happened in water resource management, I think we are the only company that does pump manufacturers, takes orders on our own terms which is we say that these are all terms, we will need the advance, we want a letter of credit, we will not sign a joint venture agreement where are what severally and jointly responsible, so there are the terms that we have set our ourselves. Even then, we continue to get large number of orders for big pumps

as well as

small pumps and there are many projects going on in different parts of the country and we are there in every single state wherever irrigation and water resource management is taking place.

One good thing that I see especially in water resource management is they have now started

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asking us for our predictive maintenance and remote monitoring system. You may be aware that our KirloSmart System is the only system available from an Indian company or from any company for monitoring pump on a remotely, it also allows people from an app on the phone not only can you monitor your own pump and many parameters on your own pump, but also you can order spare parts if you need to do some quick maintenance, the entire way to do maintenance is come across through augmented and virtual reality. We are one of the few companies, I would say, in the world where such a system is available and I am very happy that whether it is Varanasi or whether it is Angul in Orissa or whether it is Bombay, our system is working very well across the country and it works in Indian conditions especially because we have had over a decade long experience of having it worked in Indian conditions and it is not just private sector that is buying this system, but also public sector that is buying such a system. So, this is something that is very encouraging going forward. We have dispatched quite a large number of very big pumps, I believe to Madhya Pradesh in the last quarter and there are more orders that we can see in the pipeline.

As far as building and construction is concerned, I think we have mentioned that there is quite large growth in that. In the investor release, we have said that sales have increased 30% year-on-year basis and there is a 62% growth in the pending order board. This basically is either the way the construction industries moving in India where there are requirements for modern systems and as you are aware, our pumps are used globally whether it is in South East Asia, North America or Western Europe, some of the most iconic buildings in the world have pumps made by Kirloskar Brothers, so as Indian buildings become smarter and smarter, I believe that with this business will continue to grow going forward. Power, I believe I have already answered. I will now ask Rama to speak on oil and gas especially since she is also Managing Director of Kirloskar Ebara and maybe Alok can also talk after her about oil and gas around the world.

Rama Kirloskar: So, we do see a healthy order board for oil and gas. There are quite a few upcoming projects both domestically as well as internationally. Domestically, I believe there are quite a few pipeline projects, pipeline expansions and refinery expansions happening. We are seeing good inflow of orders from outside as well whether it is the Central Asia or it is the Middle East, so as far as order booking is concerned, oil and gas has been quite healthy.

Devansh Nigotia: Just in oil and gas, when we look at our peers, they have been winning really large orders, especially in oil and gas, but when we look, our order inflows have not been as strong, so I am just trying to understand where is the gas here?

Rama Kirloskar: So, I think the way you need to look at it is not on for oil and gas, KBL and KEPL together need to be seen. So, if you look at the KEPL order booking, pending order board as of the Q2 was around Rs. 363 crores along with the KBL aspects, so if the KBL sector only does non-API which is non-American Petroleum Institute oil and gas pump, so essentially it is all the utilities that go into a refinery, but the refinery pumps and the pipeline pumps itself are catered to by

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KEPL. So, when we look at oil and gas, it has to be the KEPL order booking as well as the KBL order board for oil and

and gas.

Devansh Nigotia: And the order book which you mentioned for irrigation and water resource management that does not include the agricultural standard pumps, right?

Sanjay Kirloskar: That comes under our small pump business and as we have informed earlier as well that is made stock business, it does not reflect in the order board because pumps are dispatched during the month and the other thing is that we continue to be the only company in the country that does not give credit to customers, whether they are dealers or end customers.

Moderator: Thank you. The next question is from the line of Sanjay Kumar from PMS. Kindly proceed.

Sanjay Kumar: We are very glad that you have asked for the extraordinary general meeting by requisition of certain shareholders, keeping in mind the spotless reputation of the Kirloskar we are sure we shall be voting in favor of the forensic audit asked by the shareholders. As you have nothing to hide, given the strong legacy over the 130 years, it will only reinforce the great legacy of Kirloskar to be voting in favor of the audit?

Sanjay Kirloskar: Is that a question or what, when Mr. Mate spoke, that is all that we will say about that resolution.

Sanjay Kumar: First question on nuclear pumps, your MNC peers won orders from NPCIL for coolant pumps, why have we not been to participate in these orders, any commentary on the future orders, are we on NPCIL's approved list of manufacturers for both primary and secondary, auxiliary pumps? There was a bidding on Bharat Pumps & Compressors and may be Rama can answer this because in the first bid, we were only 2 lakh short of the winning bid and then in the rebidding the MNC player won it, so we had Rs. 145 crores cash, so it does not make sense to go for it, so any commentary on that too would be helpful?

Sanjay Kirloskar: As you may be aware, the company has provided primary coolant pumps through fast bidder reactor and hence the company decided to go to NPCIL for the development order for primary coolant pumps and what happened was they took about 7 years to give us that order and within 8 months of that, we came out with a tender for 24 pumps and also that we were disqualified from getting into that bid. So, we didn't know whether we should continue for that or not and therefore we have told them that it doesn't make any sense for us to participate in the tender. They believe that only suppliers even if they had got designed pump are not (49.50) made all the components in India should be qualified and someone who has made primary coolant pump for the fast breeder reactor is qualified. So, we have taken ourselves out of the primary coolant pump business or the tenders and we still haven't received the response from NPCIL as to what they would like to do. Since there is only one bidder left in the contention. So, that is as far as primary coolant pumps are concerned. As far as BPCL is concerned, I think, Rama will answer.

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Rama Kirloskar: Just now, we had taken part in the auction for BPCL. I believe that tender was won by an entity called Vasavi Powers during the first auction, but from what I heard from various sources was for some reason they have to retender this simply because I believe the payment was made by third party which was not in line with the tender condition, however, our board had only approved up to a certain amount simply because our legal counsels had brought to our notice that there were a lot of, various aspect of the tender terms and conditions which were not very conducive to doing business. There is no, number one the technology and the IP was given to us on as in basis. Number two is, there were little time to actually do due diligence and that was given, I think barely any time was given to all the parties and number three, our legal counsels as per the tender c

onditions told us that there was actually no rights that were transferred. BPCL was not actually in position to transfer rights on many of that technology to us and that we felt was a bit of risk in taking part in such an auction, simply because I believe their contracts with their partners which they had year ago and few other European pump companies that they had got in various technologies from those contracts did not allow the BPCL to transfer that technology to any peers. So, with some of these risks in mind there was a gap or a limit to the amount that we were able to spend and the gap was enforced by our board. So, that was the reason why we stopped at a certain amount. I hope that answers your question.

Sanjay Kumar: And so does that pull us out of the NPCIL race because we have disqualified some primary and we have lost access to the existing set of pumps in stalled at NPCIL, will we participate in future primary or at least the secondary and auxiliary pumps going forward?

Rama Kirloskar: There were two reasons why we took part in this, one was for that there were some nuclear pumps and there were some oil and gas pumps, but as it happens, we are already a developing both nuclear and oil and gas, so it does not really harm the company very much because at the end of the day, as far as the BPCL pumps are concerned, PSUs already do only on the L1 basis. They have older technology and as far as nuclear is concerned, we are taking developmental orders anyway, so we don't believe that it is going to hurt our future.

Sanjay Kirloskar: To answer your question, we have a design for PCP. We can make every other pump for the nuclear business. So, our withdrawal from the PCP process was on the maximum of principle that if you are going to take if you want to only a supplier and not a designer, because they basically want Atmanirbhar Bharat and for that everything needs to be done here and if only qualified party is the supplier who has never made such pumps, I don't think they can design the water pump to India. That is the kind of vendors that you want, then please go ahead with it. If it's taken with every pump or fast breeder or what is it called pressurized heavy water reactor.

Sanjay Kumar: Sir, second was on solar pump orders that you received from large EPC contractor, so is it if you could name it is Tata Power or Adani, can you talk about the order scenario and the pipeline?

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Sanjay Kirloskar: We don't talk about other companies, but we get orders for solar pumps. We do not supply completely integrated units, we supply our pumps to integrators who then, this was a single order, that is why it was mentioned, but otherwise continuously we are supplying.

Sanjay Kumar: So, this one continues in future?

Sanjay Kirloskar: Yes, this we can continue in future.

Sanjay Kumar: And since it is only the pump, the realizations will be about 30,000 per pumps?

Sanjay Kirloskar: Approximately, I guess.

Sanjay Kumar: In solar pumps, you did talk about motors for IE4, IE5, but in specific to solar pumps, from my understanding, it is that PMSM is more important than the pump itself.

Sanjay Kirloskar: We supply whatever is required for the solar pump.

Sanjay Kumar: So, do we make those motors in-house or?

Sanjay Kirloskar: I think we buy them apparently.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Kindly proceed.

Mahesh Bendre: Sir, the question is for Mr. Alok Kirloskar, the domestic entities most of the time are doing clearly well in terms of growth margins and there is some predictability in terms of how that is going to behave in the future, in the international operations there is some unevenness in terms of growth and margin, so what kind of initiatives we are taking, bring some stability in the operations in terms of investor v

iew point some predictability in terms of growth, margins and how this business are going to go, so steps your taking for that? Secondly, one third of the revenue comes from the international operations now, globally we were talking about the capital expenditure cycle, globally is coming back, I mean most of the countries are investing hugely in infrastructure, so how do you think that we will be able to capture at the international entity, how it will benefit to us? And third is, there is a possibility of India UK free trade agreement might sign probably in near term, but how this will benefit to us, is there any benefit that will come with Kirloskar Brothers side?

Alok Kirloskar: So, I think the first point you mentioned is in terms of predictability in sales and margins. One thing that we have been saying that we are doing continuously, I think in multiple calls is that for SPP UK as you remember it is very oil and gas dependent and really that is where we are trying to focus on services business, develop a baseline business in every company independently. In the baseline business can be products through distributors, it can be services, where you have a framework on track, 2 or 5 year framework on tracks again, so as predictability

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and that is really what we are looking at in every individual legal entity. You see that coming through and I mentioned that earlier even in SPP UK where our project sales for UK were 20% down over last year. When I say projects it is mainly large pumps, engineered pumps, but even then the topline has been more or less the same because it has been taken over by other sides of the business and the margins actually are far better which you can see when you add back the FOREX losses compared to last year. So, I would say that every entity has an objective. Thailand as an example has an objective to develop a baseline business, so Thailand is a much newer company and one issue there historically is we didn't have a baseline business, there used to be lot of volatility because there was large jobs that were going through, but year to date, there have really been no large jobs that have gone through has really been all baseline business and we are

seeing that underlying business come through in H1. So, I think one thing we are doing is developing a baseline business in every country, it has not been done since today or yesterday, we have been saying we were doing this for a while. You are seeing the result of that now and we are trying to get the right mix in terms of the product versus services because operating in European countries especially, the product's EBITDA margins are not at the level that we want KBL EBITDA margins to be, when you look at the Indian side of it and that is why we blend them with services to get the right EBITDA margin while in South East Asia, we see margins to be a lot better, so I would say that this is really what we are doing, managing the product mix as well as developing baseline businesses in different geographies to deliver that sustainable and consistent numbers that investors craves for. On the capital cycle, I would say that we are in different zones, one is the US, one is UK and Europe, one is South Africa and one South East Asia. So, every area we have something different that caters to the business and we are taking advantage of those capital cycles in those respective geographies. Just to give an example in the US where it is happening, it is happening in water supply which is infrastructure and it is happening in real estate. We are in both those geographies and we have those products with us. In the UK and Europe, it is happening especially in oil and gas as well as floating LNG platform which are really important at the moment as well as offshore exploration as well as green energies, like things like hydrogen and

areas like that we have products and we are working with the largest companies in these segments. In South East Asia, we are in Thailand, working closely because there is a lot of outward movement probably from China and lot of investment in Thailand as well as Vietnam. We are again in these territories, we cater to industrial, we cater to real estate and we cater to services in this segment which basically cater the key areas that are coming out of China and in South Africa, we cater mainly on the services side because we see slowly a lot of movement towards OpEx from CAPEX and that is something that we have been seeing for the last 2-3 years that we are pushing that as development of our strategy and we see that in the South African business, when you look at the EBITDA margins where over the last few years, from a real basket case business, they're delivering 12% and that is really coming from the services side of the business. I hope that answers your key points.

Your last point was FTA, I think with or without FTA we worked quite well between the British company and the Indian side of the business. We have products like our multistage multi outlet products which my father alluded to earlier when we talked about iconic buildings around the Kirloskar Brothers Limited

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world having our pumps, any major buildings had the se pumps whether the new world trade centers, Burg towers, so the same pumps are anyway working in India through KBL. We have another patented product called Autoprime. It has made a big dent in the Indian market for water supply, so whether there is FTA or there isn't a FTA, I think that has not really stopped us. We have a good IP policy and companies across the group are able to leverage the IP to use them as anchor products and develop around them in their respective markets. I hope Mr. Bendre that covers your point.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Ms. Rama Kirloskar for closing comments.

Rama Kirloskar: Thank you all for joining us on this call. For any queries, please feel free to reach out to us or Investor Relation consultant, Strategic Growth Advisors. Thank you.

Moderator: Thank you. On behalf of Kirloskar Brothers Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

SEC/ F:23 February 17, 2023

BSE Limited National Stock Exchange of India Ltd.,
Corporate Relation ship Department, 5th Floor, Exchange Plaza,
2nd Floor, New Trading Ring, Bandra (East),
Phiroze Jeejeebhoy Towers, Mumbai – 400 051.
Dalal Street,
Mumbai -40000 1.

(BSE Scrip Code – 500241) (NSE Symbol - KIRLOSBROS)

Dear Sir/Madam,

Sub.: Transcript of Conference Call with Analysts / Investors on Unaudited Financial Results for the quarter and nine months ended on December 31, 2022

Ref: Regulation 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

This is in continuation of our letter dated 3rd February, 2023 giving intimation of the subject mentioned conference call and subsequently furnishing the weblink for accessing the Audio recording of the said conference call vide our letter dated 13th February, 2023.

In terms of the subject referred Regulations read with its Clause 15 of Part A of Schedule III, please find attached the transcript of the abovesaid Conference Call scheduled on 13th February, 2023 with Analysts / Investors on Unaudited Financial Results of the Company for the quarter and nine months ended on December 31, 2022.

Please note that the said transcript has also been uploaded on the website of the Company (<https://www.kirloskarpumps.com>) which can be accessed at the following link:

Link: <https://www.kirloskarpumps.com/investors/analyst-meeting-transcript/>

This is for your information and records.

Thanking you,

Yours faithfully,
For KIRLOSKAR BROTHERS LIMITED

Chittaranjan M. Mate
Chief Financial Officer

Encl: As above

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"Kirloskar Brothers Limited
Q3 FY '23 Earnings Conference Call "

February 13, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th February 2023 will prevail.

MANAGEMENT : MR. SANJAY KIRLOSKAR – CHAIRMAN AND
MANAGING DIRECTOR – KIRLOSKAR BROTHERS

LIMITED

MR. ALOK KIRLOSKAR , DIRECTOR – KIRLOSKAR
BROTHERS LIMITED AND MANAGING DIRECTOR –
KIRLOSKAR BROTHERS INTERNATIONAL B.V.

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MS. RAMA KIRLOSKAR - JOINT MANAGING DIRECTOR
OF KBL & MANAGING DIRECTOR OF KIRLOSKAR
EBARA PUMPS LIMITED
MR. CHITTARANJAN MATE – CHIEF FINANCIAL
OFFICER – KIRLOSKAR BROTHERS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Kirloskar Brothers Limited Q3 FY '23 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Kirloskar, Chairman and Managing Director at Kirloskar Brothers Limited. Thank you, and over to you, sir.

Sanjay Kirloskar: Thank you. Good afternoon, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to everyone for joining us on this call today. I'm sure you've had an opportunity to go through the financial results, which have been uploaded on the stock exchanges and on the company's website. You must have seen the numbers, stand -alone as well as consolidated as well as the order book. So I thought I would ask Alok and Rama to speak more about the international and domestic businesses, following which Mr. Mate will make a short presentation. Thank you. Of course, I'll be available for the question -and-answer session. Alok?

Alok Kirloskar: Thank you. The overseas operations had reported a good performance in Q3 FY '23, healthy revenue growth as well as improvement in operating profit margin. The company's Thai, UK and African business has shown resilience over the last few months amid multiple uncertainties and in fact, has gone from strength to strength. The Dutch business too is at inflection point , and we are expecting the business to do better after the changes that we've made over the last year. The company's focused efforts in developed markets in water, fire and industrial and services has helped it get more regular business rather than be dependent on large product jobs coming from oil and gas.

That said, there's been an uptick in the oil and gas market and more new orders have been booked in the sector compared to the last few years. That said, those orders are not reflected in the sales as yet. We expect those orders reflecting in our order book will come into sales over the next
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few quarters. There have not been any major high -value product sales in the year -to-date sales of the international companies. It's mostly been regular daily business . The company's framework services business has picked up pace and is witnessing increased adaptation by the customers.

The South African business has signed major framework contracts for services in the power and mining sectors. The Thai business has signed services in the steel and offshore oil and gas sector. The British business has continued and signed on more companies in chemicals, water and oil and gas space. The company is well positioned and is able to build up this business going forward. The order book position just from a point of interest for KBI B.V. company's opening in January 1st, 2022, was about GBP 52 million . And the opening order book position on 1 January, 2023, is about GBP 84 million.

There are new projects coming up in the pipeline. And as we have focused on developing standard business or regular bus

iness, we are now pushing our dewatering autopriming products

so that we can further build another layer of base business in the company, which will help give consistent performance. With this, let me invite Miss Rama Kirloskar, Joint MD, KBL and MD, KEPL to take you through the performance of domestic companies.

Rama Kirloskar: Thank you, Alok. On the domestic operations side, we see an improving demand for our made-to-order and engineered-to-order products. The market is also picking up for our retail segment. We continue to invest in modernization and productivity improvements at our plants in Dewas, Sanand and Kaniyur. We expect to reduce lead times for delivery through such productivity improvements and ensure no sales losses.

We have launched many new products, including numerous energy-efficient pumps and we'll continue to do so in the subsequent quarters. We continue to be the only player in the retail segment with IE4 and IE5 motors, which are the most efficient motors available in the market. Most of our retail competitors offer IE2 motors at most. As all of you are aware, the company's recently launched APOEM program aimed towards reducing our turnaround time continues to gain momentum from the dealers and distributors.

We expect this program to propel growth going forward. The government, in the recently announced budget, has focused on increased capital expenditure, which augurs well for the company's products in the agriculture, water and oil and gas sectors. We firmly believe that with the sharp uptick in the government and public capex, the growth of the private sector capex will follow. Major private capital expenditure is expected towards data center, healthcare, energy and industrials. The company is putting extra efforts to reinforce the presence and expand its product offering for these sunrise sectors.

The growth in public and private capex cycle is expected to aid the growth for the domestic business. Now coming to the domestic subsidiaries, Karad Projects and Motors Limited continued its healthy growth pace. KPMLs revenue grew by 11% while PBT grew by 6% in 9 months FY '23. The company is well on track to turn around the Kolhapur Steel Limited, which is witnessing a sharp growth in revenue as well as production.

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With this, let me invite Mr. Chittaranjan Mate, our CFO, for the financial performance highlights.

Chittaranjan Mate : Good afternoon. Thank you, Rama. Before I share my views on the financial performance of the company, please note that during Q3 FY '23, one order of the company has crossed threshold for recognition of revenue as per rules that follows consistently. Consequently, there is a favorable impact of INR 31 crores on profit before tax during the quarter and 9 months ended on 31 December 2022.

Let me start with consolidated financial performance highlights, starting with Q3 FY '23. The top line grew by 23% = (Note: To be read as 32%) year-on-year to INR 957.5 crores. EBITDA grew by 160% year-on-year to INR 153 crores, while EBITDA margin expanded by 787 bps to 16%. Profit after tax grew considerably by 308% year-on-year to INR 88.9 crores.

EBITDA without the impact of revenue recognition referred above of INR 31 crores would have been INR 122.1 crores. That is 12.8% margin compared to 8.1% of previous year and a growth of 107% in value terms on year-on-year basis. Now coming to 9 months financial performance, top line grew by 24% year-on-year to INR 2,606 crores. EBITDA grew by 91% year-on-year to INR 268.1 crores. EBITDA margin improved 362 basis points to 10.3%. Profit after tax grew by 240% year-on-year to INR 135.1 crores.

EBITDA without the impact of revenue recognition referred above of INR 31.3 crores would have been INR 236 crores, that is 9.1% margin as compared to 6.7% margin in previous year, and it's a growth of

69% in value terms year-on-year basis.

Now coming to standalone performance. Q3 FY '23 revenue stood at INR 611.9 crores as compared to INR 521 crores, a growth of 17% year-on-year. This contributed approximately 60% to consolidated turnover. EBITDA was at INR 79 crores, a growth of 115% year-on-year, while EBITDA margin expanded by 584 basis points to 12.9%.

PAT for Q3 stood at INR 44.6 crores, which is a growth of 148% year-on-year. And on 9 months performance, revenue stood at INR 1,745.9 crores as compared to INR 1,403.1 crores, which is a growth of 24% year-on-year. This contributed approximately 67% to the consolidated revenue. EBITDA was at INR 156.9 crores, a growth of 65% year-on-year. EBITDA margin expanded by 219 bps to 9%. PAT for 9 months FY '23 stood at INR 73 crores, which is a growth of 79% year-on-year. This is all from our side. We can now begin question-and-answer session. Thank you.

Moderator: The first question is from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre: Very impressive performance. Sir, one clarification is that we said that we have received INR 31 crores of benefit at PBT level because of threshold level in one of the projects we achieved.

Is this happened in domestic business or its international business?

Sanjay Kirloskar: It's a special order for domestic business.

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Mahesh Bendre: Okay. Sure. And sir, the margins have been very significantly gone up. So what could be normalized margin one could see from both domestic and operating -- export side?

Sanjay Kirloskar: I think we have consistently maintained that since all the investors felt that margins could be improved, we've said that we feel margins will rise consistently over a period of time. It's all the efforts that has been put in by the entire team that's resulting in this performance.

Mahesh Bendre: Because, sir, operating performance for even international business, our margins are -- EBITDA margins are showing around 19%%. So I'm just trying to understand, is there any one -off item in the international business as well?

Alok Kirloskar: No, there's not been any one -off item. I mentioned that when I was speaking, that it's just the main daily business. The service business continues to creep up and become a larger share of the overall portfolio. And I think the main difference is that the other businesses have helped the business cross breakeven. I think in the past, someone had asked me this question that there's so much service business, but why is it not coming to the surface. It's maybe because at that time, the service business was compensating for all the regular business, which were not performing as well. But as the regular business, which is our baseline business, starts getting over to breakeven, then we get that effect in the business in general.

Mahesh Bendre: So these margins are sustainable going forward?

Alok Kirloskar: You're asking in the context of international or domestic?

Mahesh Bendre: International.

Alok Kirloskar: Yes. I mean the margins, you have to also see that what you're seeing is 9-month margins, they don't exclude -- they exclude our first quarter. And for the international business, the third quarter of KBL, which is the quarter that just passed, is their last quarter and then the first quarter. So I mean, I would look at it from an annualized point of view rather than just a 9-month point of view. That's what I would say to you.

Mahesh Bendre: Okay. And last question that you mentioned that at the beginning of the last year, we had an order book for international business of around GBP 52 million, and now it has gone to GBP 84 million. So do you think the execution will be very strong over the next 3 to 4 quarters?

Alok Kirloskar: I mean, yes, I mean, like I mentioned, we opened at GBP 52 million, which roughl

y translates

into INR 520 crores last year. And this year, the opening order book is about GBP 84 million, which roughly translates into INR 840 crores. So yes, I mean, definitely there is more pressure for them to deliver. And there will be some -- hopefully some in and out business as well.

Moderator: Thank you. The next question is from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund.

Renjith Sivaram: Hi sir, congrats on good set of numbers. Sir, if I look at your -- this threshold to these cost associated --

Moderator: Sorry to interrupt you Mr. Sivaram, the audio is unclear from your line. Please use your handset.

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Renjith Sivaram: Yes, I'm using handset only, is it audible now? Hello?

Moderator: Yes, sir.

Renjith Sivaram: Yes. So in this INR 31 crores additional which we have told, this cost till the threshold will be booked in the previous quarters, and now we are booking the profit? That's how it works, right, as per the accounting standard?

Chittaranjan Mate : Yes. As per the accounting standard, when the percentage of completion exceeds the 25% of whatever is set by the company, that time, we book a pro rata income also. Earlier only cost was booked, cost at equal amount of revenue.

Renjith Sivaram: Okay. So in the previous first quarter and second quarter, the corresponding cost was booked and this quarter the margins are also booked, right?

Chittaranjan Mate : Yes.

Renjith Sivaram: So how much --

Chittaranjan Mate : As well as the pro rata margins would be booked in subsequent quarters.

Renjith Sivaram: Okay. And how much the spending was? What percentage of this is over?

Chittaranjan Mate : No that we cannot disclose because it is as disclosing margin percent on that order

Renjith Sivaram: Okay. But this is a one -off quarter, no, like it won't repeat, right?

Sanjay Kirloskar : Yes, we believe it's a one -off quarter.

Renjith Sivaram: Okay. And sir, one more thing which I noticed in your presentation is that, the standalone order intake is showing a INR 485 crores compared to INR 814 crores last quarter and INR 624 crores last year same quarter. So why is that reduction in order intake?

Chittaranjan Mate : If you see the trend, last year, Q3 was INR 624 crores, then it went to INR 721 crores , and came down to INR 596 crores , again INR 814 crores , basically part of our business is against made to stock, so their order booking is not there. And there it is made to stock -- sorry, made to order and engineered to order, it depends on the -- based on order finalization by the customer. Inquiries would be there, but the time which they take for finalizing, accordingly, there will be ups and downs quarter -on-quarter.

Renjith Sivaram: So it's -- I should read me it more as a timing issue and probably structurally this will come back in the fourth quarter? Is that right?

Sanjay Kirloskar: Yes. What we have given is funnel, order funnel and like Mr. Mate said, it depends on when the customers finalize.

Renjith Sivaram: Okay. So probably, it might come back in the next quarter? Is that reading right in our understanding?

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Sanjay Kirloskar: Yes lets hope so .

Renjith Sivaram: Okay. And sir, is there any forex impact in your international margins in this quarter? How much was that, if you can quantify?

Alok Kirloskar: Yes, I think there's a forex impact in the 9 months, and we have recovered some of that impact -- or will be , I think, 20% of that impact will be recovered in this third quarter. But year -to-date, what the 9 mont hs, there is still quite a significant forex impact.

Renjith Sivaram: Okay. So how much was that impact for the 9 months?

Chittaranjan Mate : Approximately INR 25 crores.

Renjith Sivaram: So INR 25 crores of your 9 month profit i

n the overseas subsidiaries is kind of impacted -- hello?

Chittaranjan Mate : As per accounting standard, they are loss booked under the head forex loss was INR 25 crores. But while dispatching the goods and realizing, we got some benefit of increased sales realization.

So I won't say the entire INR 25 crores was the forex loss. Part of it was already recovered through increased revenues.

Renjith Sivaram: Okay. So for this quarter, there was a recovery in this forex this quarter Q3 FY '23?

Alok Kirloskar: Yes.

Renjith Sivar am: How much was that?

Chittaranjan Mate : Roughly INR 10 crores.

Renjith Sivaram: Okay. So roughly INR 10 crores is the kind of gains that we got in this quarter. But despite that, your margins are looking healthy. That .means structurally you believe that the things are falling in place?

Alok Kirloskar: Yes,

Chittaranjan Mat: Yes.

Renjith Sivaram: Okay. That's good to hear. And in terms of this irrigation projects, we are hearing a lot of announcement that at least from the government and from some of the large companies like L&T, so in that market, like what is your overall visibility ? Seeing good order finalization happening and because we have a good product, are we still able to maintain your market share there? What's your overall thoughts in this irri gation market?

Sanjay Kirloskar: Whether it's irrigation, water supply or power, as we have explained earlier, out of the total number, the amount that is announced by the governmen t, roughly 1% to 1.5% is what is the pump content in any large project. And we remain the preferred supplier of choice as far as large players in this market are concerned. And I think I've also explained that we take the orders on our terms, which is advance and letter of credit. So even when we supply on a monthly basis 10 - plus large pumps, and large we define as more than 1 megawatt to 1.5 megawatts.

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Renjith Sivaram: Okay. Great. And sir, lastly on the small pumps business, what's your overall feel in terms of the market? Are you seeing good demand and do you believe that the t rend will continue in the small pumps? And anything on the pricing you can share like, pricing, have you taken any pricing action and market share?

Rama Kirloskar: Yes. I'll answer that question. So the market is picking up as far as the retail segment is concerned. We have not increased our prices and we don't foresee any price increase as of now. But we do see that there is a lot of healthy booking from customers. So that should not be a

problem going forward.

Renjith Sivaram: Okay. And what will be your utilization there in small pumps?

Rama Kirloskar: It would be anywhere between 65% to 70% utilization.

Renjith Sivaram: And how much of an increase in that has happened over the last 1 year?

Rama Kirloskar: How much of an increase in --

Renjith Sivaram: Utilization of your small pumps?

Rama Kirloskar: No, I think it's gone from around 55% to 70%.

Renjith Sivaram: Okay, okay. Sure, thanks, I'll join for further question, thank you.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique Portfolio Management.

Pratik Kothari: Sir, first question, again on international. Being after a gap of 2 years, we're seeing the margins that we are in profitability. Alok, if you can just throw more like -- and is this just a quarter three phenomenon? Or how should we read into these numbers?

Alok Kirloskar: Pratik, I would look at the 9 -month number, and also, as you know, generally, and I'm not making a forward -looking statement here, but generally, the first quarter in any company tends to be a little slower. And what you're looking at, and I'll not look at the Q3 number at all in here, I'd look at the 9 months and then consider what a Q1 would be like. So that's really how I look at the numbers, if

you want to look at the international hol istically.

And -- but I would say that the main -- like we've said earlier, there's no major job that's gone through. In fact, just to put it in context, SPP as an example, used to do GBP 25 million just in oil and gas revenue in its peak days, back in 201 3, 2014. At its lowest we did GBP 4.5 million. Last year, we did GBP 7 million. So we're actually closer to the lower end than to the higher end. So from that point of view, I would say that it's basically all the other businesses that like we've been sayi ng, we're trying to develop and stabilize the baseline of the business, and that's really what's really slowly kicking in.

Our services business anyway had picked up, and we were touching 35% to 40%. But the services business in a way was cross subsidizing all the other businesses. So now that I think most of them are back over break -even, you get that effect that you see in the numbers. And I

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think it's actually more visible in our South Africa business, where they are at 50% service business.

Pratik Kotha ri: Fair enough. Sir, just one clarification on this project. You mentioned that it has crossed 25% completion against your book. So this would be, I mean, recurring in the future also, right or this was one -off and this is done?

Chittaranjan Mate : Pratik, let me clarify. This is not a turnkey project, the way we were undertaking earlier. This is our order development, order with long delivery period. So as per accounting standard, we follow POC. And yes, in subsequent quarters, there would be impact, but i t won't be in such a big and amounts of 25% and like that, because it would be a slow impact.

Pratik Kothari: Okay. Sir, any light that you'd like to throw , what kind of development order is this for whom, the customers, the use?

Chittaranjan Mate : We cannot disclose.

Pratik Kothari: Okay. Fair enough. And sir, last question on the stand -alone part. We spoke about the cyclicity in terms of orders that we get. But in terms of decision -making, the confidence on ground, any color you would like to throw on that?

Sanjay Kirloskar: So I believe that these things happen year -on-year. There's nothing adverse that we are seeing.

Pratik Kothari: Great. All the best.

Moderator: Thank you. The next question is from the line of Vikram Rawat from East Lane Capital.

Vikram Rawat: Sir, 2, 3 questions from my side. One thing is on the overseas side, the margins which you are now saying on a sustainable basis would be around 9%, which comes on a 9 -month basis for our future? Is that the correct one?

Alok Kirloskar: I think what I just said earlier was that you're seeing it on a 9 -month basis. And effectively, in these numbers, the first quarter of KBI BV is not included. I've just mentioned that, traditionally first quarters are not always the strongest quarter for most company. I'm not making it at any forward -looking statement on that. But I think we should factor that in when we look at general margin for rather than just looking at second, third and fourth quarter of the company.

Vikram Rawat: Okay. So probably, it will be somewhere between the 5% to 7%. Is that the correct assumption -- at the end of first quarter?

Alok Kirloskar: Yes. I mean it's our -- like, I don't want to make a prediction about it.

Vikram Rawat: Okay. Because we don't have the fourth quarter -- your last year first quarter number calendar year, okay. And second, on the domestic side, can you just highlight what is the inquiry pipeline on MTO and ETO and what was it in last year?

Moderator: Ladies and gentlemen, the line for the management has got disconnected, request you all to please stay online, while we reconnect them. Thank you.
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Ladies and gentlemen, the line

for the management is reconnected. Thank you, and over to you.

Mr. Rawat, please repeat your question.

Alok Kirloskar: Mr. Rawat, sorry, I was answering your question. And I think all I was saying is that, one should consider it from a 12-month point of view.

Vikram Rawat: Sure. Another question on the domestic side. So can you just highlight what is the inquiry pipeline on an MTO and ETO order side currently outstanding? And what was it 1 year back?

Sanjay Kirloskar: You want to know the inquiry pipeline?

Vikram Rawat: Yes.

Sanjay Kirloskar: We don't have the numbers here

Vikram Rawat: And can you just also highlight how is the working capital and the cash position or net cash position in the book on net debt?

Sanjay Kirloskar: On the domestic side, I would say that we are cash positive.

Moderator: Thank you. The next question is from the line of Manish Goel from ThinkWise Wealth Management. As there is no response from the current participant, we'll move on to the next question from the line of Himanshu Upadhyay from O3 Capital.

Himanshu Upadhyay: See, I had two questions, okay. The first was, after a very long period of time, we are seeing the capex cycle recover, okay? And last time was 2002 to 2010, okay? How different is this cycle versus the previous one? And is the intensity of competition similar or you think the intensity of competition is less or more? And scope to increase the pricing, especially on the industrial side of the business, can you give some of your thoughts of current cycle versus historical, how it has been?

Sanjay Kirloskar: I think the capex cycle is quite strong in certain parts of the business, whether it's steel industry or industry, building and construction. I think in all these areas we see a very strong -- I mean people are coming towards asking for products, etc. And what was the other question? -- Price rise. Price rise, actually, we are doing consistently over the last year. And luckily, I think the commodity prices are softening. So we've been able to hold on to our prices. And the third question was about competition. I think competition is still there. I mean there's no -- there are many more players who have come in, not only coming in from outside, but setting up inside India and competing with us. That is not an issue.

Himanshu Upadhyay: Okay. And the second thing is on the order book accretion in the domestic market, the type of accretion we are seeing for other capital goods, let's say, a boiler turbines, we are not seeing that much in our case, okay. Even when we look at our foreign subsidiaries, like Alok mentioned, there has been a 60% growth in KBI BV, these books in last 1 year, okay, opening order book, so which was INR 600 crores, what I see is currently INR 900 crores consol minus standalone. The standalone, the accretion is much lesser, okay, it has grown by 10%. So -- what am I missing? Because what we are seeing is pretty strong growth in order books across the place.

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But -- and even in our own outside India book, it is pretty strong, but on the standalone entity, it is not showing that much traction and accumulated book. Where are we missing something or can you give some light on it?

Sanjay Kirloskar: No, I think, number one is the question of timing. Number two, I think you're looking at just one quarter. Don't look at it quarter-to-quarter, is all I can tell you.

Himanshu Upadhyay: No. See, I'm not talking about quarters, but let's say, Q3 FY '22 versus Q3 FY '23, the cumulative order book growth on the standalone is 10%, okay? And if I look at our consol minus standalone, that INR 600 crores has come to something like INR 900 crores, okay? In 1 year, what we have seen is accumulation is much stronger. But on standalone, we are not seeing, okay, and this is similar in other companies also where we are

seeing 30%, 40% order book growth and our

cumulative order book growth is some 10%. That was the way I was looking at it.

Sanjay Kirloskar: Well, let's look at next quarter what happens.

Himanshu Upadhyay: Let us see that. And let us wait for better.

Moderator: The next question is from the line of Ravindra Nayak from Sunidhi Securities and Finance.

Ravindra Nayak: Yes. Sir, the results are good, maybe the international operation has been good. Can you please

highlight the SPP UK's performance in this quarter vis -a-vis the 9 -month period? You have reported EBITDA of INR 34 crores and a sales of INR 140 crores, whereas the 9 -month period, the INR 365.7 crores sales, INR 30 crores EBITDA, how we will reconcile it? How -- what are the change in this business? That is question number one.

Secondly, about -- what is your contribution for the services in the stand -alone business for the 9 months and how it is growing in the -- in 9 months and also how you are expecting the service business to grow, the standalone business?

Alok Kirloskar: Thank you for the question. I think what -- when you mention that, I think we should look -- I mentioned it earlier also, we should look at the company's -- when you're saying 9 months, it's excluding our first quarter. And usually, most engineering companies, the fourth quarter is stronger. So I would say that that's probably why you're seeing the effect. Yes. So that's why you are seeing -- if you look at it last year to this year, I would say the difference in margin is only coming from the fact that the company's main businesses, which are fire, water, dewatering, transform oil pumps, all the other businesses also have -- are doing better and all of them are above the break -even point.

Like I mentioned last time, that ensures that all your base costs are taken care of. And then we have the service business, which obviously has been growing over the last few years. It's touching between 38%, sometimes 40%. So you get that multiplier effect because now that additional profit that that's generating is coming directly to the bottom line and not cross subsidizing any of the other businesses. So I would say that's why you're seeing that effect. I think I mentioned this earlier to someone else as well. Did that answer your question?

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Ravindra Nayak: SPP UK is actually the service business has improved. That is why we are seeing a better margin in SPP UK or it is something else we can look at?

Alok Kirloskar: Yes. So that's what I was saying. It's not the service business has jumped up significantly. The service business has been growing, and we've been saying this quarter -on-quarter that last few years, in fact, that from 12% is up to 38% to 40%. But people would ask me why is it that we can't see that. And the answer to that is that the other businesses were not having that level of order book, and so they were not covering all their costs, which is a regular product businesses. Last year, we've seen slowly the rise into other businesses as well because they've been focusing on various areas, and they've managed to get slow break throughs on standard business, which is our fire pumps, which is our water pumps, which are our transform oil pumps. And as those have crossed break -even point in their respective areas, the profitability, which is there before as well of the services business has now just come down to the bottom line. So, that's what I've been saying.

Ravindra Nayak: Okay. No, my worry is that, this -- in the last 6 months, for the 6 months, you have a loss EBITDA, loss in this business, SPP UK. And this quarter, it has completed turnaround with a significant profit. So whether it is some forex impact there, because the pound has also appreciated on the rupees, so you are reporting the currency in the rupees. So how should we

reconcile the forex PAT and also the service PAT? That is my worry.

Alok Kirloskar: I think Mr. Mate mentioned earlier that we actually have a negative forex impact in the 9 -month number. But you're right, I mean, the currency has depreciated, and there is some impact in terms of the multiplier factor from the depreciation. But I don't think that has been very significant from last year to this year.

Ravindra Nayak: Okay.

Chittaranjan Mate : Pound to rupees, a year back it was almost same INR 100. It had dipped in between, but again recovered.

Ravindra Nayak: So about the service business and the standalone business, what is the contribution of service in the total 9 month and also how you are looking at the service business going ahead?

Alok Kirloskar: You're talking in which business, the international business now or the standalone?

Ravindra Nayak: No, no. Standalone, standalone business.

Alok Kirloskar: In the standalone business also the service business has been slowly increasing, but I think we should also appreciate that it's different markets. I mean, in countries like India, I mean, any -- I'll just give you an example, many refineries or power plants, they service their own products. While overseas, you'll appreciate that because of lack of labor, usually the service is outsourced to other companies. And there is no local maintenance team that the company's at one service is having on its pipeline. So the model is little different.

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And so in India, it tends to be more spare parts focused while overseas, we're focused on developing the maintenance contract, 3 and 5 -year maintenance contract with these companies like oil companies, like chemical companies, like water companies and then supplying not just the spare parts, but the actual service, which is retrofit, refurbishment, upgradation, all kinds of other services on the base of just -- of the service contract that we have. And we only include the 3 - to 5-year service contracts in what we call our baseline business, because there we have an agreement of an offtake amount rather than it just being a one -off service agreement with some customer who wants some pump repaired.

Ravindra Nayak: Okay. So is there any chance, because if you compare with your competitors and Indian competitors, KSB and also the other competitor here. So the gross margin for them, it is around, you can say 50%, but yours is 40% currently. So whether it can go up to that level or it is very difficult to achieve to that level?

Sanjay Kirloskar: I think what we have been saying consistently is that we will be working on ensuring that our margins are equal to or better than our competitors.

Ravindra Nayak: Okay. Okay. And can you get the way you have presented in your PPT, made to stock, made to order, engineered to order and projects, this segment for the 9 months in the quarter itself, is it possible?

Chittaranjan Mate : Are you referring to a chart, which is a part of our presentation?

Ravindra Nayak: Yes, you have made the segment of made to stock, made to order, different segments. So can you -- is it possible to give that for the 9 months and also for the quarter?

Chittaranjan Mate : So, only we present on annual basis, but we can consider presenting --

Ravindra Nayak: So, it's not possible?

Chittaranjan Mate : Yes. Page 23 of our presentation.

Ravindra Nayak: Hello? So is it not --?

Chittaranjan Mate : -And, you are comparing international companies. And if you see consolidated results of KBL, there also you will see, we are around 49% for 9 months and 51% for the quarter, because standalone, you cannot compare with KSB and others. But if you see our consol results, those are close to 49%.

Ravindra Nayak: Okay, so it is comparable on a consolidated basis with the - of peers?

Chittaranjan Mate : Yes.

Ravindra Nayak:

ak: Okay. Understood.

Moderator: Thank you. The next question is from the line of Riddhesh Gandhi from Discovery Capital.

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Riddhesh Gandhi : Just to triangulate the 9 month financial adjusting for this incremental revenues, which came in this quarter. So the impact of incremental revenue for which there is no related expenses this quarter is about INR 30 crores odd, is it?

Sanjay Kirloskar: Can you say that again?

Riddhesh Gandhi : No. I think the amount, which effectively we have recognized as revenues for which we don't have the corresponding expenses in this quarter is about INR 30 crores odd, is it?

Chittaranjan Mate : I won't say there is no corresponding cost, I would say that the margin has been recognized for the first time after crossing threshold and that margin has been INR 31 crores. -There is our cost and revenue, which was booked, but margin was not booked, but as per the accounting standard, after crossing the threshold, we have started to recognise it .

Riddhesh Gandhi : Got it. So to put in another way, we are effectively slightly overstating the revenues of PBT in Q3, but we have actually understated it in the first half. So if we look at 9 months of revenues of the profitability, we'll be adjusting for this order effectively. Is that right?

Chittaranjan Mate : I won't say understated, it is as per the accounting standard.

Riddhesh Gandhi : Yes, yes, I'm just talking about in terms of -- I'm not saying that we are doing anything which is in the closure as per accounting standards. I just want to understand the economic accounting of this so that we can understand how we should be looking at it. As to they'll normalize the run rate, if you will, of the PBT.

Sanjay Kirloskar : Yes.

Riddhesh Gandhi : Okay. So H1 would have ideally been higher by INR 30 crores and the Q3 would have been lower by INR 30 crores at the PBT level. Is that accurate in my understanding?

Chittaranjan Mate : No, no. That is not accurate. Because the job of this happened only in Q3 in certain stage, otherwise, we would have recognized in H1 only. The progress of this order crossed certain stage only in Q3, it had not crossed that stage in the half year.

Riddhesh Gandhi : Okay. So then just to understand, so how does the accounting exactly -- if you could maybe just run us through this. So we understand it and more granularly primarily to understand the run rate at which the company is on a normalized basis.

Chittaranjan Mate : I won't call it a run rate. Basically, for a long delivery period, there is a separate method of recognizing revenue, which is called percentage of completion. And there is a threshold which is defined by accounting standards, income tax act guidelines and company regulations. On crossing that threshold, over and above recognizing cost and equal amount of revenue company start recognizing pro rata margins, which are anticipated on this order and which is audited. So we crossed that threshold in Q3, so we have recognized that margin in Q3. And in future, it would -- the recognition of revenue and margin would depend on the progress happening in each quarter.

Riddhesh Gandhi : Got it. Okay.

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Sanjay Kirloskar: So this is like I explained an order, which is a long -term order and we will be delivering parts of it over a period of time. We can't tell you exactly when we will be delivering the next slot. But whenever it does, we both know that we've crossed 25%, both the revenue, as well as the cost will be recognized together. Until now, we could not recognize roughly margins because we have not crossed a threshold which has been defined in the accounting standards.

Riddhesh Gandhi : Got it. Got it. So that if we -- so the question is, if we were to then look at 9 months accounts, is that a mo

re accurate reflection of what your PBT is than if we just look at the Q3 effectively?

Chittaranjan Mate : Yes. If you see 9 months, yes, that would show the correct cumulative position.

Riddhesh Gandhi : Got it. All right. And the other question is with regards to going ahead, so I mean, even adjusting all of this, we've had a great quarter, both from a revenue angle and effectively profitability angle as well. But we are -- so I've been able to hit, I guess, about the 11% EBITDA at a marginal level. So is that something which we expect, we should be able to maintain going ahead?

Chittaranjan Mate : Comment about our EBITDA margins for future, I think it would be a futuristic thing, but as our CMD sir has been telling in earlier meetings also, our endure is always to cross double -digit EBITDA margin. That is our effort, but when it would happen, it's not possible to give any prediction.

Moderator: Thank you. Mr. Gandhi, may we request that you return to the question queue for follow -up questions. The next question is from the line of Raj from Arjav Partners.

Raj: Looking at FY '24, so how will your figures are going to look like? Are you expecting a ny incremental growth?

Sanjay Kirloskar: I don't know whether we are allowed to answer questions --

Raj: No, no, just an overview of your operations, it would be nice.

Sanjay Kirloskar: Well, we are preparing for growth. I think the country is also preparing for growth. So yes.

Raj: All right. And how much of the cash do we have at the end of Q3?

Chittaranjan Mate : This would become an unpublished information, because we are supposed to publish balance sheet only half yearly and yearly. So what we have not published our balance sheet position, I cannot disclose at the moment.

Moderator: Thank you Mr. Raj.

Chittaranjan Mate : We are controlling working capital tightly, that's what I can say.

Moderator: Thank you. Mr. raj, may we request that you return to the question queue for follow -up questions.

The next question is from the line of Manish Goyal, an Individual Investor.

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Manish Goyal: Yes. So I have 2 questions, one for Alok and a couple for Rama. So Alok, just on the international , you did mention that our order book has grown from GBP 52 million to GBP 84 million. So is it that now as you were discussing earlier that this is more short cycled in nature and which implies that we should be booking revenues at more regular interval than to a calendar -- quarter 4 calendar year phenomenon?

And also, if you can also highlight that aftermarket or maybe framework contracts now we are bidding more contracts. So do you see revenue contribution increasing? And always, we were a product company in SPP as well. So why is it that we're probably saying that the services business was cross -subsidizing the product business earlier? And I have questions for Rama as well, so I have to come back.

Alok Kirloskar: Manish, I'll answer your second question first, because I have not really fully understood your first question. So I may ask you to explain it. But your second question is that, we're a product business that is correct. And that's why a majority of the sale is of products, more than 50%, in fact 60%, maybe a little bit more than 60% also is products. But the product business, as you

know, SPP was heavily dependent on oil and gas, and I give the benchmark numbers that the lowest we've done in '20 -- I think 2017 was 4.5 million and the highest we did in oil and gas was close to 25 million in about 2014. So -- and this year, we did 7 million, in the whole calendar year, which is Jan '22 to December '22. So it's closer to the lower end of the scale, right? So I mean, that business has to be offset by other businesses to grow to be able to cover all the fixed costs. And so that business effectively was that -- that role was t

aken over by other

businesses like industrial, fire, which grew. And obviously, while we cut cost significantly and we've cut 1/3 of the staff, 1/3 of our workforce, not the staff, 1/3 of our workforce to cover the costs. We still managed to keep the top-line more or less the same through all kinds of productivity efficiencies.

So I would say that even after that, it was difficult for the other business to make up that gap immediately, and it takes some time, as you will appreciate, is taken a while actually for us to cover all those that difference in revenue and the other businesses. But as they have covered that difference, we are able to now ensure that they are also profitable, but of course, the real profit comes from the aftermarket, which, of course, comes now to the bottom line rather than, like it did in the past, where it was basically covering all the other costs of the business. Because to have the aftermarket business, we obviously need the new product business because unless you are installing products, you're not probably going to get just the aftermarket like that.

Our strategy, as you know, has been identified areas where pumps are there, even if the population is small, approach the customer and then try and get a service contract on not just our pumps, but all the pumps. And that's really how we've been entering that business. So I would say that's -- I hope that answers the second part of your question. Can you explain to me what your first question was? I didn't understand it.

Manish Goyal: See that now we are focusing more on the standard products business and services line to a longer cycle, so I presume that in our order book also now that portion of standard products would be higher than probably the larger size orders. And what it implies is that the execution Kirloskar Brothers Limited
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would be faster than the long cycle products. So that means we'll have a more even out revenue booking during the year or how should we read into it? And maybe if you can also give us a perspective like, this is quite a historical high order book for us in SPP. And if you can broadly give us a sense of a broad breakup from the segment, which you discussed?

Alok Kirloskar: Yes, Manish, I think our CMD also had mentioned the same to me, that we got evenized sales through the -- through all the quarters, because otherwise, even in the good year SPP used to be loss making in first and second quarter and then it would break-even in third quarter and do well in the fourth quarter. So our objective also has been the same that we try and even out quarter-on-quarter.

And you're right, it's slowly happening where we are slowly trying to even it out quarter-on-quarter. But I cannot commit to that this year because like I mentioned, there has been an uptick in the oil and gas business. And generally, we are well placed in many large jobs coming up. So based on that, I won't say that is the case maybe in the near future. But definitely, that is our objective that with the service business, where we have agreed offtakes, we try and even out the sales quarter-on-quarter and through the years, so that we are more stable as a company.

Moderator: The next question is from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre: Sir, you mentioned that around 20 -- I think INR 31 crores benefit we received at the standalone level because of the change in threshold level for one of the projects. So if I slip aside from the standalone business, our standalone margins are around 7.4%. So is it a right way to look at?

Chittaranjan Mate: Actually, this is a genuine margin. So there is no need to reduce it. But if at all, you want to compare it, yes, the standalone margin for 9 months, which is at 7.1% it would go down to around 1.5%. (Note: To be read as which is at 9.0% it would go down to 7.2%)

Mahesh B

Moderator: Okay. Sure, sure. And one question to Alok. I mean, if I look at last 4 quarters for international operations, I mean, if I look at all the subsidiaries and if you remove the foreign exchange gain, I mean then the margins are around 11.5%. So is it the margin we look at for international business?

Alok Kirloskar: How are you looking at it, because it actually has been -- if you look at 9 months, there has been a loss on forex. So I'm not sure how you're looking at it. Because you're taking the first quarter in from KBL's last quarter, when you say 4 months.

Mahesh Bendre: To December, fourth -- last consecutive 4 quarters.

Alok Kirloskar: So yes, I mean, if you're including January, from January '22 to December '22, then that would be the margin, but I'm not sure that number is correct. I need to get it checked whether what

you're comparing is correct from January '22 to December '22.

Mahesh Bendre: Or at least double -digit margin possible and given the uptick in the product business and the servicing business?

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Alok Kirloskar: I mean nothing impossible. But I think we have been managing to get to double -digit margins everywhere. And I think like I mentioned last time, the international business has to have that mix of services, because finally, the margins generated there will be compared to the Indian cost of capital. So it has to make sense from an Indian point of view as well. So I think that's definitely in our sights and it's something that we want to achieve.

Moderator: Thank you. The next question is from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund.

Renjith Sivaram: Yes. Hi sir, just on the small pump business, I'm just trying to understand because some of the -

Moderator: Mr. Renjith, the audio is unclear from your line.

Renjith Sivaram: Okay. Hello, is it clear now? Hello?

Moderator: Yes, sir.

Renjith Sivaram: So in the small pumps business, like we are seeing some of the farm -related, irrigation -related that small pumps but submersible pumps through -- companies are doing well. So for us, that portion has been showing good growth on traction?

Rama Kirloskar: Yes, we do sell submersible pump sets in our retail sector as well, and we have seen growth. And we do see healthy growth in both submersible, as well as mono blocks.

Renjith Sivaram: Okay. And in the other portion of the small pumps, have we seen market share gains or we believe that the overall market has seen such kind of growth?

Rama Kirloskar: See, we have been continuing to grow. I think you can see from our numbers. I believe it says, we have grown by around 13%.

Renjith Sivaram: While the market growth would have been?

Rama Kirloskar: We believe the market growth is less than that. It's around 10%.

Renjith Sivaram: Okay. So we would have had some market share gains?

Rama Kirloskar: Yes.

Renjith Sivaram: Okay. And any expansion which has -- now that we have 70% utilization, so formally by -- is that -- are we looking at expanding any of our portfolio in the small pumps?

Rama Kirloskar: Expanding the product portfolio?

Renjith Sivaram: No, in terms of --

Rama Kirloskar: I'm sorry, we could not hear you.

Renjith Sivaram: Capacity expansion, any capacity expansion on the cards?

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Rama Kirloskar: Yes, we have already started, and we're gradually doing that every year.

Renjith Sivaram: Okay. And that's --

Rama Kirloskar: Debottlenecking or modernization to enhance productivity.

Renjith Sivaram: Would be a capex or how much?

Rama Kirloskar: I don't believe it will be a substantial capex every year.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we will take that as the last question.

I would now like to hand the conference over to Ms. Ram

a Kirloskar, for closing comments.

Rama Kirloskar: Thank you all for joining us on this call. For any queries, please feel free to reach out to us or our Investor Relations consultant Strategic Growth Advisors. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Kirloskar Brothers Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

SEC/ F:23 May 18 , 2023

BSE Limited National Stock Exchange of India Ltd.
Corporate Relationship Department, 5th Floor, Exchange Plaza,
2nd Floor, New Trading Ring, Bandra (East),
Phiroze Jeejeebhoy Towers, Mumbai – 400 051.
Dalal Street,
Mumbai -400001.

(BSE Scrip Code – 500241) (NSE Symbol - KIRLOSBROS)

Dear Sir/Madam,

Sub: Transcript of Conference Call with Analysts / Investors on Audited Financial Results for the quarter and financial year ended on March 31, 2023

Ref: Regulation 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

This is in continuation of our letter dated May 4 , 2023 giving intimation of the subject mentioned conference call and subsequently furnishing the web link for accessing the Audio recording of the said conference call vide our letter dated May 12, 2023.

In terms of the subject referred Regulations read with its Clause 15 of Part A of Schedule III, please find attached the transcript of the above said Conference Call scheduled on May 12, 2023 with Analysts / Investors on Audited Financial Results of the Company for the quarter and Financial Year ended on March 31, 2023 .

Please note that the said transcript has also been uploaded on the website of the Company (<https://www.kirloskarpumps.com>) which can be accessed at the following link:

Link: <https://www.kirloskarpumps.com/investors/analyst-meeting-transcript/>

This is for your information and records.

Thanking you,

Yours faithfully,
For KIRLOSKAR BROTHERS LIMITED

Devang Trivedi
Company Secretary

Encl: As above
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Kirloskar Brothers Limited
Q4 FY '23 Earnings Conference Call
May 12, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th May 2023 will prevail.

MANAGEMENT : MR. SANJAY KIRLOSKAR – CHAIRMAN AND MANAGING DIRECTOR
– KIRLOSKAR BROTHERS LIMITED
MR. ALOK KIRLOSKAR – MANAGING DIRECTOR – KIRLOSKAR
BROTHERS INTERNATIONAL B.V.
MS. RAMA KIRLOSKAR – JOINT MANAGING DIRECTOR –
KIRLOSKAR BROTHERS LIMITED
MR. CHITTARANJAN MATE – CHIEF FINANCIAL OFFICER –

KIRLOSKAR BROTHERS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Kirloskar Brothers Limited Q4 FY '23 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of the future performance and involve risks and uncertainties that are difficult to predict. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Kirloskar, Chairman and Managing Director of Kirloskar Brothers Limited. Thank you, and over to you, sir.

Sanjay Kirloskar: Thank you. Good evening, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to everyone who is joining us on this call. I hope you've had an opportunity to go through the financial results and investor presentation, which has been uploaded on the stock exchanges and the company's website.

The company's financial results for the fourth quarter and the fiscal year were good. This was primarily the result of an improved product mix, increased operating leverage, reduced input costs, along with a sharp turnaround at our key international subsidiaries.

During fiscal year '23, the company has witnessed a sustained increase in demand for made-to-stock pumps in addition to continued momentum of demand for made-to-order and engineered-to-order pumps. The top line and bottom lines, both saw improvements in performance in the domestic and international subsidiaries. The growth was driven by major sectors like small pump business, building and construction and industry sectors.

Our company's consolidated order book as of 31st March 2023 was higher by 17% year-on-year at INR 2,888 crores, which was mainly driven by factors such as irrigation, water resources and power. Please note that this order book does not include our make-to-stock pumps business, which contributes approximately to 50% of our standalone revenue.

We continue to increase our share of products business while reducing exposure towards EPC business, which again is close to about 5% for the year. I'd like to remind all the participants that these EPC orders are legacy orders. We do execute something or the other as sites open up. The company, as we have mentioned, is not taking any fresh EPC orders.

I now request Alok Kirloskar, Managing Director, Kirloskar Brothers International B.V. to share his thoughts on the performance of the international business.

Alok Kirloskar: Thank you. The company's key international subsidiaries have shown resilience amidst the challenging business environment, driven by ongoing China-Ukraine conflict, supply chain

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issues, currency movements, U.S. dollar shortages in certain North African countries and inflationary pressure. In fact, revenue and more importantly, bottom line of the subsidiaries grew considerably, mainly driven by the improvement in the product mix.

Our Thai and South African business continued to do well on the operational and financial side. As communicated earlier, South African business has signed major framework contracts in the power and mining sectors. Our South African business is now getting a good share of revenue from service business, which is creating a steady and consistent cash flow. We are implementing similar strategies in our other international business and especially starting slowly with the Thailand business.

The U.K. and U.S. business

also witnessed growth in the top line. The company continued to focus on cost rationalization and increasing the penetration within the market as well as enhancing its framework contracts business for services. The company is getting contracts from diversified sectors.

Our Dutch entities, we are launching unique and innovative products, which will be focused on the Benelux region. We believe this unique value proposition would be a growth driver for the turnaround of this business.

The international order book now stands at GBP 97.03 million, which is about EUR 109 million. Going forward, our focus remains on turning around the Dutch business further diversifying

the order book by creating more daily business and growing our share of the framework contracts in the service businesses.

With this, let me invite Miss Rama Kirloskar, Joint MD, KBL and MD, Kirloskar Brothers -- Kirloskar Ebara Pumps Limited to take you through the performance of the domestic subsidiaries.

Rama Kirloskar: Thank you, Alok. The company's domestic operations continued to grow at a healthy pace. The company has outperformed the industry growth during FY '23, thus further reinforcing our leadership position. The healthy pace of growth was mainly driven by new product launches across applications and energy-efficient pumps. The company has a good product launch pipeline for FY '24 as well.

The company's made-to-stock pumps, which cater to agriculture, housing and MSMEs maintained a healthy growth. The company also continues to debottleneck and modernize various plants to reduce cost and increase efficiency.

Our EBITDA margins expanded mainly on account of operating leverage, continuous focus on cost rationalization and process optimization. We continue to witness a healthy order inflow, which is getting reflected in our order book. Our order book is expected to grow by the uptick in public and private capex.

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Coming to domestic subsidiaries and JVs. :

Karad Projects and Motors Limited continued its healthy growth pace. KPML's revenue grew by 8%, while its PAT grew by 20% in FY '23.

Kirloskar Ebara Pumps Limited also reported robust performance for FY '23. KEPL continues to maintain high margins.

We had multiple customer visits and audits for our high-grade casting subsidiary, TKSL. We have received approvals from many customers during FY '23. As a result, TKSL is expected to improve its performance over the next few quarters.

With this, let me invite Mr. Chittaranjan Mate, our CFO, for the financial performance highlights.

Chittaranjan Mate: Hello, good afternoon. Let start with consolidated financial performance highlights. Starting with Q4 FY '23. The company had a strong year-on-year growth from operations at consolidated level at 18% to INR1,125 crores, majorly driven by KBIBV, which grew by 77%. EBITDA grew by 61% year-on-year to INR158 crores, while EBITDA margin expanded by 380 basis points to 14.1%. Profit after tax grew considerably by 84% year-on-year to INR101 crores. Now coming to full year FY '23. Net revenue from operations grew by 22% to INR3,730 crores. EBITDA grew by 79% year-on-year to INR426 crores, while EBITDA margin improved by 360 basis points to 11.4%. Profit after tax grew by 150% to INR236 crores.

Now coming to standalone performance for Q4. Revenue stood at INR794 crores compared to INR763 crores, which shows a growth of 4%. This contributed approximately 71% of the consolidated revenue. EBITDA was at INR121 crores, a growth of 24% year-on-year, while EBITDA margin expanded by 240 basis points to 15.2% PAT for Q4. PAT for Q4 stood at INR80 crores, a growth of 113%.

For full year FY '23, revenue stood at INR2,540 crores compared to INR2,166 crores, which is a growth of 17% year-on-year. This contributed approximately 68% of the consolidated revenues. EBITDA was

at INR277 crores, which is a growth of 44% year-on-year while EBITDA margin expanded by 200 basis points to 11%. PAT for FY '23 stood at INR153 crores, a growth of 95% year-on-year.

This is from our side. Now we can begin with question-and-answer session.

Sanjay Kirloskar: We can start the question-and-answer session now.

Moderator: The first question is from the line of Sunil Kothari from Unique PMS.

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Sunil Kothari: Congratulations for really, very solid improvement in performance in terms of profitability, international operation and all these things. Really, very commendable performance. So, my question is broadly, we're talking more about cost rationalization, process improvement, new product launches. So combining all these things, the objective of yours was to achieve a very respectable margin, which we achieved in quarter 4, international and local, both. So how far we are away from those cost reduction, process improvement, productivity improvement? And what is your objective during this year to do on those lines?

Sanjay Kirloskar: Thank you, Sunil bhai. I think for the last many quarters, I've been saying that we'll strive to go higher and higher in our performance, especially in relation to EBITDA and bottom line. So these are all ongoing projects. And I believe that as we go forward, you will see improvement quarter -on-quarter. That's what we said that we will strive to achieve better performance quarter -on-quarter.

I don't think there's an end to what can be done, but it might grow faster, it might grow lower, but our attempt is to keep growing performance.

Sunil Kothari: And sir, domestic, the overall growth of -- particularly during last quarter, Q4 and I mean, standalone, and order year -on-year, if you compare our order size is also modest compared to last -- Q4FY22 and Q4FY23 also. So what is your observation about domestic demand, domestic order flow and competition?

Sanjay Kirloskar: Things tend to fluctuate quarter -to-quarter. I think that's what I mentioned last quarter also. So I don't think we should be overly worried about this.

Sunil Kothari: But do you see, sir, any major competitive pressure because our competitor is getting a little bit higher order books, higher growth. So just your thoughts, what is happening?

Sanjay Kirloskar: Well, I don't know what -- I can't comment on the competitor. Our business will continue to grow.

Sunil Kothari: And sir, last one question is on this Karad project. It seems that those products have very good and very interesting potential. So some comments on what we want to do maybe over next 2, 3 years at this product segment?

And second is related to Kirloskar -- sorry -- Kohlapur Steel, which is draining very heavily. So by when you expect that there will be a positive something?

Sanjay Kirloskar: What I'll do is I'll ask Rama to answer both these questions on KPML and TKSL and after she answers, if anything needs to be added, I will add. But I would only say one thing with regard to your previous question. And that is, we've said that we are very selective on our order booking and we continue to be that way for both projects. We don't take any projects, but even for products business.

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When it comes to large pumps, we are very clear that the customer has to have money, he has to pay us in advance and he has to have an LC. I think you've seen the improvement in the balance sheet. And I think customers, when we first stopped taking orders for large pumps based on these terms, we actually had almost no orders because EPC contractors do not like to deal with a vendor who demand such terms. But I believe that our products deserve that. And that's the policy that we have stuck to and that we will continue to stick to that. We have to

be very careful, what happens at the end of the day because unless the money is collected, no sale is done, complete. So that's been our philosophy. And I don't think we should worry too much about it.

Sunil Kothari: Sanjay bhai, your observation on macro environment demand scenario, looking at the orders, which is flowing in from the infrastructure projects, railways, government, would you feel any better environment -- or how -- what's your thought process?

Sanjay Kirloskar: I would not like to comment on either the state government or national government. I think all the other EPC contractors and the people doing large projects, their balance sheets might better reflect that. But we are quite bullish about the future, not only domestically, but also internationally. There are huge number of projects coming up.

And one thing I would like to again mention is that pumps that we deal with or all the centrifugal pump business is 1 to 1.5 percentage points of the size of projects that you hear. So I think that should be kept in mind, and that is not only for us, that is for all pump manufacturers in the end. So we continue to be bullish. Rama, would like to answer on KPML and TKSL?

Rama Kirloskar: As far as your question for KPML. So as you know, KPML is our captive motor manufacturing company, and it mostly supplies to our -- motors for our small pump business as well as to our APOEMs. So we are targeting year -on-year growth in both of these businesses, and they are large businesses for KBL. So if you see year -on-year growth there, KPML will have healthy growth as well.

As far as new products are concerned, we have come out with new high -efficiency IE5 motors, which specifically our industrial customers are very happy to take because they're efficient and essentially, the opex cost is a lot less. So we are seeing a good uptake in those products as well. As far as TKSL is concerned, as we had mentioned in the earlier calls, our main activity for TKSL is to add new customers. And this last year, that precisely what we have been doing is adding new customers, ensuring we get our prequalification and audits done, and it takes around 6 to 8 months to get each of those audits done, and it's a long process. Fortunately, this year, we've completed a lot of those audits for many customers. So we should see the benefit of that in

this coming year. I hope I've answered your question.
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Sunil Kothari: Yes. And just last thing is on this. We are talking about some product expansion at Karad Projects, and electronic, some smart system. Just without any numbers, if you can talk more about what we are planning to do.

Rama Kirloskar: Yes. No as far as KPML is concerned, we are mostly focusing on motors because we feel that there's still a lot that we can do with motor efficiency. It helps with cost optimization. So we are focusing more on motors and their efficiency rather than the electronics that go around it.

We are focusing on electronics in KBL. We have our new KirloSmart system, which is a remote conditioning, remote monitoring system, which goes with all our pumps. And we can do real-time monitoring of performance parameters of our pumps, and that goes into many of our power, nuclear as well as oil and gas customers. So that is our focus in KBL, but not in KPML.

Moderator: The next question is from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund.

Moderator: As the line of the current participant is disconnected, we move to the next question. The next question is from the line of Varun Bang from Bryanston Investments. Please go ahead.

Varun Bang : Congratulations on good set of numbers. My first question is on services business. Increasingly, what I'm seeing is we are talking a lot about our framework services. It seems it is becoming a key part of our offering. So based on your

experience in managing these contracts, what value

we have been able to add? And how are these contracts getting renewed?

Alok Kirloskar: So on these contracts, usually, we find that we go in to -- let me say, who do we have these contracts with. So usually, these contracts are with oil companies like Petronas or like the new players who are the private equity players have got into this like Apache or a Harbour Energy or industrial players like INEOS or water companies -- private water companies. So usually, we would look at all the pumps because it's not just our pumps. We look at all the pumps and we go in there and we see how we can maintain them. And initial agreement is just to have a reduced downtime. And we start to maintain those pumps with a reduced downtime.

With that, we obviously build up a lot of data on all those pumps. And the next step is really in terms of efficiency enhancements that we can do on those pumps, which obviously is for an additional charge that we do this work. And then from there, we start building up data about what is in those plants, how those pumps are operated, where pumps are located, what changes we've made to those pumps. And that data resides with us because we manage the contract.

And at the end of five years, usually, it goes for automatic renewal sometimes or sometimes the customer wants and as part of the process, we will go for a tender again. But usually, what we find in the tender is that most of the new people who come in usually don't have all the data that is required to quote on these pumps. We have noticed slowly in both SPP and in South Africa. So in SPP, U.K., we've seen slowly this is rising up from about 8% to 12% of our total

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revenue to about 35% to 38% of our total revenue. And in South Africa, we've seen this rise from maybe four years ago from 0% to close to 45% of our total revenue. So this is generally how they operate. Have I answered your question?

Varun Bang: Yes. That's a good explanation. Just in the same context, how's the traction in the new services? I mean, last year, we had some 20, 25 contracts. How is it growing? And how do you see scalability in this services business going in the next two to four years?

Alok Kirloskar: We do see definitely there is a growth in the business. I mean, I'm sure you have all seen in the newspapers that there is a huge skill shortage across Europe and also in America. And while we don't have service presence in America, but we have sales presence, we don't have service presence. But we have service presence in Europe and, of course, over Southeast Asia. We do see slowly that companies are outsourcing this more-and-more because that technical expertise does not exist as it used to be in the past. So we do see rise. It's not like there's a huge rise every year, like it's rising 50% or something like this. But there is a rise because obviously, the skill sets are reducing.

And in places where we have got the contracts, we find it slowly we are able to -- by ensuring obviously, cooperation with the customer, able to have a deeper -and-deeper foothold within where we are. So that's how we're slowly seeing the growth there. And our focus there really is more on the margins rather than just top line growth.

Varun Bang: Okay. Got it. And we have seen strong orders coming for VT pumps on state irrigation

departments. So how large is this segment for us? And what is the outlook given there is increased focus on improving rural infrastructure? And also using our strength in VT pumps, how can we look at growing irrigation business internationally through our subsidiaries?

Alok Kirloskar: We already sell VT pumps through our subsidiaries. I think what the question you're asking is already reflected in our order book under irrigation and water management section. So you can see what we're doing

going there for the projects, like the large irrigation projects that you mentioned. It will give you a picture of what's happening.

But as my father mentioned earlier, we are very selective on those jobs because there are a large number of contractors many of them who we are not familiar with. And we have very stringent terms of how we deal with those contractors in terms of payment terms as well as the margin we expect. So we are quite selective there.

Varun Bang: One broad question...

Sanjay Kirloskar: Despite selectivity, I guess, the other people, they've had experienced other people and are still placing orders on a set of commercial terms which are very different than any one else.

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Varun Bang: Okay. Got it. One last question, just a broader one. In exports, what I sense is for one to be successful, product has to be better in quality. And because we are competing with international players, it has to be lower in terms of price. So where do we stand on both aspects? If you can just share your thoughts, that would be helpful.

Alok Kirloskar: I think that apart from those two, the other important aspect also is service and serviceability of those products because like I mentioned earlier, there's definitely slowly a skill shortage of those countries. And so they do want that you are local and you are able to support locally. Separately, as you are aware, apart from those points, there is also an additional point of localization. And countries across the GCC, even very small countries like Qatar are asking for local content. So I think there's a lot more than just those two points you mentioned, which are important.

But that said, the fact that we are getting a large number of orders overseas, I mean, it highlights to the fact that we are able to -- we have that level of quality. And more than just the quality, we have the technology that we can have high efficiency products, which is what the customer values in those markets along with the requisite features, which has differentiating features in those markets. So we have that.

And while price is important, I would not say that we are -- we want to be perceived as a low-cost supplier from India. That's not what they're going for. They're going for really a premium product, a product that is equivalent to any other European or American product. And that's really we are focusing on. I mean even in the U.K., we have close to 85% of the private water market and all the water companies that you know are private, and there we sell at a 20% premium over the competition, which is Germany. So really, that is what our focus is, and we say that our total cost of ownership is lower. And that's the philosophy we sell on.

Sanjay Kirloskar: I think, I would add to that by saying that we have developed the lowest life cycle cost products.

And recently, I was in the Middle East, where the main water utility of that country bought pumps from KBL at almost 30% higher price than German manufacturer. And they have come to check two of our Kirloskarwadi factory at the test facility that we have over there. And they were not only very happy to see that, but they were even happier to see that the efficiency that we had committed to was it -- we went over that efficiency, higher than whatever we had committed.

So like what Alok has said, I don't think, we do not sell at a low price just because we are from India. We are able to get higher price because we are KBL.

Varun Bang: That is so encouraging. Thank you very much. I'll join back the queue. All the best.

Sanjay Kirloskar: Thank you.

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Moderator: Thank you. The next question is from the line of Khadija Mantri from Sharekhan. Please go ahead.

Khadija Mantri : Yes. Hello, sir. Congratulations on good set of numbers. So

my first question is regarding the

EBITDA margin. So you've done 10.7% for FY '23. But in the last two quarters, the margins are about 15% and 12%. So my question is, would we be growing at more than 12% margin from

current level, or it is, you are saying that the growth will come on the FY '23 EBITDA margin?

Sanjay Kirloskar: You know, this is a forward -looking statement. I said that we will strive to do best as we can.

Khadija Mantri : Yes, given that decline in commodity costs and also the increase in volumes, we should be doing better than at least 11% of the overall margin that we have done for FY '23.

Sanjay Kirloskar: Your words, not mine.

Khadija Mantri : Okay, sir. And also last week, you said that you are seeking opportunities in solar and nuclear and other emerging sectors also. So is there any update on that, particularly in NPCIL's decarbonization plan, we were looking at the small medium modular reactors ?

Sanjay Kirloskar: Solar will continue to grow, but as I mentioned, we are not a system integrator. We supply pumps to system integrators on, again, our terms, which is money upfront. We are not going to wait for state governments or whoever is the end customer to pay and then get paid.

As far as nuclear is concerned, I think last time itself, I mentioned that KEPL had made the first Indian design, Indian manufactured pump for boiler -- main boiler feed applications. We had received a development order from Nuclear Power Corporation, which is part of the requirements for the fleet ordering of the 700 -megawatt reactors. This pump has been dispatched. And I mean, not only -- I mean, it has been dispatched after all these requisite trials and tests and everything else has been done. And I guess, all things considered and we're meeting all the requirements, we are qualified now to participate in those tenders which will come up for the fleet order. This is for main boiler feed pump.

We had the stepped out of the primary heat transfer pumps development program because of the conditions that were created for who they were going to order on after giving us a development order. We have agreed with Nuclear Power Corporation that we will now get back in and develop this pump for them. As you're aware, many years ago, we, again, completely designed in India and manufactured in India, the primary heat transfer pumps for the past fleet of reactors and these were delivered over a decade ago.

So we are -- we believe that we are quite capable and will be able to deliver and qualify for the requirements of the primary heat transfer pump for their fleet requirements as well.

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Moderator: Thank you. The next question is from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund. Please go ahead.

Renjith Sivaram: Yes, hi, sir. Sorry, I got disconnected. Congrats on good set of numbers and very hearty to see such performance continuously from last quarter onwards. So just wanted to ask Alok, the overseas have been one of the major reasons when we see in terms of this performance. So what is the current mix of the services in the overall order book or in terms of the revenues also, if you can throw some color just to get an idea on is this kind of number sustainable or will there be any kind of one -off in those numbers?

Alok Kirloskar: Mr. Renjith, can I repeat your question, tell me because there's a lot of disturbance. Was your question how much of this order book in service, is that what your question was?

Renjith Sivaram: Order book in service and also if you can give any clarity, is there any kind of a onetime or an exceptional thing in these numbers, because the 9% kind of margin because is that a sustainable trend you see?

Alok Kirloskar: So I would say that approximately, if I look at the service business component, and now you've asked me this question off

hand, so I'm going to give you a very round number. It is probably less than -- because as I said in the earlier question that we don't have any service within the U.S.. So that's zero. Our main service business is in SPP U.K., which is a U.K. entity, which is the largest amount of servicing business, which is about 35% to 38% of U.K.'s turnover. And we have about 45% of the South African business in service.

So at an overall level, I'd probably say the service business component is a little under 20% in the total sales. And obviously, our aspiration, as I've always said, is to go towards 50%.

To answer your second question or subpart second question is that neither in last quarter, neither in this quarter, has there been any special job that got through or anything of that sort. I mean, I mentioned that last time also that there was no large oil and gas job. Oil and gas turnover is pretty low compared to our peak oil and gas turnover which was in 2011, 2012, 2013 and 2014. Compared to that, our oil and gas turnover is less than 1/4 compared to those years. So there is no single amount -- something special that has gone through in these numbers.

But what I will say is that we have been reducing the costs year -on-year. And the top line has crossed that threshold of breakeven points quite significantly, and that's sort of generating a little higher margin now. So I would say that's really the driver. Mr. Mate had a point. Does that answer your question, Mr. Renjith?

Renjith Sivaram: Yes. Was there any forex gain or loss in this quarter?

Alok Kirloskar: Yes, Mr. Renjith. I think that in this particular quarter, as you know, we had some forex losses last quarter. We had some forex gains from last quarter to this quarter. But we have moved to hedge accounting in July '22. So I expect that probably after the June quarter, there should be less volatility.

That said, as you know, all our forex contracts are hedged. So anything that we release as profit or as loss, definitely loss is not real because we will get the money back because it's hedged. Anything that is profit would be whatever we should get because contract is hedged, and that's the value we should receive with that.

Renjith Sivaram: Okay. So should we assume that the kind of margin, the overseas business is still kind of the normalized margins from here on, we should assume if probably this kind of revenue continues, is that the right way to look at it?

Alok Kirloskar: I would say, it is really dependent on the revenue, Mr. Renjith. Like I said, it's basically the fact that we've crossed a certain threshold and it depends on what the revenue is in those quarters.

Moderator: Mr. Sivaram, may we request that you return to the question queue for any follow-up questions. The next question is from the line of Himanshu Upadhyay from O3 PMS. Please go ahead.

Himanshu Upadhyay : Yes. Hi, good afternoon. And congrats on good set of numbers. This question is to Alok, okay?

See, Alok if you look at the Braybar last two years, consistently, the profit -- it has been the most profitable, okay, let's say, something like 20% -plus EBITDA, okay? Will it be also the company having highest return on capital employed?

And secondly, you stated that Braybar would have 45% of services contract and SPP U.K. would be something like 30%, 35%, but the profitability of U.K. is much lower than Braybar. Is there something which is special in Braybar and that we have been able to hit consistently this 20% -plus EBITDA whereas in other places, which are still about 30% services contract we are not reaching that number?

And secondly, on this only, is the Braybar's revenue very different from what it was in FY '19 because at that period of time and similar revenue, the margins were 3% and currently, it is 20% -plus? So just some thoughts on that.

Alo

k Kirloskar: Yes. To answer your question, one is Braybar, of course, is much smaller as a company. The second point is that in Braybar like, you said and like I said earlier, the percentage of services is much higher. So that -- and that's really been brought through over the last few years. In 2019, the percentage is much lower. But of course, they started the process, but they had not bagged some large contracts that we have now on the services side, which are three years to five years framework contracts.

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So yes, I mean after the -- mix of revenue is totally different between 2019 and 2020 and FY '23 in Braybar. The value of services is also close to 45%, like I mentioned. And that's really what's helping it really from 2021 when a lot of those revenues have come through. If you're comparing it to SPP, what you're seeing there is SPP U.K. plus SPP USA. And like I mentioned earlier, there is zero services in SPP USA. So if I consolidate the two entities together, the service revenue would be probably under maybe 18% to 19% mark, the services revenue. So if you look at it, the service revenue is much lower and SPP U.K. is much larger in terms of the sizes.

Also, in the numbers you are seeing in SPP U.K., there's a comment there about forex. So every time we've been having this conversation. So maybe if you see a few of the transcripts, you will see what level of forex adjustment and mostly it was forex losses have been there in the SPP U.K. business, market-to-market forex losses. So I would say maybe factoring those risk and also the fact that the service business is a lot lower, the SPP business is quite different from the Braybar business. Does that answer your question?

Himanshu Upadhyay : Okay. Yes. It is -- so means what Braybar has achieved, for others subsidiaries, it may take considerable amount of time to reach in terms of revenue mix?

Alok Kirloskar: Yes. I mean if we want services to be at that level, yes, it will take -- I don't think considerable amount of time, but it will take us a little while to get us to that level. All of them are working to get that mix for sure. And each company is at a different level to get there. So I would say, yes, it will take them a little bit of while to get there. And I think that -- I think they're on that path to focus on it.

Himanshu Upadhyay : But the intent of competition is similar across the markets. So let's say, South Africa versus U.K. or Netherlands or Thailand. The competition of services remains the same? Or you find there is drastic difference from the developed market to emerging market for services and for pricing also?

Alok Kirloskar: I mean, if you look at South Africa, it's a developing market. And if you look at the U.K., we're a developed market. So I mean, you have the examples there. So Thailand really is the focus. Like in South Africa, we were really focused on that business. In Thailand, the first thing we were doing is focusing on a distribution business because we were at, I would say, in terms of the hierarchy, a much lower level in Thailand, when we started this process. So the first step was to get a distribution business to get the products into the field, into the volumes. Once you have that level of volume in the market, then you approach the customer, first you service your products, then you say I want to service everybody else's products, and that's really how the progression is, right? So I mean that's where we are now in Thailand where we have the installed base. And now we are meeting customers and we're saying you know, let us service our products and you know what, while we are servicing ours it seems like we can

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service the others as well. And that's really how you keep enhancing the circle, right? So I would say that's

what we are doing in Thailand at the moment.

Moderator: Mr. Upadhyay, may we request that you return to the question queue for the follow-up questions. The next question is from the line of Paras Adenwala from Capital Portfolio Advisors. Please go ahead.

Paras Adenwala: I have a few broader questions. One is I think it's a tremendous turnaround for the company. So what would you attribute it to? Is it largely the tailwinds and also, to some extent, you know those efficiencies that you're eking out? I'm asking this question, the objective is if current tailwinds convert into headwinds, what would the kind of decline be that one can expect in the business?

Sanjay Kirloskar: I mean we tend to think that it is a combination of both. And with the initiatives that we have taken, we will try our best to ensure that whatever headwinds we might get, we should be able to take care of most of that.

Paras Adenwala: Okay. All right. And secondly, I've been observing the Kirloskar group for a while, for a fairly long period of time. And suddenly, I'm seeing this huge spurt of energy within the group. And let me be specific about Kirloskar Brothers. For the last 10 years, business wasn't going anywhere. And now suddenly, we are seeing this spurt. What would you attribute this huge amount of change and the way the business has been run?

Sanjay Kirloskar: Yes, maybe you have attended for the first time but about 14 years ago, we were mainly in the EPC business, where large pumping stations as against products contributed to our turnover to the extent of 75%. And we stopped taking orders for that kind of business at that time. And what we saw over a period of time was that the 25% of business going to now 95% of the business and 75% coming to 5%.

So yes, we were going nowhere if you look at it as a company, but there has been tremendous growth on the products side. And that too with the strictest commercial terms in our industry.

So what we have done in the last few years is as the project business declined, we came out with many new products, we increased the capacity at our plants and we'll try to ensure that regardless of anything else, the cash situation improves.

So that's what has happened. On gross level, you saw turnover stagnating. But internally, as I have pointed out earlier as well, the EPC business has come down and the product business has gone up. So that's the change.

Paras Adenwala: Okay. Excellent. And just finally, the kind of top line growth that we've notched up in FY '23, would you say that it's largely because of the low base that you had earlier? Or do you think this probably seems to be a normalized kind of growth?

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Sanjay Kirloskar: Yes, it could be because of the low base we had earlier.

Moderator: The next question is from the line of Sujal Chandaliya from Girik Capital. Please go ahead.

Sujal Chandaliya: Yes. Firstly, congratulation on this great set of numbers. I had a couple of questions from my side. Firstly, on a standalone basis, the order intake was, somewhat lower than the overseas, of course. Are we seeing any slowdown in any particular vertical, like for say building and construction or industrial segment?

Alok Kirloskar: On -- in the domestic area, industrial or B &C, we're actually not seeing a slowdown. As you probably are aware, there is a lot of investments in distilleries, steel plants, cement plants. So I think that business is quite strong and similar situation in B &C.

I would say that sometimes, I think quarter -to-quarter, the situation changes. And as you know, very often, there are a lot of delays in order placements. But in terms of opportunities, I think the number of opportunities in the domestic markets still seem strong. But at the same time, maybe on the infrastructure projects like irrigation water, we are more selective and

we will

only pick up the orders where our terms -- our commercial terms and our profitability thresholds are met.

Sujal Chandaliya: Okay. And the second question was around -- so the presentation you have got in that 23 slide, the breakup in made -to-order, made -to-stock and engineered -to-order, is it on a consolidated basis or a stand -alone basis?

Chittaranjan Mate: Stand -alone basis.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investment. Please go ahead.

Vignesh Iyer: Just two questions from my side. First is, I just wanted to know, just from a perspective of this quarter, on our small pump business, what was the utilization of the small pump business that happened only for quarter 4?

And the second question is our tax rate on blended basis for the entire year was around 29%.

So what would be going forward in FY '24, what would be the estimated tax? Or you would be maintaining at the same rate?

Rama Kirloskar: So as far as capacity addition was concerned, it would be around 70% for small pumps for Q4.

And I'll let Mr. Mate answer your second question.

Chittaranjan Mate: The tax rate is 25%, plus charges, so roughly 25%. But it looks differently because of various provisions and additions made like that. Because the profit as per book and taxable income varies on quarter -to-quarter.

Moderator: The next question is from the line of Aditya Deorah from Divisha Investments. Please go ahead.

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Aditya Deorah: Sir, in the stand -alone balance sheet, we have a capital work in progress of around INR78 crores. So is there any capacity addition we are doing?

Chittaranjan Mate: I would say there are two things. One thing is that our Kirloskarvadi plant, we are modernizing and rationalizing some capacities. And at Dewas we are putting one additional line.

Aditya Deorah: Okay. Sir, just on a generalized note, like over the last 10, 15 years, this particular year, the amount of cash that we have generated, maybe around INR 250 crores free cash flow in the standalone books, maybe around INR300-plus crores in the consolidated books. So what would be the capital allocation policy for the company going ahead? Because I'm sure we are not going to put this money into trade receivables. So what could be the thought process behind using this cash going ahead for the company?

Sanjay Kirloskar: I think that's a very good question. We will see whatever opportunities come up. If you look at -- we are controlling our inventories. We hope to continue to be as profitable. And if you look at our debtors, actually, we have both current debtors as well as the vessels which are -- I mean, in the total debtor number, which are still to be collected from various state governments for projects that were done by us in 2010 to 2015. So our attempts is to collect that cash, collect those debtors. And the commercial terms are quite tight. I mean, like I said, the best in the industry for a manufacturer. So we'll continue with that. I mean why would we give away money.

Aditya Deorah: Okay. Your numbers were a very, very pleasant surprise.

Moderator: Thank you. The next question is from the line of Devansh Nigotia from SIMPL. Please go ahead.

Devansh Nigotia: Congratulations on a great set of numbers. In your subsidiaries, the orders enclosed has increased 20%, 30% closely Y -o-Y. So this is related to which segment or industry?

Rama Kirloskar: Which subsidiaries are these, international or domestic?

Devansh Nigotia: Subsidiary, like so if I break down the order book, the major increase has happened from increasing order inflow in our subsidiary. Is that right?

Alok Kirloskar: Yes. So I would say the main increase in the international subsidiaries is coming from SPP, both SPP U.K., USA. as well as from Thailand, KBTL. These mostly are coming from jobs in water

supply, fire as well as certain segments in storm water drainage, which is in Thailand.

In the U.K., we have some from service, and we also have some new orders now come in for firefighting for regasification platforms. So that's something that was not seen in our order book, probably in the last quarter, but that's something that's coming in this quarter.

Devansh Nigotia: And how is the demand on the ground for residential pumps as well as the agricultural pumps? Kirloskar Brothers Limited

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Rama Kirloskar: So the demand is actually quite healthy. In fact, a lot of growth this year was attributed because of our focus on the agri sector. We were really aggressively pushing our agricultural pumps into some of the most rural parts of the country, and that has really given us a lot of growth this year.

Devansh Nigotia: And how you measure of competitive intensity in both these segments?

Rama Kirloskar: So this segment is extremely fragmented, but I mentioned this earlier in the call. We have quite a large breadth and depth of product range, which others don't. And I think that's one of the main advantages of KBL in the agri sector.

Devansh Nigotia: In case of oil and gas, are you seeing any kind of demand moderation incrementally?

Alok Kirloskar: In the case of?

Devansh Nigotia: Oil and gas. Oil and gas sector.

Rama Kirloskar: So there are quite a few expansion projects going on. And in fact Kirloskar Ebara which specializes in the API oil and gas pumps, they have quite a healthy order booking of around INR500 crores this year. So I think we are seeing quite a bit of uptick in this area, both in the international and the domestic area.

Moderator: The next question is from the line of Rabindra Nath Nayak from Sunidhi Securities.

Rabindra Nath: Sir, my question is regarding this Kolhapur Steel Limited. We have -- we are actually making losses in this subsidiary. And despite rising in turnover, the loss is also expanding. So what is the plan there that is first question? And also when we will expect that we are having a better traction in the U.S. market?

Rama Kirloskar: Sorry, your second question was satisfaction in what?

Rabindra Nath: U.S. markets. And when we are looking at the growth impact from the U.S. market in particular.

Rama Kirloskar: Okay. I'll answer your first question. So TKSL in the last year was focusing more on getting its customer approvals. That could not happen in the year before because of COVID. In fact, for the last 2 years, we were not able to do customer audits or approvals. And like I mentioned earlier, it takes around 6 to 8 months to get the approval, the prequalification and the sample casting ready for the end customer to release orders on this foundry. So we should see an improvement in this year.

Alok Kirloskar: Can you repeat your second question about the U.S. business.

Rabindra Nath: Yes, actually you mentioned that your service and also the business in the U.S. is almost very limited. How should we grow in the U.S. market? So that is my second question.

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Alok Kirloskar: In the U.S. market, we are very focused on a limited range because, as you know, the U.S. market footprint is very large in size and in terms of market size, also very large in terms of physical size and is full of our global competitors. Many of them it is their home country. So when we entered the U.S. market, we only entered into very select segments because we can't fight everyone in all segments. So we are mainly in firefighting, and we are in municipal water. We cater to these segments for two companies, one is SPP Pumps Incorporated and the other is SyncroFlo Incorporated. One does fire SPP and one does water is SyncroFlo. So at the moment, we are not looking at service business there because, first of all, fire pumps,

which

we sell into the real estate segment as well as the industrial segment, generally don't require such service. And the large water supply pumps that we have, at the moment, they are still quite new and our population is quite small in the general American market. So we're not yet looking at service there.

While we do service fire pumps in the U.K. and in the Middle East, in countries like -- in Emirates, like Dubai and UAE etc, generally, fire pump services are not very profitable if you have to travel long distances. So usually, we have our FireEye system, which is a remote diagnostic system on the fire pump. We have an AMC and we visit them once or twice a year. So if you have volume like in the U.K., we have about 1,600 such contracts, then we will -- as whenever the engineer is in the area, he goes and visits one of these and completes the contracts, visiting once or twice a year.

So -- but the contract itself is not very profitable just on fire. So that's not a focus area right now in our U.S. business until we build up the critical mass in terms of volume and installations.

Rabindra Nath: Okay. So it will take some time to grow in the U.S. market, isn't it?

Alok Kirloskar: For services, yes, because the market is massive, as you know, both in terms of physical size as well as in numbers. And so we are going -- we have presence in certain -- very good presence in certain states. And in certain states, we don't have a lot of presence in when I'm talking

about new products. So I would say first is feeding the products and then after that, we get the services step by step. And that's really how we try to see that we are ensured that the unit -- that the company makes profit in the U.S.

Moderator: Mr. Nayak, may we request you return to the question queue for follow-up questions. The next question is from the line of Pratik Kothari from Unique Portfolio Managers. Please go ahead.

Pratik Kothari: First of all, congratulations to the team for a such a outstanding execution. My first question to Alok. Look, historically, you've always mentioned that quarter 4 is usually a weak quarter for international business. I did take your comment that there was no extraordinary one-offs or no oil and gas large orders and nothing on the services side. So just -- because we see this in our execution in the order book -- in our order inflow, etc, I mean, very large jump even on a

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quarter-on-quarter basis, which is unlike in the past. If you can just highlight what is driving this? Where are we getting the business from?

Alok Kirloskar: Thanks, Pratik. Pratik yes, the reason why I always say that is because quarter 4 for KBL is actually quarter 1 for the international companies. And as we know, usually, quarter 1 is not always the strongest quarter. So that said, I would say that one thing that we've been really pushing for is increasing the baseline business, which is our turbine business and our fire business and our water business, which are the core businesses. So these are something that we're trying to inch up in terms of how much we do per month because we have very clear product mix and breakeven levels for getting -- for especially SPP U.K. as well as each of the other companies. So that has been our main objective over the last 2 years, and that's slowly coming up as a service business and the other product business is also enhanced to that level. So I would say that is one factor.

The other factor, as I mentioned, is that we do have slowly built up over the last year and coming into this year, a larger order base on Middle East projects as well as some oil and gas projects. So the Middle East projects are mainly in water supply for large expansions being done in many Middle Eastern, Emirates countries. And the other is for oil and gas, which is normally FSRU units right now,

which are quite popular as well as some expansion in offshore installations.

So I would say that the order book now, which I think you've seen the size of earlier has a mix of these two. And this is why we're seeing that jump in the top line. Does that answer your question?

Pratik Kothari: Yes, absolutely. Absolutely, yes. And my second question is in the cash flow, if you look at it, we have taken about INR35 crores of provisioning for some advance rates of bad debt. So this -- is it related to projects, sir?

Chittaranjan Mate: Not necessarily it's related to projects. Given certain large orders where customers are having problems in arranging funds, so we have to make provisions. And some provision we have made for expected credit loss, which is as per policy. So there are delays from customers in paying. But as we go on collecting, we reverse those provisions. So it's a mix.

Pratik Kothari: The reason I ask it is because it's a large number, it is double from what it was last year and almost 1% of sale. So this is an expected number to go ahead also?

Chittaranjan Mate: At present, it is not expected to go up.

Moderator: Due to time constraint, that was the last question. I would now like to hand the conference over to Ms. Rama Kirloskar for closing comments.

Rama Kirloskar: Thank you very much.

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Sanjay Kirloskar: I'd like to thank all the people who attended the call for their good wishes and look forward to all of us having greater growth in the coming years. Thank you.

Moderator: On behalf of Kirloskar Brothers Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

SEC/ F: 23 August 08 , 2023

BSE Limited National Stock Exchange of India Ltd .,
Corporate Relationship Department, 5th Floor, Exchange Plaza,
2nd Floor, New Trading Ring, Bandra (East)
Phiroze Jeejeebhoy Towers, Mumbai – 400 051.
Dalal Street, Mumbai – 400 001.
(BSE S crip Code – 500241) (NSE Symbol - KIRLOSBROS)

Dear Sir/Madam,

Sub: Transcript of Conference Call with Analysts / Investors on Unaudited Financial
'Results for the quarter ended on June 30, 2023

Ref: Regulation 30 & 46 read with read with Clause 15 of Para A of Part A of Schedule
III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015

This is in terms of the subject referred regulations and in continuation of our earlier
intimations dated July 28 2023 and August 02, 2023 in the subject matter.

Please find attache d the transcript of the Conference Call held on August 02, 2023 with
Analysts / Investors on Unaudited Financial Results of the Company for the quarter ended on
June 30, 2023.

Please note that the said transcript has also been uploaded on the website of t he Company
www.kirloskarpumps.com which can be accessed at the following link:

Web-link: <https://www.kirloskarpumps.com/inv estors/analyst -meeting -transcript/>

This is for your information and records.

Thanking you,

Yours faithfully,
For KIRLOSKAR BROTHERS LIMITED

Devang Trivedi
Company Secretary
Encl.: As above.
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Q1 FY 2 4 Earnings Conference Call
August 02, 202 3

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings
uploaded on the stock exchange on 3rd August 2023 will prevail

MANAGEMENT : MR. SANJAY KIRLOSKAR – CHAIRMAN AND
MANAGING DIRECTOR – KIRLOSKAR BROTHERS
LIMITED
MR. ALOK KIRLOSKAR – NON-EXECUTIVE AND NON-
INDEPENDENT DIRECTOR , AND MANAGING DIRECTOR
KIRLOSKAR BROTHERS INTERNATIONAL B.V.
MS. RAMA KIRLOSKAR – JOINT MANAGING DIRECTOR
AND MANAGING DIRECTOR OF KIRLOSKAR EBARA
PUMPS LIMITED
MR. CHITTARANJAN MATE – CHIEF FINANCIAL

OFFICER – KIRLOSKAR BROTHERS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Kirloskar Brothers Limited Q1 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Kirloskar, Chairman and Managing Director, for opening remarks. Thank you, and over to you, sir.

Sanjay Kirloskar: Thank you. Good afternoon, everyone. On behalf of Kirloskar Brothers, I'd like to extend a very warm welcome to everyone for joining us on our call today. I hope you've had the opportunity to go through the financial results and investor presentation, which have already been uploaded on the Stock Exchanges and the company's website.

Happy to report that during the quarter, our consolidated revenues grew by about 14.7% to about close to INR900 crores, and EBITDA grew by about 140% to about INR115 crores with EBITDA margin of 12.8%, an increase of 671 basis points. This is a testament to our efforts to improve the product mix, increase operating leverage and reduce input costs. The domestic business grew by about 3.8% and the international business grew by 27.7%.

In addition to the sustained momentum of demand and made -to-order and engineered -to-order pumps and our made -to-stock orders also increased , we anticipate the growth momentum will continue in the forthcoming quarters due to the robust order book. As for the quarter ended, we witnessed a consistent upward trajectory in the consolidated order book as well at INR3,020 crores, a growth of about 15.7% year -on-year.

I now request both Alok and Rama to speak about the performance of our businesses. Alok?

Alok Kirloskar: Yes. Thank you. I'm pleased to report that the international business, which we may refer to as KBIBV witnessed a growth of 27.7% over Q1 FY '23. Most of the international subsidiaries witnessed a healthy growth on the top line along with a n expansion in operating profit margin. This was mainly on account of the company's efforts to offer value -added services, niche products, along with creating sustainable cash -generating business streams.

SPP Pumps U.K. has a global presence serving customers in different regions. And the focus is on innovation, product development and customer service to maintain its competitive edge in the market. In this business, we focus mainly on fire pumps for industrial plants, fire pumps for commercial buildings and as well as oil and gas. In addition to this, we focus on pumps for water utilities and for chemical markets as well as the service business.

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In the U.S., we cater to commercial real estate side of the business with focus on fire and water again. As highlighted here, there is no service business in the U.S. entity. In the Dutch market, we did witness good traction on the revenue side. Here, our focus remains on turning around the Dutch operations, further diversifying the order book by creating more daily businesses around distribution and services and continue growing our share of framework contracts in the service business.

Our Dutch entity will be launching unique and innovative products, which are focused on the Benelux region. We believe this value proposition will be a growth driver for

turning around

this business, along with various cost -cutting initiatives, which we have already progressed in. On our South African business, service side is performing well. Our South African business has major service contracts in the power and mining sector. In addition to this, we have a lot of product sales into both the mining and distribution sectors as well as chemical sectors. Overall, the business continues to do well on the operational and financial side.

In our Thai business, we're focusing on replicating the model similar to India with distribution.

Here our focus areas continue to be on building in commercial markets, fire markets and chemical and industrial markets. Our endeavour is to increase the services portion of this business as well. We anticipate the increased investment in energy sectors and advances in pump technology will drive demand for pumps and have a positive effect on the global pumps market.

In the future years, this will benefit KBL and our international subsidiaries.

Additionally, the international businesses, investment services and framework contracts, there are currently over 100 active framework contracts across all operations. We will continue our efforts to expand this business where we have implemented AI, AR as well as our 3D printer giving us some advantages.

Our strategies and top priorities are geared towards fortifying our offering, enhancing our geographic presence and expanding our market share, focusing heavily on our smart and innovative solution and establishing new benchmarks for product innovation, efficiency, dependability and sustainability, which we hope will drive sustainable cash flows and profitability. With this, let me invite Ms. Rama Kirloskar, Joint Managing Director, KBL and MD of Kirloskar Ebara Pumps Limited to take you through the performance of the domestic subsidiaries.

Rama Kirloskar: Thank you, Alok. The company's domestic operations witnessed good traction driven by product mix. Our company's made-to-stock pumps which cater to the agricultural, housing and industrial range maintained robust growth. We also continued to witness a healthy order inflow, which is reflected in our order book.

The EBITDA margins expanded mainly on account of operating leverage, continued focus on cost rationalization and process optimization. Now coming to the domestic subsidiaries and JVs, the Kolhapur Steel Limited, we are experiencing good traction and the main focus is on acquiring new customers. We have been successful in onboarding new customers and the 52% year-on-

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year revenue growth for the quarter is a strong indicator of the company's progress and market acceptance.

As far as Karad Projects and Motors Limited, we're targeting year-on-year growth for the small pump business as well as to our APOEMs, which are large businesses for us. For Kirloskar Ebara Pumps Limited, KEPL continues to have a healthy order book of around INR451 crores for this year and will continue its growth trajectory. With this, let me invite Mr. Chittaranjan Mate, our CFO for the financial performance highlights.

Chittaranjan Mate: Good afternoon. Let me start with consolidated financial performance highlights first. For Q1 FY '24, net revenue from operations grew by 14.7% year-on-year to INR899.5 crores. EBITDA grew by 140% year-on-year to INR115.5 crores, while EBITDA margin expanded by 671 basis points to 12.8%. Profit after tax grew considerably by 310% year-on-year to INR63.6 crores. Now coming to stand-alone performance, for Q1 '24, net revenues from operations grew by 7.2% year-on-year to INR581.2 crores. EBITDA grew by 90.6% year-on-year to INR58.9 crores, while EBITDA margin expanded by 440 basis points to 10.1%. Profit after tax grew considerably by 321% year-on-year to INR33.7 crores. This is all from our side. We can now begin question-and

-answer session. Thank you.

Moderator: We will now begin with the question-and-answer session. The first question is from the line of Kunal Sheth from B&K.

Kunal Sheth: My first question is pertaining to the international subsidiaries. There we had a great performance, about 28% kind of top-line growth and 17% margin. I see in your investor presentation, that is largely driven by uptick in both SPP UK and USA, both in terms of revenue and profitability. So if you can elaborate little more in terms of what is changing there and how sustainable that is?

Alok Kirloskar: I think like we have mentioned the last few times, in the US business we have a much higher level of automation that has been put through and the number of people that we operate the business on is quite few and we have a very good ratio in terms of revenue per person. So really cost reduction over there is one area that has helped get us a better performance.

Of course on the back of a slightly better amount of sales, because we see that as I mentioned last time, we have also launched many new products in the US business and a lot of those products which are mainly in the fire segment, especially in the data centre segment have done reasonably well and we have very specialized product there which is very well accepted by the majors like Google, AWS as well as Microsoft. So I would say that is a few areas, few reasons why the US business has done better.

The UK business, like we have mentioned, we have been trying to change the mix of the UK business. We have a little bit more mix coming from the services side of the business and little less from the side which has to do with the bigger pumps, especially in the oil and gas sectors which typically are large in revenue, but are low on margins. So I would say the mix is little bit more favourable in the UK business and that's really why we are showing the numbers that we are. I hope that answers your question.

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Kunal Sheth : My second question is pertaining to the domestic market. You know the domestic market has seen a slightly slower growth, 9% top line during this quarter and even when I see the order book accretion has been 6%, about INR19 billion and you know, order book accretion in the domestic market has been slightly slow in terms of you know, in that 6 -7% growth range for the last 2 -3 quarters. So anything that you can point out in the domestic market is the market slowing down or is it largely driven by the made -to-order pumps and therefore growth will come back? Slight flavour on the domestic market would be helpful.

Rama Kirloskar: So to answer that question, we believe it is in line with the growth in the market currently. I believe the growth is around 6 -7%. I don't believe that they slow down. In fact, the industrial market is booming currently. We are seeing a lot of orders. So we do believe it is in line with the general growth.

Kunal Sheth: Okay. And so, but what should be the steady state growth that one can assume in the domestic market from a medium -term perspective? Yes, I'll repeat that question. Yes, what should be the steady state growth one should assume in domestic market in that case?

Sanjay Kirloskar: I don't know whether we can make you a statement like that looking forward, but I think we will grow faster than the economy.

Moderator: The next question is from the line of Renjith Sivaram from Mahindra Mutual Fund.

Renjith Sivaram: After a long time, we have seen three consecutive quarters of good performance from us. So do you really see that it's for real that this turnaround is much more sustainable compared to the previous time when we...

Moderator: Sivaram, I am very sorry to interrupt but we can't hear you very clearly.

Renjith Sivaram: So my question is that after a long time, we are seeing this sustainable kind of performance for

three consecutive quarters. Are you seeing that this is more of a kind of the new normal for us or you feel that there is still some kind of a one-off in these kind of results? Is it a steady -state kind of a performance going forward from this? Just to get some clarity on that.

Sanjay Kirloskar: I mean, you were still echoing, but from what I understand, you said this is the third quarter which is showing growth and is it sustainable? And I'll answer on that basis. And you also wanted to know whether there was a one -off or something like that. I can only assure you that there was no one -off, like we had pointed out a few quarters ago. We hope that it is sustainable. I cannot make any definitive statement as usual. We've refrained from making forward -looking statements.

Renjith Sivaram: Okay. And which portion of the economy you are seeing the good demand? If you can point out at least a couple of segments. I know that you are more broad -based, but is there any particular segment where you are seeing some good traction?

Sanjay Kirloskar: We normally don't give information segment -wise. I think we give far more information than most companies do. I've seen, whether it is local or global players, they basically report only one

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segment, which is fluid handling machinery. And having said that, the B2B segment is something that has got good traction.

Moderator: The next question is from the line of Varun Bang from Bryanston Investments.

Varun Bang : Alok, our customer base in services and framework contracts is growing rapidly. So in the medium to long term, what cross -selling opportunities do you see here, both in terms of converting the customer base, I mean, some of the customers to using our products , because some of these customers would have global presence, how are we getting entry into other plants of these customers? Can you share some insights?

Alok Kirloskar: Thank you for the question. I just want to correct the perception. I mean, we've talked a lot about services, but services account in the UK only for 37% to 38% of revenues. It's a large chunk, but the remaining is all products. So it is obviously a products company selling products, like I mentioned earlier, in water supply, firefighting, oil and gas, chemical, industrial, and those are our key focus areas for the remaining 60 -odd percent. So we are still a products company. And you know, when we do services, we do services with two objectives. One is repair refurbishment of other people's pumps, as you're aware, when we manage the sites. But of course, very often, when there's a total replacement, we will ensure that our product goes in as a replacement in there. The other areas that we also work on are upgradation of efficiencies, because one of the areas that we also are focusing on is carbon is net zero, as well as how to make not just ourselves, but also our customers more sustainable.

And repair, refurbishment and upgradation of efficiency, most importantly, is something that ticks the boxes for our customers as well and you know, ensure that they are more green, because they are using the existing products and the existing products are being made far more efficient, which is in line with the efficiency standards that are there in the industry today and not maybe

what they were like when the product was in stalled 20 or 10 years ago. So, I would say we are doing cross selling. That's part of the process.

You know, we do, obviously, the majority of our sale is product sale. But at the same time, we are looking for opportunities of one is, you know, what kinds of other streams we can get out of this. So, you know, one of the streams that we always explore with customers is whether we can install the pump and whether we can share on the energy saving.

So, you know, that's another example of a different kind of

cross selling that we're doing. It's not

just a product sale, but it's a new kind of annuity income sale. So, there are a few things that we are trying all the time with customers you know, how to become sticky, because really, services is one of our objectives is to become more and more sticky. I hope that answers your question.

Varun Bang : Yes. And I think we've been doing a lot of innovation, efficiency of the pump. And there is also a lot of consciousness around what quality we are offering. And there are a lot of features also that we offer with our product. So, do we think we have been able to get desired level of pricing in the overseas market? How do you think the brand perception and the pricing is evolving vis - a-vis competition?

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Alok Kirloskar: Mr. Malhotra, I mean, it's a difficult question because, you know, on one side, we have a recognized brand, which is SPP, as a European brand. And by the same time, SPP historically has been a niche brand. I mean, SPP is only known for fire pumps. And we are really trying to extend the recognizability of that brand into other areas, you know, like water, like you know, chemicals, because as a Western brand, it's easier for us to, you know, push that brand across. So maybe in the Western countries, yes, we have a decent amount of traction in that area and we get a good premium. I mean, because in the UK market, we sell on total cost of ownership. Usually, we can get up to 20% premium, because the products are far more efficient. But more importantly, they can maintain their efficiency. And we've shown this to the UK water utilities, not over one or two years, but over 12 or 13 or 14 years now, with various studies. So we are able to command that additional price because of the fact that we can maintain efficiencies, not just give high efficiencies.

Coming to Southeast Asia is really, you know, where our problems are, because you know, we are, like I said, we're trying to create more like what we have in India, a distribution network.

And creating a distribution network requires stocking of pumps, it requires distributors to hold our pumps. And that's really where, you know, we feel that we hold, it's a little bit of an uphill task, because like I said, SPP, historically known for fire pumps. KBL is an Indian brand. So there's a little bit of less acceptability over there.

And you know, we are competing against the big Western brands, and many of them are known for their full -service product suite. And distributors are willing to hold them in stock, because they are obviously approved by customers for all those applications, not just the applications like fire or you know whatever, they are approved for everything. So it's easier to get a distributor to stock them.

So I would say that's, you know, wherever we are going for the distribution model, which we have to go for if we want more and more penetration , there is a task because we have to get the products approved with huge number of customers, only then will distributors hold it in stock.

And so it's a process. And that's really where we're going through that process.

We did that in America and that's how, you know, our American model is distribution -oriented.

But again, as you know, we are mainly doing it for fire, and distributors are holding stock for fire. But, you know, we do need to extend it if we want product category by product category, application by application slowly, because you know, as you know, we don't have hugely deep pockets. We need to do it slowly, and we need to do it sensibly. So that's really what we're doing.

I hope I've answered your question.

Moderator: The next question is from Amit Shah from Nuvama Institutional Equities.

Amit Shah : So there were two things which I wanted to know was one, I mean, post -COVID, the China as a country is sort of having a bad n

ame, and we are seeing the country struggling with exports.

So one, is exports, I mean, negative sentiment for China? Is it helping us in any way in getting more export orders? One, and also what I would like to know is, how far are we comfortable

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with, you know, commodity prices in the sense that if commodity prices move up, I mean, is the market good enough for us to increase the prices?

Or if at all commodity prices move down, I mean, do we think we have a strong brand where we cannot reduce the prices and even get better margins going ahead? And just one more thing, what kind of capacity utilization are we running at? So, I mean, if the market grows substantially, I mean, how geared are we to, you know, get further production going?

Sanjay Kirloskar: Okay. You know, we've really never had any competition, as a company, not had competition with China. Even in Southeast Asia, our products are perceived to be far superior to the Chinese products. And especially when you go to firms which need a lot of interaction with the customer, our superior English language skills as a country have ensured that we never faced competition with China.

As far as commodity prices are concerned, you know, we are, I think, selling more on quality than anything else, because I think we've mentioned many times in this call that in our B2C business, we are the only ones who can sell our products. We are the highest in price, and we are able to get a premium compared to the competition and we are the only ones who sell without giving any credit.

So yes, last year, we were hurt by the sudden rise in commodity prices. But I think now the processes have been improved so that we do not have such an issue. We are watching the China situation carefully, because China is also trying to reboot its economy. But we believe that it will still take some time, because once China reboots its economy, you don't know what's going to happen to commodity prices. But we, as a company, are getting prepared for that.

Your last question, I believe, was on capacity utilization. And that continues to be between 60 and 70 percent. We have a continuous program for de-bottlenecking modernization. That is why you don't see us having sudden spurts in capex.

Moderator: The next question is from the line of Devansh Nigotia from SIMPL.

Devansh Nigotia: Sir, in B2C, if you can help us with the split in terms of on-the-ground demand in agricultural pumps and residential pumps, how is it? And now that the commodities have softened, so can you help us understand how much gross margins were impacted last year and the benefit we can see this year?

Rama Kirloskar: Unfortunately, we don't disclose this information. We don't disclose the sector-wise margins, nor the split between agri-domestic and industrial.

Devansh Nigotia: My question was, how is the demand, on-the-ground demand, shaping up and our outlook for the sale? I'm not asking in terms of sales mix.

Rama Kirloskar: No, the demand is picking up. We don't see an issue there.

Devansh Nigotia: Okay. And in terms of competitive intensity, since the demand is better than last year, is the fall in the prices more than the raw material fall? How is that shaping up?

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Rama Kirloskar: No, there isn't any fall in prices, and the competitive landscape is as usual. There has been no change.

Devansh Nigotia: In case of domestic B2B pumps, how has the year been? And can you just give a direction on oil and gas, and a few other sectors?

Rama Kirloskar: Right. So, in general, the oil and gas sector has picked up. There has been a lot of orders that we have bagged for both Kirloskar Ebara as well as KBL. And actually, if you notice that there's been a huge demand. However, we do believe that in terms of the number of steel vendors,

that's

really not enough to cater to the huge demand that that sector has today, which is why one of the reasons why we see a degrowth in Kirloskar Ebara sales is because the steel manufacturers have been really full in their capacity, and there have been a lot of delays in dispatches from their side, which is why a lot of our consignments have not gone out this quarter.

But that should go out in Q2. So yes, to answer your question, demand is good, but there is an issue with generally the supply chain in India. We do believe that there are not enough qualified sub-vendors, not the pump vendors, but the sub-companies to the pump vendors.

Devansh Nigotia: Is it forging capacities we meant?

Rama Kirloskar: No, this is steel systems, mechanical steels and steel plants.

Moderator: The next question is from Sunil Kothari from Unique PMS.

Sunil Kothari: Sir, first question to Sanjay Bhai. Largely, sir, we hear from like this Torrent Power has announced, this pump storage hydropower, then NHPC also spoken about that. Then some days back, we had our commercial advertisement about flood control in Thailand and the possibility by our product. So combining this, if you can talk about the opportunity and possibilities, how feasible these are things. Second question to Alok is on this interest in the subsidiaries.

If you remove consolidated numbers from standalone, then other expenses substantially reduced compared to last year of Rs. 80 crores, current quarter it is Rs. 60 crores, quarter 4 it was Rs. 68. So these are the sustainable numbers or what has changed, if you can talk about this. And to the Alok only, this subscription model, we are talking about a very big opportunity for customer, the benefits to customer.

So if you can quantify and make us understand how it will benefit customer in terms of if they move to this subscription platform. And just last question to Rama. There is a very good demand of motors, that is what we are hearing from other motor manufacturers. So what about this Karad Projects capability and capacity? Are we announcing our capability and capacity? Some talk on this will be really helpful.

Sanjay Kirloskar: So I'll take the first and the last question. And I think Alok will take the questions in between. Thank you for coming back again. We appreciate the fact that you were there yesterday in the AGM. A large pump storage scheme, I think, we introduced what we call metallic volute pumps sometime about 15 -16 years ago. And as you go larger, they have reversible turbines.

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With the requirement in India, earlier being smaller pumps, we have developed a range of up to 30 megawatts. Whereas these pump storage schemes actually require pumps of 100 plus megawatts. And while we believe we are capable, we are always asked, where is your proven track record?

Now, if India hasn't had requirements of such pumps earlier, we cannot provide a proven track record. And we are therefore trying to see how we can still deliver. Maybe we will grow our sizes. The capability is there, but I guess it's not having supplied earlier that hurts us. Many customers over the years, for the last 8 years, have trusted us to make products of all kinds for the first time in India.

And while we have gone up to 30 megawatts, I think, and I can understand their situation as well, we will need to build trust to go beyond 30 megawatts. That's as far as pump storage schemes are concerned. We are talking to a few people, but let's see where that goes.

As far as Karad Projects and Motors are concerned, I think you would be aware that it was Kirloskar Brothers that made the first motor in India in 1940. And in 1946, we promoted two different companies. One was Kirloskar Electric, and the other one was Kirloskar Oil Engines, to which we divested these two businesses. And in both these areas, in return for certain

promises

that they made, we divested these two businesses.

And the commitment from Kirloskar Brothers was that we will not get into the electrical business, I believe, or motor business. We have stayed true to that. We have been working with Kirloskar Electric. And over the years, you may be aware that Kirloskar Brothers, in between, made the hermetic compressors, which were driven by motors. Those motors were made by what is now KPML.

Similarly, for our monoblock pumps, we also require extended shaft motors. Again, with Kirloskar Electric, we said that we will work together. And this was done together with Kirloskar Electric. So, you know, the capacity is there. We have an arrangement with Kirloskar Electric that wherever there's captive requirements of Kirloskar Brothers, those will be supplied by KPML.

And therefore, KPML makes all kinds of motors for KBL, including EE4 and EE5 motors, which we have now introduced in our domestic and agricultural and industrial pumps. And we also make, in KPML, the motors that are required for canned motor pumps that we make. So that is as far as...

Sunil Kothari: But, sir, we never really come to the market. I mean, it's only for internal consumption ?

Sanjay Kirloskar: It is for internal consumption.

Moderator: The next question is from the line of Jainam Ghelani from Svan Investments.

Jainam Ghelani : So, our order book is of 3,000 crores. Over what time period is it executable?

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Alok Kirloskar: It depends on the pump type. As we've explained earlier, the order to stock business is not included in this order book. Because that is delivered month-on-month, this is actually mainly Kirloskarvadi Factory and the international businesses. And it depends on the pumps. Some pumps will be delivered within three to four months, and some might be delivered over 12 to 18 months.

Jainam Ghelani : Okay. From an international business, what percentage of revenue would be from services? And do we have any services revenue from a domestic business?

Alok Kirloskar: Actually, we don't share that breakup. I mean, I did share it for SPP earlier, but we don't share it for the group. You mentioned that. I just answered the question Mr. Kothari asked me, because I didn't answer his question. You know, he asked me why the expenses have reduced significantly compared to last year. And it's not that the expenses have reduced significantly. But last year, we had a mark-to-market forex loss of Rs. 16.4 crores, which is not there now. So, that was the answer to his question.

Moderator: The next question is from Khadija Mantri from Share Khan.

Khadija Mantri : Sir, I wanted to know what are the type of pumps that we deliver for oil and gas sector? Like, what are the applications of these pumps in oil and gas upstream -downstream industry?

Rama Kirloskar: Exactly, which pumps are we talking about?

Khadija Mantri : Oil & Gas sector

Rama Kirloskar: Yes. So, these are American Petroleum Institute certified pumps. And it can be both API or non-API. So, KBL supplies the non-API. Kirloskar Ebara, Rodelta, and SPP supply the API. KBL supplies downstream. SPP UK offshore or upstream. And Rodelta is midstream.

Alok Kirloskar: So, I mean, if you want the type of API, we supply BB2, BB3, BB4, BB5, and VS4, VS5, OH3, and OH5, and OH2. So, those are the categories within API that we supply. And non-API is ISO 5199.

Khadija Mantri : And also, I just have a question. I just wanted to understand this Kirloskarvadi. Is this our main manufacturing plant for pumps? And also, where do we procure our steel casting for pumps?

Rama Kirloskar: See, our made-to-order and engineered-to-order range comes from Kirloskarvadi. And our made-to-stock comes from Dewas, Sanand, and Kanpur plants. We have three captive foundries in Kirloskarvadi that's steel, cast iron, non-ferrous,

and as well as repicast, which is essentially steel. And TKSL gives very large steel grade castings.

Moderator: The next question is from the line of Manish Goyal from ThinkWise Wealth Managers.

Manish Goyal: And just a few questions first to Alok. On the international, you did mention about the improvement in the revenue front and the margins. So Alok, we would just like to know that how sustainable is this in terms of probably we take a near to medium term, especially in US operation. This quarter, we have seen 15% EBITDA margin and UK also improving. So, just want to know that. And also want to clarify that is there any restatement of numbers for US and Kirloskar Brothers Limited

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UK subsidiary for Q1 FY23? Basically, when I probably saw the numbers this time, there has been some change at US numbers and UK. Basically, US has increased and UK has been reduced. That was one.

And then second question is on the subsidiary data when it is presented in the annual report. The intergroup elimination line item shows positive EBITDA of Rs. 7 crores and PAT of Rs. 9 crores positive. So, maybe Mr. Mate can clarify that.

Second question on the nuclear pump as to what is the status on the tender for the fleet ordering?

Like we had supplied the boiler feed pumps as a development order. So, how is it performing and any feedback on that? And then we were also looking for a development order for primary heat transport pump. So, have we got it? And how do we see it going forward? And how big can be this opportunity for the fleet?

Alok Kirloskar: Mr. Goyal, the second part of your first question where you mentioned the change in the numbers, I'm not sure I understand what change has been made. But I'll answer the first part, which is America and the UK. I mean, it's hard for me to give you whether it will be 15.5, because that will be a forward-looking statement. But what we are seeing is that we are all making efforts, as we've said before, to get the margins going in the right direction.

And the real focus really is in the UK at the moment to get that in the right direction as well.

The US business is dependent on distribution, like I said. And that generally has a range in which it operates. One of the reasons why we've seen a little bit of a jump in the US numbers is because the supply chain disruptions that were there before were eased out a little bit. And a lot of the suppliers were able to supply for the original lead times. So, that also helped up the revenues because of that change. And obviously, with that, there was some level of operating leverage. But I would say that we are obviously making an effort to ensure that we are able to grow and sustain in all areas.

Manish Goyal: And in the US, we're probably seeing some stress on the commercial real estate part. So, probably the kind of revenues that we are seeing, I just want to know that like how is the pipeline for the US?

Alok Kirloskar: What is the pipeline? The pipeline in the US is quite strong at the moment. And as you know, there are many initiatives going on in the US, including the Inflation Reduction Act. So, because of that also, there are investments in the US at the moment. As you know, we are focused on fire pumps and municipal water and commercial real estate pumps. So, while there are investments in many areas, we are very focused in these areas. So, we don't necessarily get the benefit from everything. But we will try our best to get the benefits in these segments that we operate and where we're getting penetration.

Sanjay Kirloskar: As far as the nuclear side of the business, I think the last time I have informed you that KBL has delivered the pumps, which was fully indigenously designed and manufactured for the first time in the country for a large nuclear power plant. This has been delivered to NPCIL. I don't believe it's commissioned yet. An

d on the primary heat transfer pump, I had informed earlier as well that we had received the development order.
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We had kept it on hold for certain reasons which were also disclosed earlier. But now, we are moving full speed ahead to ensure that this pump will be fully made in India. As we have again mentioned earlier, the primary and the secondary heat transfer pumps for the fast breeder's reactor at Kalpakkam, the 500 -megawatt pumps, were again fully indigenously designed, developed and manufactured by KBL a few years ago. So, we believe that this should not be a problem.

Manish Goyal: But sir, what would be the opportunity? Like, what is the status on the tender for the fleet order?

Sanjay Kirloskar: There was one order that they had released in Haryana. Then I understand they are moving ahead with some more orders and they are working with large EPC contractors, who will be placing the orders for the pump.

Moderator: The next question is from the line of Mehul Panjuani from 40Cents.

Mehul Panjuani : Thank you for the opportunity, sir. I have one question, because Mr. Alok was answering to one of the earlier questions . There are some pumps which are being utilized by companies like Microsoft, Google. So can you please throw some light on this? I mean, what are the utilities of these pumps out there and what are these pumps actually?

Alok Kirloskar: So, these pumps are mainly, like I mentioned, going into data centres . And a lot of data centres , especially Google, AWS and Microsoft, have our fire pumps. Definitely a lot in America, but also, I think, almost most of the ones in Europe as well. So, that's what I mentioned, that they are used in data centres .

Mehul Panjuani : Is there any standardization like how we have for oil and gas API pumps?

Alok Kirloskar: Yes, there's a level of standardization for these pumps. And that's really why we're able to get them in good numbers, because usually they are designed, the data centres are designed by big engineering companies, people like Arabs and all these guys. And so, the specification is sort of put through them, usually, or they sort of come up with the specification.

Mehul Panjuani : How long KBL has been manufacturing fire pumps? Has it been, like, this is early or it's a very recent addition?

Sanjay Kirloskar: We've been making firefighting pumps since the 1970s. In fact, at that time in India, there was a standard called Tariff Advisory Committee, TAC. And they had a standard. Over a period of years, that standard has gotten diluted. And now people ask for all kinds of standards. Being a global player, KBL and SPP qualify to almost every global standard that's possible. And about a decade ago, KBL was the first pump company in India to have FMUL approval for its firefighting, the factory as well as its products.

Mehul Panjuani : And I was going through the transcript for the last quarter. And , to many of those questions, you know, the management has answered that, you know, the last 10 years, the company has moved mainly from EPC to products, focusing more on products. So, can you please throw some light on this? You know, how the company has envisaged that this was the way to go? And what was the strategy behind this? Because, you know, it's a complete transformation in the company.

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Sanjay Kirloskar: I think the rest of them may get bored. But we realized that when we started going into this business in a big way of EPC contracting, that we were running short of money. And after some time, it got to be that you had to get a new order so that you could get the advance so that you could pay your bills. And that is why I think around 2008 or 2009, we decided that we would stop getting new orders for the EPC business.

And we actually have delivered more than 12, 1

3 years ago. But there are various reasons why these projects got commissioned or the pumps got installed slowly, the projects got commissioned slowly, more to do with the fronts being made available by the end customers. And therefore, we decided that we would get into products in a big way. We have, I think we make the largest number of products in the country. Our products are appreciated by customers not only in India, but all over the world.

And I've said this also before that in our business, we are the only company that designs in India and manufactures in India for the world. So when our products are accepted around the world, because they meet global standards, whether of quality or performance, or delivery, we make some of the most efficient pumps in the world. I think we've spoken earlier about our lowest lifecycle cost pump, which were developed jointly with SPP sometime in 2006 or 2007.

That product was very quickly appreciated in Britain. And I'm happy to tell you that we have over a 70% market share in Britain with the private water companies. And increasingly, it's getting popular in India. So the reason for making that change was the fact that working capital,

we required more and more. The debtors ballooned, WIP ballooned and we were not very comfortable with that. So that's why we made the change.

Moderator: The next question is from the line of Ajay Surya from Niveshaay .

Ajay Surya : Yes, so my question is more on the solar pump side. So how are you seeing demand? Are we catering to a new solar system?

Sanjay Kirloskar: Before Rama was born, actually, we got into the solar pump business in 1986. We were the first ones to introduce these products in the country.

Rama Kirloskar: So we continue to supply to system integrators. We don't directly deal with state departments. I think we've mentioned this on our previous calls as well.

Ajay Surya : Because government has come out with Kusum Yojana , so are we seeing a boost in demand from that side of policy announcement or as well demand on solar pumps?

Rama Kirloskar: I would say the demand is as usual. It's the same as it's been for the last few years.

Sanjay Kirloskar: And that's probably because we work with a lot of system integrators. We get our money for our pumps as they are delivered. We do not have to wait for whatever issues the other companies need to wait, the ones who are in who do integration.

Moderator: The next question is from the line of Kunal Sheth from B&K.

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Kunal Sheth: Sir, I just wanted to check, you know, in our annual report, in other expenses, we have a legal expense, a large expense, about Rs. 67 crores in last year's annual report, and that has been recurring. So what is that pertaining to, and is it likely to, you know, go down over the next few years?

Chittaranjan Mate: First thing, Mr. Kunal, I would like to clarify that if you have seen the figure in annual report, it is legal and professional and consultancy fees. Right. They are not legal expenses. Right. It's a mix of various things. And the breakup of that, we cannot disclose here, because that is a matter of subjudice.

Kunal Sheth: But large part of it will be professional and other things, and not legal, would that be right to assume?

Chittaranjan Mate: Yes, the major portion is professional and consultancy fees.

Kunal Sheth: And, sir, lastly, on margins, sir, both on the standalone and consolidated, I know you have answered it in a certain way, but would it fair to assume that whatever, you know, hard work that they have put in over the last few years in terms of cost and product mix, you know, the current level of margins are sustainable?

Chittaranjan Mate: Current level margins do not have any extraordinary items.

Kunal Sheth: So would it be fair to assume that these margins are sustainable?

Rama Kirloskar: We will

try our best.

Sanjay Kirloskar: I think we have always mentioned that, you know, we don't like making forward-looking statements. The only guidance I would give is, please remember what we have said earlier, all of you look at quarterly statements, look at the way the company performs from quarter-to-quarter, first quarter, second quarter, third quarter, fourth quarter, you will see that there is a certain way that the company performs . And beyond that, I will not be able to say anything.

And the other thing is, you know, we had an EGM a few months ago that was requisitioned by Kirloskar Industries. At that time, the company had put out an explanatory statement. There is a lot of answers to many questions over there, and that would help you understand the situation.

Moderator: The next question is from the line of Niraj Thacker from Profit Tantra Financial Services.

Niraj Thacker : My question is for Alok sir. Sir, since we have a good portion of services business, is it possible to share how much cash flow we would have generated last year or current quarter? Just to throw some light on that, how much cash flow would have been generated.

Alok Kirloskar: Actually, sorry, you know, earlier also I mentioned, we do not break it up by segment like this. Nor do we report the percentage of the cash flows. But I did mention it in the case of SPP what it was, but usually we do not break it up and identify it separately.

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Niraj Thacker : And sir, one more thing. Since this data centre fire pumps, now India is also seeing a lot of traction in data centres . So, do we have any opportunity as a company to supply pumps in India also in so many data centres ?

Alok Kirloskar: We are already supplying pumps to India to the same three entities which I mentioned. Because the pumps are already approved for the entire group.

Niraj Thacker : Okay. And sir, any major capex or any new acquisitions in mind in abroad? Any major cap ex is planned for the current year, sir?

Sanjay Kirloskar: I do not believe we can make such a statement. Thank you.

Moderator: Due to time constraints, we will have to take that as the last question. I would now like to hand the conference back to Ms. Rama Kirloskar for closing comments.

Rama Kirloskar: I would like to state that we will continue to pursue a multidimensional approach to create value in order to consolidate our market position, increase profitability, thereby unleashing stakeholders. And having established the groundwork for our transformation, we are enhancing our competitiveness and achieving sustainable growth going forward. Thank you for all your wishes and for joining the call. If you have any queries, please do get in touch with one of us or with Strategic Growth Advisor, our Investor Relations partner. Thank you.

Moderator: Thank you very much. On behalf of Kirloskar Brothers Limited, this concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Nov 2023

SEC/ F: 23 Nov ember 16, 2023

BSE Limited National Stock Exchange of India Ltd .
Corporate Relationship Department, 5th Floor, Exchange Plaza,
2nd Floor, New Trading Ring, Bandra (East),
Phiroze Jeejeebhoy Towers, Mumbai – 400 051.
Dalal Street, Mumbai – 400 001.
(BSE Scrip Code – 500241) (NSE Symbol - KIRLOS BROS)

Dear Sir/Madam,

Sub: Transcript of Conference Call with Analysts / Investors on Unaudited Financial
Results for the quarter and half-year ended on September 30, 2023

Ref: Regulation 30 & 46 read with read with Clause 15 of Para A of Part A of Schedule
III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015

This is in terms of the subject referred regulation s and in continuation of our earlier
intimations dated October 31, 2023 and November 08, 2023 in the subject matter.

Please find attached the transcript of the Conference Call held on November 08, 2023 with
Analysts / Investors on Unaudited Financial Results of the Company for the quarter and half-
year ended on September 30, 2023.

Please note that the said transcript has also been uploaded on the website of the Company
www.kirloskarpumps.com which can be accessed at the following link:

Web-link: <https://www.kirloskarpumps.com/investors/analyst-meeting-transcript/>

This is for your information and records.

Thanking you,

Yours faithfully,
For KIRLOSKAR BROTHERS LIMITED

Devang Trivedi
Company Secretary
Encl.: As above.

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Kirloskar Brothers Limited
Q2 & H1 FY24 Earnings Conference Call
November 08, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the
stock exchange on November 8, 2023 will prevail.

MANAGEMENT : MR. SANJAY KIRLOSKAR – CHAIRMAN AND
MANAGING DIRECTOR – KIRLOSKAR BROTHERS
LIMITED
MR. ALOK KIRLOSKAR – MANAGING DIRECTOR
KIRLOSKAR BROTHERS INTERNATIONAL B.V.
MS. RAMA KIRLOSKAR – JOINT MANAGING DIRECTOR
AND MANAGING DIRECTOR OF KIRLOSKAR EBARA
PUMPS LIMITED

MR. CHITTARANJAN MATE – CHIEF FINANCIAL
OFFICER – KIRLOSKAR BROTHERS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Kirloskar Brothers Limited Q2 and H1 FY 24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Sanjay Kirloskar, Chairman and Managing Director of Kirloskar Brothers Limited . Thank you, and over to you, Mr. Sanjay Kirloskar.

Sanjay Kirloskar : Thank you. Good afternoon, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to everyone for joining us on this call today. I hope you've had the opportunity to go through the financial results and the investor presentation, w hich have been uploaded on the stock exchange and on the company's website.

I'm pleased to report that during the quarter, consolidated revenue grew by about 6% to INR913 crores, and EBITDA grew by about 46% to INR97 crores with EBITDA margin at 10.6%, an increase of approximately 290 basis points.

For H1 FY 24 consolidated revenues grew by 10% to INR1,813 crores, and EBITDA grew by 85% to INR213 crores with EBITDA margins at 11.7%, an increase of 480 basis points. I'd like to highlight that the growth in the EBITDA outpaced revenue growth on the back of strong performance in international business, cost control initiatives and softening of mat erial costs.

For the half year, our domestic business grew by 8.5%, and international business grew by 12.9% . Oil & gas, fire, and defen ce and marine industries continue to witness growth.

In addition to the ongoing strong demand for make -to-order and engineered to order pumps, we've also observed a notable increase in mix of stock orders. This is a positive indicator of our ability to meet the diverse needs of our customers. Looking ahead, we expect this growth momentum to continue in the coming quarters, primarily due to the strength of our order book.

So we recently concluded quarter, maintained a consistent upward trajectory in our consolidated order book, which reached INR3,084 crores, representing an 8% YoY growth. This growth in the order book was predominantly driven by irrigation, water, and Building & Construction segments, highlighting the increasing demand for our products and our strong market presence.

I now request Alok Kirloskar, Managing Director of Kirloskar Brothers International BV to share his thoughts on the performance of the international business.

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Alok Kirloskar : I'm pleased to report the international businesses, which we refer to as KBIBV witnessed a growth of 4% in Q2 FY24 and 15% in H1 FY24 . Most of the international upstream reflect a healthy growth on the top line, along with expansion of operating profits.

SPP UK and SPP US. witnessed marginal growth on top line. However, on the operating profitability side, both the subsidiaries witnessed strong performance.

The UK business, as previously mentioned, we are looking to reshape our business mix, and to increase the share of services. Therefore, we're shifting our focus on the service side of our operation, which offers greater margin. Currently, the breakdown of our product is service mix stands at 62% for products and 38%. On the product side, we primarily serve the water supply, fire-fi

ghting, oil and gas, offshore, chemical and industrial sectors, which make up 60% of our business. We are committed to exploring cost -saving opportunities. The SPP UK operates on a global scale with 70% of local UK production being exported serving custo mers in various regions. In line with this, I just want to highlight that last year in July '22, we moved to hedge accounting.

The US business has recently introduced many new products. We have a special emphasis on the fire segment and for data centres . These products have performed quite well, and we gained recognition from major players like Google, AWS and Microsof t for our specialized offering. Our focus will be to stand on meaningful water and commercial real estate, while there are investments happening across various sectors, we remain focused on these. It's important to note

that our US operations are centered around commercial real estate and municipal water. Unlike other regions, there is no service component in the US business.

The Dutch business continues to go through the restructuring exercise. We have mainly retained the water supply and services part in the Dutch entity, along with the Kirloskar Brothers trading entity. The other parts of the business are being restructured and aligned to other businesses within the International group.

Our South African business is performing well. South Africa has signed further framework contracts in the power and mining sectors for services. Overall, the business is doing well on the operational and financial side.

Thai business, as we said last time, we are continuing to follow our model very similar to India by looking to add more distributors in the region. Our focus is on real estate, fire and industrial sectors, which are the key sectors that we look to grow our business in going forward.

Furthermore, our international business has made significant investments in services and framework service contracts. Currently, we have over 100 active long-term framework contracts across all our international subsidiaries. We remain committed to expanding the set of our business in areas like AI, IoT and AR and capitalizing on our 3D printer capabilities which has been a competitive edge. Our overall strategies and top priorities are listed to a strengthening offering and extending our geographical reach and expanding our market share.

With this, let me invite Ms. Rama Kirloskar, Joint MD KBL and MD Kirloskar Ebara Pumps Limited to take you through the performance of the domestic subsidiaries.

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Rama Kirloskar : Thank you, Alok. Our domestic business is witnessing continuous traction. The industrial market has strong growth, and we are seeing a lot of orders. We have indeed secured a substantial number of orders for both Kirloskar Brothers and Ebara indicating a strong demand in the market. However, one of the challenges we are facing is a limited number of vendors available to meet the growing demand. However, the situation is coming under control and we expect things to normalize soon.

In the small pumps business, we've experienced a 7% YoY growth during the first half of FY24. In water and irrigation, we have successfully secured orders for over 1,000 solar pump sets. We have obtained contracts for more than 80 vertical turbine pumps and one order for over 100 pumps. We have also gained more than 200 multistage pump contracts for various water supply projects.

In the power sector, we have successfully commissioned two horizontal Kaplan turbines for the State Electricity Board. In building and construction, our fire-fighting pumps were chosen for installation in the prestigious 'New Parliament House.' Our HVAC pumps were selected for the largest convention center in Asia, 'Yashobhoomi.'

Customer service support sector demonstrated a remarkable 11% increase in sales compared to the same period in H1 FY23 YoY.

In the Engineering Services division, we have experienced substantial growth with a 22% increase in sales compared to H1 FY23 YoY. As far as oil and gas sector is concerned, we witnessed a robust growth with a 7% increase in YoY sales during H1 FY23. These positive results are a testament to our dedication to innovation, product quality and customer satisfaction.

With this, let me invite Mr. Chittaranjan Mate, our CFO, for the financial performance highlights.

Chittaranjan Mate : Thank you. Good afternoon. Let me start with a consolidated financial performance highlights.

For Q2 of the current year, net revenue from operations grew by 6% YoY to INR913 crores.

EBITDA grew by 46% YoY to INR97 crores while EBITDA margins grew by 290 basis points to 10.6%. Profit after tax grew considerably by 66% YoY to INR51 crores.

For H1, net revenue from operations grew by 10% YoY to INR1,813 crores. EBITDA grew by 85% YoY to INR213 crores, while EBITDA margin expanded by 480 basis points to 11.7%.

Profit after tax grew considerably by 148% YoY to INR115 crores.

Now coming to standalone performance for Quarter 2 for the current financial year. Net revenue from operations grew by 0.6% YoY to INR595 crores. EBITDA grew by 33% YoY to INR62 crores, while EBITDA margin expanded by 250 basis points to 10.5%. Profit after tax grew considerably by 71% to INR35 crores YoY.

For H1 FY24, net revenue from operations grew by 4% YoY to INR1,176 crores. EBITDA grew by 56% YoY to INR121 crores, while EBITDA margin expanded by 350 basis points to 10.3%.

Profit after tax grew considerably by 141% YoY, INR69 crores.

This is from our side. We can now begin question-and-answer session. Thank you.

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Moderator : The first question is from the line of Sunil Kothari from Unique PMS.

Sunil Kothari : Hearty congratulations to the team for achieving now a very reasonably respectable margin which you are trying by cost efficiency, removing some non-profitable business and products, really commendation job. Sir, my question is to you is 2. One is on just macro view, we are hearing a lot of engineering and industrial products, projects and products ordering going up. So your macro view will be very helpful.

And just last question is on, to basically now we have done reasonably good consolidation in terms of our cost and profitability. So when we should think about you also growing, KBL also growing at a really respectable rate. I'm not asking any rate, but maybe double-digit higher or lower double digit. That's my question.

Sanjay Kirloskar : So as far as we are concerned, we are participating in all the projects that you can see in the different sectors, whether it's irrigation, water supply industry, which is the new investments that are taking place in steel or all the other sectors of the economy which we handle by our building and construction sector, we also seeing a large order booking. So we are basically getting large numbers of orders for our business from different sectors of the economy. And as far as the numbers are concerned, I think I will ask Mr. Mate to explain the way the numbers have played out, so that there is better understanding for all of us.

Chittaranjan Mate : Okay. First, it was a double-digit margin.

Sunil Kothari : Which already we achieved here. Now I'm trying to understand, focus will shift to growing revenue growth a little bit higher because our competitor, other industrial products are growing that way. So I'm just trying to understand how is the scope. And particularly, I think nuclear exports and this railway is helping a lot to grow the people, the other players. So your thought process, I'm qualitatively trying to understand the growth possibilities and our preparedness.

Sanjay Kirloskar : In different sectors, of course, we are growing. I think even where governm

ent is involved, we

take orders where we are sure about proper cash flow and that the projects move like we would like them to move. And we are more conscious of cash rather than to p line.

Chittaranjan Mate : And Mr. Kothari, one company out of those some companies who have declared their results, have registered growth, what you are talking about a high double digit. But on the contrary, there are other companies which have shown negative growth. And that is because in both sides, where it is high growth and low growth, high dependency on a government project order, whether it is for nuclear or solar pumps, suddenly, there is a growth, suddenly, there is a fall. And as our CMD sir explained, we are more focused on JV business where profitability and cash flow is ensured and not a big government project order.

Moderator : The next question is from the line of Mahesh Bendre from LIC Mutual Funds.

Mahesh Bendre: So sir, on a stand-alone business, we have been growing in single digits for the last three quarters. And for the last quarter, the growth was almost flat. So if we see around our other peers, and then they have been growing 20% -plus for the last, if I look at the last nine years. So where the growth is missing? I mean why they are growing and we are not growing with a higher rate?

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Sanjay Kirloskar : Can you repeat your question? Sorry.

Mahesh Bendre: Sir, last three quarters, our stand-alone business is growing in a single digit. In fact, last quarter, the growth was -- there was -- I mean almost flat revenue growth. So if we see around our largest peer, which is growing 20% plus for the last three quarters, so I mean just trying to understand where are we missing in terms of these two difference.

Sanjay Kirloskar : I believe that where they are getting their business from is possibly FGD that is flue gas desulfurization. That could be one strong driver of their growth. And I think they have been talking about the nuclear business. So maybe there is there have been some shipments over there. So Mate said that the only player that seems to have that kind of growth.

Mahesh Bendre: Sure. Sir, in terms of outlook for next year, I mean, do you think that given the current order book we will grow in double digits on the stand-alone side?

Sanjay Kirloskar : We have, I think, given you an idea of the order book growth and both on stand-alone as well as consolidated basis. And most of the orders are to be executed in the current year. And that also that order book doesn't include the made-to-stock pumps, which is a large proportion of our business.

Mahesh Bendre: Okay. And sir, last question from my end is, the operating profit has been stabilizing. So is there any further case for us to there is any potential further to improve those? Or are we stabilizing what they currently they are, maybe a small difference because of the efficiency.

Sanjay Kirloskar : As we have always said, we will strive to increase the profitability quarter-on-quarter.

Moderator : The next question is from the line of Akshay Mokshe from Axis Securities.

Akshay Mokshe: Sir, my first question is on the consol level. We have seen a significant increase in the employee cost. So what was the reason for it, first? And secondly, will we see the same trend in the H2 of

this year?

Chittaranjan Mate : As far as employee costs, first, I will cover KBL standalone and then come to other companies because your question is consolidated. In KBL, there are two factors. There were wage settlements at all the plants. So that has an effect. That is a onetime effect. And part of it was the wage arrears and partly increase in current wages.

The second part is after Corona, everywhere in manufacturing industries and other software, consulting, there is an attrition rate. So we have to be at par with industry. So we had to rationalize our salaries to control the attrition rate. And on overseas companies also, after corona, whatever the growth they are anticipating for that they had to rationalize manpower as well as scale.

Sanjay Kirloskar : Hello, Akshay, has that answered your question?

Akshay Mokshe: So will we see the same trend in the H2 as well, sir?

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Chittaranjan Mate : Whatever is the onetime effect for these arrears, that will not be repeated in subsequent quarters. But wherever the salaries or wages have increased, it would. So part of the increase, what you see in Q1 to Q2 was one time. It will not be repeated.

Akshay Mokshe: Okay. Sir, on the order book front, which are other sectors which those capability would grow further?

Chittaranjan Mate : Which sectors?

Akshay Mokshe: Yes. So with a sector like, so are you seeing any demand more demand from the power sector or say, defence sector?

Sanjay Kirloskar : We are seeing better demand from the power sector. We're seeing better demand from the oil and gas sector, industry, what we call our building and construction sector.

Akshay Mokshe: Okay. And this will be the lowest performing sector amongst all of the sectors like we have number of inquiries, must have dropped something like that?

Sanjay Kirloskar : No, that we are not seeing any reduction in demand. There are some that are lumpy, like defense and marine, where suddenly you might get an order. Again, I think in power sector also tends to be a little lumpy. But the order board as far as the company is concerned is higher across the board.

Moderator : The next question is from the line of Anish Jobalia from Girik Capital.

Anish Jobalia: So my question is around the order inflow that we saw in H1 at the consolidated level. So if you compare to the last year H1, we are almost flat in terms of the order inflow. So can you just, if possible, try to give some understanding of whether we are seeing a reduction in the momentum versus the last year because in the last year, we grew our total consolidated order inflow at 17 - odd-percent for the full year. So it would be very helpful to know if there was any onetime big order in the last H1 base or they just on in the momentum.

Chittaranjan Mate : Are you talking about order book or top line?

Anish Jobalia: No, I'm talking of the order inflow, order inflow at the consolidated level.

Sanjay Kirloskar : Orders tend to be looking at our kind of our business tends to go up and down quarter-over-quarter. So I suggest you don't get carried away by one quarter.

Anish Jobalia: So we can just take it -- take this away that there is no slowdown in the momentum in the business in terms of the order inflows, right, even though H1 could be probably benign from the numbers per se?

Chittaranjan Mate : Yes. In fact, if you see overseas orders...

Anish Jobalia: Yes, they are up by 20%, but the stand-alone is down by 9%, 10%.

Chittaranjan Mate : It has gone to 30%. So there is a 15% growth, it could be quarter 2 YoY .

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Anish Jobalia: Yes, sir. So obviously, I can see that there is a...

Sanjay Kirloskar : Basically, we saw pent-up demand in the previous year. So that resulted in some of the sectors suddenly having a large order board because even things like real estate started picking up. So there were many orders that have come in. So I think you should let it see it over the course of the year.

Anish Jobalia: Okay. That's really encouraging to hear. Secondly, sir, even the MTS business, I think you have provided the numbers in H1, we have grown by 7%, versus the 15% in the last year. So it would be very helpful to know about the same that whether the momentum is picking up over there, how should we think about the business growth going forward? So I think in the presentation, you've given that

the MTS has grown by 7% in H1.

Rama Kirloskar : So there were certain areas, as we had said earlier, we are trying to enhance our market share quite aggressively in certain regions. And we did notice that certain markets in the country were down in the last quarter. But we do expect to have been revived shortly in coming quarters. So we will and the sales will pick up shortly.

Anish Jobalia: Okay. If I can just ask one last question. So if you see the revenue execution, right, so what has turned out is that we saw a revenue growth of 10% in H1 versus the last year. But if you look at the FY23 order book end, was up by 17% versus FY 22. So again, we are seeing that the execution of the existing order book as of FY23 end also is not getting completely converted into revenues. Probably we can expect to see even a 17% growth in H1 also, right, versus the last year, given that the order book itself was up by 17%. So is there any thing to note down here that the execution itself is also slowing down because of some reasons.

Chittaranjan Mate : Hello. Our order board, you see, which consists of various sectors. But there are certain sectors where the delivery period is long. So even if we see the opening order book is there at the beginning of the half year or quarter, not necessarily everything would get converted into revenue because we have different products.

Some are delivered within two months to three months, whereas there are oil and gas, irrigation, power where delivery period is even 10 months, 12 months. I mean large power projects even two years. So this healthy order board may not immediately reflect in the same revenue growth in that coming quarter.

Moderator : The next question is from the line of Kunal Sheth from B&K.

Kunal Sheth : Sir, my first question is pertaining to the stand alone business. We have grown flat this quarter. And we did mention that there are some players that have grown, but some sales also have grown quite slowly. So sir, can you give us some indication what would be the market growth in the current quarter? Would it be right to assume that market was flat or maybe 1%, 2% growth, and therefore, we are in line with the market growth. Is that the right way to look at it?

Sanjay Kirloskar : Yes. I think that would be the right way to look at it.

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Kunal Sheth : Okay. And sir, what should you attribute this slow growth in the market to be, specifically in this market segment because in most of the other market segments and in other market segments are essentially I mean other industrial products, the growth seems to be quite reasonable. So would you attribute and you did mention that you were focused on cash flow. So are you seeing any delayed payments or execution in any of the projects? Or how should we think about this, sir?

Rama Kirloskar : So there are a couple of reasons. One is there have been number one, there is a change in the product mix. So there are more orders that take long lead times, which is why it's not really comparative from last year same time, same quarter. Second is, there were floods in certain parts of the country, which is why we did not get a response from certain customers. And third is some of the inspection activities were delayed, which is why we have certain orders that are ready but not dispatched.

Kunal Sheth : Okay. Got it. And as far as the order book is concerned or order flow is concerned, there also we have seen some degrowth. So like Sanjay sir mentioned, we should think about this as quarterly variation, but the order inquiry pipeline is healthy. Is that right to assume?

Sanjay Kirloskar : It is.

Rama Kirloskar : Yes.

Kunal Sheth : Okay. And Rama, a question to you. How should we think about the growth in the standard product business from a medium -term perspective? Is it a 10%, 15% growing market overall, or it is more

like a single -digit 7%, 8% growing market?

Rama Kirloskar : I'm sorry, your voice is a bit muffled. Can you repeat that slowly?

Kunal Sheth : Sure. I was just referring to how should we think about the growth in the standard product business? Is that market 8% to 10% growth market? Or is it a 15% growth market?

Rama Kirloskar : So that is an 8% to 9% growth market to answer your question.

Kunal Sheth : Sure. And should we assume that the Kirloskar Brothers will grow faster than the market, because we are increasing our distribution network and putting out basically filling the white spaces?

Rama Kirloskar : Yes. We strive to do so, and we are quite aggressive in enhancing our footprint. So I believe we would like to grow faster than the market.

Kunal Sheth : Sure. And my last question, Mate, sir. Sir, you did mention that there is some arrears in the wage in this quarter. Can you quantify that number?

Chittaranjan Mate : Sorry, we cannot give details more than what has been published.

Moderator : The next question is from the line of Mahesh Bendre from LIC Mutual Funds.

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Mahesh Bendre: I mean just taking a question from the previous participant regarding the employee cost, which has grown 29% on Y-o-Y basis where our sales are almost flat. So you said that includes both the...

Sanjay Kirloskar : We have signed agreements with all our plants in KBL as well as domestic subsidiaries. And our previous contract ended before we signed it, I think it ended at the end of in December last year, I think. And therefore, we had made some provisions, but those were not enough.

Therefore, there was a one -off charge that we had to take when we signed the agreement in the last quarter, that is Q2.

Mahesh Bendre: So that's what. Actually, then arrears will be much higher than what we have reported because there is a one -off in the employee cost.

Sanjay Kirloskar : Yes, there is a one -off in the employee cost. That's what was explained a few minutes ago.

Mahesh Bendre: Yes. Because your gross margins have seen a significant improvement, but at EBITDA levels, margins are low because the employee cost there is onetime in employee cost.

Sanjay Kirloskar : Yes.

Mahesh Bendre: Sir, regarding this Kolhapur steel, it continues to bleed. I mean continues to make losses.

Generally, we have seen foundry industries are doing well now in India. So , what's the plan in this? This is a one company in our group.

Rama Kirloskar : Right. So let me answer that. As we mentioned earlier, we are in the process of getting prequalified. Our order booking has improved, but we're still waiting for a few major customers to give us that routine load that we need month -on-month. But certain prequalifications have been completed. So this should improve.

Sanjay Kirloskar : To explain further, the foundry needs a base load and it needs loads like what we give. The reason why Kirloskar Brothers has invested in Kolhapur Steel is its ability to make exotic castings exotic steel castings. While we may give them orders and some of her companies may give them orders, our orders tend to be orders which are one -off, 5 off, 3 off. But in the last few years, we have been identifying customers who can give us orders for castings, which are repeat castings in 10, 20, 30, 40, 50 to be shipped to them every month and the same casting.

So KBL might give at the most 3 to 5 per month, but we need a baseload. And that's what we've been doing in the last two years or three years, where, unfortunately, due to COVID, we couldn't do it, but we have now qualified ourselves with some players who can give us such orders. And we've gotten the approval. Now we are expecting that they will be building orders on us.

Mahesh Bendre: Sir, currently Kolhapur Steel, the demand is made for the group. I mean, how much is contributed by the external customers?

Rama

Kirloskar : I'll just answer this last question. I think maybe some of our investors are not aware of the background. So we bought this foundry in 2009, essentially to meet large steel castings for certain sectors like oil and gas, power and maybe certain subsidiaries like Kirloskar Ebara. But

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most of the load came from the power sector for this foundry, it is a captive foundry. But with the slump in the power sector, essentially, the orders that went to this foundry reduced substantially, creating an issue there, because we were not able to make the breakeven point because of the lack of orders.

And that is when late 2019, we took up a GTM project, where we decided that since it has state of the art infrastructure, we should actually develop this as an independent foundry and ensure that it gets orders from other sectors as well because it's the foundry business to make large steel castings for critical applications and hence can't be dependent solely on KBL and companies. It should look at other sectors. And some of the sectors that we shortlisted were in the earthmoving space, in the shipbuilding space, turbomachinery, valves and other companies like us in the pump business.

And that's what this was but unfortunately, though, the minute we started this project, 2020 to 2022, we had this COVID issue where a lot of the customers that we had approached would not actually make the prequalification audit visit to this foundry. And there was a 2 -year delay in customers actually visiting the foundry to get us audited.

This activity started late 2022. And it takes around 18 months to get qualified by any of these customers because the castings are very large. They expect audit. They expect us to then make certain sample castings after which if the sample casting qualified, then they will put us on their approved vendor list and give us certain loads every month.

And that is essentially the process we are going through presently. We have been qualified by one or two customers, but that's still not enough. We're in the process of being qualified by many more customers, especially in the export market. And once the prequalification process is done, we should be getting orders in the future. So it should have, in fact, more external customers

than just being dependent on KBL and the group companies. I hope that answers your question.

Mahesh Bendre: Yes. Ma'am, I was asking this question because if one group comes through pulling the performance of overall Group. And secondly, on castings, we are hearing a lot about the demand, a very strong demand from the international market. In fact, all the casting companies, almost everyone is expanding their capacity. So in that context, I mean, this company can play a major role from all the way losses. So a significant change in the profitability that can change I mean, what numbers we are looking at the profitability level.

Rama Kirloskar : Right.

Moderator : The next question is from the line of Manish Goyal from Thin qwise Wealth Managers.

Manish Goyal : I have a few questions. First, on what Rama mentioned in the opening remarks in terms of seeing challenges from the vendor side, availability of the vendor side for the growth. So maybe if you can elaborate on that, what kind of challenges we see and also trying to understand that when our revenues have been flat, then like what kind of challenges actually we are facing because we haven't been seeing growth. That was the first question.

Rama Kirloskar : Right.

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Sanjay Kirloskar : You want to ask all the three questions or four questions or one is...

Manish Goyal : So second question is related to what you have mentioned in the press release in terms of execution of primary heat transfer pumps. I believe that is for nuclear power. So like

maybe if

you can update us on what is the status of tenders which have been floated for main boiler feed pumps as well as for the ancillary pumps? And are we in process of getting any orders from nuclear? That was two questions largely from the domestic side.

And then I have probably a question for Alok in terms of, he did allude in terms of about various markets, but we could not capture a lot of things. If you can probably give us growth trends in the various markets in the overseas business. And we have seen very good improvement in margins in last one year. So hopefully, should we be able to maintain that and continue with this margin trajectory going forward? Yes, these are the questions.

Rama Kirloskar : To answer your first question in terms of the vendor bottleneck, we noticed that there was a huge bottleneck in steel and steel system vendors. As you know, there are only two to three players in the market, and most of them are approved with all our major customers. And we are seeing the debottlenecks there. There is a capacity constraint.

Secondly, the other area is in instrumentation, whether it's some of the temperature transmitters, special transmitters, TMA system. Again, this is a huge bottleneck. And many of our customers now don't allow short supply. They don't do billing breakups and therefore, entire consignment cannot get dispatched because of these items not being available. So I hope that answers your question.

Sanjay Kirloskar : Regarding your second question on heat transfer pumps, these are heat transfer pumps that we need for the fast feeder reactor. They were completely designed in India. They were completely manufactured in India. There are, I think, two or three primary heat transfer pumps, which from liquid sodium at 550 degrees, which is much higher than the pressurized water reactors temperatures that are there, are present in a pressurized water reactor. So those are these were delivered a few years ago. And slowly, they are being commissioned.

I think it's a testimony to the company's skills of the people that we have over here that we are one of, I think, four companies in the world that can make the main pumps and the secondary pumps for the fast feeder reactors. We are hoping that, that program will be that once these pumps run and once the reactor is commissioned, there will be a requirement because as you are aware, the Government of India's program is based on pressurized heavy water reactors, fast feeder reactors for engaging the spent fuel and the light water reactors that are also being installed.

As far as the other feed ordering, I had mentioned earlier also that we had stopped the development of this pump. However, last year, we reached an agreement with NPCIL and we have taken up the development of the primary heat transfer pump by KBL. We are going as per the schedule that we have promised. And we hope that when the time comes for ordering these pumps, we will also be allowed to participate. As far as boiler feed pumps are concerned, again, in KBL, we have developed boiler feed pumps.

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Again, the first indigenously designed and manufactured boiler feed pump for the feed program.

And we hope that when these orders are also released, they will be looking at us. As far as orders are concerned, for the fleet, they're still going very slowly, but definitely, we will be participating

in it. Only the one for Haryana has been ordered to date, where, again, while we don't have the main pumps, we have part of the pump requirements in those tenders.

It's been explained earlier that now KBL can possibly give the entire range of pump required for a nuclear power plant, including the types of I mean, the ones that government wants to order a fleet of. And we hope that when finally, when the orders are placed by companies, I believe it will be offloaded to EPC c

ontractors that we will be a participant in those tenders.

Alok Kirloskar : Yes. I mean the other point which you asked was what are the markets that are interesting to us.

I think one market in the US. As you know, we are mainly focused on fire and water and we discussed why in previous calls. And so we find that with the Inflation Reduction Act, there are obviously more opportunities there, and we're looking to see where we can capitalize. The biggest opportunities of course are in pure chemicals. And as you probably know, a lot of chemical companies are moving out of Germany into either America or China.

And people like Bayer or BASF, et c, because of certain provisions under IRA making it quite effective for them. But we don't have the requisite chemical pumps for America. So that's not a missing opportunity for us. But all the other pumps have around those pumps, we can, of course, support. So I would say from that point of view, there are opportunities. And similarly, other areas like infrastructure growth in America for municipal water, there are opportunities in that space.

So I would say that is one market that's interesting to us. The other, of course, is the Middle East, Saudi Arabia, because there is a lot of investment going on in probably at especially on cities. Last time, I had mentioned that we've been getting jobs from Neom City as well as HITB complex, which is the hydrogen development complex in Neom city. So these are two areas that we think are interesting and growing.

Of course, the other markets like Asia, where we are located like Thailand or Vietnam or Cambodia are seeing more inward investment. But they are assessing how much of that really would be beneficial to us directly because some of it is manufacturing, some of it is other kinds of investments that don't nearly definitely pop.

So we are assessing that. The specific area I mentioned in the talk is data centers and they're quite strong in data centers. So for fire fighting. So that's an area that we see as upcoming. Large number of data centers coming around the world. And until now, we've been a very preferred supplier with many of the data center owners like BOL, AWS and Microsoft.

So out to doing the key areas that we find are interesting. Oil and gas still there are investments in oil and gas, and there seems to be investment on upstream oil and gas. But as of now, apart from maybe some licenses, we are not yet seeing effect on the ground of that.

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We do see feed studies. Of course, there are more orders than they were back in 2015 and 2016, when the oil exploration was almost in cold storage. But I would say that's where things stand.

Is there any specific question you had?

Manish Goyal : No, that's helpful. Maybe on the UK market and also like are we seeing any disruptions due to the ongoing war and disturbances in the Middle East and Europe area? So one is UK market, if you can also talk about.

Alok Kirloskar : Yes. So 30% of our business is in the UK market, like I mentioned, 70% of SPP's business is outside of the UK. So in the UK market, we see the water supply business and the water business has stronger investments. There is a new SPA alliance, strategic pipeline alliance, that is happening right now, which is moving a large amount of water from the Northeast to the Southeast of the UK . And we have been in a very good position until now. I mean getting most of the contracts that were on that drop and obviously, a lot more of the job is still left.

So that's one area which is water supply where we see investment in different sectors within water supply as an area of interest to us. The other one is within the UK, we see our service business because we see that slowly we are picking up more sites under management. We do have sites like Inox in the north, and we are adding and we have sites like Brit

ish Corp, Tata

Chemicals, like I mentioned, all the water companies.

And clearly, we are looking to partner deeper with more of the water companies of how we can work with them in terms of maybe doing optimization of the product, reducing inefficiencies, not just by the pump upgradation, but by system changes.

So those are some things that we're working on. Yes, those things are what we're working on to enhance their efficiencies in the water segment. So I would say that is -- those are some of the key areas within the UK that we're looking at. We do see that we have some new pumps coming out in the fire segment. As you know, we've had historically a very strong presence in high-rise buildings. We recently bought a new listing on one of those spots, which is our multi-stage multi

outlet pump. Though that pump has helped us get a good presence in almost every high-rise building in the UK.

And of course, the twin towers in Azerbaijan, the new World Trade Centers in America, both the Burj Haras and the Burj Khalifa buildings and also the buildings in Southeast Asia. Now we've added a new certification on that. So we are hoping that we can see a few more markets with that product.

Manish Goyal : And last question, which is pending in terms of the margin improvement, what we have seen, do we it sustainable?

Alok Kirloskar : The margin improvement that you've seen, I assume you're looking at the margins normalized annualized because, as you know, because of changes to hedge accounting, last quarter to this quarter, last year is not exactly comparable. But I would say if you are considering annualized margins then yes. I mean that's really what we are looking at right now. We see to be okay.

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The US margins, I would say the US has had a little stronger level of business because of their supply chain issues getting resolved earlier this year. So I would say the US business is probably a little stronger than normal. If you ask me that question.

The UK business has more potential because a lot of jobs were not shipped out in the quarter and they've moved around. So I would say those probably negate each other.

Moderator : The next question is from the line of Varun Bang from Bryanston Investments.

Varun Bang: My first question is for Alok. Alok, how do you see your position in the US market versus other leading players in the fire and water pump segment? How strong is our distribution reach as of now? And where do you intend to take it over the next few years? What gaps do you see at overall level? And how do you look to improve our position in the market?

Alok Kirloskar : Are you asking me European market in particular or you are ask...

Varun Bang: US.

Alok Kirloskar : US markets?

Varun Bang: Yes.

Alok Kirloskar : So the US market, we have added another two distributor on exclusive basis , Core & Main . So they are a major national distributor that we've added. And that we feel also will add to our further penetration into the market. So we are continuing our growth in the US with adding these distributors like we mentioned. We are also adding new products.

Earlier, I mentioned our multi -pad multi -outlet product was one product, and we've got a new listing on that product recently, which would make it applicable to the US. Till now, we have not sold that product in big numbers in the US apart from maybe a handful of buildings, which were okay to take a European listing.

But generally, the US obviously, we need the US listing, and now we have got that. So we hope that we can open up some new markets within the US with that product. And that product really has been one of our workhorse products across Europe and in the Far East because it's the one where we are the only one that have that technology where we are able to make from the basement of a building pump about 1.2 miles high in th

e air upwards and then also have different

pressure points coming out of the same pump. Because, as you know, building is divided into different zones, and we can have up to 11 zones coming out of one pump.

And usually, the obviously, the numbers change, but between 5 and 7 stories can be a zone. But of course, it's dependent on the European legislation. Some places are up to 10 stories also. So I would say that these kinds of products will help us also strengthen our network and also help us bundle the services and provide a better bundling solution when we go and meet the contractors and contractors with this business.

In fact, in India, when we introduced this product in India, just to give you a example. We obviously are the only company with this product, and we were able to bundle the product with

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other products, which are not fire products, non -fire products, and we told the contractors that if you want this product, you need to buy the other products as well.

So I would say that products like the new distributors, like I mentioned, like Core and Maine and of course, some presenting within the supply chain to be more cost effective, should help us get better market share in America, and that's really what we're focusing on. There are also some segments in America where we're doing direct sales, which are near the plant. So some states near the plant, we're doing direct sales, and we're doing this because one is we have the reach because they are close to our plant and secondly the margins are different from distribution sales. But at the same time, we're not going to keep enhancing it because America is a huge market

and really distribution is the way to go in that market. So we will be continuing on that journey, but some areas we will cater directly where we believe that we can do a good job and they're not compromising our distributors in any way. Does that answer your question?

Varun Bang: Yes. Sir, second question, Sanjay, sir, I think given nature of our business, there is a lot of volatility on a quarter-on-quarter basis. So I have a broad question. What message would you like to give to a shareholder who is looking to invest from a long-term perspective, given we have a global presence and how would you define the overall opportunity landscape for the company as a whole? And where would you want to see Kirloskar Brothers eight years to 10 years from now? And lastly, what parameters would you like a long-term shareholder to focus on when he is looking at our performance?

Sanjay Kirloskar : Yes. The company is an old company, and it's a company that's been paying dividends for the last 80-plus years without fail. So I believe that it is a strong company. The balance sheet is strong. And not only does it have the widest range of products, but it also has the capability to design products from scratch in India and design products for the world from India. And that's what we've been doing. Our products are sold all over the world. It's not that only products that are made in UK or Netherlands or elsewhere that are being exported. It is products that are being made in India and exported all over the world.

So this is a capability that we have, which I think is a real strength. We also have stickiness as far as people are concerned. There are many people who despite the ups and downs have been with us for decades, contributing to the growth of the organization. If you remember, about 10 years ago, we had problems in our Projects division. And we had to turn the company around to go more towards products rather than projects. And to come out with I mean, last year, I think we came out with 206 new products across the board.

I also mentioned a little earlier that we've developed pumps totally within India for the world.

So it is a strong company. There is going to be volatility on a quarter

to-quarter basis, partly

because almost half the business is seasonal business, if you see it that way. We just had the monsoon quarter that has its own implications on sale.

So I'd suggest that you look at it on an annual basis. See how the company performs for the last four years or five years on a quarterly basis and then reach a conclusion as to whether you want to invest on us. Because our aim is to make this a national champion out of India.

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Our brand is recognized all over the world. And that is the aim that we have. We are where all our global competitors are coming that is coming to India to make for the world, we are already here. We are present in all the trading blocks of the world. Slowly but surely, despite all the disadvantage of being an Indian brand, we are growing our market share. You talked to Alok about fire-fighting. I think we are now one of the top three players or top two players in the US market as far as fire-fighting is confirmed.

So we have the ability to get into new markets, get into developed markets and reach positions like this. Of course, each country, as you can see, has become more and more nationalistic, more and more protective of its domestic industries. And we are in a situation where I think now in every region, we have value addition, which is upwards of 50% bookings despite spending out of India. I think more than that, I can't give you any numbers. I can't give you, I can't make, I shouldn't be making forward-looking statements. It is up to you to see how the company performed in the last few years. You can look at the fine print and then decide.

Varun Bang: So I think we've done there. Is there a way which is the opportunity likely for the company as a whole? And where do you want to see KBL, eight years to 10 years down the line?

Sanjay Kirloskar : Is there a what? Could you repeat the question?

Varun Bang: Yes. I mean, how would you define the overall opportunity landscape for the company as a whole? And where would you want to see KBL eight years to 10 years down the line?

Sanjay Kirloskar : We would like to see, I mean, as long as there are humans on the planet, pumps are going to be required. And that's what drives us regardless of whatever we do, we are going to be there and - our product is going to be required. It's not just hydraulics that we are looking at. We are also looking at electronics. We talked to you about AR/VR, we talked to you about IoT.

There's actually no one in the country that's offering these kind of services, subscription services, which we've already started offering. For me, I don't want to give a number because it's something that's forward-looking, but we will definitely be one of the biggest players in the world, that's all I can say.

Moderator : Thank you. We take that as a last question. I would now like to hand the conference over to Mr. Rama Kirloskar for the closing comments. Please go ahead.

Rama Kirloskar : Thank you. In conclusion, we take immense pride in being the only company that designs and manufactures our products here in India, serving the needs of customers across the globe. Our commitment to excellence ensures that our products meet the highest global standards, be it in

terms of quality, performance or delivery.

We are known for producing some of the most efficient pumps in the world and our dedication to innovation and quality will continue to drive our success on a global level. Having established the groundwork for our transformation, we are enhancing our competitiveness and achieving sustainable growth going forward.

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Thank you for joining the call. If you have any further inquiries, please get in touch with any of us or with Strategic Growth Advisers, our Investor Relations partner. Wishing everyone a very happy

Diwali. Thank you.

Moderator : Thank you. On behalf of Kirloskar Brothers Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

SEC/ F: 23 February 20, 2024

BSE Limited National Stock Exchange of India Ltd .
Corporate Relationship Department, 5th Floor, Exchange Plaza,
2nd Floor, New Trading Ring, Bandra (East) ,
Phiroze Jeejeebhoy Towers, Mumbai – 400 051.
Dalal Street, Mumbai – 400 001.
(BSE S cript Code – 500241) (NSE Symbol - KIRLOSBROS)

Dear Sir/Madam,

Sub: Tran script of Conference Call with Analysts / Investors on Unaudited Financial
'Results for the quarter ended on December 31 , 2023

Ref: Regulation 30 & 46 read with read with Clause 15 of Para A of Part A of Schedule
III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015

This is in terms of the subject referred regulations and in continuation of our earlier
intimations dated February 06, 2024 and February 14, 2024 in the subject matter.

Please find at tached the transcript of the Conference Call held on February 15, 2024 with
Analysts / Investors on Unaudited Financial Results of the Company for the quarter ended on
December 31 , 2023.

Please note that the said transcript has also been uploaded on the w ebsite of the Company
www.kirloskarpumps.com which can be accessed at the following link:

Web-link: <https://www.kirloskarpu mps.com/investors/analyst -meeting -transcript/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KIRLOSKAR BROTHERS LIMITED

Devang Trivedi
Company Secretary
Encl.: As above.
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"Kirloskar Brothers Limited
Q3 FY '2 4 Earnings Conference Call "
February 15, 202 4

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the
stock exchange on 15th February 2024 will prevail.

MANAGEMENT : MR. SANJAY KIRLOSKAR – CHAIRMAN AND
MANAGING DIRECTOR – KIRLOSKAR BROTHERS
LIMITED
MR. ALOK KIRLOSKAR – MANAGING DIRECTOR
KIRLOSKAR BROTHERS INTERNATIONAL B.V.
MS. RAMA KIRLOSKAR – JOINT MANAGING DIRECTOR
- KIRLOSKAR BROTHERS LIMITED AND MANAGING
DIRECTOR OF KIRLOSKAR EBARA PUMPS LIMITED
MR. CHITTARANJAN MATE – CHIEF FINANCIAL
OFFICER – KIRLOSKAR BROTHERS LIMITED

STRATEGIC GROWTH ADVISORS - INVESTOR
RELATIONS ADVISORS - KIRLOSKAR BROTHERS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Kirloskar Brothers Limited Q3 FY'24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinion and expectation of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Sanjay Kirloskar, Chairman and Managing Director of Kirloskar Brothers Limited. Thank you, and over to you, sir.

Sanjay Kirloskar: Thank you. Good afternoon, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to everyone joining us on our call today. I hope you've had an opportunity to go through the financial results and investor presentation, which have been uploaded on the stock exchanges and on the company's website.

On this call, I have with me Alok Kirloskar, Managing Director of Kirloskar Brothers International B.V., Rama Kirloskar, Joint Managing Director of KBL and MD of Kirloskar Ebara Pumps Limited; Mr. Chittaranjan Mate, CFO; and Strategic Growth Advisors, our Investor Relations Advisors.

To begin with, let me inform you that during Q3 of last financial year, that's FY '23, one sales order of the company had crossed the threshold for revenue recognition as per accounting standards, which led to a favorable impact of Rs.31.3 crores on revenue as well as profit for Q3 and 9 M of fiscal year 2023. If you take out the effect of this from Q3 FY '23 results, you will see that the real growth in sales for Q3 FY '24 is 11% and in profit before tax for Q3 FY '24 of 121% over the same period. The results for Q3 and the 9 M of FY '24 do not include any such items and the results represent normal operations and could be considered as sustainable in the coming quarters.

Numbers for 9 M as well as consolidated results need to be seen after making this adjustment to understand real growth in sales and profit. On the domestic business, KBL stand-alone results show a growth of 5%. This growth is driven by steady demand for made-to-order and engineered-to-order models, along with the rise in made-to-stock orders.

Looking at our business prospects, we expect this positive trend to continue in the coming quarters supported by our robust order book. As of December 2023, stand-alone pending order book stands at Rs.1,943 crores. On the international business for the quarter, we reported a growth of 5%. The majority of our international subsidiaries reported growth in revenues. SPP U.K. and SPP U.S.A. reported growth of 4% and 27%, respectively. South Africa and MENA regions business is picking up and reported a growth of 10% and 32%, respectively.

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We are witnessing a sequential uptick in the Marine and Defense and Industrial segment. Our international business has made substantial investments in services, which is a high-margin business and is evident in the numerous framework contracts currently active across all our subsidiaries worldwide. The consolidated pending order book stood at Rs.3,111 crores, a growth of 9% on a year-on-year basis.

With this, let me invite Mr. Chittaranjan Mate, our CFO, for the financial performance.

Chittaranjan Mate: Good afternoon, everyone. Let me start with our consolidated financial performance highlights for Q3 FY '24. Net revenue from operations grew by 1% year-on-year

to Rs.965 crores. However,

after adjusting the onetime impact of Rs.31.3 crores, which our Chairman explained to you just now, the real growth was 4% year-on-year at consol level. EBITDA de-grew by 10% year-on-year to Rs.138 crores, but after adjusting the EBITDA for the last year same quarter, there is a growth of 13%.

Profit after tax was at Rs.82 crores. Now coming to 9M number. The net revenue from operations grew by 7% year-on-year to Rs. 2,777 crores. And after adjusting onetime impact of Rs.31 crores, the growth is 8%. EBITDA grew by 31% to Rs.351 crores. And after adjusting last year's

impact, it is 48% growth. Profit after tax grew by 46% and stood at Rs.197 crores. These are the major points from our side. Now we can begin questions and answers. Thank you.

Moderator: Thank you very much. First question is from the line of Himanshu Upadhyay from Buglerock Rock. Please go ahead.

Himanshu Upadhyay: I had a small question on this KPML motors business. We see the sales of KPML down Y-o-Y, both Q-on-Q and for the 9 M. When we are their primary customers and when we have grown, what is the reason for them to not grow especially in the 9-month period? Can you just see what is happening there?

Rama Kirloskar: So as far as KPML is concerned, I believe there was some delay in certain orders going out. And therefore, you see this slight depression in their sales figure. But most of these orders should go in the subsequent quarter.

Himanshu Upadhyay: See, generally, this KPML is into the smaller -sized motor.

Rama Kirloskar: So KPML serves our small pumps business, but it also serves the industrial clients of KO V. So that's where we saw some delays. It was essentially delays from our APOEMs, so you see that slump here.

Himanshu Upadhyay: And secondly, to Rama only. Rama, last time when the capital good cycle was at peak, our power was the major revenue contributor or the order book, okay? We used to have Rs.1,000 crores type of order book from power segment itself. And we are seeing, again, a lot of stock which is happening on the power side.

Do you think we are looking to see similar level of capex and the inquiry levels, what is there in the industry. Can you reach beds to those numbers? Or do you think the competitive intensity in Kirloskar Brothers Limited

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that segment has increased and that kind of revenue and market share may not be feasible in this cycle? So, some thoughts on that.

Sanjay Kirloskar: Yes. We see a lot of change on the power side. And it's not only the thermal power, which seems to be picking up again, but also on the nuclear power side we also see that there are opportunities.

The company's products have only been recognized over the last few years as possibly the best in industry, best for efficiency, best for sustainable efficiency.

And I think with life cycle cost gaining importance, we will only be in a better situation than what we were before. The company has, in the meantime, developed a bigger product range. We now have supplied boiler feed pumps, in the market which we were not in earlier, in addition to all kinds of other secondary cycle pumps in the nuclear as well as the thermal field.

The pumps for the fleet order. We've restarted work on the primary heat transfer pump, an order for which we had received from Nuclear Power Corporation. And that development order is going as on track or maybe a little faster than what we expected.

Himanshu Upadhyay: So, can we get back to that order book of Rs.1,000 crores, what we used to see in power in last cycle?

Sanjay Kirloskar: We never had an order board of Rs.1,000 crores. It was always around Rs.300 crores, Rs.400 crores. And that is why what I would like to tell you is that Rs.1,000 crores were with projects, right? And we are out of the project business. We would supply complete systems, including civil and piping and

everything else. So, I think you will not see that kind of order board, but just like in the products business, you will see that KBL will be supplying more pumps and more pumps for a power plant than before.

Himanshu Upadhyay: Okay. Thank you for your explanation. And one last question, historically, we have aspired for getting into top -- few pump manufacturers globally, okay? We have -- also used to historically give some guidelines also that among this number we want to win. To realize the dream, what are the top three areas as a company we need to focus on for the next three to five years means. We want to be there, what we have always aspired to be?

Sanjay Kirloskar: So, one is to be very strong balance sheet-wise. I think we are getting there. Number two, our products have always been globally competitive. And that, I think you can see from our annual reports over the years that we have been able to and continue to supply some of the top companies in the world. And we also want to ensure that we are present in the markets where in more segments than we are today. So, for that, our international business is building up product portfolio. It is going to take time, but we believe that we are on the right track.

Within the plant, as you are aware, we've put up a mega store. We are implementing total quality productive maintenance. We have a Japanese individual who has been working with us for the last two years. That is what is modernizing our plants, so that not only do we debottleneck them, but we are far more consistent in our deliveries to our customers and at the end of the day, many customers around the world want to ensure that you may be able to supply the product, but the service facilities have to be in place.

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And that is something that we've been discussing for the last many quarters, about the work that's being done internationally for after sales. I hope that answers your question.

Himanshu Upadhyay: Yes. One, just follow up on that. See, the way we look at it as a group, we cater to different segments in each geography, okay? So, in some geographies, we are focusing more on HVAC, mining, some place again, retail, some place, power. How do we drive synergies in various operations and especially product development and plant level, okay? And as an outsider, how should we think about this means? And is it the normal pattern for most large pump companies that in certain segments, in certain geographies, they are strong and in certain, they may not be present. So how do you think about that? And what should be my understanding?

Sanjay Kirloskar: I think that is the case with most companies with wide product ranges, that you get an entry into certain markets based on -- so if you see in Europe, we had gotten entry with large pumps for the power sector. That helped us get into the irrigation sector. So, it has to be done step by step. I can give some tools closer to home. Toyota has a huge product range. But when they came to India, they brought only the Qualis vehicle. And over a period of time, they are putting together a service network and increasing the product range in India.

But if you look at the global product range, do you see all the products being made in India? They don't even offer all the products in India. If you look at company closer to a company in India, which everyone talks about during this call, they offer pumps for the API refinery business. But globally, they do not have an API range, which is acceptable as a true API product line.

They do not have -- if you go to their website, you see our website and we talk a lot about MSMO pumps, the multistage multi-outlet pumps for firefighting. The parent company doesn't have it. The Indian company has it, right? So, it depends on what you feel is the right entry into that market and you slowly build your business

in each geography going forward.

Himanshu Upadhyay: Thank you for your detailed reply. I appreciate. And best of luck for the coming quarter.

Moderator: Thank you. Next question is from the line of Bhagyesh Kagalkar from HDFC Mutual Fund.

Please proceed.

Bhagyesh Kagalkar: Sir, this question is again, regarding the nuclear pumps. Now again, word over is -- the talk has started that these smaller nuclear plants are a solution and sustainable solution, 50-megawatt, 100 megawatts. But how big is that market in the next three to five years? And what can our share be? And apart from KBL or I may be wrong in case, who are the main competitors over there in this 50 to 100-megawatt product where we can offer solutions?

Sanjay Kirloskar: So, world over, currently, I think only the Russia and China have developed. I think they have commercialized these small modules. I believe you're talking about small modular reactors.

Bhagyesh Kagalkar: Yes, the small -- that 50 -- 100 MW is what we are talking about.

Sanjay Kirloskar: Yes. So, I think UK has just placed an order on Westinghouse for their API 300 model. And in India, there is work going on small modular reactors. We believe that we will be able to deliver

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whatever is required when the time comes because we have that experience of delivering such pumps already. So, if you look at the small modular reactor, at the end of the day, the design will have to be approved by the IAEA, the International Atomic Energy Association, I guess. And something like that, I understand even Westinghouse has taken close to 10 or 12 years. There could be ways of kick-starting the process by making it as close as possible to an existing reactor. If you look at the Westinghouse reactor, it's a 300-megawatt reactor. And that's what we call a small modular reactor because globally, the reactors are 1,000 megawatts, the French Superphénix designed 1,300 megawatts. The one that -- at Jaitapur, I think is, I believe, is going to be that size. So, anything actually around 300 and below would be a small modular or could be called a small modular reactor, it's made in a modular form.

Europeans have now come with a nontariff trade barrier, which they call the European Carbon Border Adjustment Mechanism. And my belief is that it is going to hurt us because so much of our power is based on thermal power or on coal. We possibly need to increase our nuclear component of power generation in a big way. I think Britain has talked about going to 20%, nuclear component.

Because if you look at it, solar takes a lot of land, plus it doesn't generate at night. Wind is not consistent in India like it is consistent in the North Sea or some parts of the world. And therefore, it is my personal belief that for India, we will probably need to have coal replaced by nuclear in a big way going forward.

Today, nuclear generates 2% of India's energy. So, if you have to take it to 20% and if you have to take it to whatever 20% means in the year 2035 or 2040, it means that there is a huge requirement, there would be a huge requirement for nuclear power because you need something

for base load generation. And you won't be allowed to go with coal because that will make Indian products, engineering products, Indian textiles, whatever, Indian commodities very expensive, we will not be able to export it. So, we need to move very quickly into the nuclear arena.

The fleet order program needs to be activated or energized or whatever to ensure that these new 700-megawatt nuclear reactors that are being put up by NPCIL are going on stream faster, and small modular reactors need to be developed one way or the other. And I hope that we will do it within India because BARC, the entire Indian nuclear establishment, is extremely capable when it comes to design.

And I believe that Indian companies are al

so very capable. If you look at the company, KBL, I

believe that KBL has now almost every single pump that's required for a nuclear reactor that would help government of India also because there would be two or three players available to place orders on, because the program is going to be huge. And no single company will be able to deliver everything that is required.

Moderator: Next question is from the line of Nishit Master from Axis Securities. Please go ahead.

Nishit Master: Sir, a couple of questions from my side. One is if you can give some kind of a flavor on volume growth this quarter and nine months. If you can term it in HP or whatever? And what is the kind

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of growth we've seen in after sales service, component of the revenue? And second part is, so if you can answer this, and then I'll take my second question.

Sanjay Kirloskar: We normally never disclose that number because it's a very confusing number. I'll probably confuse you at the end of the day because we make so many different kinds of pumps and we make them in so many varieties that any kind of answer would be confusing. And the rate of growth, and I'll say it's growth. I would say, is the growth is different in different ranges.

Nishit Master: Now if I could -- is there a way to tell me that for a similar pump, what is the kind of pricing reduction or increase we've seen in last one year on an average?

Sanjay Kirloskar: We've only had price rises, except for small pumps. No price rise for small pump. Made-to-order, there's moderate price rise. But instead of 3-inch pumps, I am supplying 4-inch pumps, the price per pump would go up. The volume may go down. If supply it in cast iron instead of steel last year, the price per unit would go down because supply rate in steel instead of cast iron this year, then the value per unit would go up. So, it's a very -- it's difficult to answer. Our capacity utilization has gone up, that I can say.

Nishit Master: Sir, one more thing. On exports, have we seen any kind of bottlenecks which have led to delayed in shipments because of the Red Sea issue?

Sanjay Kirloskar: No.

Nishit Master: No, right?

Sanjay Kirloskar: No.

Nishit Master: Okay. Thank you.

Moderator: Next question is from the line of Ravi Shah from Opal Securities. Please go ahead.

Ravi Shah: Sir, in the previous quarter, in the previous quarter call, there was an expectation that employee costs would decrease, but they have remained unchanged. So, could the company provide some clarity on when we can see a reduction in employee costs and discuss any plans to address the situation?

Chittaranjan Mate: Mate here. If you see the standalone numbers, the employee cost last quarter, which was Rs. 883 million, this quarter it has come to Rs. 830 million. So, it has decreased. But if you compare with last December, yes, there is increase because there are two effects. One is step up because of the new wage agreements and revision in salaries. But what was the onetime extra increase, which we had talked in last quarter, that effect has gone. So, if you compare with our Q2, there is a decrease of Rs. 50 million, Rs. 53 million.

Ravi Shah: Revenue on order book has not grown as per industry, how the industry has grown. So, I was just trying to understand why is that?

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Chittaranjan Mate: If you see this particular quarter, then our standalone results indicate 11% growth in sales. And recently, you would observe in the CMI note, they have shown that general engineering industry growth this year has been around 5% and the pumps are growing at around 6%.

Moderator: Next question is from the line of Manish Goyal from Thingwise Wealth Management.

Manish Goyal: I have a few questions, sir. First on -- I would like to congratulate on the very good marg

ins on

the stand-alone result at 11% probably now move to double digits on normalized operations.

Hope that we will be able to maintain these double -digit margins going forward. So maybe you can comment on that.

Second question on domestic order inflow in the domestic market. Probably if I look at standalone on 9 -month basis, it probably in close look, a bit muted. And really, the inflows are equal to the revenues. So maybe if you can give us a perspective that how do we look at going forward, in terms of growth in the order inflow. And maybe if you can give us perspective as to are there any industrial sectors, which are slowing down on one side or which are the ones which offer optimism?

I have a couple of questions on the international operations, particularly for SPP U.K. So last quarter, we had mentioned that numbers were a bit subdued as some dispatches were delayed and would probably happen in this quarter. But if I look at SPP U.K. numbers, it seems to be quite muted with 2% revenue growth. And we did have a very strong order book over there as well. So, what could be the reason for such muted growth? And ideally, December quarter is a peak quarter for our international operations. So that was one thing.

And then related to SPP again on the margin side, we have seen profits have come down by 47% in this quarter and margins have also declined significantly. So, if you can also give us perspective as to pertaining to certain onetime or is it normal? And how do we see it going forward in the coming quarters? Dutch operations and Thailand operations again seem to be struggling in the first 9 months. So maybe if you can throw some light on that as well.

Sanjay Kirloskar: I will only begin by continuing to say what I have said before that we will strive to have better results quarter -on-quarter. I hope that is recognized for many quarters now, we've been doing that. And I'll ask Mr. Mate to respond on the sector growth. But I look at -- our building is not very tall, you -- I think many years ago, you were here.

And when I look out from the terrace, I only see a large number of cranes with new buildings coming up. That the volumes for building and construction for us keep going up. Power is looking up. Irrigation and water supply, again, we are supplying most of the projects now through various EPC contractors.

As you are aware, we are now only delivering our products. And I think in various other sectors also, we are seeing very positive trends. So, I'll ask Mr. Mate to talk to you sector -by-sector, and then Alok will respond on international.

Chittaranjan Mate: Mr. Manish, I am Mate. Your first question about margins. Our Chairman has already responded.

Your second question was about order book. Actually, order booking fluctuated on quarter -to-Kirloskar Brothers Limited
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quarter based on various factors. If you see our order board position. Last year, Q3 order booking was Rs.485 crores. And this year Q3, the order book ing is Rs.615 crores. So, it has improved. But then in between last year Q4, it has gone up to Rs.695 crores. Again, it came down. So, there is a cyclic effect. And it may be that certain companies decide certain period for booking orders or some people wait for government being formed, elections. But our marketing team confirms that the inquiries and the number of tenders being submitte d, there is no slowdown.

Then coming to your next question about SPP. Yes, SPP there is a growth of 4% moderate growth. But again, there were certain orders which couldn't be executed because of supply chain issues. And if you are talking about margins. If you consider last year, this quarter, the margin included certain onetime items. But if you consider 9 months margins of SPP U.K., those have improved from 8% to 11%. Coming about your Dutch and Thailand businesses, Mr. Alok may explain this.

Alok Kirloska

r: Manish, on SPP side, you are right, the last quarter sometimes is stronger. But this year, we've had exceptional issues with a particular engine supplier based in America. And so, a lot of large jobs have not gone out and they'll probably go out in -- I mean, they are hoping like we said earlier this quarter and maybe part of the next quarter because there's been heavy delay on those engines.

These are specialized engines that normally go offshore, and the capacity was reserved for those jobs because it was expected that they will come. And while some of the engines came, they did not come to our level of satisfaction. So , a lot of work had to be done on them by that supplier. So, it's caused us some issue because that capacity could not have been used for anything else. And at the same time, we didn't get the sale of those items.

So that said, I think, but at the same time, you will, as Mr. Mate, appreciate that over the last few years, we've been trying to even out the numbers. And so even with that hit, that was taken because of change in sales. The net margins are still better than the previous year.

Coming to Thailand and the Dutch entity, I'll start with Thailand. Thailand has had some issues in the first half of last year, even though they went in the decent order book position, the first half, there was elections in Thailand. And unfortunately, the elections, as you might know, do es

not take place for until July. And so, a lot of jobs and a lot of work was on hold in Thailand, especially which is their home market, which caused lot of delay. But that said, the opening order book for this year has been -- for January has been very strong. And so, we are hoping that we can turn the corner in those operations, even though they had a late start to the year. For the Dutch operations, we are still managing the cost. We had a lot of jobs that actually did not go at the end of December as expected, but they'll probably be delivered now. So, we've had some delays on some jobs that have caused the numbers to look a little off sided it. But on -- as research operation, we have three companies, one is Rodelta where we are really focusing on cost management. But the other two companies, KP BV i.e. Kirloskar Pompen BV Kirloskar Brothers Limited
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and Rotaserve are quite strong and have a good order book. So, we are expecting them to recover going forward. Does that answer your question?

Manish Goyal: Yes, yes, Alok. So just also if you can give us a perspective as to, we probably keep hearing that quite a bit of slowdown in Europe markets and elsewhere. So how do we see our international operations going forward? And also, like one more point -- one more thing, which I also wanted to point is that we were seeing improvement in our revenue mix particularly for U.K. operation, which I forgot to mention in terms of when I spoke about the margin decline. So, it was a bit surprising that quite a lot of variation was visible, there is a visible point, I wanted.

Alok Kirloskar: I mean I think like I said, there's a huge number of large jobs that did not go out. Not really numbers. There are a few large jobs or very large numbers that didn't go out, like I mentioned, and that created a bit of a dent in December when it would have normally gone out. And there's nothing more than I can mention on that. I mean that's what the situation is, and we expect that will recover.

On Europe, like you're mentioning, I mean, yes, it is definitely a slow market. It's been a difficult market, but to be fair, that's been the situation for the last 2 or 3 years and probably especially after the war in Ukraine, where energy prices have been sky high. So even in those situations until now, the team has managed and done reasonably all right.

As you can see, the opening order book position for the international companies is still quite strong. So,

I mean, you can put it into context how strong the order book is compared to previous year's revenues and so. So that will give you a perspective of what the future would look like. That said, I will say that also in UK, 70% of our product production is exported. It is going mainly to the Middle East and Thai. And in the Middle East, we do see certain countries that are doing well like Saudi and few others. Because of investments in areas like NEOM City, where we have got big jobs in HI DC complex, which is hydrogen complex as well as NEOM City itself. So, I think that while we are cautious at the moment, the order book position is still giving us a good level of confidence as it stands at the moment. Does that answer your question?

Manish Goyal: Sure.

Moderator: Next question is from the line of Suhrid Deorah from Paladin Capital.

Suhrid Deorah: In India, we are moving more towards make -to-stock. And that business is short cycle inherently. So is the order book, which is published, is that a relevant metric?

Rama Kirloskar: Yes. The only make -to-stock business that's not shown in the order book is the small pumps business that is delivered within the month. Here, these are all long lead items, the made -to-stock that is shown in the order book is all long lead items. So anywhere up to 4 months.

Alok Kirloskar: But I think the point that you made is that as we move our made -to-order business also towards make -to-stock through our APOEM model, all the traded components, which we used to sell -- like in the past, we used to sell a whole pump set, which included a pump. But all the other accessories, including a motor, which would sometimes -- the pump in that package was no more than 20%.

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So now that we are focusing on the pump itself and selling them to APOEMs stocking them by bringing the made -to-order business into the make -to-stock category, we will not be trading all those items. So, I think if that's the point you're mentioning, yes, the order book would reduce because we are not including all the traded components into the sale.

Suhrid Deorah: Right. So, the order book, volumes might be the same, but it may reflect only the flow through in the margins and not so much on the top line as well as it won't be because of short cycle, it may not be in order book. It will be sort of higher ROC, this is a shorter lead time for delivery.

Rama Kirloskar: Volume of the pumps means is not going to change. It might take the value because all the accessories now are going to be done by the APOEMs.

Alok Kirloskar: And the volume could increase also. And yes, you're right. It will show you a better margin,

better ROC but not necessarily a big, bigger order book or top line.

Suhrid Deorah: So, the business has become a higher ROC business, and that may not reflect my higher top line, it could just affect in terms of a smaller balance sheet and higher margins?

Sanjay Kirloskar: Yes. The balance sheet will also be smaller as working capital required would be less.

Moderator: Next question is from the line of Varun Bang from Bryanston Investments. Please proceed.

Varun Bang: Congratulations for steady performance during the quarter. Just two, three questions. Firstly, in SPP in both U.S. and U.K., would you see firefighting and water pumps would be largest end market for us?

Alok Kirloskar: You're saying that firefighting and water is the largest segment in the business? Is that what you're asking me?

Varun Bang: Yes, in SPP.

Alok Kirloskar: In America, yes. I don't know, are you seeing in broken out? In SPP America, yes, firefighting would be the largest segment. And within SPP Incorporated, we have another company called SyncroFlo, where the water would be the main segment.

Varun Bang: Just to get some numbers, what portion would be from building and construction segment?

Alok Kirloskar: Where? In the U.S.?

Varun Bang: Yes. In U.S. and UK.

Alok Kirloskar: So, in the U.S. business, I would say about 70% of what you are seeing at SPP Incorporated is the SPP business. The remainder is SyncroFlo. And of that half would be the building and construction business.

Varun Bang: Okay, got it.

Alok Kirloskar: And in the SPP UK, about 20% would be the firefighting business.

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Varun Bang: Okay. And that would be largest or some other segment...?

Alok Kirloskar: No, that's not the largest segment.

Varun Bang: Okay. What would be the largest segment for us in UK?

Alok Kirloskar: The largest segment for us now in the UK would be our services business.

Varun Bang: Okay, got it. And we shared the order book breakup at stand-alone level. Is it possible to get sector-wise mix of pending orders at the consolidated level?

Alok Kirloskar: No.

Varun Bang: Okay. And we have stated that MSMO is a unique offering that we have in both domestic and international markets. And recently, we also got U.S. listing. So how do you see prospects for MSMO pumps over the next three to four years?

Alok Kirloskar: You're asking in domestic or international?

Varun Bang: Both, domestic and international market.

Alok Kirloskar: So yes, we did get MSMO listing. We are the only company in the world to have that listing for FM requirements. So, I mean, we see that now whichever markets we did not cover with MSMO, we will now be able to cover it. So historically, MSMO was concentrated in the UK, in the Czech Republic. Of course, in India, but without a listing, in Singapore and in Malaysia. With the listing -- and all these were covered under a different listing called LPCB, which is a British listing, and these countries accepted the LPCB listing.

Now with FM listing, which is an American listing, we believe the U.S. market is now open to us. The Middle Eastern market is open to us, entire Middle Eastern market because they accept the U.S. standard, and most of the Southeast Asian countries are open to us. So, we feel that it's a very large opportunity. And already, we are seeing a good amount of interest in the U.S. market for high-rise buildings as they're going up.

Moderator: Thank you. The next question is from the line of Khadija Mantri from Capri Global. Please go ahead.

Moderator: It seems that we have lost the connection from the current questioner. Meanwhile, we'll move to the next question from the line of Puja Mehta from JC Securities. Please go ahead.

Puja Mehta: So, I have a couple of questions. So, my first question is, can you give some more highlights on SPP UK and U.S. regarding new orders? And are we entering in new products? Like how is the margin profile evolving in this business?

Alok Kirloskar: When you ask me that question, I think you see the KBI BV order book position, which is a little over INR1,000 crores and majority of that is SPP UK and USA. So, your question to me was, are there any new products and any new markets? Is that what you're asking me?

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Puja Mehta: Yes.

Alok Kirloskar: So, I think the previous person who asked the question, I was surprised really that he had done

so much homework and was aware that we have listed new products. But yes, that is a very important new product for us, which is the multistage, multi-outlet product. which is now listed with the U.S. factory mutual standard and opens up a large number of markets for us for firefighting. And we are the only company that has that kind of product and also with a listing. So that is a very important opportunity for us going forward. We've also pushed quite strongly on our fish-friendly pumps because now we see the regulations across Europe, including the UK, adapting to the NEN standard for all pumps

in canals or rivers

or pumping in or out of these canals or rivers to be fish-friendly. So, we do see a large number of upcoming projects coming up in this area. And that's something we're really focused on because as we've mentioned in previous calls, we have a very strong fish-friendly product that we already have it installed in the Netherlands since the last two years.

So that's another opportunity and it fits very well with our sustainability initiatives of having these fish-friendly products. That's the second one that we are focused on. The third is expansion of our framework contract business. As you know, we already have over 100 framework contracts, which are either three-year or five-year contracts with major companies like BP, Shell, Apache, INEOS in the UK, etc., Petronas, etc.

So, our focus is now to expand these across Europe, across Southeast Asia and also try and get a few, just a handful in America to set some routes down in that area in America. So that's our next focus area. So, we have sort of three focus areas, two in products, one in services to sort of get into new markets going forward. Does that answer your question?

Puja Mehta: Yes. That was helpful. And one more question, sir. The company has experienced around 28% decrease in order inflow. So, are there any disruptions in the supply chain distribution like attributed to factors like Red Sea incident or any other issues?

Alok Kirloskar: No, there is nothing in particular that has happened, that has changed this at all actually. I think it just fluctuates sometimes from quarter-to-quarter. And we are not as of now, touch wood, seeing any slowdown in any of the areas that we are focused on. So, I can't comment on this as of now. There's nothing for me to say because it's not contributed or it's not unusual.

Moderator: Next question is from the line of Kunal Sheth from B&K Securities. Please go ahead.

Kunal Sheth: My question is to Alok. Alok, you've seen significant improvement in the international business profitability. And in the annual report, we have mentioned a few factors like improved mix, improved volumes, focus on service business. So, first question is as an outsider, there are so many international businesses. And therefore, for investor, it becomes very difficult to judge how the margins move.

So, if you can help us understand what is the biggest factor that will move the margins in the international subsidiaries? Should it be in the mix or volumes or scale up of service business, what will swing the margin either way in the international business?

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Alok Kirloskar: Really, there's -- I mean, we've had these calls as you know, last few times. And there are two areas that we've really seen the impact because, I mean, over many previous years, we have focused on the cost when as you know, we lost oil and gas business in SPP because of the oil price going down, et cetera, and is diversified. So, we already redone the costs and we have managed the costs and there is not very much more we could do with those cost levels, if we want to retain the identities and the skill sets that the company has had.

So, I would say the real differentiator for us is one is mix, in terms of getting more services business and framework business, not just a random service contract here or there. But really a three or five-year service contract where we are able to put down some stickiness with the customer.

Like I mentioned to you last time, now we do the diagnostics. Most of our customer sites, we have an augmented reality, all his changes we have in a digitalized format. And he has to come on our platform to access any of those things. So, we have to have that much time with the customer to have that level of stickiness. So that's a really important factor.

And the second factor of course is operating leverage

ge. Having the revenues grow up to this level, which have now gone to a point where we are getting the additional gains because the revenues are higher, have made a massive difference. But if you ask me in priority, obviously, one is the more profitable business and sticky business, which was the service business. And second is the operating leverage we get out of the higher revenue. Does that answer your question?

Kunal Sheth: So, what I was mentioning was that do you think that the change in mix can move the margin significantly now? Or change in mix can now at best impact the margin either way in that 30, 50 bps corridor?

Alok Kirloskar: No. I think that if the service businesses continue to grow, we can definitely continue to move

the needle. That's really the factor. But of course, it's not as easy as before because now we have to get more and more service contracts. Like I said, we've got close to 105 now. So, we have to keep getting more of them.

But definitely because the margin profile is totally different is number one. And number two, the reason why it moves the needle more is because we can see into the future because these are three or five-year contracts and we have an understanding of what the spend will be. So, we are able to plan better.

And having that baseline business and the cash flow cover our baseline cost effectively gets you to the operating leverage position faster, right? So having that sustainable kind of business, almost like how software companies take your percentage of implementation costs for maintenance or whatever they choose to call it, we're basically just stealing money from you. If you have that baseline kind of business, then it basically helps you. So, I think it does make a difference.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Ms. Rama Kirloskar for closing comments.

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Rama Kirloskar: In conclusion, I would like to state that we will continue to pursue a multidimensional approach to value creation in order to consolidate our market position, increase profitability and maximize our strong potential, thereby unleashing stakeholder value. Having established the groundwork for our transformation, we are enhancing our competitiveness and achieving sustainable growth going forward.

Thank you for joining the call. If you have any further inquiry, please do get in touch with any of us or with Strategic Group Advisors, our Investor Relations partner. Thank you.

Moderator: Thank you. On behalf of Kirloskar Brothers Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: May 2024

SEC/ F: 2 4 May 17, 2024
BSE Limited
Corporate Relationship Department,
2nd Floor, New Trading Ring,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai -400 001.

(BSE Scrip Code – 500241) National Stock Exchange of India Ltd.
5th Floor, Exchange Plaza,
Bandra (East),
Mumbai – 400 051.

(NSE Symbol - KIRLOSBROS)

Dear Sir/Madam,

Sub: Transcript of Conference Call with Analysts / Investors on Audited Financial
'Results for the Quarter and Financial Year ended on March 31, 2024

Ref: Regulation 30 & 46 read with Clause 15 of Para A of Part A of Schedule III of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

This is in continuation of our letter dated May 08, 2024 giving intimation of the subject
mentioned conference call and subsequently furnishing the web link for accessing the Audio
recording of the said conference call vide our letter dated May 15, 2024 .

In terms of the subject referred regulations please find attached the transcript of the
Conference Call held on May 15, 2024 with Analysts / Investors on Audited Financial Results
of the Company for the Quarter and Financial Year ended on March 31, 2024 .

Please note that the said transcript has also been uploaded on the website of the Company
(www.kirloskarpumps.com) which can be accessed at the following link:

Link: <https://www.kirloskarpumps.com/investors/analyst-meeting-transcript/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KIRLOSKAR BROTHERS LIMITED

Devang Trivedi
Company Secretary
Encl.: As above.

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"Kirloskar Brothers Limited Q4 FY'24 Earnings Conference
Call"
May 15 , 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the
stock exchange on 15th May 2024 will prevail.

MANAGEMENT : MR. SANJAY KIRLOSKAR – CHAIRMAN & MANAGING DIRECTOR , KIRLOSKAR BROTHERS LIMITED
MR. ALOK KIRLOSKAR – MANAGING DIRECTOR , KIRLOSKAR BROTHERS INTERNATIONAL B.V .
MS. RAMA KIRLOSKAR – JOINT MANAGING DIRECTOR , KIRLOSKAR BROTHERS LIMITED & MANAGING DIRECTOR , KIRLOSKAR EBARA PUMPS LIMITED
MR. CHITTARANJAN MATE – SENIOR VICE PRESIDENT (FINANCE), KIRLOSKAR BROTHERS LIMITED
MR. RA VISH MITTAL – CHIEF FINANCIAL OFFICER , KIRLOSKAR BROTHERS LIMITED
MR. DEV ANG TRIVEDI – COMPANY SECRETARY , KIRLOSKAR BROTHERS LIMITED

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Moderator : Ladies And Gentlemen, Good Day and Welcome to Kirloskar Brothers Limited Q4 FY'24 Earnings Conference Call.

This Conference Call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference call, please signal an op erator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Kirloskar – Chairman and Managing Director of Kirloskar Brothers Limited. Thank you and over to you, Mr. Kirloskar.

Sanjay Kirloskar: Good afternoon, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to all who are joining us on this call today.

I hope you've had an opportunity to go through our “Financial Results” and “Investor Presentation ,” which has been uploaded on the stock exchanges and on the company's website.

On this call with me, I have Mr. Alok Kirloskar, Managing Director, Kirloskar Brothers International B.V .; Ms. Rama Kirloskar, Joint Managing Director, KBL and M anaging Director, Kirloskar Ebara Pumps Limited; Mr. Chittaranjan Mat e, Senior Vice President, Finance, Mr. Ravish Mittal, our new CFO, Mr. Devang Trivedi , our Company Secretary and Strategic Growth Advisors, our investor relations advisor.

Before I start my comments, I would like to brief you about a few Developments at Kirloskar Brothers. To start with, I am pleased to inform you that the Board of Directors has recommended a final dividend for the year of Rs.6 per equity share of face value Rs.2 which is about 300% of face value.

We are also pleased to inform you that based on recommendations of the Nominations and Remuneration Committee and consideration of the Board of Directors of the company , Mr. Ravish Mittal has been appointed as CFO of the company w .e.f. today. Mr. Mittal is a qualified chartered accountant and has completed education from IIM Bangalore. He is a Fellow Member of the Institute of Directors India and London. He has work experience of over 28 -years in the field of Finance, Strategic Evaluation, Risk A nalysis, Treasury and FOREX Management and Kirloskar Brothers Limited

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Investor Relations among other things . He's been working with Kir loskar Brothers Limited since July last year as Vice President, F inance.

I would also like to place on record my sincere appreciation for the excellent work done by Mr. Mate in his role as CFO. He's been a strong pillar of our organization and has played an important role in taking KBL to where it has reached today. I would take this opportunity to thank him on behalf of everyone, including the Board of Directors for his dedic ation and service to Kirloskar Brothers Limited. He will continue as a senior management employee with the company as Senior Vice President, Finance .

Talking about our “Q4 and FY '24 Performance,” I let me begin with Domestic Business :

For Q4, we achieved year -on-year growth of 13.3% to Rs.899.7 crores and a growth of 7.1% for Fiscal Year '24 to Rs.2,720 crores for the full year. This is a result of the sustained demand that we have received for our made -to-order and engineered -to-order products. Additionally, there has been a notable increase in make -the-stock orders, which has contributed to our overall growth trajectory . With a keen focus on our business prospects supported by our robust order book, we are optimistic regarding our future growth prospects . We

expect to achieve double -

digit revenue growth in FY '25 compared to FY '24 in our domestic business . As of March '24, the value of our standalone pending orders stands at Rs.1,826 crores . We are experiencing a sequential uptick in the marine and defense , building and construction and industry segment. Our international business has made substantial investments in services, which is a high margin business and is evident in the numerous framework contracts currently active across all our subsidiaries worldwide.

For Fiscal Year '24, I am pleased to share that our key subsidiaries, S PP UK and S PP USA, reported growth of 10.2 % and 18.1% respectively. We expect international business to show respectable growth in Fiscal Year '25 compared to Fiscal Year '24. This is on the back of our sustained efforts to innovate new products and expand in new geographies along with increase in market share in existing products . Our consolidated pending order bo ok stands at Rs.2,999 crores.

With this, let me invite “Mr. Ravish Mittal , our CFO to discuss the Financial Performance Highlights .”

Ravish Mittal : Thank you, CMD sir, for the warm welcome. Good afternoon, everyone.

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Let me share the Onsolidated Financial Performance Highlights with everyone present in the meeting :

Our net revenue from operations in Q4 of Fiscal Year '24 grew by 9%, which is year-on-year to Rs.1,224 crores , and our net revenue from operations for the full Fiscal Year of '24 grew by 7% and I am very happy to announce that we have crossed the Rs.4,000 crore s mark , we have reached Rs.4001 crores for the Fiscal Year '24.

On the EBITDA front, our Q4 EBITDA grew by 44% on a year -to-year basis to Rs.228 crores and our EBITDA margin for Q4 also grew from 14.1% to 18.6%, which is nearly 450 basis points growth , and our EBITDA for the full Fiscal Year of '24 grew by 36% year -on-year to Rs.578 crores , and the overall EBITDA margin for the full Fiscal Year of '24 grew from 11.4% of last year to 14.5% this year, which is nearly 310 basis points growth.

When it comes to profit after tax, our PAT for the Q4 grew by 52%, which is to Rs.153 crores and our PAT for FY '24 Fiscal Year grew by 48% to Rs.350 crores , margin is nearly 250 basis points rise compared to the last year.

This is the Key Highlight Results from our side , and we can now begin the question -answer session. Thank you , everyone.

Moderator: We'll now begin the question -and-answer session. First question is from the line of Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari : Congratulation to you and your team for such a remarkable performance. The way you are explaining in the past about the improvement in profitability, removing lower margin business which is n ow clearly reflecting in the performance. My question is I think your opening remarks give some hint about the growth also, which is we were asking always for revenue growth. So, hopefully , we'll start at KBL and Karad Projects and Motors Limited also, because we have grown substantially during Q4. So, if you talk a little bit without giving any numbers qualitatively what is enhancing this growth numbers at K BL standalone and Karad Projects and Motors Limited ?

Rama Kirloskar: Good afternoon, Mr. Kothari. So, nice to hear from you. Hope you are doing well. So, to answer your first question, from Kirloskar vadi, as we had mentioned earlier, we've made some investments in consolidation of our store. So, we are working on a project there and enhancing operational efficiency . And that store essentially came online in end of Q3, really able to enhance the sales and the turnover from that plant in that last quarter essentially because of operational

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efficiency and essentially that would be a sustainable growth, which we should see in t

he future
as well.

Sunil Kothari: So, we talk about some on the slide #38, debottlenecking and cost optimization across subsidiaries. So, would you comment on how this debottlenecking will help us to enhance our capability and capacity? You would not like to give a number, but this debottlenecking will be enough for next 2 -3 years growth whatever we are planning, what type of cost optimization is possible if qualitatively you talk more will be really help ful?

Sanjay Kirloskar : If we talk about debottlenecking, over the years, we've invested in various types of machinery, and whenever all of you have asked about what is the CAPEX , we say that basically we are going to modernize and we are also going to bottleneck . And what has happened over the years has been that as our engineers have worked on various individual machines, the capabilities and capacities of those machines have grown, but they may not have grown in a balanced way, in the sense that the first machine, for example, might do 100 , the second one might do 120, the third one might do 80. So, in that manner , amongst a few machines , then we would like to see what is the highest capability of the machine in that line, and then ensure that all the machines go towards that number. Now , something like this has been done in our small pumps business , we look at unit flow where there's very little inventory between stations or between machines and that is what now we are trying to do to ensure that, look at each and every line in Kirloskar vadi and ensure that all the machines have a balanced capacity at the highest number . It might in some cases involve getting a machine, but in other cases it might be ensuring that some operations from one machine are moved to the other or things like that or showing that each machine is operational all the time. Sometimes you may need to keep some machines on another shift . As we've told you earlier, we work in two shifts, but sometimes now we may need to operate some machines on three shifts . So, these are the activities which we believe will in addition to buying new machines as per the CAPEX plan will improve the situation. Also, like Rama has also mentioned that we have put up the megastore . Similarly , last year as you are aware we also put up the high-pressure molding line for the sma ll pumps. So , over a period of time, we are slowly but surely increasing the capability of our factories to produce in greater numbers, but at the same time looking at how much we put in CAPEX year-on-year. I hope that answers your question.

Rama Kirloskar: Mr. Kothari, your question about K PML, essentially the last quarter, we did see a lot more demand from our small pump s business. And as you know, KPM L supplies our small pumps sector with all the motors . So, that's one of the reasons why the production numbers and the dispatch numbers of KPML were enhanced in the last quarter because those motors were essentially sold to KBL.

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Moderator: Next question is from the line of R enjith Sivaram from Mahindra Manulife Mutual fund. Please go ahead.

Renjith Sivaram : So, just wanted to understand this piece here . The standalone EBITDA margins have been very good. So, is there any one -time impact on th ese margin s?

Sanjay Kirloskar: No, there is no one -time impact because when we have one -time impact like we did, I think in the third quarter of last year we had reported it and there is no exceptional item I think throughout the year there is no exceptional item .

Renjith Sivaram: Like is this kind of sustainable kind of margins or you believe that there are certain orders which had helped us to show this kind of margins?

Sanjay Kirloskar: This is basically what we are saying is improved operational efficiency. The product mix improvement has also been there . And since you are one person who always ask me, there

is no

nuclear business from us in this year.

Renjith Sivaram: Because my understanding is whether these kind of sustainable margins, whether it's kind of like, was there any special specific order which we are executing?

Sanjay Kirloskar: If you look at the company's performance historically, the highest sales and the margins are in the Q4. So, we expect that the company's performance will continue to improve, but you should look at what has been happening quarter -on-quarter for the last few years. So, I don't think it will follow any different trend.

Renjith Sivaram: Regarding this overseas business , what is the overall outlook that you foresee, i s there any headwind or any tailwind , how should we read that?

Alok Kirloskar : I think the consolidated backlog is there with you along with the domestic backlog separately.

So, you can see the backlog position of the overseas business. We usually assume between January and July for book -and-bill business because business that we will book in the same year , and the business as you will see has gone up , the order backlog position. So, I think from visibility side, it will give you a picture of where the business is headed. Do you have any other

specific questions? I mean there's always changes as you know with the number of wars going on right now, there's always a variety of changes happening in the market, but at least there is some visibility which is positive.

Renjith Sivaram: We hear that there's a lot more investment that can happen in the oil and gas space. So, are you also upbeat on that prospect or you don't see any major change in that?

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Alok Kirloskar : I've mentioned to you before also, I think when we spoke the first time that in 2014, about 65% of our international business came from oil and gas. Last year, new products new products in oil and gas contributed I think under 7 % or 8%. So, we've made a n effort towards being and targeting green applications , non-oil and gas applications and at the same time as you will appreciate, because you'd be tracking many companies in the petrochemical space, petrochemical margins tend to be higher . So, given that we were growing the other businesses, we've also looked to see how to bring margins to the same level in the other businesses, which slowly is coming to fruition. But that said, we haven't exited the petrochemical sector , we are still strong there , we are known there, our brand is strong there , and as you would be aware where many floating LNG projects as well as LNG projects going on , and we continue to get good fair share of the enquiries and we are still booking a good number of orders in that sector going forward.

Moderator: Next question is from the line of Manish Goyal from Thinqwise Wealth Managers . Please go ahead.

Manish Goyal : A couple of questions. One , continuing on the previous question on the margin front, maybe if you can give us a perspective that we were implementing APO EM model , so how has been the adoption of that with the dealers and how is it also helping us on the margin improvement, balance sheet improvement , and where does this get reflected in terms of our stock-to-order , make-to-order , how has it been changing in the breakup what we did in our revenue. T he second question is Mr. Sanjay Kirloskar did mention that international sales will look better in FY'25, but F Y'24 was quite weak in terms of growth rate ; it has grown 6% for the full year and for the Q4, the sales were down 18%. So , is it that some of the large orders which were getting delayed are still not delivered? What is the quantum of the orders ? And even the order inflow has been weak in the current quarter. So, maybe if you can give us perspective on international business ? So, these are the two questions . And then I have a follow up in terms of what is the direct export from India

and how is it growing ? And what is the services and aftermarket revenue component in standalone and consolidated business? And how our digital initiatives helping this our aftermarket and services business to grow ?

Alok Kirloskar: I'll answer the first one which you asked about APOEM model. I think we've been discussing it and our first APOEM was put up in 2011, but it's been a journey for us to move forward and get not just the market but also the company, in line with what we were envisioning when we put up the APOEM concept. I'll just mention it because there will be other people on the call. I know we've had other calls before, so you'll probably be a little bit aware of the concept, but APOE M concept is where we sell the bare industrial pumps to our APOEM who are the large dealers. They have made investments in terms of doing some trimming of impellers , so a little bit of the customization as well as testing, which is very important because now after doing the

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customizations they can test the pumps locally. We have APOEM in the north, East, West and the South . So, he asked about APOEM . So, before getting into the answer, I just thought for the sake of the other participants had mentioned what the APOEM concept was. I mentioned that we put up the first APOEM in 2011, and it was a little slower in terms of the pickup that we were expecting because the concept of an APOEM was that we would sell him an industrial pump. So, this is mainly only for industrial pumps . The APOEM would trim the impeller and do the customizations and then he would test it because he'd also invested in a testing facility and we have five APOEMs in India, North, East, West, and South zone. I think Manish asked the question about APOEM which I was trying to answer, but before answering it, I think I need to give the background of an APOEM so people are clear what APOEM means. So, we started this concept in 2 011. The APOEM, the idea was that we could supply an APOEM in industrial pump because this is mainly for industrial pumps. The APOEM could trim the impeller , he could add

the motor or engine and he could test it. So, the APOEM also made investments in testing of our equipment and after that he could dispatch it. The idea was that he would hold a lot of thousands of these pumps in stock and the delivery period would be, for us what was maybe 16 to 20 weeks would probably be for him right down to a week, sometimes less than a week, up to a maximum of two weeks. And this was the overall concept. The effect of this is that lot of the traded items like the motor, the base plate, the coupling, that are normally fitted on the pump and supplied by us and which are normally a bought-out for us and usually sit in inventory for us, would basically be done by the APOEM, so that would reduce the amount of WIP on our books, reduce the inventory in our books, and the APOEM would hold that and he would sell the pump. The other side was that the APOEM would pay us upfront for the pumps as soon as they were dispatched, so it was converted to a cash-and-carry business on the industrial side. So, this is the overall concept. The upside was that we get our pumps in the field, our pumps are stocked in large volumes, they come in large bulk orders to our plant. So, what was a made-to-order product becomes a made-to-stock product. And so there's better balancing in the plant for this kind of industrial business. Cash comes upfront. So, these were the positives. The downside was that of course, traded items go away. So, the revenue number starts coming down because all the traded item goes away. But of course, the upside of traded items going away is that material cost also goes down, because you can't make the same amount of margin on traded items as you do on your own product. So, that was the concept. We now have five APOEMs. They're doing very

well. The market has picked up and on the inside of the organization also our people have understood that just pushing the top line is not important. Obviously, we want cash flow, we want profitability, we want better material cost, and lower inventory. And now that both inside and outside, they're both aligned. We see that over the last two years, three years, these numbers have gone up very fast. And given that it's also in a way in line with a lot of industrial investments and we are able to deliver at a very short notice from the APOEMs, these together have seen to give us a very good rise in the APOEM. So, that is the big positive in APOEM and it's also Kirloskar Brothers Limited
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allowed like I said earlier, a lot of the MTO, the type of business or made-to-order type of business to become converted into a made-to-stock business which is very important from us to a plant management point of view. So, these are the few points. Does that answer your question, Manish?

Manish Goyal: Yes, Alok. I just wanted to get a sense that how does it reflect in terms of contribution for APOEMs and where does it get reflected and where does it get manufactured?

Alok Kirloskar: It gets manufactured in the Kirloskar vadi plant. It gets reflected in made-to-stock and of course part of it doesn't need to order, but lot of it doesn't need to stock. The other thing I think is reflected in margins to lower MSR ratios, lower material cost.

Moderator: The next question is from the line of Varun Bang from Bandhan Life Insurance. Please go ahead.

Varun Bang: Just two, three questions. Firstly, how should we look at our journey in diversifying our product portfolio in the international market? And simultaneously, we would also need to develop the aftersales network in the newer markets that we enter. So, how should we look at our journey here? And so we'll be looking at acquisitions to get access to the network as well as customers. So, which focus on UK and U.S. market if you can share some details here?

Alok Kirloskar: There are two different questions really for us. US market is a good way to talk about it. When we entered the US market, obviously as you'd expect, we were not a known brand. The US has pump manufacturers who have been around for 80, 90, 100 years and like we have in India an established dealer network with dealers who've been with them for two or three generations and so venturing into that market was very difficult. It's one of the reasons why we decided to go with fire pumps and fire pumps in the US market was useful, because fire pumps, #1, have almost no spare requirement, they have no real requirement for service. And why I say spares is because a lot of the dealers of other products did not want to shift to us because they have a concern that they would lose the historic spares of the current principle they had. And so we had a little bit more traction on fire pumps and we started with various dealers who we are able to move over on fire pumps and get penetration on fire pumps. And that's how we started entering the market and that's how we enter most markets. We enter them looking at one niche area. And once we get strong in that niche, we widen a little bit and we add a little bit more. So, like in the US market, the next step was adding water and pumps for water supply. And so these are the pumps added through our company, SyncroFlo. So, establishing that route-to-market really is extremely important. In the case of SyncroFlo, that was an acquisition that we did, it was done at a very, very low price. But the real objective of that acquisition was to get route-to-market. So, to answer your point, yes, we do look at sometimes acquisition, but mainly look at route-to-

market because we already have a lot of the products between SPP and KBL and so there's not
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any real need to buy a company for products. But we do need to sometimes look at ways to get into markets. In the international market, we are very niche in different countries. We don't cater to the entire basket that we have. In America, mainly it's water and fire. In the UK it's water, fire, oil and gas and chemicals. The other business that we've really added in services, and I think I mentioned that earlier that oil and gas was at one time 65% of our revenue and now it's under 7% or 8% and that's because we've moved into services as a business. Today, we have over 110 framework contracts with companies and framework contracts are only contracts we consider a framework if they're for three years or five years. And here we manage all the pumps on Petronas platforms or Shell platforms or BP platforms, different kinds of platforms that we've been given the framework, as well as chemicals like INEOS in the UK and large water companies. So, in most of the water companies in the UK, we have an exclusive framework with except Thames water which is non-exclusive. So, overtime that's also become a very large share of our business because we're doing this across the world and through services also we are able to now install our products by replacing a lot of the competitors' products because the service contracts are not just for our pumps, they're for all pumps at that site. Does that answer your question? I know that your question had a lot of factors. I tried to see if it's possible to summarize it.

Varun Bang: That's a very good explanation. Just one more thing on the framework contract, how should we think about the margin profile of the framework contract and how do we price it and what is the cost to service these contracts and do we have lower margins initially and then subsequently they move up, if you can just share some perspective on that?

Alok Kirloskar: So, on average, our framework contract tend to be about two times the gross margins of our product business for the international business and they don't start off low and go high. We usually take over the site and our objective is to look at repair, refurbishment and now recently we've added upgradation. So, usually we'll go and not look at an old pump and we'll look to upgrade the efficiency of that old pump. So, if it was operating, I am just throwing a number at you, 70% we'll look to make it 75%, 80% and then we'll work out a new agreement of what that additional efficiency enhancement should mean to the customer and to us as an additional payment. So, I would say that we have a base contract and that's based on the customer saying that we have so many pumps, we make a plan of all those pumps and we say that in year one, year two and year three, we will make changes to these pumps. So, that way we have predictability and he has predictability for his budgeting requirement. And so there's a fixed amount. Because the objective for us was really that we need to be able to predict and we need to have visibility on revenues out of services. And obviously, if we know the revenues, we have a general idea about the margins. So, that is really how they operate. Does that answer your question or have I missed out something?

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Varun Bang: I think that answers my question. And just one last question on innovation. If you can share some insights on how we manage innovation, how large is our team and where do we source technology from, so basically, where do we get feeds for innovation and as well as on the digital initiatives, if you can share, how are we able to imbibe these changes?

Sanjay Kirloskar: In fact, we have a group called "iMission" where we come out with new ideas and we get quite a few patents all the time. And this is based on whether it's just on the product side or whether it is the

digital side, I think for the last few years we've been talking about our Kirlo Smart device, which is an IoT device, we've talked about augmented reality, virtual reality, we've talked about AI, we've talked about 3D printing. So, as an Indian MNC, we can only stay in business outside the country, if we are on par with global MNCs, large competitors that we have based in Europe and America. We launch more than 100 products every year just in edge, our small pumps business. We've launched a new, I think in the last time we said, we've launched our DBX model of industrial pump, and now also for building and construction, a new range of inline pumps. Our N-section pump actually are the only ones in the world that meet the European MEI norm of 0.7, the index meeting efficiency with an index of 0.7. In fact, I heard that one of our European

competitors is now going to upgrade N-series to be able to match our pumps . So, innovation is the only way we can stay in the same space as our global competitors , and therefore, you can rest assure that we will continue to do this , launch many new products every year and also ensure that we are not found lacking on the digital side. Mr. Manish Goyal had one question I believe why the Q4 revenues internationally came down. I think in our presentation we have mentioned that on Slide #7 basically to say that , there were two places where the sales did not go as we had expected where I think some engines are to come for some two projects, two large projects and about seven projects which were expected to go out , and in Thailand I think large CVP order concrete volute pump order I think two sessions ago in not the last investor call, but the call before we said that we had received the order for concrete volute pumps for pest control and we were the only one in the world to get a repeat order for the city of Bangkok. Those pumps were delivered, but we were waiting to get confirmed irrevocable letter of credit from the end customer. So, about 150 million Thai baht we held back from dispatching , that has now happened in April because it took until early April to get the commercial terms exactly as we wanted and therefore in early April, we made that step. So, I think with those two items, there is a growth over the quarter, but it would have been reflected in the last quarter, but now it will get reflected in the first quarter .

Moderator: Next question is from the line of Akshay from Axis Securities . Please go ahead.

Akshay : My first question is on the raw material prices . So, in the last quarter it was softened. So, how do we see that in FY '25 so have we increase our prices as well?

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Sanjay Kirloskar: Can you please repeat what you said about raw material?

Akshay: So, how are the raw material price trend in the first quarter?

Sanjay Kirloskar: No, the raw material price trend for us is the same as anyone else who is buying pig iron , copper , etc., It's quite stable throughout the quarter from what I understand.

Akshay: Also, are we increasing sizes on a high residential pumps , and industrial pumps side?

Sanjay Kirloskar: We haven't had price rises. There's a product mix improvement.

Rama Kirloskar: But there were no price hikes last year for residential pump.

Moderator: Next question is from the line of Ishita Lodha from Sivan Investments. Please go ahead.

Ishita Lodha : My question is, what has been the capacity utilization for TK SL of FY'24 and what is the breakeven capacity? What is the revenue potential that you can get from TKSL as well and when this is achieved what could be the margin potential? And what are the factors that can drive this profitability? Is this just a capacity utilization increase or better pricing terms can also help you?

Sanjay Kirloskar: We try to keep our capacity utilization at around 70% looking at the forecasted demand . If there

is any extra demand, we can always meet that and this is done through either running in.

Sanjay Kirloskar: Could you repeat your question? I think I went on the wrong track.

Rama Kirloskar: Is this for the Kolhapur steel that you are asking questions about.

Ishita Lodha: Yes.

Sanjay Kirloskar: So, Kolhapur steel also has been operating. It depends on the kind of castings that we make and the metallurgy of the casting. And there also I think it was about 200 tons per month is the capacity maximum.

Chittaranjan Mate : But that is done with all stainless steel , it's profitable.

Moderator: Next question is from the line of Saurabh from Sara Capital. Please go ahead.

Saurabh : I wanted to understand about the solar pumps opportunity for Kirloskar Brothers? I understand that you are not directly dealing with the state governments, you are selling it to the system integrators. But how big is the opportunity for you?

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Sanjay Kirloskar : The opportunity for us is large , because the government's program is large, but we said that earlier also , we follow our own commercial terms and we ensure that we are paid for our equipment before it leaves the factory. So, obviously, we will not get all the orders with that kind of commercial terms, but we protect the company by taking orders on those. I would say that we delivered tens of thousands of pumps for solar every year.

Saurabh: Is only because of the payment terms that we don't directly participate or are there any other reasons ?

Sanjay Kirloskar: It's the payment terms. I don't really want to get into that, but we've had experiences with state

governments earlier and based on that we will not do business. If you look at our competitor who is in this business, debtors are 178 days and you compare that with us. I think our business models are different. And I mean, those business models probably suit him and these this business model suits us.

Saurabh: We won't be much aggressive towards solar pumps, it only goes through what our system integrated channels?

Sanjay Kirloskar: No, we work through the integrators, yes, and we work with the commercial terms like I mentioned. And we have a large network of integrators in everything.

Moderator: Next question is from the line of Ashwani Sharma from Emkay Global. Please go ahead.

Ashwani Sharma: Two questions from my side. First is the bookkeeping questions. Do we have any breakup in terms of standard pumps and make-to-order pumps?

Sanjay Kirloskar: I think the break up, it's about 50:50 I think. It's there in the presentation. I'll just tell you which slide it is on. Slide #14.

Ashwani Sharma: What was the contribution of services in the FY '24 revenue?

Sanjay Kirloskar: We don't disclose the sector wise performance.

Ashwani Sharma: I was talking about products and services. What was the services contribution?

Sanjay Kirloskar: We don't disclose that.

Ashwani Sharma: Second question is on the new opportunities, especially from green hydrogen and then NPC IL, the small and modular reactors which they're talking about. Do we have product portfolio to explore opportunities in these new areas?

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Sanjay Kirloskar: Yes, we do have product portfolio for the new areas. In fact, I think last time also I had mentioned that we've developed boiler feed pumps for the 700 MW, we're in the process of developing the primary heat transport pumps as well as other primary circuit pumps are being developed. The small modular reactor, I think if you look at what is happening around the globe, I think only Westinghouse has a working model and still under approval. There are orders for that from GBN, which is Great Britain Nuclear, which I don't think will be delivered in the next seven or eight years.

Only the modular reactors as the military version with everyone who makes their own nuclear submarine. So, that's basically US, China, Russia, they have their own nuclear submarines. So, they have developed certain types of pumps for the nuclear submarine, whereas we are concerned, we believe that we can develop such pumps if they are required and as and when they are required for the small modular reactors on what are called land based reactors, but the design will have to be approved.

Alok Kirloskar: On green hydrogen, we already have orders from HVC complex in New York City, which is one of the biggest areas where green hydrogen is going to be produced as per the kingdom. So, that's an area that we're already working on. We already worked with Shell, in this particular case with Shell, Rodella as a partner with them and they are the strategic suppliers for a lot of the projects, both the biodiesel as well as the green hydrogen. So, there are quite a few opportunities. We have the product range. And that's an area that we are promoting with the key process owners, people like air products and many others.

Moderator: Next question is from the line of Anisha Walia from Girik Capital. Please go ahead.

Anisha Walia: So, my question is that so in this year we have seen this margin improvement because of product mix change as well as operating efficiency, and our margins have reached in line with our peer also. So, my question is in the next year, do you see further scope for this continuing and lead to more margin improvement?

Sanjay Kirloskar: My belief is if commodity prices stay stable and with the orders that are coming in, we believe that we will be able to maintain these kind of margins and hopefully improve on them as well.

Anisha Walia: My second question is you also alluded to growing in the double-digits in the standalone business and also the order book in international is also higher in double-digits versus the last year. So, my question is, in this year, we grew at close to 7% in the consolidated revenues. So, what will lead to double-digit revenue growth in the next year despite the fact that the order book is up by only around 4% at the consolidated level. So, would be great to know if something did not work out well in this year, but that will get changed in the FY'25?

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Sanjay Kirloskar: We are very happy to see the enquiry letters. Our hit ratio is better than before. And the fact

remains that some of the bottlenecks in the plant I think they've been taken care of by the mega stores as far as incoming logistics and as far as the small pump business is concerned, there's no visibility for you in the order booking because as made-to-stock, we deliver exactly everything in the same month. So, we are quite happy to see the way things are moving ahead and I am sure we will be able to meet your expectation.

Anisha Walia: Last question is just on bookkeeping, sir. Other income in this quarter was higher than last three quarters average of around Rs. 7 to Rs. 8 crores and in this quarter we did around Rs. 36 crores.

So, if you could help to understand what led to that?

Ravish Mittal: So, in terms of other income, we have some income from our current investments and also there is a FOREX gain, it was not there in the last year. So, we have a FOREX gain from our international entities and the investment income that these are the two contributors.

Moderator: Next question is from the line of Harshal from Renaissance Investment Managers. Please go ahead.

Harshal: How do you see the demand environment as of today looking that the elections are going on?

Sanjay Kirloskar: Is that a short term or a long term question?

Harshal: In the near term, say six months, eight months.

Sanjay Kirloskar: How do I see the demand? Well, quite a large portion of our customers have already factored in

what is going to happen. We don't see any fall or anything like that.

Harshal: So, our enquiries are the same way as it was two months back or three months back?

Sanjay Kirloskar: Yes, enquiry levels are the same.

Moderator: Next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: So, my first question is to Alok. Given this context that our order inflow has been in the range for the last five, six quarters. This is for KBIBV specifically. Any comments on the demand side there? And second is I mean we have a large presence outside and in the presentation we speak about leveraging localized global presence, right. And I believe in the past couple of years we used to do a lot of firefighting, solving a lot of operational issues, which seems to be behind us.

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So, one, how do we move forward from here and anything on the internal part which is yet to be solved for?

Alok Kirloskar: I think the order book position like you said is already visible. I think the order book is stronger this year same time compared to last year same time. We expect obviously the number of inquiries also seems reasonably strong. Someone asked me earlier for oil and gas. And while obviously oil and gas exposures reduce, obviously, the number of opportunities is rising and so we see opportunities there and that's an area also that we are well positioned and so we will look to take the benefit of that while things are around because as you know it's usually a five year cycle that goes through boom and bust at least from an international point of view. So, five or seven years, depending on the situation. So, I would say that really it does look interesting. At the same time as you know, many countries are now becoming a little bit more nationalistic. America has put in something called Build America, Buy America Act (BABA) which is a new thing that they've introduced. And if companies want to take advantage of the Inflation Reduction Act, which they've instituted, that give all kinds of benefits to companies, then they have to buy products that are complying to BABA. So, obviously our products are made in America and we have the Made in USA Stamp on the products. So, we are compliant in that area. So, we make all the products in America. So, we're complying in that area. Similarly, our products are meeting carbon border adjustment mechanism rules within Europe. As you know that's a new non-tariff barrier that's been put into Europe and it started, but it's not being enforced till next year. So, it will come into effect from next year, when they'll actually charge the duties. Right now, they're just making the notings of which goods are coming in and what level of carbon there is in there. So, I would say that from that point of view, we hope that if these rules are enforced effectively by all these countries, then we are, as we've always said, in the trading blocks in terms of place where they're located, we believe they're located in the right area. So, we should hopefully be able to take advantage of local demand and probably then expand into new sector. And to your point, yes, we start in some sectors, and we add new sectors. And we are also looking on the operation side to further streamline. While the UK plant and US plant are more streamlined, I think there's a unique issue of an engine supplier not supplying, but that's not to do with us, we need to do with a large engine supplier who's not supplied 1,360 liter 5,000 horsepower engines and many of them are close to a year late. But internally our operations are much more streamlined. But the same concept because we have a lot of digitization on the shop floors in the UK, the same concepts we're rolling out into other areas, we already rolled out into America last year and we will roll those out into

o Thailand and the Dutch plant this year. So, from that point of view, we hope that that same level of synchronization will happen in those areas. Does that answer your question?

Pratik Kothari: Yes, it has. My second question is on margins. I think we have come a long way from what we used to do 2-3 years back and I believe we have an aspiration which is higher, and I believe

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operational efficiency will be an ongoing journey, it's more of a journey than a destination. So, if you can talk about what else is left in terms of capturing, anything that we are working on or is it just now stronger growth which will now start reflecting in EBITDA margin?

Alok Kirloskar: Yes, I think a lot of the work is being done as a regular process. Like you said, it's more a journey than a single thing. And so various improvements are being made, but obviously, as you would expect for operating leverage, as the volume starts going up, we get a lot better benefit from it. So, that's definitely a feedback.

Moderator: Ladies and gentlemen, due to time constraints that will be the last question. I will now hand the conference over to Ms. Rama Kirloskar for closing comments.

Rama Kirloskar: I would like to thank all of you for your kind words and good wishes. I want to emphasize that KBL has strategically invested in ground-breaking digital ventures such as AR, VR, AI, Internet of Things and 3D printing over the past decade. These investments not only sharpen our technological edge but also enhance revenue streams within our services. We take great pride in being the sole company to design and manufacture our products in India, catering to global customers with unparalleled quality, performance and punctuality. Our reputation for producing efficient pumps and our dedication to innovation and quality remain integral to our global business. Moving forward, we remain committed to a multifaceted approach to value creation, aiming to strengthen our market position with profitability and maximize our potential thereby delivering value to stakeholders. We're in the process of laying the foundation for our transformation, for bolstering competitiveness and achieving sustainable growth. Thank you for joining the call. If you have any further enquiries, please get in touch with any of us or with Strategic Growth Advisors, our investor relations partner. Thank you.

Moderator: On behalf of Kirloskar Brothers Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

SEC/ F: 2 4 August 09, 2024
BSE Limited National Stock Exchange of India Ltd.
Corporate Relationship Department, 5th Floor, Exchange Plaza,
2nd Floor, New Trading Ring, Bandra (East)
Phiroze Jeejeebhoy Towers, Mumbai – 400 051.
Dalal Street, Mumbai – 400 001.
(BSE Scrip Code – 500241) (NSE Symbol - KIRLOSBROS)

Dear Sir/Madam,

Sub: Transcript of Conference Call with Analysts / Investors on Unaudited Financial Results for the Quarter ended on June 30, 2024

Ref: Regulation 30 & 46 read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

This is in continuation of our letter dated July 29, 2024 giving intimation of the subject mentioned conference call and subsequently furnishing the web link for accessing the Audio recording of the said conference call vide our letter dated August 05, 2024.

In terms of the subject referred regulations please find attached the transcript of the Conference Call held on August 05, 2024 with Analysts / Investors on Unaudited Financial Results of the Company for the Quarter ended on June 30, 2024.

Please note that the said transcript has also been uploaded on the website of the Company (www.kirloskarpumps.com) which can be accessed at the following link:

Link: <https://www.kirloskarpumps.com/investors/analyst-meeting-transcript/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KIRLOSKAR BROTHERS LIMITED

Devang Trivedi
Company Secretary
Encl.: As above.

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"Kirloskar Brothers Limited
Q1 FY '25 Earnings Conference Call"
August 05, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 5th August 2024 will prevail.

MANAGEMENT : MR. SANJAY KIRLOSKAR – CHAIRMAN AND
MANAGING DIRECTOR –KIRLOSKAR BROTHERS
LIMITED
MR. ALOK KIRLOSKAR –MANAGING DIRECTOR –
KIRLOSKAR BROTHERS INTERNATIONAL B.V.
MS. RAMA KIRLOSKAR – JOINT MANAGING DIRECTOR
- KIRLOSKAR BROTHERS LIMITED AND MANAGING
DIRECTOR OF KIRLOSKAR EBARA PUMPS LIMITED
MR. RAVISH MITTAL – CHIEF FINANCIAL OFFICER –
KIRLOSKAR BROTHERS LIMITED
STRATEGIC GROWTH ADVISORS – INVESTOR
RELATIONS ADVISORS – KIRLOSKAR BROTHERS

LIMITED

Kirloskar Brothers Limited
August 05, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Kirloskar Brothers Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Kirloskar, Chairman and Managing Director from Kirloskar Brothers Limited. Thank you, and over to you, sir.

Sanjay Kirloskar: Thank you. Good afternoon, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to everyone who is joining us on our call today. I hope you've had an opportunity to go through the financial results and the investor presentation which have been uploaded on the stock exchanges and the company's website.

On this call with me, I have Mr. Alok Kirloskar, Managing Director, Kirloskar Brothers International B.V.; Ms. Rama Kirloskar, Joint Manager Director KBL and MD Kirloskar Ebara Pumps Limited and Mr. Ravish Mittal, our CFO as well as Strategic Growth Advisors our Investor Relations advisers.

Let me begin my remarks by giving some business highlights. The KBL Board has approved the sale of the company's entire stake in the Kolhapur Steel Limited, the nonmaterial wholly owned subsidiary to Karad Projects and Motors Limited. This sale aims to attain a more straightforward corporate structure, enhance operational and managerial efficiency, leverage combined assets for a more robust and sustainable business and realize cost savings while efficiently utilizing valuable resources.

We have started financial year 2025 on a positive note. On a consolidated basis, Q1 of FY25 has shown growth in revenue and profitability. We achieved revenue of INR1,031 crores, showcasing a growth of 15% compared to the same quarter in the previous year. This increase underscores the strong demand for our products and services across various segments. Our EBITDA for this quarter grew by 10% on a year-on-year basis to INR127 crores.

Let me now begin with an overview of our domestic business performance including standalone and other domestic subsidiaries. For the first quarter of Fiscal year '25, we've achieved year-on-year growth of 18% reaching a total revenue of INR687 crores. This strong growth is primarily driven by sustained demand for our made-to-order and engineered-to-order products.

In addition, there has been an increase in made-to-stock orders which has further supported our overall growth trajectory. Additionally, we've benefited from a decline in raw material prices which led to gross profit margin expansion. Our robust order book and strategic focus on business prospects have positioned us well for the future. We maintain our growth guidance of Kirloskar Brothers Limited

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achieving double-digit revenue growth in Fiscal year '25 compared to Fiscal year '24 within our domestic business.

As of June '24, the value of our standalone pending orders stands at INR1,956 crores, indicating a healthy pipeline. And again I'd like to remind everyone on the call that the made-to-stock business does not have any order backlog. Furthermore, we are witnessing a sequential uptick in key segments including Marine & Defense, Building & Construction and the Industry segment. On the international business for the quarter

we reported a growth of 9%. Our key subsidiary

SPP Pumps U.K. experienced a decline in growth due to delays in order execution caused by supply chain issues. These orders are expected to be fulfilled in the coming quarters. Meanwhile, Kirloskar Brothers Thailand Limited sales improved with the execution of a large order for concrete volume pumps worth THB 150 million which had been delayed in the previous quarter. SPP U.S.A. reported a revenue growth of 14% on a year-on-year basis with a keen focus on our business prospects supported by our robust order book we are optimistic regarding our future growth prospects. Our overseas pending order book stood at INR1,031 crores. With this, let me invite Mr. Ravish Mittal, our CFO to discuss the financials.

Ravish Mittal: Thank you, sir for the warm welcome. Good afternoon, everyone. Let me start sharing the consolidated financial performance highlights. So on a revenue front, net operations from

revenue for Q1FY'25 grew by 15% year -on-year basis to INR1,031 crores. On an EBITDA front, our EBITDA for Q1 FY '25 grew by 10% on a year -on-year growth of 10% to INR127 crores. Our EBITDA margin stood at 12.3% for Q1FY25 . During the quarter, we observed an increase in our other expenses.

Primarily, these are attributable to our investment in the technologies and system automation for the growth in the future. These investments are aimed at enhancing our operating efficiency and supporting our long -term growth objectives. Additionally, there is some uptick in our employee expenses which has been largely due to annual salary increments and associated provisioning for the retirements.

Our profit after tax front, our PAT for Q1 FY25 grew by 3% on a year -on-year basis to INR66 crores. This is the performance of our consolidated financial results. That is from our side. We can now begin our question -and-answer session. Thank you so much.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Chinmay Kabra from Emkay Global Financial Services. Please go ahead.

Chinmay Kabra: I just wanted to gain an understanding about the other income. It has grown exponentially by 178% on a Y -o-Y basis. So is there any one -off maybe reversal of provision or what is the nature of other income? That is what I just wanted to know?

Ravish Mittal: This is mainly our income from investments. As you can see from our cash flow that investments have grown over the quarter as well as last year. So this is mainly the interest income and investments from mutual funds.

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Chinmay Kabra: Understood. And other than that, I just had one another query I'm sorry if I missed it. But the profit from the associates has been negative INR51 million this time. So could you please just let me know which specific subsidiary or I mean basically which company does it involve to?

Rama Kirloskar: Yes, this is Rama Kirloskar here. That essentially is from Kirloskar Ebara. They had a huge INR100 crores order that did not go out. It will go out in the next few months. So that should be taken care of. I hope that answers your question.

Chinmay Kabra: Yes. So just regarding the order, is there any reversal of income that is taking place because of which there's a negative flow into the financials?

Rama Kirloskar: Can you repeat your question, please?

Chinmay Kabra: So what I'm just trying to understand is, it's because of the INR100 crores order that was previously booked in the books of the subsidiary? Or this a reversal of profit or the nature of the...

Rama Kirloskar: No, no, it's not a reverse profit. The order was not dispatched. It is delayed into the next month.

Sanjay Kirloskar: The execution of the order was delayed for the next quarter. We were unable to dispatch it within the time period.

Chinmay Kabra: Understood sir.

At present date, we can probably assume that this has been dispatched and will reflect in Q2 FY '25, right?

Rama Kirloskar: Yes, exactly.

Chinmay Kabra: Thank you. Those are my questions.

Moderator: Thank you. The next question is from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund. Please go ahead.

Renjith Sivaram : Sir, just wanted to understand this other expenditure that has increased, is that something that is pertaining to this quarter? Or will this be something which will continue to recur so that we should be pursuing that the other expense for the whole year also will be higher compared to last year because of these are some systemic changes which we are doing?

Ravish Mittal: So essentially, since you asked about other expenses, see we are actually spending money into technological upgradation and a lot of new programs in terms of automation of a lot of projects. So these are the expenditure, which are one time, and these are going to benefit us in future quarters.

Renjith Sivaram : Yes, so can you just elaborate on the technological investments and like what are these so that will help us in understanding that?

Rama Kirloskar: So we are moving towards specific IT projects that are going to help in efficiency improvements and operational improvements. So those will be onetime costs, which we are incurring this year.

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Renjith Sivaram : Okay. And the second question from my side will be like what is the outlook regarding the overseas businesses? Like how do you see...

Rama Kirloskar: Sorry, we can't hear you.

Renjith Sivaram : What's your outlook regarding the overseas business?

Rama Kirloskar: Outlook for overseas business.

Alok Kirloskar: I think that generally the order book position is still quite strong, as you can see. And year-to-date we've had a little bit of delay on many jobs as has been outlined in the presentation. We believe the outlook still remains quite strong.

Renjith Sivaram: Okay. I will joint for further questions. Thanks so much.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Sir, my first question I mean historically we've managed to always grow our bottom line much faster than our top line, I mean, given the historical investments, etc that we have done. So one comment on anything that has changed or any dues which had to be expected as already done, especially I'm asking from the international subsidiary point of view?

Alok Kirloskar: Can you repeat the question because I could not understand what you said?

Pratik Kothari: Sorry. My question was historically, we have always grown our bottom line much faster than our top line. I mean our operating leverage, etc which used to play out which we have not seen this quarter. So some comments on, should we expect the same going forward? And especially in international subsidiary, I mean, while we have grown our top line, but our EBITDA has stayed flat?

Alok Kirloskar: Yes. I think a lot of that is because many large projects have not moved out as planned. So that has impacted the numbers because a lot of the costs, obviously, were already absorbed on those jobs. So as they go out, the situation should change. That said, I'd like to also say that even though large jobs have not gone out, I think like you mentioned earlier, we've tried to build the foundation in a way that has allowed consistent returns through various other kinds of daily businesses.

Pratik Kothari: Sir, regarding the supply chain, I mean, we saw this beginning in Ebara, also in SPP U.K. for the last 2, 3 quarters, there has been some delay. Is it specific to some kind of orders, is it something on our side? Is it something from customers? If you can highlight what is causing this delay?

Alok Kirloskar: It's to do with an A

merican engine supplier. And it's mainly them. And that, as you would know, what we're selling are large offshore packages, quite a few of them, in fact. And they are almost 13 or 14 large 60-liter engines, which is 60,000 CC engines, 13 of them, which are delayed, and it's causing a huge problem for us.

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And they also had some issues with how they had built them, so they went back and forth. So really, it's these that have caused a problem to us. But slowly, they have arrived at the facility in the U.K. And now they're in the manufacturing process for the rest of the items, which are our pumps, basically that will be assembled along with them.

Rama Kirloskar: As far as the Kirloskar Ebara is concerned, I think as said earlier that in the oil and gas segment, particularly in the domestic market, the demand has increased substantially, but the vendor base available in terms of bought-out components such as mechanical seals, flame-proof motors, fabrication. They are very limited because we have to choose from the approved vendor list that EIL publishes in the tender. So because there are not enough vendors, we are getting to a situation where there are capacity constraints, and so there are delays in dispatch of the consignments. Because we don't get our components, our bought-out components in time.

Pratik Kothari: All right. Is this specific to the new products or this is across the supply chain?

Rama Kirloskar: Specific to the oil and gas segment in India.

Pratik Kothari: Okay correct. And just 1 clarification regarding I mean we use three terms something AMCs, framework and subscription. If you can clarify what is the difference between these 3 models which we have?

Alok Kirloskar: The framework models are where we have management of a site. So like I have mentioned, we have now almost a little over 110 sites under management outside India, which is where we manage all pumps on that site between a 3-year and a 5-year contract. So really, that is what is our framework agreement. And the framework agreement includes all kinds of services that we provide on that framework and these could be remote diagnostics. They can be updation of the products, it also includes putting the entire site where all the pumps are into a digital format like augmented reality.

And the subscription is just where we provide remote diagnostics as a service to a particular site or we provide augmented reality as a service to a particular site, but we do not have a site under management.

Pratik Kothari: Correct. And last question to Alok-bhai I mean just in general internationally, if you can talk about the demand trends across geography, across product segments that we are present, U.S., U.K., Thailand?

Alok Kirloskar: Can you repeat the question?

Pratik Kothari: Yes. It's regarding I mean, our international subsidiaries, if you can highlight the kind of demand trends that we see across geographies and across product segments that we are present in?

Alok Kirloskar: In the international geography?

Pratik Kothari: Yes, yes.

Alok Kirloskar: So I mean, at the moment, if you look at what we operate in, as I've always said, in the U.S., we operate in the municipal and fire markets in the U.K., we operate in industrial fire, oil and gas

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and water markets. In the Netherlands, we operate in the midstream oil and gas, chemicals and water market. And in Southeast Asia, we operate in the water and fire markets and industrial markets.

And in South Africa, we operate in mining, industrial and fire market. So that's the basic markets we operate in. We don't operate in all markets in all countries, like I said before. And if I now start again from the U.S., the special areas where we're seeing demand in the fire and the municipal market is both around

special pumps for data centers, pumps for battery production, fire pumps and fire packages in the area of battery recycling both in the context of EV vehicles. And then we see municipal demand, which is the big packages that go for city water supplies. That's an area we're seeing demand growth in America. In Europe, we're seeing growth mainly around our water business, both in the Netherlands, the Benelux region as well as in the U.K., where there are a lot of resilient schemes going on for water.

As you may have already heard, a lot of water companies have been pushed now by the government to invest, especially after the whole issue with Thames Water, where Macquarie took out large dividends and the company is in not a very good shape. So the government has really been pushing all the water companies to invest large amounts of money because they're all private companies. So we see demand there on the water products.

We also see demand on our services business because we manage the framework contracts, which is the framework contracts for most of the water companies exclusively, except Thames Water. And we manage all brands of pumps for them for service and maintenance. If we come to the Southeast Asia, we see demand again in data centers for fire. We see in warehousing for, again, fire applications.

And we see demand in the Chemicals segment at the moment. Those are the key segments where we're seeing demand. In South Africa, mainly in mining, we're seeing a pickup again in demand for pumps and in fire. Does that cover all the areas you're looking for?

Pratik Kothari : Yes. All the best.

Moderator: Thank you. The next question is from the line of Ishita Lodha from Svan Investment. Please go ahead.

Ishita Lodha: Congratulations on a good quarter. My question is with respect to the restructuring that has been planned for the stake sale in TKSL to KPML. Just want to get your sense on the rationale behind the same?

Sanjay Kirloskar: So we've looked at the complete organization structure and we felt that we should have fewer subsidiaries. So to that account we have also closed Rotaserve in Mozambique as one of the subsidiaries. And we felt that bringing together -- like I said in my opening remarks, bringing together the two Indian subsidiaries of KBL would help us realize cost savings. They're both located close to one another and would also help us improve operational as well as managerial efficiency.

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I think if you have been on earlier calls, quite often we've been asked why our company has so many subsidiaries. So we are really looking at each one and trying to see how we can combine resources in order to ensure that we can work together better.

Ishita Lodha: All right. Thank you.

Moderator: Thank you. The next question is from the line of Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari: Congratulations sir to you and your team, Rama and Alok for really a very good transformation of the organization during last 3, 4, 5 years' effort and moving towards really respectable profitability. Sir, my question is mainly regarding all of you 3 would -- what will be your focus area for next year or 2 where we internally want to say, like Rama talked about supply chain, some issues locally, international also there are some issues. We have -- we are increasing our IT investment, our automation and all these things. So which are the areas we want to strengthen over a year or 2, if you can talk will be really helpful?

Rama Kirloskar: So I think the two areas that I would look at would be enhancing our operational efficiency,

which I've mentioned many times earlier, through digitization, through automation and really enhancing our productivity and as well as our market penetration. So we are continuously working on enhancing our footprint in the market.

Alok Kirloskar: The point

I'll add is that the objectives are similar whether in India or overseas. I mean we look for better penetration and operational efficiencies, and also investing in our key areas, which give us regular business. And these could be on the product side, something like AP -OEMs or they could be something like services, which ensure that we get predictable and visibility on business from a year to year and multiyear perspective because that's really what will help us going forward.

Sanjay Kirloskar: And I think what we've been able to show over the last quarter or more is our initiative for artificial intelligence, AR, VR, which is really moving the company into a very different orbit as regards service to our customers. So that's the other one that we are doing. I think you might have also read in the annual report, which was sent a few days ago that KBL is actually making products which have efficiencies, which are better than many companies in the world.

We were probably the first one to achieve European minimum efficiency index norms. I believe we are the only ones in the world at the moment who put that number on our nameplate, the pump nameplate that they can test it and they can check it out that we meet the latest European efficiency norms.

And this is we did something with LLC pumps a few years ago, lowest lifecycle cost pumps a few years ago. So we're trying to see how our product efficiencies are amongst the best in the world so that the market recognizes us as a company, which provides technologically superior products. I was actually very happy to read in the newspaper that one of our German competitors had decided to now upgrade their series.

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We've introduced our series almost a year ago. Now they are going to look at and spending a lot of money. And it's in the news to bring it up to the standards that we have already achieved. So these are the three things that we are doing, improvement of products, product efficiencies, the process industries within the company, whatever be the process, looking at sustainability and ensuring that we have a far greater reach in the market.

Sunil Kothari: Great sir. Thank you and wish you good luck. Thank you very much.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Sir, any plans of entering into solar pumps?

Rama Kirloskar: We already supply solar pumps. But like we've mentioned many times, we actually supply them through system integrators because that ensures that we get our money on time.

Mahesh Bendre: Because the opportunity seems to be very high, I mean, given the number of installations government is talking about. So do you think significant growth from us?

Rama Kirloskar: We would not want that sort of growth at the cost of not being paid. I mean I think we've already burnt our fingers once with our EPC business, and we don't want to be in that sort of a situation here.

Mahesh Bendre: Sure. And ma'am, there is a lot more talk about the nuclear power plants. So pump is very important equipment goes into that. So how do you see that opportunity unfolding for us?

Sanjay Kirloskar: I think the nuclear opportunity is something that our company has been looking at for a long time and also participating in. We -- I was very happy when -- I think I mentioned this last time also, that our Prime Minister visited Kalpakam, to see the progress on the fast breeder reactor.

Our primary and secondary heat transport pumps are running over there and I am looking forward to that plant being commissioned. I believe that going forward, they will require such - a few of them, not too many, but a few of them in the future to breed fuel.

As far as the fleet order is concerned, we have started getting orders for pumps that are required. We are also developing quite a few

new pumps for the fleet order. And we believe that we will be able to participate in a big way in that program as well. There are -- I think, in the budget speech, our Finance Minister did mention that government was very keen to have greater power generated through nuclear power plants and whether it is the 220 -megawatt or 500 -megawatt or 700-megawatt units, I think for all of them, we have products in the primary and secondary circuits, for which we should be getting orders.

Mahesh Bendre: Sure. Thank you so much sir.

Moderator: Thank you. The next question is from the line of Saurabh Mehta from East Lane Capital. Please go ahead.

Saurabh Mehta: Thanks for the opportunity. I had a few questions on the stand alone business. So sir to start with we've done very well in the stand alone revenue growth has been very strong. So just wanted to

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understand which areas or which segments have done really well. And do we continue to see strong inquiries from there?

The second question was on the thermal power opportunity. You've explained the nuclear power, but thermal power also government's basically targeting 80 gigawatt so -- and BHEL is getting most of the orders. So do they do in-house everything or that could be an opportunity for us. And the third question is on the river linking and the flood control investments, the opportunity from there?

Sanjay Kirloskar: Yes. So we normally do not give breakups of sector-wise performances or -- other than I think we give you the order board, but I can say that in all sectors, we are seeing a great amount of positivity. And as far as thermal power is concerned, we've already received orders for some projects. I think Mr. Adani's projects, we have received orders from, from the other projects also, BHEL does make pumps. They don't make all the pump. And we expect that like earlier, in earlier years, obviously, it will be through a tendering process that we believe that we should be in a good place to get orders for various types of pumps in the new thermal power plants that are coming up.

Saurabh Mehta: Sir, also on the river linking and the flood control, that also, I think, is a good opportunity for us. So is there anything or is it still quite far away in terms of orders for us?

Sanjay Kirloskar: For flood control, actually, we've just delivered our second concrete volute pump system in Bangkok. But yes, whether it's irrigation or flood control, we do get orders from time to time.

And we have delivered a very large number of pumps for irrigation schemes in this quarter as well as in the last -- I mean in the last quarter that we are discussing as well as in the last year.

Saurabh Mehta: Got it. Sir, now can we discuss the service business offerings which we have? And also, if we can explain, for example, if there is a municipal corporation order, INR100 order, what could be a sustainable service component of it, which we can like get out of it on a sustainable basis?

Alok Kirloskar: At the moment, I think most of our -- if you're asking like a maintenance -- are you asking about maintenance and long-term service...?

Saurabh Mehta: Yes, service and maintenance for the domestic market, yes.

Rama Kirloskar: Are you talking about framework contracts or usual service business?

Saurabh Mehta: No, usual service.

Sanjay Kirloskar: In the domestic market?

Saurabh Mehta: Yes.

Sanjay Kirloskar: I don't -- where we had done projects earlier over there, I think we have a few service contracts. But otherwise, the municipalities usually have some local service providers. And they buy the spare parts from us. So the spares is sustainable, but it is done through local service providers.

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Saurabh Mehta: Got it. Sir, this Kolhapur Steel, this company continues to report some small loss

es. So I think

earlier, they used to be focusing on power sector, but we had diversified more sectors to get more business and so what's our outlook on this subsidiary?

Sanjay Kirloskar: We are quite bullish about Kolhapur Steel in light of the fact that the power sector is looking up again. And whether it's thermal or nuclear or things that require large pumps in low-carbon steels or any other exotic materials, that's where Kolhapur Steel steps in. So we just felt that we would be able to grow this business going forward with the way things are looking up.

I think Prime Minister has declared 2047 as the year of Viksit Bharat. And I think there was -- there have been a lot of discussions on how much power generation capacity would be required. And if we are currently at 450 gigawatts of generation capacity, I think the number that people have generally accepted for 2047 is 1,000 gigawatts.

When you look at the fact that quite a large amount of that is going to be coming through renewables but there's still going to be a need for baseload power generation. Both nuclear as well as thermal power plant will play a large part. Maybe nuclear will play a bigger part going forward. So these castings are required, steel castings are going to be required. And we, therefore, feel that Kolhapur Steel has a good future.

Saurabh Mehta: Got it. So sooner or later, these losses should stop, and we should have good opportunity?

Sanjay Kirloskar: Yes. I think it will start sooner than later.

Saurabh Mehta: Got it. Sir, last question is, we've spoken about this some onetime investments in technology. If that amount can be quantified, that will be very helpful.

Ravish Mittal: There are various projects which we are working on. We cannot specify a particular amount. Various digitization projects are on. And technological upgradation projects are on. Essentially, the IT projects, which helps building up relationships with our supply chain partners also. So

various projects, which is going to help us to sustain the volume in future and take the operational advantages in future.

Saurabh Mehta: So should we assume this INR150 crores kind of number which we've seen in this quarter, this should go on this year?

Ravish Mittal: Sorry?

Saurabh Mehta: This INR150 crores, which we've spent in this quarter in other expenses. This is a number which will basically -- this will continue. There's no one-off in it, which was much higher this quarter versus the -- because last year, it was only INR118 crores. So...

Ravish Mittal: Yes, but some of it is onetime cost. So it may not be that it may recur continuously. These are some of the projects, which was like onetime which we have started on, but there is definitely some recurring cost on the licenses and other things will continue.

Saurabh Mehta: Sure. That's it from my side. Thank you so much.

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Moderator: Thank you. The next question is from the line of Harshil Shethia from Renaissance Investment. Please go ahead.

Harshil Shethia: What kind of opportunity do you see in the nuclear power industry? So -- and it's a INR100 crores spend in a power plant for nuclear, what would be the quantum of orders that Kirloskar as a company would get?

Sanjay Kirloskar: What percentage of orders we get would depend on our products and our services. But if you ask me pumps, we normally say that any project, pumps would be 1% to 2% of the total value.

So if you're saying INR100 crores is going to be spent on nuclear power plant, possibly between maybe around INR2 crores would be spent on pumps.

Harshil Shethia: Okay. And do we have the technology in place for nuclear power? And are we well equipped to service these orders?

Sanjay Kirloskar: So yes, we are very well placed to service orders for pressurized heavy water reactors, light water reactors as well as fast breeder reactor.

actor.

Harshil Shethia: Okay. And any product gaps that needs to be filled? Are you working on that or...?

Sanjay Kirloskar: Whenever the size changes, then there is a product gap. So we have to make that product for that new size. So -- but with the references that we have, I believe that our new products of a different size would be accepted.

Harshil Shethia: Okay. And India as well is planning for many smaller reactors compared to a large one. So what kind of opportunity size do you expect in the next 10 to 15 years?

Sanjay Kirloskar: Like I said, say, if tomorrow, 20% is baseload power generation. And somehow the world decides that they are not going to allow any more coal-fired power plants, whether it's coal or lignite or whatever or fossil fuel. And that entire amount is to go to nuclear, then you would say that 200 gigawatts of nuclear power plants generation capacity is required. And if that is the number, then we have to move up from the present 8 gigawatts to 200 gigawatts.

Moderator: Mr. Shethia does that answer your question?

Harshil Shethia: Yes.

Moderator: Do you have any further questions?

Harshil Shethia: No.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of our question-and-answer session. I would now like to hand the conference over to Mr. Rama Kirloskar for closing comments.

Rama Kirloskar: I'd like to emphasize that we will continue to take a comprehensive approach to value creation aiming to strengthen our market position and boosting profitability for our stakeholders. With the groundwork for our transformation already laid, we are enhancing our competitiveness and

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achieving sustainable growth as we're moving forward. Thank you for your support and for joining the call. If you have any questions, please reach out to us or our Investor Relations partner, Strategic Growth Advisors. Thank you.

Moderator: Thank you. On behalf of Kirloskar Brothers Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2024

SEC/ F: 2 4 November 05 , 2024
BSE Limited National Stock Exchange of India Ltd.
Corporate Relationship Department, 5th Floor, Exchange Plaza,
2nd Floor , New Trading Ring, Bandra (East)
Phiroze Jeejeebhoy Towers, Mumbai – 400 051.
Dalal Street, Mumbai – 400 001.
(BSE Scrip Code – 500241) (NSE Symbol - KIRLOSBROS)

Dear Sir/Madam,

Sub: Transcript of Conference Call with Analysts / Investors on Unaudited Financial Results for the Quarter and Half -Year ended on September 30, 2024

Ref: Regulation 30 & 46 read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

This is in continuation of our letter dated October 23, 2024 giving intimation of the subject mentioned conference call and subsequently furnishing the web link for accessing the Audio recording of the said conference call vide our letter dated October 30, 2024 .

In terms of the subject referred regulations , please find attached the transcript of the Conference Call held on October 30, 2024 with Analysts / Investors on Unaudited Financial Results of the Company for the Quarter and Half -Year ended on September 30, 2024 .

Please note that the said transcript has also been uploaded on the website of the Company (www.kirloskarpumps.com) which can be accessed at the following link:

Link: <https://www.kirloskarpumps.com/investors/analyst-meeting-transcript/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KIRLOSKAR BROTHERS LIMITED

Devang Trivedi
Company Secretary
Encl.: As above.

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"Kirloskar Brothers Limited
Q2 FY '25 Earnings Conference Call "
October 30, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th October 2024 will prevail.

MANAGEMENT : MR. SANJAY KIRLOSKAR – CHAIRMAN AND
MANAGING DIRECTOR – KIRLOSKAR BROTHERS
LIMITED
MR. ALOK KIRLOSKAR – MANAGING DIRECTOR ,
KIRLOSKAR BROTHERS INTERNATIONAL B.V.
MS. RAMA KIRLOSKAR – JOINT MANAGING DIRECTOR
– KIRLOSKAR BROTHERS AND MANAGING DIRECTOR –
KIRLOSKAR EBARA PUMPS LIMITED
MR. RAVISH MITTAL – CHIEF FINANCIAL OFFICER –

KIRLOSKAR BROTHERS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Kirloskar Brothers Limited Q2 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Kirloskar, Chairman and Managing Director from Kirloskar Brothers Limited. Thank you, and over to you, sir.

Sanjay Kirloskar: Thank you. Good afternoon, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to everyone joining us on our call today. I hope you've had an opportunity to go through the financial results and the investor presentation, which have been uploaded on the stock exchanges and on the company's website.

On this call, I have Mr. Alok Kirloskar, Managing Director, Kirloskar Brothers International B.V.; M s. Rama Kirloskar, JMD, Kirloskar Brothers and MD Kirloskar Ebara Pumps Limited; Mr. Ravish Mittal, our CFO; and Strategic Growth Advisors, our Investor Relations Advisors. Let me begin my remarks by giving some business highlights. I'm pleased to report that during the quarter, consolidated revenues grew by 13.4% to Rs.1,036 crores on a year -on-year basis. And for H1 fiscal year '25, consolidated revenues grew by 14% to Rs.2,067 crores.

This increase underscores the strong demand for our products and services across various segments, both domestically and internationally. EBITDA for the quarter grew by 61% on a year-on-year basis to Rs.156 crores with EBITDA margin of 15.1%, an increase of approximately 450 basis points year -on-year.

EBITDA for H1 fiscal year '25 grew by 33% to Rs.283 crores with an EBITDA margin of 13.7%, an increase of approximately 200 basis points. I'd like to highlight that EBITDA margin expansion was on the back of strong performance in domestic business, cost control initiatives and softening of key material costs.

Let's begin with an overview of our stand -alone domestic business performance. For Q2 fiscal year '25, we achieved a year -on-year growth of 15% with total revenue reaching Rs.841 crores. This robust growth was primarily driven by strong demand for our Made to Stock, Made to Order and Engineered to Order products, operationalization of high -pressure molding lines at our Dewas factory and operational efficiency improvements in Kirloskarvadi Factory have contributed to this growth.

During the quarter, we launched a new product, the indigenously manufactured submersible turbine pump for fuel station applications and 13 new models for our small pump business for dewatering, solar and water transfer applications.

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Our solid order book and strategic focus on business opportunities position us well for continued success. We are maintaining our guidance for double -digit revenue growth in fiscal year '25 compared to fiscal year '24 for our stand -alone business. As of September '24, our stand -alone pending orders amount to Rs.1,877 crores, reflecting a strong pipeline.

Furthermore, we are seeing sequential growth across several key segments, including building and construction and industrial sectors. On the international business, for the quarter, we reported year -on-year growth of 12%. Our key subsidiary, SPP Pumps UK experienced strong

growth of 42% year -on-year on account of robust order book execution.

We saw a decline in the revenue of SPP USA and Kirloskar Brothers Thailand, which was due to delays in order execution caused by supply chain issues. These orders are expected to be fulfilled in the coming quarters with a keen focus on our business prospects, supported by the robust order book, we are optimistic regarding our future growth prospects.

Our overseas spending order book stood at Rs.1,103 crores. With this, let me invite Mr. Ravish Mittal, our CFO, to discuss financial performance highlights.

Ravish Mittal: Thank you, CMD, sir. Thanks for the warm welcome. Good afternoon, everyone. Let me start

with our consolidated financial performance highlights. So, on a revenue front, our net revenue from operations for quarter 2 of this fiscal '25 grew by 13.4% year-on-year to Rs.1,036 crores. And for the first half of the year, the net revenue from operations grew by 14% year-on-year to Rs.2,067 crores. Similarly, on the EBITDA front, our EBITDA for quarter 2 grew by 61.1% year-on-year to Rs.156 crores.

While our EBITDA margins for quarter 2 FY '25 stood at 15.1%, which is an increase of 450 basis points from quarter 2 of last year, which is 10.6%. For first half of the year, EBITDA grew by 33.3% year-on-year to Rs.283 crores. While our EBITDA margin for first half of the year stood at 13.7%, which is an increase of 200 basis points over the last year, which stands at 11.7%.

We saw improvements in our EBITDA margin on account of softening of the raw material prices, adoption of various cost-saving measures at various plants and operating leverage, which has played due to improved volume. In terms of our profit after tax, our PAT for quarter 2 grew by 90% year-on-year to Rs.97 crores. And for the first half of the fiscal year, the PAT grew by 41.8% year-on-year to Rs.162 crores.

Overall, PAT as a percentage of revenue improved from 5.6% to 9.3% in quarter 2 and similarly, for first half of the year, it improved from 6.3% to 7.9%. These are the financial results. That is all from our side. We are now open to begin the question-and-answer session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Manish Goyal from Thinkwise Wealth Managers, LLP. Please go ahead.

Manish Goyal: First of all, congratulations on a very good set of numbers and, especially very strong free cash flow generation, what we are seeing.

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Sir, I have a few questions. First, on the stand-alone, I just would like to know like on our strategy of AP-OEMs, how much of our revenue contribution would be coming from AP-OEMs? And how is it improving? And is it because of this contribution, we are seeing gross margin improvement, how much can be attributed to the same?

And on stand-alone numbers, as per cash flow statement, we see that in the first half, we have done provisions of nearly Rs.21 crores versus Rs.8 crores. So what is it pertaining to? And how do we see it going forward? Again, on the cash flow like we have seen a significant decline in receivables from Rs.470 crores in March to Rs.303 crores in September, which is a quite commendable decline. So maybe if you can give us a perspective like is it due to some historical receivables, which we have got retention money or what if you can throw some light? And how do we see it going forward?

On international business, sir, in opening remarks, you did mention that still SPP UK and Thailand continue to see supply chain challenges. So like what is the quantum of revenues, which are getting probably delayed because we have been hearing this for last couple of quarters. And also probably when I look at the presentation the SPP UK seems to have actually recovered in terms of revenue and profit, while

U S operations have seen a decline and Thailand continues to be quite volatile on a quarterly basis. So if you can throw some light on all these regions. And are we seeing revenue mix improvement with higher revenue contribution from services business and how much does it contribute now? I have a couple of more. Consolidation fees other income jumped from in quarter from Rs.2 crores to Rs.14 crores. And if you look at first half from Rs.8 crores to Rs.30 crores. So what is it pertaining to that particular jump? And last question on Kirloskar Ebara, no doubt still if you look at first half share of profit from contribution it seems to be still struggling as far as profit booking is concerned. So if you can throw some light in terms of how do we see it going forward?

Sanjay Kirloskar Thank you, Manish. Thank you for your good wishes as well. Normally, we don't give any breakup of sector-wise or these kind of sales. So I'm sorry that, that policy will continue. But I think you will understand because it's been explained a lot many times earlier that we are in this AP-OEMs basically to ensure that our products are available much faster in the market than we can deliver. And we have possibly the strongest dealership organization. People who've been with us for generation who invest in our products because of the strong demand that is there for our products.

And they are able to convert that into very quick sales for us. So for what we are doing is we are going back towards making pumps and making pumps as you know the material costs when we make our own products will be much lower. And that is why you see a lot of changes that are taking place with regard to gross margin improvement, reduction in working capital, et c.

And the other things that we have done we explained that in Dewas also, we've put in that high pressure molding line to make more castings within. There are improvements in operational efficiency in both Kirloskar vadi as well as the three plants of our small pump business. So with

that, I think what I'll do is since there were questions on international business Kirloskar Ebara as well as financial questions, I will first ask Ravish, who is sitting in front of me to clear up all the numbers that we can give and then I'll ask Alok and Rama to talk about all the questions that you have asked.

Ravish Mittal: So Mr. Manoj, you asked about the other income increase. This is essentially our treasury income. As you can see in our investor presentation, we have now a significant improvement in our current investment and the cash position. So both in domestic business as well as internationally also. So there's basically nothing exceptional other than the treasury income which has grown significantly compared to the last year.

Manish Goyal: And on the provision sir in the cash flow, we see that provision for doubtful debts has increased from Rs.21 crores?

Ravish Mittal: These provisions are part of the normal Ind AS ECL provisioning which we typically do on our project sector. So wherever we have a long-drawn project where the execution and commissioning is also involved. We do have a very conservative provisioning in terms of all our receivables which are there. Of course, there is nothing which is on a risk. Only there are some delays in terms of final conclusion of the project at the customer end. So that's the provisioning which we have of Rs.20 crores in our H1 results.

Manish Goyal: And on the receivables, sir?

Sanjay Kirloskar If I could just explain that. There are quite a few old projects that are open. And from time to time, we are asked to come and complete some part or the other. And then we have to spend the invoice and the money has to be paid and if there is a delay which goes beyond the company's accounting policy then the provisions are made. The money

is all safe, it is just delayed.

Manish Goyal: And on the receivables, sir, the improvement from Rs.470 crores to INR303 crores?

Ravish Mittal: If you would have seen, there is typically a spike in our sales, especially in quarter 4 and the receivables drop is mainly all the collections which were from the March quarter and the subsequent quarters. So in terms of collection we have been very regular in terms of all our receivables outstanding. And that's the reason you'll see a large receivables collection particularly in quarter 2 and first half of the year.

Sanjay Kirloskar I hope you are happy with the number of days of receivables. Yes, Alok, if you could step in Alok Kirloskar: Nice to speak to you again, Mr. Goyal. It's been some time. I will just answer one quick point on your AP -OEMs. I have said it before, but I think you -- because you attend most of our calls you will know, but maybe just for the benefit of others. I think the AP -OEM model was made mainly to help our working capital and cash flow management as well as delivery on time.

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And as you know the dealers stock the large industrial products. They pay us upfront for that stock. So there's no credit term really, long credit term for that. And because we're not doing any packaging of motors anything else the WIP shrink significantly because there's no trading revenues, which also improves our RMSP ratio, raw material to sales price ratio and delivery time is very quick which is a change in how we address the market. So I think all those together really help us achieve quite a few objectives.

Going to our international business, which you asked two specific questions. On SPP Inc, we've had a few supply chain issues around engines. But I would say a lot of it this time on SPP Inc is mainly due to the U.S. election. A lot of finalizations were delayed and are still delayed and a lot of jobs are being deferred by customers in terms of delayed deliveries. I don't think that they don't want it, they are just moving a little slower during this election time and I'm hoping that once it's done, it will move faster.

But obviously, the general expectation of our customer is that they've mentioned, many large -- very large customers is whatever the outcome is the other party is not going to let go so easily. So there will be some confusion for some time after that. And that's why they are all sort of pacing themselves for that outcome what they're sort of banking on. So I would say that's really where we've seen some slowness in the U.S. revenues.

The UK revenue like you said yes they have caught up, but we have not yet dispatched all the locked up revenues from the delayed supply chain. We are hoping that we will release some of it in these quarters like we said even last quarter. We were hoping this last quarter, we are saying

that the next two quarters we will start releasing this and that's really what we're doing. As you can see this quarter, we've caught up a little bit and we're hoping that we can continue on that trend for SPP U K. So that we can be back on track to where we ought to be.

On Thailand, I think that is the third question. Yes, it is still volatile in terms of sales. Second quarter saw good sales because of a large EMA project, which is a storm water project. It is the second repeat job we got for storm water management for the City of Bangkok. And that really helps because that is a big job of concrete volute pumps. But they have some volatility right now because probably unlike the other companies as you know for SPP U K and South Africa, as an example there's a big service base that has grown over the last few years which is probably one of the other questions.

And some of the other companies have a strong distribution base like America, which has a very big distribution base and also like India, w

here we have a strong distribution base through our channel partners. In Southeast Asia, we're still building that like we've been saying and the traction was a little slower than expected, but that really causes volatility for us because then when big projects go out, it causes the revenue to move up and down. While the baseline -- our objective really is to get the baseline stronger with both distribution and service in Southeast Asia.

So I would say that is our objective. Unfortunately, we have not yet achieved that, but we are moving in that direction like we have done in other geographies like US or Europe or South Africa. I think I've said this before, and so I'll say this again, so it's not something new. We

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normally only declare the service revenue for the UK and we've said that it's been growing from 30 and closing on to now the high 30s percentages in the UK turnover. So that's really how the service revenue is growing and we are getting many opportunities in service also with the introduction of AI and a lot of water companies also approaching us for doing AI management of the demand recognition of how they operate their facilities.

So we've got the RFQs from some water companies in the U K who are now interested as a new service in addition to our management service that we provide for the firm. Does that answer all your questions?

Manish Goyal: Yes. The last one may be on Kirloskar Ebara, if...

Rama Kirloskar: Am I audible Manish. Good afternoon.

Manish Goyal: Yes. Very good afternoon.

Rama Kirloskar: As far as Kirloskar Ebara is concerned as I mentioned last time we had some very large orders and because of those incoterms we actually dispatched it at the end of October. So even though we got plant dispatch we were not able to actually realize a lot of those sales. So we should see that in Q3. So I think by the end of Q3, this should be in the positive.

Manish Goyal: And how is the order book at Ebara?

Rama Kirloskar: Order book is quite healthy. It's around -- it's between, I believe between just say around Rs.300 crores and Rs.350 crores. And sorry, your gross margin improvement that you had asked for KBL that's mainly due to our improved sales and the operational efficiency improvements that we have done at KO V and Dewas and we've also seen healthy growth in all three business verticals, Made to Stock, Made to Order and Engineered to Order divisions.

Manish Goyal: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Raj Shah from Enam AMC. Please go ahead.

Raj Shah: Sorry for the trouble. So my question was regarding the employee cost. In the standalone results, employee costs have reduced by say 2.5% from Rs.88 crores to Rs.86 crores. And even in consolidated results employee costs have risen by just 5%. So my question was apart from the operating leverage benefit, what steps are we taking to incrementally save employee costs?

Rama Kirloskar: To optimize what was the last part?

Raj Shah: Yes. Incrementally employee costs are lower. So what steps are we taking over here?

Rama Kirloskar: Well, we have been grooming a lot of the younger part of the management to take on more senior roles. We're also doing a lot of multi skilling in the organization that has really helped to ensure that with the same manpower, you're able to get more productivity. So those are really some of the steps that we have taken to optimize our manpower costs. And in a lot of areas, specifically in the plant we have also opted for a lot of automation. So there has been some redundancy.

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Raj Shah: Okay. Got it.

Alok Kirloskar: We have also deployed a system which we've developed internally for our software system for managing the times and routing times across our facilities.

And this has also helped us get a better picture of the actual requirement of various people, people across different tasks within the factory. So this has also helped us rationalize the requirement of people better.

Raj Shah: This is in the Indian operations or overseas as well?

Alok Kirloskar: This is -- we first started this in the overseas operations. This is fully deployed in most of the overseas operations.

Raj Shah: Okay. Because in standalone, employee costs have reduced when I see Y-o-Y terms. So that's why this question.

Moderator: Thank you, sir. The next question is from the line of Nitin Shaktidher from Green Capital Single Family Office. Please go ahead.

Nitin Shaktidher: Hi. This is Nitin Shaktidher from the Green Capital Single Family Office. Congratulations to the management on the steady set of numbers. My question is in regards to Kirloskar Ebara Pumps. Obviously, the order book is healthy at about Rs.340 crores and traction of revenues increasing as we speak every year.

But I just want to get a sense of is there any new product profile in terms of steam turbines that the company is initiating or any new industries where the company sees a lot more traction from, for example, nuclear reactors and heat transformers there or any certain geographies. Has it moved back to India in terms of order book or are you seeing more traction from outside? Thank you.

Rama Kirloskar: Good afternoon. Thank you for your question. So, we do see quite a bit of traction from both India and export markets, specifically Southeast Asia, the Middle East, also from Canada, USA, that region, we are seeing quite a few inquiries flowing from these areas. New areas that we have launched products for. As you know, this is not just a product you can launch. You need proven track record for it. So, after you develop a new product, you need to supply it to a customer, have around 8,000 hours of operation after which. Some of the new areas we are looking at is fertilizer segment, carbonate and ammonia applications.

We have recently supplied to Assam Biorefinery as well new titanium pumps which is a new metallurgy for us and IOCL Panipat. I believe they have a new kind of facility there with new configurations that they've done with LanzaTech for again bio-refinery. So, these are some of the new areas that we see that will pick up in the future.

Also, I'm not sure whether you read, but we have also now executed one of the longest pipeline projects for Numaligarh Refinery, around 16 pump packages of BB3, essentially going from Paradip port to NRL refinery. We've also done the second stretch from NRL to Oil India, which is already supplied but in the process of being commissioned. So, these are new areas. And of Kirloskar Brothers Limited

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course, these are all milestone projects because this will open up new opportunities for the company in the future because we would have proven track record now.

Nitin Shaktidher: So, anything related to nuclear reactors in terms of fast reactors or in terms of your heat transformer compressors there, any technology which you think the government is pushing on nuclear reactors which is related to your area of expertise?

Rama Kirloskar: Right. So Kirloskar Ebara essentially specializes in API pumps and steam turbines. We don't make compressors. So, it's only pumps and turbines as of now. And we do give a lot of steam turbines in oil and gas applications as well. As far as the nuclear part is concerned, I'll have a new CMD answer that question.

Sanjay Kirloskar: Yes. For nuclear power plants, actually, we make a whole range of pumps and valves right from the primary circuit to the secondary circuit. So, the secondary circuit is very close to what it is in thermal power plant. And we've seen some action power plants, that's coal fired power plant as well. But otherwise, we are -- like I've

said earlier, we're in the process of developing the primary heat transfer pumps for the 800 -megawatt nuclear reactors.

We've through -- along with Kirloskar Ebara already made the main boiler feed pumps for 800 megawatt for the fleet reactors. And the rest of the reactor pumps that are required are already developed or under development.

Rama Kirloskar: So, for nuclear, essentially, Kirloskar Ebara and KBL work together because they have complementary product ranges and they can give the package together.

Nitin Shaktidher: Okay. Great, great. Thank you and Happy Diwali to the Kirloskar family. And that's all from my end.

Sanjay Kirloskar: Last thing I'd like to say is even -- I mean this is pressurized heavy water reactors, but we are capable of developing all kinds of pumps for the light water reactors as well.

Nitin Shakhder: Okay. Got it. Thank you.

Moderator: Thank you, sir. The next question is from the line of Sani Vishe from Axis Securities. Please go ahead.

Sani Vishe: Yes. So, congratulations to everyone in the management. I think the efforts that we have been taking on technology front and cost-control seem to be reflecting in the results now. But I'm sure we have, in past, supported by favorable raw-material prices this quarter as the gross margins have also improved. So, would you be able to quantify how much of the overall improvement in margin came from the raw-material prices? And in case, the raw-material prices rise in future, do we see the margins reverting back at least by some extent?

Sanjay Kirloskar: Could you repeat your question, because we couldn't hear -- I couldn't, and talk a little slowly.

Sani Vishe: Okay. Sure. So, what I'm trying to understand is that, the margin improvement that has happened at EBITDA level has also been supported by softening of raw-material prices. So, I would like to understand what percentage of or what proportion of the margin improvement is driven by

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the raw-material prices. And if the raw-material prices increase in future, do we see the margins reverting back to maybe Q1 level or closer to Q1 level in future?

Ravish Mittal: Yes. So, essentially, it's a mix. It's not only the softening of raw-material prices, it's also the price increases which the market has accepted. There has been some softening of raw-material prices, especially in the steel and we are being able to -- order-on-order basis, to negotiate the prices with our customers and pass-on the increases.

So, even in future also, in case there are commodity prices going headway, we would be in a position to negotiate the contracts with the customers and pass-on these increases in case it happens. And essentially, the EBITDA margin, besides the cost-control initiatives, the rest is basically the contribution of price increases and the material prices softening put together.

Sani Vishe: Okay. So, can we say the current margin levels are sustainable, at least to some extent in near future?

Sanjay Kirloskar: Yes, we believe that they are sustainable.

Ravish Mittal: Yes.

Sani Vishe: Okay. Thank you.

Moderator: Thank you, sir. The next question is from the line of Pratik Kothari from Unique AMC. Please go ahead.

Pratik Kothari: Hi, good afternoon and thank you. So, first question again on margins. And I believe, I mean, we have been making this attempt to kind of improve our efficiencies for a while and we are seeing those numbers now. And then, also this journey, I believe, I mean, this is more of a journey than a destination. So, if you can just talk about where are we in this journey, how much have we achieved? Is there something more that we can do?

Ravish Mittal: We have a very healthy order book position. So, in terms of growth in the subsequent quarters, as CMD sir mentioned in his initial speech that we are looking at a double-digit growth

in the

current financial year.

Pratik Kothari: Sorry, my question was on efficiencies and productivity improvement. We have seen quite some happening over the last few quarters or maybe even a couple of years. So, just wanted to understand in this journey of improvement, where are we, have we achieved most of the low-hanging fruits? Is there more we can do?

Sanjay Kirloskar: Yes, there is definitely more that can be done. We believe that we are at the beginning of this journey and operational efficiencies can be further improved.

Pratik Kothari: Correct. And sir, both on India's side and internationally, if you can talk about the demand scenario, how are things on ground in terms of inquiry pipeline, where are we seeing and some qualitative aspect of how are things panning out on ground?

Sanjay Kirloskar: Alok, you want to start with the international side first?

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Alok Kirloskar: Yes. I can start with international. Yes, I mean, if you look at our two major markets, as I've always said, for international, for KBIBV, 85% of our business comes from the European and UK markets. And the US market, as I mentioned earlier, when I was speaking to Mr. Goyal, there is, of course, a little slowdown at the moment because of the general election situation. Also, some markets that have been quite buoyant, especially the data center market where we supply both the fire pumps as well as the cooling system pumps and booster packages, have seen a little bit of slow movement, because while there is obviously a directional strength there, I

think, as of now, a lot of the data centers which have been built are not yet fully occupied, and they're going through the process of getting occupied.

So, I would say, there is a little bit -- it's a little slower than what it was probably at the start of the year. But generally, I think, the customers at least in our regions there are still generally upbeat. So, I think that as we cross the quarter, we should be able to move in a stronger position, because we do have a strong market position. We have a strong dealer network and distributor network, which we've built over the last many years. So, from that point of view, I think, it's quite positive once we get back into the trends, so to say.

The UK and European market is, as you know, is not the most buoyant market, but we have developed different kinds of businesses where we've made progress. One is the services business and the other is the water business. And there is a big push across Europe and the UK for resilient schemes for water. And as many of you in the financial industry would have heard after the Thames Water debacle, there is again a push from the UK government towards getting more out of the subsidies, they give to the private water companies.

And what is starting now, which is called Asset Management Program 8, AMP8, it's supposed to be one of the largest programs done till date. They've targeted about \$18 billion of spend in AMP8, which is a five-year cycle in the UK and the government has put a lot of pressure on all the companies to invest in all kinds of schemes. And a lot of that is towards clear-water schemes. So, we expect that we should get our fair share of that, because on the clear-water side, till now, we've had a very strong market share of over 80% for pumps. Of course, this scheme is a total capex, pumps is only part of it. But pumps have been a strong area because of our lowest life-cycle cost pumps, which have been appreciated by the UK water industry for not just high-efficiency, but maintenance at a high-efficiency and we've demonstrated that over 15 years that we're able to maintain those high efficiencies.

So, I would say that there are a couple of things, bright spots within the economy and we are present in many of those. And like I said, water is one of them

, data centers is another one of

them. There are some new industrial areas like investments in hydrogen and areas like that, where, again, we have references with both Shell as well as with BP and others.

So, we have engaged in those areas wherever there is new investment happening, even though the overall economy is not the most buoyant. So, I would say that those are areas that we can grow. And of course, our services business, we continue to invest in. So, we do see more penetration in that in the European area.

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In South Africa, we have continued to invest in services and products, and we do see a recovery in the South African market much to our surprise, because historically, it's been quite stagnant. But it's very positive that there is investments happening there, and hopefully, that they will do a lot better compared to where we were, but the business itself has improved margins in South Africa as you would have seen in the numbers, and that's mainly driven by product mix.

Southeast Asia, I would say, is a little -- it's not as buoyant, but we are making penetrations into key markets, one of them, of course, being palm-oil and the other also, in Southeast Asia, is data centers, because there is a huge requirement for data centers in Southeast Asia as well as -- well, it's not the same region, the Middle East. And we are looking at all these wherever we have a strong product portfolio to enter and get a good penetration in.

So, I would say, I don't want to keep talking too long, but I would say, those are the key areas that we have focused on and we do see potential in these markets that can deliver the growth that we expect.

Sanjay Kirloskar: So, if I can talk about India and I'll go sector-by-sector, we're seeing good demand coming in and good requirement -- inquiry funnel for water as well as irrigation. The Company is making, again, a very large number of big pumps.

Another area that we see is the demand for our IoT devices, especially in the irrigation sector, where it is very easy to monitor pumps that are at remote places on your phone and understand the health, understand how they are working, understand if there are going to be any issues. So, this is one area where our IoT device is working well.

Power is the other area. And for India, I think, we need to put up a large number of power stations for base-load generation. Not so much renew -- I mean, renewable is also going to be there, but for base-load power generation, it's both -- right now, I think, the coal-fired power plants are coming in. We've -- like I've mentioned last time, we received some orders. We expect to receive more orders going forward. Oil and gas, Rama explained a little bit, but that, again, we are sitting on a good order board as well as a good inquiry funnel.

Marine and defense, historically, has not been a large sector for us, but increasingly, as with the Atmanirbhar program and the defense needs increasing, we are being called upon to deliver

more and more products into that sector. It tends to be a little lumpy, because it goes with different vessels and when the vessels are launched, but I'm happy that there are going to be many vessels in the future that will only have pumps made by us, all the different types of pumps made by KBL.

Industry sector, I mean, everything from steel to sugar, these tend to be operating on different cycles. So, there's always demand, there's always inquiries from whether it's steel, whether it's pharmaceuticals, whether it's sugar, whether it's -- I mean, coal mines also, we supply through this sector. Something or the other is happening and this sector keeps on growing.

Building and construction, again, it's not just the apartment buildings that are coming up. Our building and construction sector caters to almost all kinds of buildings that come up. S

o, whether

they are malls, whether they are airports, railway stations, hospitals, apartment buildings, office

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buildings, all of them need HVAC, fire -fighting, as well as utility pumps and we are happy that, again, over here, we are able to supply our IoT devices, especially on the fire side.

And we are together with SPP, we are the possibly the largest fire -fighting pump company in the world. We -- as you know, KBL and SPP have multi -stage multi -outlet pumps, which are the only ones in the world that are approved by Factory Mutual. So, there is a global demand for these products.

With the wide population, we are able to have a good after -sales business as well. And our valves business also continues to grow with a good inquiry level and good order book. So, I hope I've explained where we stand as far as inquiries are concerned. I'd say, we are optimistic about the future.

Pratik Kothari: Correct. Great. Thank you so much. Sir, last one, just a clarification on this provisions which we made. So, these are those older projects which we had taken -up some, 10, 15 years back, right?

There's nothing new that we are executing or something that we are doing?

Sanjay Kirloskar: Something or the other happens and they want -- a civil front opens up, they ask us to come and do something and then we do that, or they get something ready from one of their contractors and our pumps need to be commissioned or installed and commissioned and therefore we do that and then wait for the payment. Most of the time we get the payments quickly. Sometimes, and there are large payments, they tend to delay.

Pratik Kothari: And sir, just further on what you mentioned about this India demand and the inquiry pipeline that we have. So, if we look at the last five, six quarters, our order inflow quarterly has been about, Rs.800-odd crores, Rs.900-odd crores here or there. So, in terms of what you're seeing on ground, it seems like the best is yet to come? I mean this numbers which have been stagnant for a while should change materially?

Sanjay Kirloskar: Yes, I think all of us believe that our country is on the right path and going towards greater and greater development. And as one of the major players in our industry, we expect to be there, playing an ever -increasing -- getting an ever -increasing share of the market.

Pratik Kothari: Great. Thank you and all the best, sir. Thank you.

Moderator: Thank you, sir. The next question is from the line of Himanshu Upadhyay from BugleRock PMS. Please go ahead.

Himanshu Upadhyay: Yes. Hi, good afternoon. This question is to Rama. Can you give some idea of what drives the revenue for made to order segment? And the made to order segment is completely from AP - OEMs. And do you think the product mix that we have currently will remain stable in future also, because of what we have seen in last 4, 5 years from 2021? So -- and will that business be also much better margin business as it is -- would be lesser competitive than engineered to order? Some thoughts on that business, made to order.

Rama Kirloskar: So, essentially -- are you talking about the made to order or made to stock business, because...

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Himanshu Upadhyay: No, made to order. I'm talking about made to order business.

Rama Kirloskar: Made to order?

Himanshu Upadhyay: Yes.

Ravish Mittal: So, our -- see the order board, which we have reflected in our investor presentation is entirely consist of made to order business. So, it has a very healthy order book. And as CMD sir explained, I mean, sector by sector, we have a good traction in all the sectors in India in the made to order.

Sanjay Kirloskar: There is no made to stock order board that we show, because...

Himanshu Upadhyay: No, what I am saying is, this Slide 15, okay

, where we see that from made to order has been around 26% to 27%, okay. And the made to stock is 50%. So, the -- we think the product mix will remain similar in future? And the made to order is completely from A P-OEMs business, or -- business -driven by AP -OEMs for us. Would that be the right understanding?

Ravish Mittal: Yes. So, currently, our made to stock business constitute of 50% of the business and rest is made to order and engineered to order. And the ratio currently remains at the same level.

Alok Kirloskar: I'll just add one point maybe to help your understanding. Actually, the AP -OEM business used to be made to order and the -- and it has been converted to made to stock, because the objective is that if it's possible to move made to order into made to stock, then there is better working capital cycles and probably we can also support the customer with quicker delivery, because a made to order business is not the same as an engineered to order business. A made to order business is based on a product that we have in our product family and there is a minor change to it for the duty condition.

So, the objective is to see how much you can move from made to order into made to stock, because that helps quicker deliveries for a customer in a steel plant or cement plant or a pharma plant. Does that put that in perspective for you?

Himanshu Upadhyay: Yes, it is very helpful. And will the margins be better in the made to order than, let's say, made to stock or engineered to order, which would -- because in engineered, it would be always -- bidding business. And made to stock, again, the retail competition is higher. Would that be the case or the margins remain similar to engineered to order and made to stock?

Sanjay Kirloskar: What, our intention is to improve the margins wherever we can. And we will do that as you -- and we have been doing that. So, just to clarify, made to stock is like you're buying off -the-shelf.

Made to order is where that off -the-shelf comes in different colors with different ceiling, with different kinds of bearing, with different kinds of material. So, that is made to order. And engineered to order are those very large pumps, where every customer wants something different.

Rama Kirloskar: So, I -- let me just answer this question. I think your original question was, will the proportion of made to order and engineered to order remain the same going forward, right? So, let's not talk

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about made to stock at all, because those are off -the-shelf products. Made to order, engineered to order completely depends on the product mix of the sectors, all the B2B sectors and the B2G sectors, right?

So, if you have some very large customized products, maybe water irrigation, maybe nuclear, maybe some oil and gas, you'll have a higher engineered to order proportion, whereas if you have more industrial, building and construction or any of the others, then you'll have more made to order. Does that answer your question? It really depends on the product mix of the sectors.

Himanshu Upadhyay: Okay. Yes. That is helpful.

Rama Kirloskar: Yes.

Himanshu Upadhyay: And one thing. We stated last call that there have been supply -chain challenges on the Ebara side, okay, because of the vendors have to be approved by EIL for oil and gas segment. So, are those challenges continuing or is there any way out? And in such cases, are we losing also business or how are the competitors and us be -- seeing the market and growth in that business?

Rama Kirloskar: Those challenges will continue to be there for oil and gas, because we are restricted with the kind of suppliers that we can use. So, those continue to be there and those will be there globally, because all of these are monopolistic global suppliers. So, that's one of the reasons why some of our dispatches were delayed, which is

why we didn't get the sales realization.

Himanshu Upadhyay: Okay. Thank you from my side.

Moderator: Thank you, sir. The next question is from the line of Aayush Rath from Aditya Birla Money. Please go ahead.

Aayush Rath: Hi, thanks for taking my question. And first of all, congratulations on a good set of numbers. So, most of my questions have already been answered. So, Alok sir, you mentioned about the U.K. government taking significant steps in the water market and they are pushing a lot of private companies as well. Sir, could you throw some more light on it, like what kind of opportunity can we see from that?

Alok Kirloskar: So, like I said, the program is called Asset Management Program or Period rather, and it's given to all U.K. companies. As you know, they are private, but the government gives a subsidy to them. Unfortunately, a lot of private equities were taking the money out as dividends and that created problems with Thames Water and others as you may have read in the newspaper. Since then, the government now has become very strict with these companies.

And at the moment, we are starting AMP8 cycle, which starts from 2025 to 2030. The government has allocated 88 billion pounds for AMP8 and different companies are announcing what investment they're going to be doing. This includes pipelines, it includes underground pipelines, all kinds of things, but the objective of AMP8 really is movement and distribution and treatment of clean water as against dirty water.

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So, I mean, in water, there are two segments. One is clean water and one is dirty water, which is sewage and all those kinds of things. But the focus on AMP8 from -- what is visible from the papers today is that it's meant for clean water. So, that means we'll be mainly selling surface pumps for these applications and they'll be bigger sized pumps, because they normally for cross-country transportation of water or for pumps in the treatment of water.

So, I would say that we have opportunity in all these areas. To give you exact number, it will be difficult right now, because as I said, AMP8 starts in 2025. This -- right now, the RFQs are being floated by different water companies. As you know, every region in the U.K. has a different water company and each one of them is floating the RFQs now.

So, it's not yet clear what types of pumps we will supply, but mainly it will be pumps in it and obviously pump related systems to these projects. But these projects, as you know, are -- this is the total EPC value of these projects. So, it will go in phases and it will go into all the way to 2030, this program. So, does that answer your question or not yet?

Aayush Rathi: Yes, it does. I got it, in terms of broader level, what we are looking at. Thanks a lot. That's all.

Alok Kirloskar: Thanks.

Moderator: Thank you, sir. This was the last question. I would now like to hand the conference over to Ms. Rama Kirloskar for closing comments.

Sanjay Kirloskar: Rama wants me to say this. So, in conclusion, we are proud to be the only company designing and manufacturing our products in India for global customers. Known for producing some of the world's most efficient pumps, our commitment to quality and innovation drives our success. With our transformation well underway, we are building competitiveness and aiming for sustainable growth.

Thank you very much for joining this call. If you have any further queries, please get in touch with any of us or with Strategic Growth Advisors, our Investor Relations Partner. I'd like to end by wishing everyone a very Happy Diwali and a prosperous new year. Thank you.

Moderator: On behalf of Kirloskar Brothers Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

SEC/ F: 2 4 February 19, 202 5
BSE Limited National Stock Exchange of India Ltd.
Corporate Relationship Department, 5th Floor, Exchange Plaza,
2nd Floor, New Trading Ring, Bandra (East),
Phiroze Jeejeebhoy Towers, Mumbai - 400 051.
Dalal Street, Mumbai – 400 001.

(BSE Scrip Code – 500241) (NSE Symbol - KIRLOSBROS)

Dear Sir/Madam,

Sub: Transcript of Conference Call with Analysts / Investors on Unaudited Financial Results for the quarter and nine months ended on December 31 , 2024

Ref: Regulation 30 & 46 read with read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

This is in continuation of our letter dated February 06, 2025 giving intimation of the subject mentioned conference call and subsequently furnishing the web link for accessing the audio recording of the said conference call vide our letter dated February 14, 2025 .

In terms of the subject referred Regulations , please find attached the transcript of the above said Conference Call held on February 13, 202 5 with Analysts / Investors on Unau dited Financial Results of the Company for the quarter and ni ne months ended on December 31, 2024 .

Please note that the said transcript has also been uploaded on the website of the Company (<https://www.kirloskarpumps.com>) which can be accessed at the following link:

Link: <https://www.kirloskarpumps.com/investors/analyst -meeting -transcript/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KIRLOSKAR BROTHERS LIMITED

Devang Trivedi
Company Secretary
Encl.: As above.

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Kirloskar Brothers Limited
Q3FY25 Conference Call

February 13, 202 5

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th February 2025 will prevail.

MANAGEMENT : MR. SANJAY KIRLOSKAR - CHAIRMAN AND MANAGING
DIRECTOR , KIRLOSKAR BROTHERS LIMITED
MR. ALOK KIRLOSKAR - MANAGING DIRECTOR , KBI

B.V.; KIRLOSKAR BROTHERS LIMITED
MS. RAMA KIRLOSKAR - JOINT MANAGING
DIRECTOR , KBL & MD, KIRLOSKAR EBARA PUMPS
LIMITED
MR. RAVISH MITTAL - CFO, KIRLOSKAR BROTHERS
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q3FY25 Kirloskar Brothers Limited Conference Call.

As a reminder, all participant s' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this call is being recorded.

Please note this conference call may contain forward -looking statements about the Company which are based on the belief, opinions and expectations of the Company on date of this call. These statements are not guarantees of future performance and involve risk and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Sanjay Kirloskar – Chairman and Managing Director from Kirloskar Brothers Limited. Thank you and over to you sir.

Sanjay Kirloskar: Thank you. Good evening, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to everyone for joining us on our call today.

I hope you have had an opportunity to go through the Financial Results and the Investor Presentation , which have been uploaded on the Stock Exchanges and the Company 's website.

On this call, I have with me Alok Kirloskar – Managing Director , KBI B .V.; Rama Kirloskar – Joint Managing Director , KBL and MD , Kirloskar Ebara Pumps Limited ; and Mr. Ravish Mittal – our CFO, as well as Mr. Devang Trivedi – our Company Secretary. In addition, we have Strategic Growth Advisors , our Investor Relations Advisors on this call.

Let me begin my remarks by giving some business highlights.

I am pleased to report that during the quarter, consolidated revenues grew by 19% to Rs. 1,144 crores on year -on-year basis and for 9MFY25, consolidated revenues grew by 16% to Rs. 3,211 crores. This increase underscores the strong demand for our products and services across various segments, both domestically and internationally. EBITDA for the quarter grew by 32% on Yo Y year-on-year basis to Rs. 183 crores with EBITDA margin of 16. 0%, an increase of 170 basis points year -on-year.

EBITDA for 9MFY25 grew by 33%, Rs. 466 crores, with EBITDA margin of 14.5%, an increase of approximately 190 basis points. I would like to highlight that EBITDA margin expansion was on the back of our constant efforts to create operational efficiencies and good performance in the international business.

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During the quarter, we witnessed strong order receipts in both domestic and overseas order book, which witnessed growth of 19% on year -on-year basis. On standalone domestic business performance for Q3 FY25, we have achieved a year -on-year growth of 3% with revenue from operations reaching Rs. 661 crores. In addition, our subsidiaries KCPL has registered a growth of 75% plus in the quarter, driven by new orders . And Kara d Projects & Motors has registered a growth of 23% plus in a quarter driven by increase in exports business.

During the quarter, 50 new models were launched by the small pump business . A strong order book and strategic focus on business opportunities positions us well for continued success. We are maintaining our guidance for double digit revenue growth in FY25 compared to FY24 for our standalone business. As of December '24, our stand alone pending orders amount to about Rs. 1,874 crores, which as usual excludes the small pump s order book , reflecting a strong pipeline. Furthermore, we are seeing sequential growth across several key segments, including building and construction and the industrial sectors.

On International business :

We have registered growth of 46% during the quarter and 23% during the nine months of this year. This growth is driven by growth

with in SPP UK and the Dutch entities on account of robust order book execution. SPP U S business has seen good traction in data centers, fire and HVAC packages. With a keen focus on our business prospects supported by a robust order book, we are optimistic regarding our future growth prospects. Our overseas pending order book stood at Rs.

1,127 crores.

With this, let me invite Mr. Ravish Mittal – our CFO, to discuss the “Financial Performance Highlights”.

Ravish Mittal: Thank you, CMD sir, for the warm welcome. Good evening, everyone.

Let me share the “Consolidated Financial Results” for the Quarter and for Nine Months:

So on a revenue front :

Our net revenue from operations for the quarter has grown by 8.6% (the correct percentage of growth is 18.6%) on a year -on-year basis to Rs. 1,144 crores. And for the nine months basis, the net revenue from operations grew by 15.6% to Rs. 3,211 crores.

Now on the EBITDA front :

Our Quarter 3 revenue (the correct word is EBITDA) grew by 32.3% on year -on-year basis to Rs. 183 crores. While our EBITDA margin for Quarter 3 FY25 stood at 16%, which is essentially

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an increase of 170 basis points from the last year of Quarter 3 . For nine months basis, our EBITDA grew by 32.9%, which is on year -on-year growth, to Rs. 466 crores. And our EBITDA margin for the nine months stood at 14.5% as a percentage to revenue, and which has an increase of 190 basis points from the last year of nine months.

In terms of our profit after tax, our PAT for the Quarter 3 grew by 43.9% year -on-year basis to Rs. 119 crores. And our 9 months PAT has grown by 42.7% year -on-year basis to Rs. 281 crores.

Now with this, I would like to open the session for question and answer.

Moderator : Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press ‘*’ and ‘1’ on the touch tone telephone. If you wish to remove yourself from the question queue, you may press ‘*’ and ‘2’ . Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We will take our first question from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Yes, hi, good evening and thank you, sir. So first on the international side, I mean, we are seeing the revenue, order inflow, all of them, I mean, doing really well. So if you can just highlight maybe the geography-wise, anything specific that I believe this quarter would be this past supply chain issues which are getting solved, but other than that, even our order inflow is very, very strong. So just what is happening there in the situation on ground, please.

Alok Kirloskar: Thank you, Mr. Kothari . This is Alok Kirloskar speaking. Can you hear me?

Pratik Kothari: Yes, sir.

Alok Kirloskar: So, yes, I think a lot of the growth has come out of the UK and then a little bit from the US and also the Dutch entities. I would say, like we said before, yes, there is some unwinding of some of the supply chain. But at the same time, we see the framework contracts holding the base of the business. While we see a resurgence on water, which is a focus for us, data centers, which is another focus for us. And the third is in new sectors, including areas like green steel, with the carbon border adjustment mechanism coming into effect from next year. A lot of steel companies in Europe are also looking to invest in green steel, which is based on hydrogen, which is where we have a good reference also in Sweden. So I would say these are a few areas that are picked up. In addition to this, I think slowly you also see oil and gas is picking up in terms of exploration side in the Middle East with large expansions from Qatar Energy, ADNOC , especially those two. And I would say that's an area that's

interesting. We have a good traction there, as well as

an uptick on the LNG projects in America, where again, there was clearance , then in the middle, it was blocked by the Biden administration, but it looks like it's again opened up after Mr.

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Trump's come in power. I would say those are the few areas that have sort of supported the order book as well as the general execution of projects. Does that answer your question?

Pratik Kothari: Alok sir, in terms of profitability , we used to track this at the PBT level. Earlier, we had targets of 5%, 10%, 7%. I mean, I believe we achieved that this year and also last year. But how much more is left in terms of the efficiencies or either by increasing service share on the profitability parts of the international business?

Alok Kirloskar: I think when you look at the international business at a whole level, you would see that our Thai business is still not doing very well. So I would say that's an opportunity for us to enhance the numbers. Our Dutch business also, while it is better, obviously this year it's profitable, as you can see from the numbers. It is just marginally profitable. So I would say there is still opportunity there to do better. There are some other areas, like maybe in the US, where we have done a good level of optimization. So really now the additional margins can only come from operating

leverage, which is growing the business now from where we are. And that's what we are focused on in that geography. In the UK, I think we still have a good amount of possibilities with the growth of services. And so in the UK, we are really driving hard on the service business, because that will change the margin profile. As you know, the margin for us is really all about the mix of products. Products and services, let me put it that way. Because the more products we sell, the margin starts deteriorating. So we have to manage that mix carefully.

Pratik Kothari: Correct. And so last one on the domestic side, our standalone business, if a similar comment on that, I mean, we didn't see much execution growth this quarter, and even our order inflow has been range bound for a while. So just if on things on ground, how are things?

Sanjay Kirloskar: As far as the domestic market is concerned, I've always said don't look at us quarter to quarter because we are made to stock, made to order, and engineered to order. So it is going to go up and down quarter to quarter. Like I said earlier in my speech, we are still committed to double digit revenue growth.

Ravish Mittal: And in terms of order book, I mean, if you really see in Quarter 3, we have almost 12% increase in the domestic order booking as well, which is likely to be executed in the fourth quarter.

Pratik Kothari: Correct, but Sanjay, some more colors, I mean, industry-wise on ground, deep water irrigation power, just, I mean, we do hear of some pickup, anecdotally, here and there, of the made-to, I mean, the customized or the engineered products, but how is it for us?

Sanjay Kirloskar: No, we are getting orders. We have got orders for power stations, water and irrigation, orders are coming in.

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Ravish Mittal: And please bear in mind when you look at the order book, there's another part of the business which is a small pump business which is not forming part of the order book. So that is also doing really well. And that is off the shelf business so we don't add it on the pending order book.

Pratik Kothari: Thank you and all the best.

Moderator: Thank you. Before we take the next question, we'd like to remind participants to press '*' and '1' to ask a question. Next question is from the line of Sani Vishe from Axis Securities. Please go ahead.

Sani Vishe: Congratulations on the good results, sir. And thanks for taking my ques-

tion. I just want to

understand what is the CAPEX number for the 9 months and where do we expect to enter by FY25? And what are our plans at the broader level for FY26?

Sanjay Kirloskar: The CAPEX up to now is about Rs. 40 crores. We have always maintained that year on year, we will invest something equal to our depreciation because most of what we are doing is some modernization, some de-bottlenecking. So it normally reaches around Rs. 100 crores by the year end.

Sani Vishe: Any other expansion initiatives or something new that you are planning for FY26?

Sanjay Kirloskar: Any expansion initiative?

Sani Vishe: Yes, so I am not exactly expansion, but I am trying to understand whether we are planning to spend some significant amount on some new initiatives or something that will drive the growth further in FY26?

Sanjay Kirloskar: No, not at the moment.

Rama Kirloskar: We have been like this previous year.

Sani Vishe: Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press '*' and '1' on your phone. We will take our next question from the line of Ravi Shah from VRS Capital. Please go ahead.

Ravi Shah: Hi sir, am I audible? Thank you sir for the opportunity. So my first question would be on our EBITDA margin. So we have performed quite well over here. So are these margins sustainable or what kind of range should we look in the margin trends going forward for this?

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Sanjay Kirloskar: I think what we have said is we will continue to improve all the time. So some quarters, like I gave the answer for the previous question, will be very high. Some quarters may not be as high. But we will continue to expand on our EBITDA margins.

Ravish Mittal: There's a continuous drive on the operating efficiency, so you will see those impacting the EBITDA margins improvement. That will continue.

Ravi Shah: Understood sir, thank you so much. So my next question will be on our domestic business. So it continues to face a bit of challenges and it's raising a few concerns. So could you provide some further insight or what are the factors contributing to the sluggishness within our domestic business? So any trends? Thank you.

Rama Kirloskar: You know, we believe that it's in line with the rest of the market and I think you need to look at

the Company as a whole, not look at it from quarter to quarter because we are diversified across segments, so there is a hedge. There's not going to be a point where every segment in every geography is going to be doing well, but overall we will ensure that we do have those double digit groups. I think you need to see it as in its entirety. That's really the advantage of being diversified.

Ravi Shah: Understood. Thank you so much and all the best. Thank you.

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press '*' and '1' on your phone. We will take our next question from the line of Rajvi Shah from Bright Securities. Please go ahead.

Rajvi Shah: Thank you for the opportunity. I just had two questions. The first one is, which sectors does the Company anticipate will drive future growth and which sectors could potentially impact the performance?

Sanjay Kirloskar: The sectors that could drive growth, I mean, we mentioned last time building and construction that continues to boom, where we are participating with our HVAC, HYPN, firefighting equipment. Industry, like we have always said, has different cycles for different segments, but there also, as far as we can see, our hit ratio is going up. Water and irrigation, earlier we used to be in the project business, now we supply large pumps and the order inflow continues. Then power is something that we are looking at. We have received orders in the last few months for thermal power stations, some very large pumps for thermal power stations which a

re being

installed. And oil and gas, marine and defense, oil and gas for KBL and for marine and defense, they tend to be lumpy because they get orders from time to time. But with the investment that our government is making in defense, I am looking forward to good business in the future. And of course, retail continues to be having strong growth, as Mr. Mittal said.

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Rajvi Shah: Okay, and sir any plans to get into solar pumps?

Rama Kirloskar: We do supply solar pumps to integrators. We don't work directly with the government. The terms and conditions are not conducive for doing business. They are not in line with how we would like to do business.

Moderator: Ma'am, I am sorry, can you come closer to the microphone please?

Rama Kirloskar: Participate, but we supply to integrators. We don't work directly with the government.

Sanjay Kirloskar: I think if I can expand on that, as you know, we have had issues working with state governments, especially in this earlier when we did our projects business. And when we looked at the risk factors for solar pump sets, we see that there are quite a few risks which extend for almost a decade, where the Company that gets the order has to supply the complete system, but the warranty also has to cover the entire system and its repairs for 5 years under component B of PM-KUSUM. The earnest money deposit is also to be placed for about 3% and that has to be replaced with performance bank guarantee, which is valid for 5 years. Installation and commissioning, joint survey to be conducted. Survey report to be given on a fortnightly basis, operations and maintenance, the built-in cost for O&M has to be there, and you have to provide the compulsory maintenance, comprehensive maintenance compulsorily for a period of 5 years from the date of commissioning of the individual system at the site, which could be anywhere in the state. Payment is also released month-wise based on you complying with various conditions, part of which is not in your hands, and most of which is not in your hands. And 10% is to be given after completion of entire projects. So there are delays in collection of funds, very high debtor levels that you may see with companies that participate in this program. And on the other side, a lot of the vendors are small and medium scale, so you have to pay them as per the government's norms. They can also be liquidated damages on the value of delayed installation, up to 10% of the letter of award. So we have looked at this entire business and we felt that it's better to supply pumps for which you get paid immediately by the integrator rather than get involved in projects which go on for years. Does that answer the question?

Rajvi Shah: Yes, sir. Yes, that was really helpful. And just one more last question, if I can. Sir, on the international business, the consolidated revenue growth was well received and driven by SPP UK performance. Could you share insights on how it expects SPP UK to perform going forward?

Alok Kirloskar: I think that, as I mentioned earlier, some of the growth came a little later in the year because of supply chain points that were there earlier in the year. But that said, I think in line with the overall double-digit growth targets that the Company has taken, I think both international as well as domestic are looking at similar targets in terms of growth. Does that answer your question?

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Rajvi Shah: Yes, sir, that was really helpful. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press '*' and '1' on your phone. We

will take our next question from the line of Payal Shah from Billion Securities. Please go ahead.

Payal Shah: Yes, thank you so much for the opportunity. I have a few questions. First, it

was a very good

consolidated performance. Can you highlight what segment internationally helped this growth?

Alok Kirloskar: Outside we had mainly growth from SPP UK, some from SPP USA and also from the European entities. The growth, I mean, if I divided into segments, probably came from services, commercial building services, which is data centers and buildings and things like that. And the third area would be power, mainly power plants coming up in Eastern Europe and Turkey would be probably the overall segment that I would outline. Does that answer your question?

Payal Shah: My next question is, can you explain how does APOEM work?

Alok Kirloskar: So APOEM is focused on a few things. It basically takes our, the objective was to see how to get our made to order business as close as possible to made to stock. And in line with that, a strategy was drawn up with each APOEM based on the geography they are located in and the types of industries in those geographies to have a stock. And so generally our APOEMs, as we have said before, carry between 10,000 and 12,000 large pumps, which are industrial pumps in stock at any point in time. And these large pumps, as you know, are not sold just as pumps. Companies can't buy them just as pumps in terms of end users, because these pumps need something to drive them. So usually a motor or an engine, these have to be installed on a base plate, which is a fabrication, as well as many other accessories. So when you add all these accessories together, usually about 60% to, well, usually 60% is traded material. So what we did was over time, we moved that to the dealers where they add those motors and other things, the trade items basically. And from our point of view, that ensures that our working capital requirements are reduced, our RMSP ratios on sales are far better because they are only selling our own product. And the dealers are paying us upfront on all these transactions. So our cash balance is obviously a lot better because normally as you would imagine, if we sold to a Company directly, the payment terms could be anywhere from 60 to 90 days. So I would say those are the few factors that are changed. So what happens usually is that our revenue obviously goes down a little bit because we are not selling all the traded items, but the margins obviously should be better and working capital utilization is far better in this model. And on the customer side, what normally is a product that takes between 16 and 24 weeks to deliver, today we are able to deliver in the market between three days to one week. So it's a big game changer from the way how a customer sees it, because he doesn't have to wait that long anymore for these kinds of products. So I think that's in a nutshell how an APOEM works. Does it answer your question?

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Payal Shah: Yes. Thank you so much for the elaborate answer. My last question is, have we faced any duties from USA? And if yes, then how are we mitigating the same?

Sanjay Kirloskar: Could you repeat that? There was an echo.

Payal Shah: So my last question is, have we faced any duties from USA? And if yes, how are we mitigating them?

Alok Kirloskar: No, we have not faced any duties in the USA because we add enough value in the USA for all our products to be certified as made in USA. So we are just hoping the duties go higher and higher.

Payal Shah: That's it for me.

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press '*' and '1' on your phone.

Next question is from the line of Manish Goyal from Thin Qwise Wealth Managers. Please go ahead.

Manish Goyal: Thank you so much and congratulations on very good set of numbers on overall business. Couple of questions sir. First on the Alok specific to you on international exhibition. So with strong performance in this quarter, no doubt it's a seasonally

best quarter. But now can we expect that

we have a fair degree of normalization on supply chain and with a good order book on hand, the execution would get better. That was the first question. And second question on services, you mentioned that we have built a baseline business. So then should we understand that probably the revenue share in services business is improving on a steady state basis and it will probably continue the momentum and probably help to balance out on the margins as what we saw for the first 9 months. And would appreciate if you can share like what is the services revenue improvement we have seen in recent past. I know largely it is driven by UK and South Africa, but maybe if you can give some more perspective. I have a third question on small nuclear reactors on nuclear side where this budget had an announcement on large investments on development to the tune of Rs. 20,000 crores. So would we also actively look for some kind of a specific product development, any initiative which is obligated to take a lead over here. And

my fourth question is for Rama on Kirloskar Eb ara. Q3 did report a small profit. I believe there was some delayed executions which would have happened in Q3. But if you can give us what is the outlook and probably what is the revenue size we probably see in the current year and next year. Thank you.

Sanjay Kirloskar: Manish, can you hear me?

Manish Goyal: Yes sir.

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Sanjay Kirloskar: I just wanted to clarify one thing. Alok is not Elon Musk who tells Mr. Trump what to do and what not to do. So normalization of supply chain, I don't think he can guarantee.

Manish Goyal: Yes, but like probably issues what we were facing in recent past, probably if execution has picked up in current quarter and if we believe that there is a fair degree of you see a normalization, then we probably see a lesser spike in the early revenue booking. That was the whole idea to get a perspective ?

Alok Kirloskar: Yes, Manish, I'll just answer your two questions that you wanted for international. On the revenues, yes. I mean, like you said, we did have... One is that this is the fourth quarter for international. So as you mentioned, yes, it normally be a little bit stronger than the other quarter. And so a lot of the execution has taken, a decent amount of execution that may have not gone in a previous quarter would have gone in this quarter. Also at the same time, I would say that those delays that were happening on execution were relevant to oil and gas and large projects, which involved very large engine normally between 3500 horsepower to 5000 horsepower. So they are very large engines and there are very few suppliers, actually there are only two American and one German supplier that makes them and because there is less of a focus on oil and gas and everyone till now at least I mean of course now oil companies have made a complete U-turn and they are going back into oil and gas. But until now, everyone was focusing on projecting themselves as green. So they have not made CAPEX investments, which are the engine companies, in these large engines. But at the same time, as you would be aware, there are big expansions, like I mentioned Northfield project in Qatar Energy and the Luberef Project and Hail & Ghasha project in ADNOC, amongst many other projects coming up now in the Midwest and the Gulf states in America, like Louisiana and all those states. So I don't know whether that supply chain will normalize until these engine companies make the CAPEX. Because as of now, there are still only three of them and only two of them are operating normally, out of the three, which is one American and one German Company. So that's one of the issues I would say over there. So I cannot yet say that we won't have this up and down movement because that's supply chain issue

It still remains on those particular engines which are required for these large kinds of projects. So I hope I've answered your first question. If I have, then I'll move on to the second.

Manish Goyal: Yes, sure.

Alok Kirloskar: So the second was you said services. So yes, services as we have discussed also on last previous analyst call, they are multi-year contracts, either three year or five year. And the idea is just to keep getting more and more of them so that we keep building year-on-year and we can build a good base of these contracts in terms of like almost like annuity model. So that's really what we are doing. And that is to stabilize the base of absorb all the costs which are our fixed costs. And then we get with operating leverage on the products, we are able to sell all the products, which as you know, historically have been tighter on margin. So that's really the method that we are

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operating. Yes, the UK has, as I mentioned before, we are inching up from the old 38% higher towards 40%. And so South Africa, as you know, has moved up to 50%. But the other area that we are now focused on is Europe. So we started in Benelux. We have got our first contract with Brabant, which is a big water Company in the Benelux region. And we are targeting another three water companies in the Benelux region. Like in the UK, we have a framework, exclusive framework contract with every water Company except Thames Water, which is non-exclusive. Similarly, we are trying for the same in Benelux, which is Belgium, Luxembourg, and Netherlands, along with some chemical companies that we are trying to target now. Like we have as you know INEOS in UK. So we are targeting a few chemical companies also in Europe, or specifically the Benelux region, where we should look to get more penetration in services revenue. Does that answer your second question?

Sanjay Kirloskar: Your third question was, could you just repeat that?

Manish Goyal: It was regarding the nuclear small modular reactors where there were a lot of announcements in budget in terms of development. So maybe we are also willing to take any initiative for the relevant product development.

Sanjay Kirloskar: So nuclear small modular reactors, they've been spoken about for the last two years, I believe, right from the G20 declaration. And that seems to be the future going forward. But that being said, other than marine small modular reactors which are used to power aircraft carriers and submarines, there are only two working modular reactors, one in Russia and one in China. And you hear a lot from America, you heard about New Scale, you heard about all these tech bros investing hugely into small modular reactors, but nothing is working yet. They are making their investments. Each one, many people are trying different technologies, and therefore when they need money, they will make large announcements and ask for partners and ask for customers, etc., etc. That being said, KBL has pumps for light water. These all tend to be light water reactors. KBL has delivered all types of pumps for light water reactors as well in addition to the pumps that we have delivered for fast breeder reactors and pressurized heavy water reactors. So the product line is there. The product line is proven. The only issue is what is going to be the size because each size of nuclear reactor will need a certain size of pump and then that again will depend on how many pumps they want. Whether it's one pump, two pumps, five pumps. So that will finally decide the exact hydraulic performance of the pump. But otherwise, we are ready to deliver wherever small modular reactors need pump, we are ready to deliver such pumps. There are small modular reactor designs which don't need pumps as well, but I believe most people would want positive cooling to be done through

light water. Does that answer your question?

Manish Goyal: Yes. Thank you.

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Rama Kirloskar: Yes, good evening, Manish. Your question was about Kirloskar Ebara. So we have been taking some very complex jobs. And we have seen that the recent trend is that a lot of the sale happens in Q4. So we will be following the same trend even this year. And as you know, in the oil and gas business, there are only limited supply chain partners, so because of the limited vendors, there is a capacity constraint and that continues to be the case. So I hope that answers your question.

Manish Goyal: Yes, thank you so much.

Moderator: Thank you. We will take our next question from the line of Abhishek Jain from Investwell.

Please go ahead.

Abhishek Jain: Sir, I've got, I need some updates about the US operation. How it has performed this quarter as compared to last year as well as the previous quarter during the year. Since we are basically more into fire pumps, so how it has performed and with the team being made in America, so how we are benefiting out of it. And is there any plan to introduce some other products other than fire pumps? And another one, the last one being right now, after a long time, the Company's into a, it seems like the Company's in a sweet spot. Like once again, the thermal power plants are coming into picture and oil and gas is being taken care of once again. It has been pushed. So how you see going forward for the next few years, how you see the Company?

Alok Kirloskar: Your first question was about SPP Inc. I think on page 8, SPP Inc. numbers are listed both for the quarter and for nine months. I won't go into the numbers specifically. But I would say that a few things that we are looking at for SPP Inc. is mainly, as you said, fire pumps is one aspect of it. The other part of SPP does which is part of SyncroFlo, which is a subsidiary of SPP Inc. in America, does the HVAC packages. I had mentioned also in our last call that we do HVAC packages for buildings and various things, but also for data centers. And we do a lot of them with Amazon, with whom we have a framework. So we have done quite a few with Amazon in America. We have also done with Meta in Singapore for the cooling of the data centers. And we have also developed products which are containerized and plug and play for data center cooling. So that's another area that we are really focused on because we do see that apart from people like Amazon and Facebook and Google, which is as your, Google and Microsoft, many other private equities also putting up data centers because the cash flow is like a utility business. And so there's a lot of focus from them and so there are many new players coming. So I would say that's another focus area for us. One is data center business, but another area is also municipal water. So we are also investing or rather picking up jobs for municipal water and that's a focus area for us in America. So these are the areas outside oil and gas and I think we do see a good number of opportunities in that. Like I mentioned, last quarter was a little bit slower because of the elections. I think last quarter also when we had the analyst call, people asked about America because they've had two slow quarters. But I think post elections, things seem a lot better in

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terms of people releasing orders again, since they know now that many of those policies in the areas where we are at least are still remaining consistent after Trump has come into power.

Abhishek Jain: Okay, can you tell me how much is the service revenue, the percentage wise?

Alok Kirloskar: We have never disclosed at KBI level. I think we only said the service revenue in the UK is normally 38 % to 39% of the UK's revenue.

Moderator: Thank you. Ladies and gentle

men, to ask a question, please press '*' and '1' on your phone. We will take our next question from the line of Mayank Bhandari from Asian Market Securities. Please go ahead.

Mayank Bhandari: Just in order to understand a few things more about the categorization of product mix. How would you categorize made to stock cycle time and made to order cycle time of or engineered order cycle time taken months or maybe in I mean, how would you categorize these?

Sanjay Kirloskar: Mid to stock is delivered during the month as far as small pumps business is concerned. It might go to about a month and a half for the small and medium pumps. Made to order is about 2 to 3 months, 60 days to 90 days. An engineer to order may take 8 months to 18 months, depending on the complexity.

Mayank Bhandari: So in the overseas market, we particularly, we are only focused on made to order ?

Sanjay Kirloskar: No. Retail is actually about 45% of our business, which comes from both the small pump plants as well as the small and medium pumps plant, or maybe closer to 50.

Mayank Bhandari: And the services part, I mean, just as you now disclosed the number, the proportion of the revenue from services, but would it be, will you be able to give us a better understanding on which markets would be having higher services revenue going forward, like in terms of there are, I mean, increased opportunity and installed base is increasing. So which end market could be much more lucrative in terms of services?

Sanjay Kirloskar: It is dependent on the customer, how he treats his equipment. So most engineering companies, pumps lose 1%-1.5% points of efficiency every year. So a good Company which wants to run its process efficiently would probably run, get service for their pumps within 3 to 5 years because otherwise the energy efficiency goes down. I am not talking about our pumps, I am talking about pumps in general. And I think earlier also I've mentioned that our LLC series of pumps, Lowest Lifecycle Cost series of pumps, actually maintains its efficiency for 10 years. Whatever people lose in one year, our LLC pumps lose in 10 years. So then customers decide whether they want to buy lowest life cycle cost pumps or standard pumps. The power sector basically would buy a lot of spare parts to keep the power station, the private sector power stations, not so much with Kirloskar Brothers Limited

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the electricity boards. Similarly, like I said, industry does. Retail pumps from small and medium pumps may want to replace the pump rather than ask for service because the pumps range from 2000 to 5000 to 20,000. So it depends on the attitude of the end customer that he would ask for service. And some pumps, like firefighting pumps, may not need service because they run very little in a year. Other than inspection or making sure that everything is working, unless there is a fire, people will not turn on that fire pump at all.

Alok Kirloskar: Just to add a point, I think based on your question, when we today outside India at KBI B.V., we have about 120 odd service contracts. These service contracts are divided between water companies, mining companies, chemical companies, and petrochemical companies, which are exploration or refineries, which include offshore assets. And our service contract is not just for our pumps. It is for all the pumps on that particular site for which we have signed the contract. And we do repair, maintenance, upgradation, spare part management, everything for all the pumps, not just ours. So I just thought I would make that point because you are making a correlation between our installed base and the service revenue. There is not a correlation between those.

Abhishek Jain: Okay sir, thank you very much.

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press '*' and '1' on your phone. We will take our next question fr

om the line of Rabindra nath Nayak from Sunid hi Securities. Please go ahead.

Rabindranath Nayak: Thank you sir, and congratulations for a good set of numbers, particularly from the international side. So I thank Alok for that, for the commendable initiative. So my question regarding this is we have booked the revenue that we keep coming in the standalone business. You can see it is sticky. It is very constantly growing. It is not growing very fast compared to the international revenue. So what is the short cycle order we have booked in this quarter and nine months and what it was in the last year in the same period. And particularly referring to these various dimensions that made to stock and made to order, I understand these are the sub-cycle orders. So how much revenue has come from this sort of order in the revenue? So another thing, the margin has dipped in this quarter. Is there any explanation to be made for this product mix to do the sub-cycle and long-cycle orders?

Sanjay Kirloskar: You know, one thing I would like to caution everyone, and I think Alok mentioned that, it was international businesses fourth quarter. Similarly, KBL's historic performance, if you see, I would suggest that everyone look at KBL's historic performance quarter-on-quarter, because that would give you a better idea of what happens actually in our industry. So look at it in that manner rather than any other manner.

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Ravish Mittal: And essentially our made to stock business contribute both on SMPD pumps and retail pumps together around 45 % to 50 % and that's being a trend.

Rabindranath Nayak: Same trend as last year .

Ravish Mittal: Yes.

Rabindranath Nayak: So, you meant to say this is likely to continue in the future also, in the domestic market particularly?

Sanjay Kirloskar: We are following a historical trend and so that's what you should keep in mind and the quarters are for the international business , the calendar year is January to December and for the Indian business is April to March. So I think you should keep that in mind.

Rabindranath Nayak: And actually if I say the margin in this quarter, there is a drop in the sequential basis, so I am just asking what is the explanation you can make from the product size and the revenue? Sir, just a broad classification, broad explanation.

Ravish Mittal: I think margin also vary quarter on quarter. And as we discussed earlier, we are also doing a lot of operating efficiency activities. So that has a little bit impact. But essentially, it is not an indicator on a quarter to quarter basis. You have to look at holistically.

Rabindranath Nayak: I am just asking whether short cycle order is actually high margin.

Moderator: Sorry, can I use your handset mode please, your voice is not very clear.

Rabindranath Nayak: Hello, I am just asking whether the short cycle order has actually reduced that is why the margin has dipped or what is the explanation that one looks for ?

Sanjay Kirloskar: We couldn't hear it properly?

Moderator: Hello, can I request you to use your handset mode, please?

Rabindranath Nayak: Hello, is it audible?

Moderator: Yes, please go ahead.

Rabindranath Nayak: So I am just asking whether the product makes in the short cycle and long cycle order. Is there any explanation for the margin dip in this quarter? So how should we look at it? Because if any in quarter the margin dips, then we should accept that this could be the reason. I am just asking.

Very broad question. I am not going to detail.

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Ravish Mittal: No, product mix is usually the same as being in earlier quarter. So the product mix is nothing specific in that manner to affect the margins. In fact, we have seen our, you know, we have a better control over our material costs.

Rabindranath Na

yak: And sir, in nuclear sector , the thing you mentioned that if at all, where is the same proportion in the infrastructure sector, what you have mentioned in the past that a percentage of revenue should be our target in a total market size for us, whether we should expect that similar thing for nuclear sector as well, that is 2% of the total project cost or it is more than that?

Sanjay Kirloskar: No, you should expect about the same. 2% of the total project cost will be for pumps.

Rabindranath Nayak: Okay, sir. Thank you and all the best.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Ms. Rama Kirloskar for closing comments. Over to you.

Rama Kirloskar: Thank you for joining the call. If you have any further inquiries, please get in touch with Strategic Growth Advisors, our Investor Relations Partner. Thank you.

Moderator: Thank you, members of the management team. On behalf of Kirloskar Brothers Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

SEC/ F: 2 5 May 21, 202 5
BSE Limited National Stock Exchange of India Ltd.
Corpo rate Relationship Department, 5th Floor, Exchange Plaza,
2nd Floor, New Trading Ring, Bandra (East),
Phiroze Jeejeebhoy Towers, Mumbai - 400 051.
Dalal Street, Mumbai – 400 001.

(BSE Scrip C ode – 500241) (NSE Symbol - KIRLOSBROS)

Dear Sir/Madam,

Sub: Transcript of Conference Call with Analysts / Investors on Audited Financial
Results for the Quarter and Financial Year ended on March 31, 202 5

Ref: Regulation 3 0 & 46 read with read with Clause 15 of Para A of Part A of Schedule III
of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

This is in continuation of our letter dated May 08, 2025 giving intimation of the subject
mentioned conference call and subsequently furnishing the web link for accessing the audio
recording of the said conference call vide our letter dated May 15, 2025 .

In terms of the subject referred Regulations , please find attached the transcript of the above
said Conference Call held on May 15, 202 5 with Analysts / Investors on Audited Financial
Results of the Company for the quarter and financial year ended on March 31, 202 5.

Please note that the said transcript has also been uploaded on the website of the Comp any
(<https://www.kirloskarpumps.com>) which can be accessed at the following link:

Link: <https://www.kirloskarpumps.com/inv estors/analyst -meeting -transcript/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KIRLOSKAR BROTHERS LIMITED

Devang Trivedi
Company Secretary
Encl.: As above.

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“Kirloskar Brothers Limited Q4 FY-25 Earnings
Conference Call”

May 15, 2025

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the
stock exchange on 1 5th May 2025 will prevail.

MANAGEMENT : MR. SANJAY KIRLOSKAR – CHAIRMAN AND
MANAGING DIRECTOR , KIRLOSKAR BROTHERS
LIMITED
MR. ALOK KIRLOSKAR – MANAGING DIRECTOR ,
KIRLOSKAR BROTHERS INTERNATIONAL BV
MR. RAMA KIRLOSKAR – MANAGING DIRECTOR ,

KIRLOSKAR EBARA PUMPS LIMITED , AND JOINT
MANAGING DIRECTOR , KIRLOSKAR BROTHERS
LIMITED

MR. BHAVESH CHHEDA – CHIEF FINANCIAL OFFICER ,
KIRLOSKAR BROTHERS LIMITED

MR. DEVANG TRIVEDI – COMPANY SECRETARY ,
KIRLOSKAR BROTHERS LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to Kirloskar Brothers Limited Q4 and FY '25 Earnings Conference Call.

This conference call may contain forward -looking statements about the Company , which are based on beliefs, opinions and expectations of the Company as on the date of this call. These statements are not the guarantees of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Kirloskar, Chairman and Managing Director of Kirloskar Brothers Limited. Thank you, and over to you, sir.

Sanjay Kirloskar: Good afternoon, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to everyone for joining us on our call today.

I hope you have had an opportunity to go through the Financial Results and Investor Presentation , which have been uploaded on Stock Exchanges and on the Company 's Website .

On this call, I have with me Alok Kirloskar – Managing Director, (Kirloskar Brothers International BV); Rama Kirloskar – Joint Managing Director (KBL) & MD (Kirloskar Ebara Pumps Limited); Bhavesh Chheda – our new CFO ; and Mr. Devang Trivedi – our Company Secretary; and Strategic Growth Advisors, our Investor Relations Advisors.

First, I would like to brief you about a few developments at Kirloskar Brothers :

We are pleased to inform you that based on the recommendations of the Nomination and Remuneration Committee , and consideration of the Board of Directors of the Company , Mr. Bhavesh Chheda has been appointed as CFO of the Company with effect from 14, May 2025. He is a qualified Chartered Accountant and has completed Executive Postgraduate Diploma in Business Management from Symbiosis Institute of Management. He brings with him 23 years of experience in finance, planning and analysis, risk management, treasury management, mergers and acquisitions, ERP implementation , and international subsidiary operations. He has worked with reputed organizations prior to joining our Company .

I would also like to place on record my sincere appreciation for the excellent work done by Mr. Mittal in his role as CFO earlier. I would like to take this opportunity to thank Ravish Mittal on Kirloskar Brothers Limited

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behalf of everyone, including the Board of Directors of the Company for his dedication and Service .

Now let me begin my remarks on our performance for Q4 Fiscal Year '2 5 and the full -year performance :

I am pleased to report that for the Financial Year 2025, our consolidated revenues reached Rs. 4,492 crores, representing 12% growth on a year -on-year basis. This performance was driven by strong demand for our diverse range of products and service s across multiple segments, reflecting our deep understanding of market needs , and our ability to adapt to the changing customer requirements.

Our growth was supported by sustained momentum in both domestic and international markets, where we have successfully captured new opportunities and expanded our footprint. This was further complemented by our ongoing focus on innovation, customer -centric solutions and operational excellence.

EBITDA for FY '25 grew at 18% on a year -on-year basis to Rs.681 crores with EBITDA margin of 15.2%. This improvement in our operating performance reflects the success of our ongoing efforts to drive operational efficiencies, streamline costs and optimize resource utilization across all our business verticals. For t he year, we recorded go

od order inflows in both domestic and international markets, reflecting a year -on-year growth of 12%, amounting to Rs. 5,182 crores.

On standalone business performance for Fiscal Year '25:

We achieved year -on-year growth of 7% with revenue from operations reaching Rs. 2,901 crores. In addition, our subsidiaries, Kirloskar Corrocoat Private Limited registered a growth of 48% in Fiscal Year '25, driven by new orders from large customers. Karad Projects and Motors registered a growth of 13% in FY '25, driven by an increase in export business.

Our strong order book and strategic focus on business opportunities position us well for continued success. As of March '25, our stand alone pending orders amount to Rs. 1,804 crores, excluding small pumps order book, reflecting a strong pipeline. Furthermore, we are seeing sequential growth across several key segments, including Building and Construction , industrial and power sectors.

On International business :

We have registered a growth of 21% in Fiscal Year '25. This growth is driven by growth in SPP U.K., the Dutch entity , and Kirloskar Brothers Thailand Limited on account of a robust order book execution.

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SPP's U.S. business has seen good traction on data centers, fire and HVAC packages. With a keen focus on our business prospects, supported by a robust order book, we are optimistic regarding our future growth prospects. Our overseas pending order book stood at Rs. 1,208 crores.

Lastly, I would like to inform you that the Board of Directors has recommended a final dividend of Rs. 7 per equity share of face value Rs.2 i.e 350% of face value as against 300% in the last financial year.

With this, let me invite Mr. Bhavesh Chheda – CFO, to discuss the financial performance highlights.

Bhavesh Chheda : Thank you, Chairman. Thank you, sir , for this warm welcome. Good afternoon, everyone.

Let me start with the consolidated financial performance highlights :

On the revenue front :

The net revenue from operations for Q4 FY '25 stood at Rs. 1,281 crores as against INR Rs. 1,224 crores in the last year. And for full -year FY '25, the net revenue from the operation Rs. 4,492 crores as against Rs. 4,001 crores in FY '24 last year.

On the EBITDA front :

Our EBITDA for Q4 FY '25 was Rs. 215 crores as against Rs. 228 crores in Q4 last year. EBITDA margin for Q4 FY '25 stood at 16.8%. For FY '25 , EBITDA was Rs. 681 crores as against Rs. 578 crores in FY '24. EBITDA margin for FY '25 stood at 15.2%.

On profit after tax front :

Our profit after tax for Q4 FY '25 was Rs. 138 crores. And for the full -year, it was Rs. 419 crores.

That's it from our side.

Sanjay Kirloskar : Yes. We can now begin the question -and-answer session. Thank you.

Moderator: Thank you very much sir. We will now begin the question -and-answer session. We have first question from the line of Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari : Thank you sir, for the opportunity. Congratulations, Sanjay bhai, Rama and Alok and team for a really good performance during the year. Sir, my question is general , and very on a strategic way broadly, the way we work during last 5, 7 years to improve our profitability in international market, we have created solid foundation of service s and framework contracts and all.

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If we want to grow our market share in a global market, international market, what additional efforts we are taking, what we require to do? And how possible is it to double our market share during say next 3 to 5 years? Broadly, you can qualitatively talk on these things will be really helpful.

Sanjay Kirloskar : Okay. I think I will answer the question partly and then leave the rest to Alok and Rama to answer as well. In the last few years, we have come out with a very large number of new products, new produ

cts which are not only in the pump, in the field of hydraulics, but also electronics and IoT related. So these are the retail products which are made by our small pump s business. We have introduced hundreds of products in the last few years, which meet the BEE norms for 5 -star and 4 -star ratings.

As far as Kirloskarwadi products are concerned, I think what we have done i n last year, we told you about 2 different series of pumps that have ecolabel. And we have also entered into new segments, one which is FGD pumps as well as certain pumps for strategic sectors.

So on the other side, with AR and VR, I think AR probably a Company that is at the cutting edge

of technology as far as the product and service offering is concerned. I think Alok has spoken about framework contracts, which allow us to now look after total rigs that not only have our pumps, but everyone else's pumps. So the Service contracts that we are taking, which allow us to supply spare parts for all kinds of equipment.

There are opportunities because of AI that we see going forward, which is in the process of being implemented. Of course, the routes to market, that's the sales channel, that's all consistently being enhanced to give us new opportunities in different countries around the world.

So as far as products and technology is concerned, I think we are where we need to be. We have a full range of products right from half horsepower to, 1,000 horsepower. We also have a distribution network that is very strong in India. We are building a distribution network around the world.

And the opportunities are great. The opportunities which we see, I think I had mentioned this earlier as well, which is thermal power, which is seeing a new life where large number of orders are being placed on players like us, and the EPC contractors, whether thermal or nuclear, I think it will start moving up.

The urbanization that's taking place in India, where we have very good products through our Building and Construction sector. So the opportunities are tremendous. And I think we are looking at the future with a great deal of optimism.

Alok or Rama, if you would like to add?

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Alok Kirloskar : I just to add, Sunil ji, as you mentioned, 5 years, probably you are seeing that from the last 5 years. But I think these things take some time. And I will probably give you 2 examples just to put it in context. Our APOEM program was launched in 2011. Actual traction, we only started getting maybe around 2018. And real benefits all of you are seeing in terms of change of MSR, which is Material to Sales Price Ratio, and things like that, in the more recent years. So it's more than a decade-long program, but the impact is only being visible now.

The same for framework contracts. Our first framework contract was signed in 2016. But until you get to critical mass, which probably happened maybe 3 years ago, it is not visible to you outside. And so I think these things take some time to build up and for them to be visible, and it's not necessarily 5 years. It's more like 10 years for a Company like ours, because they need to come to that size for it to be visible in the external market.

So I would start with that. But going forward, I think there are many opportunities for us. We are looking at developing the first Service market going forward in a more in-depth fashion, because we are in a market that is changing.

As you know, Europe is deindustrializing. U.K. is deindustrializing because of the net-zero program, which I think everyone, including 1 of our major customers, which is INEOS. So the billionaire, Jim Ratcliffe has said that because of net-zero, they are shuttering all the chemical plants, which is the INEOS plants in the U.K. I think he's put out an article about it, because the power costs are too high. And that's going to sort of go into other s

egments also, if the

government doesn't change course.

But a framework contract, let's say, with INEOS, which we do have, if the plant shuts down, we don't have any benefits from it, even if you have the visibility in concept from a framework contract. So from that point of view, we are also looking at new geographies. We are looking at developing those framework contracts further to see what else we can do, not just pumps, but related rotating equipment, because now slowly, we are able to do all brands of pumps.

The next step really is to add other things like gearboxes, compressors, engines, everything that falls into rotating equipment, and that widens the scope for us.

The other is, like my father mentioned, distribution network. Distribution networks are important, and in areas like the U.S. and Southeast Asia, where they are more prevalent compared to Europe, because Europe historically for most manufacturers is more a direct sales methodology, but these 2 are more distribution oriented. So getting more penetration and developing the network like we have in India is really a focus for us going forward.

And I would say, the new technologies like green hydrogen is one area that we have broken into.

And we also have something totally new, which, of course, I can't mention because we have

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signed the NDA for it, but it's not nuclear or anything like that. It's completely new technologies, which today we have the ability to demonstrate and customers believe us, because we are now in international markets. We are of that size.

We are handling their facilities and they trust us to be able to develop completely new kinds of

technologies, which historically we could never do. Historically, as you know, most of the process owners or process developers were based in Europe, and they used either European or maybe American pumps and other equipment as part of their own R&D process when they are developing new technologies. And by default, those equipments became a part of the package. Now I would say, for the first time in a long time, we are part of that process, where we are being asked to develop with them new applications, new technologies. So I would say, this is a big change, and this will allow us to develop traction going forward.

Sanjay Kirloskar : And I will hand it over to Rama. I don't want to add too many more things, because I am sure she has many more things to add.

Rama Kirloskar : Yes. Thanks, Alok. Just a few points I would like to talk about. One is we are doing a few improvements in our operations, specifically on the factory and foundry side to enhance productivity, and make the plants a lot more scalable than they are today. We are also rolling out a digital strategy that enhances our scalability through automation, and AI and AR tools that will really help the Company with analytics and scalability again.

And one other aspect would be KBL also looking at certain export markets that it wants to focus on for better market penetration. So I think all these factors combined are going to help us grow in the future. Thank you.

Sunil Kothari : Great. Very detailed and very explanatory. Thank you. And sir, last point is on the base we created, are you confident to achieve the numbers, whatever you are guiding for, and your aspiration is for current year? Near term, how you see your visibility? If you can talk domestic and international will be really helpful.

Sanjay Kirloskar : We have always mentioned that we see a very good order funnel, and we have a good hit ratio. So we're quite confident of achieving the numbers that we aspire to.

Sunil Kothari: Great sir. Good luck. Thanks a lot, sir.

Sanjay Kirloskar: Thank you.

Moderator: Thank you. We have our next question from the line of Sani Vishe from Axis Securities. Please go ahead.

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Sani Vishe : Yes. Thanks for taking our question. And congratulations on a good FY '25 performance with the whole KBL team, and welcome to Mr. Chheda. Looking forward to meet you soon.

My question is we had a very good trend starting from Q2 of last year, the year that went past.

And given that we had an expectation of a stronger performance than the 5% year-on-year growth in the revenue and the EBITDA decline. So could you just throw light whether this is a lack of momentum that we would see going ahead? Or do we think we will be able to recoup the growth that was going forward?

Sanjay Kirloskar : You started by saying that the year began on a good note and there was a certain slowdown, right? Is that what you said?

Sani Vishe : Yes. So I think particularly the Q4 EBITDA margin seems a little bit disappointing. So just wanted to understand, is it a temporary blip and we expect to continue on the same trends that was earlier?

Sanjay Kirloskar : Yes, because we have explained many times that we have 2 or 3 kinds of businesses, a made to order, made to stock and an engineered to order. And therefore, you shouldn't be looking at us from quarter-to-quarter. But if I could give a general sense of what we saw happening, there seems to have been some liquidity issues with customers. And also towards the end, we believe in cash and carry kind of business, including with small contractors who participate in JJM programs. So we will not deliver products if we are not sure of getting the money.

And we did see that in some of these programs, there were some issues and there were delayed payments to the contractors. We are seeing that slowly going back to normal, but we will continue with our policy of ensuring that we get paid for before we ship.

There was also another issue towards the end of the year that we do certain large pumps where we get free issue material, and that didn't show up on time. So I expect that this will go back to the margins that we had going forward.

Sani Vishe : And finally, if you could just touch upon how you see this U.S. tariff scenario that may positively or negatively impact us? That's from my side.

Sanjay Kirloskar : Alok, I think this was relating to U.S. tariffs.

Alok Kirloskar : Yes. It's hard to tell because we did have 1 consignment that went in when the tariff was in place, and we saw the net tariff had increased by 10%. I don't think it made a significant issue at that time. But I feel that because we mentioned to customers that we will pass the tariff on to them, because that's what our suppliers are doing to us. And that is not unique to us. That is what's happening across the market. But 10%, I guess, customers, they are not happy, but they may

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consider it. If it was 25% or 30%, then definitely, they are not going to absorb that kind of number.

But then as you know, it went on pause. So the issue is that, because the tariffs go on and off, on and off all the time, it's very hard to establish what the impact is. If there was some consistency, even by keeping a tariff, there will be some understanding of what the impact would be.

Sani Vishe : Okay. But can we expect some positive impact also, given that we have presence in U.S. itself?

Alok Kirloskar : Definitely. I think anyway there is a little bit right now, and that's what we're trying to assess, based on the Chinese tariffs. Because, as you know, one is that a lot of American companies themselves buy a lot of the parts from China. So obviously, most of our competitors are American companies.

So from that point of view, it could be beneficial. But because of changes even on the Chinese tariffs in that category, it's not yet clear to us. So I would say that we just need to wait for some time until there is some stability for me. I can't give you a clear answer because obviously, whatever

answer I give, there will be some repercussion which you would expect.

So it's not even that clear to us, because it keeps changing all the time. But to answer your question, yes, if there were tariffs on India and if there were tariffs on China, and they were consistent, yes, that would help us.

Sani Vishe: Okay. Fair enough, sir. Thanks a lot.

Moderator: Thank you. We have our next question from the line of Akash from Dalal & Broacha. Please go ahead. Mr. Akash.

Akash : Yes. Thanks for the opportunity. Just one question from my side. I wanted to understand on the margin front. So is it like scope for margin expansion from the 15%, 16% that we do on a consolidated basis are at peak or can we still improve further on margins?

Yes, I will just add one more last piece. And what revenue growth we forecast for the next year?

Rama Kirloskar : Well, I believe that would be a forward-looking statement as my father has always said that we will strive to have that year-on-year growth. But as far as the margin improvement is concerned, there is scope for margin improvement. As I mentioned earlier, we are doing a lot of improvements at our plants to enhance productivity. So we hope to have margin improvement through these activities as well. I hope that answers your question.

Akash : Yes. Okay. So can we expect a significant change in margin trajectory? Can we go to 20% -plus in the next 3, 4 years?

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Rama Kirloskar : We will try to do our best. I cannot promise any numbers.

Akash : But is it a possibility? I just wanted to understand.

Sanjay Kirloskar : Yes, there is a possibility. That what said that we are trying to reduce waste, improve operation, because we see a lot of scope for that.

Akash: Great. Thanks, sir.

Moderator: Thank you. We have a next question from the line of Raj Shah from Enam Holdings AMC. Please go ahead.

Raj Shah : Thank you. My first question was regarding the U.K. free trade agreement. I am not sure if this is already discussed. But the question was since we have a very large business in U.K., how will this benefit us?

Alok Kirloskar : I don't think it makes any difference. At least from our point of view, because we are not exporting people out of India into the U.K. or anywhere else, it's not really supportive. Probably, we were running IT operations, it might make it easier for us. But as we are not bringing people over from India here in large numbers, it's not really adding anything.

Raj Shah : Okay. Got it. Second question was there was a fall in receivable days in F Y '25 balance sheet from 48 to 40 days. Just wanted to know what is the reason? And is it the new normal?

Sanjay Kirloskar : It's on account of better collection. We believe that top line is vanity, bottom line is sanity and cash flow is reality. So we will only do sales. We only recognize sales when we collect the money as a Company.

And it is our intention that we are able to collect all our receivables. We also believe that if our products are good, and acceptable to customers and better than anyone else, we can charge a premium, and we will get paid upfront. So our business model is to develop world-beating products, and to ensure that we only sell customers who can pay us who are good pay masters.

Raj Shah: Okay. Thank you very much, sir.

Sanjay Kirloskar : So I don't know how much lower it will go, but it will be our attempt. And you'll see that there's a consequential fall in creditors as well.

Bhavesh Chheda : So, on a consolidated basis, 124 days earlier, now it is 102 days.

Raj Shah: Thank you. Thank you very much, sir. That answers my question.

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Moderator: Thank you. We have our next question from the line of Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu : Yes, hi team. Thank you for

giving me the opportunity. I have 2 questions. The first 1 is on order book, right? So if I look at your quarterly order book run rate for the past 8 quarters now, we are at Rs.1,800 crores of run rate. And, order book is something which is forward -looking. So is there some element of some of the revenues going towards APOEM , and hence not forming part of order book or is there a change in nature of order book in the sense that now the conversion of that order book into sales is much quicker than what it was 2 years back? How should one think about a flat quarterly order book let us say , for past 8 quarters now, I am talking about the domestic order book ?

Sanjay Kirloskar : Yes. As you can see , the domestic order book is approximately the same. I think the number of orders has risen by 12% and therefore, the run rate is going up. We don't want to have a large order book because customers are getting more and more demanding and they like to receive their products earlier , number one. Number two, as we have explained earlier, the larger number of APOEMs also ensures that we supply bare pump and the value of a bare pump is less than that of a pump set. So it is both. The output has increased, and more bare pumps have been sold.

Prolin Nandu : Sure. That is clear. My second question is on the Service part, right . Now , 2 years back , in one of the Q4 FY '23 Conference Call, I think Alok mentioned that overall 20% of your revenue comes from Service s and you have aspiration to probably take it to 50%. I think Alok was mentioning that more to do with the overseas business. So how should one think about the potential for domestic Service revenue? How big can it become , right , because obviously, there are some of the sales that we do not have a component of Service s in them and also on this international part on Alok's comment of aspiration of 50%, where are we in terms of that aspiration and what can be done further than what we have already done to probably increase the Service s component in our consolidated revenue ?

Rama Kirloskar : So I will start off by answering your question on domestic Service . So unlike the international market, the Indian market is still evolving as far as framework contracts and large long -term AMC contracts are concerned , so most of our revenue comes from your spares as well as your case-to-case Service orders that we received . The market for long -term framework contracts is still evolving and there is a lot that we can do, but we still don't see the kind of traction that we see in the international market for such long -term contracts.

Alok Kirloskar : Yes, I think my comment , if you look back , what I said was that 38% of our UK business comes from Service s. And yes, at the overall international level, we are targeting 50%. We have got similar growth in South Africa , but as I have mentioned before, we have no Service business in Southeast Asia. So our focus really is to continue growing our Service business from UK , we are trying to get now Europe and Southeast Asia. These are two areas which we think we can

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build the Service business and to continue developing that we have internally developed our proprietary software called Colligo. And Colligo is a software that we are able to, as you know in Service , there is no standard time for the different tasks that you are doing because you don't know all the tasks that you will need to do and so what the software does which we have created it belongs to us, is that you can record all the actions required when you are making a quotation for a job . And using another software of ours called Phoenix, it measures what actual time is taken in the shop floor and it stores there and overtime it builds a library using AI . And going forward you are able to , every time you put you make a quotation

of what repair is required on

a particular job , it can take out the quotation and it gives you a Standard Time and the kind of operations required. So really the reason we created this is that if we want to scale the business and Service centers are in different locations in the world , we should be able to have a clear understanding and visibility of what we are doing there and how quickly and at what efficiency we are doing those tasks to repair those products. And that is why we have created the software. So I think that we should have scalability for that, and we are doing all the right things to create scalability. So I would say to answer your question that Europe and then Southeast Asia, those are the two markets that we are going to grow in the Service business .

Prolin Nandu : Great. Thank you for so much for the detailed answer. That is it from my side. I will join back in the queue. Thank you.

Sanjay Kirloskar : Yes. The only other thing I wanted to add to that was I think for the last few years, we have

spoken about our IoT device, which helps in remote monitoring and predictive maintenance. That continues to get more and more popular as we are going forward. So we expect that we will be able to increase our Service revenues through these devices.

Prolin Nandu : Thanks a lot.

Moderator : Thank you. We have our next question from the line of Himanshu Upadhyay from Bugle Rock PMS. Please go ahead.

Himanshu Upadhyay : Yes. Hi, good afternoon. Sir, my first question was, can you give some idea on domestic operations, so for the year, we are seeing 7% growth, but what segments grow there, and which was slow moving businesses? In the press release, we have said on quarter wise, but for the year, if you can give some more idea it will be helpful to understand ?

Rama Kirloskar : So I believe your question is answered in the leader highlight section of our report in the press release, so exactly which sectors grew and by how much percent.

Himanshu Upadhyay : No, it is for the quarter what it has said, sectors major highlight Q4 FY '25, but can you give some idea on year wise, for the full year, what you did it is Page #3, where you have given some tidbits, but what is the more structured way if you can give it will be helpful ?

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Sanjay Kirloskar : Yes, we have seen the growth in Service. We have seen growth along with Urbanization, Building and Construction segments, and we have also seen growth in the Industry segment. As far as the order book is concerned, we are happy with the way the power sector is progressing because there have been announcements of thermal power plants last year and some of them have started resulting in placement of order on the company. And Marine & Defense and Oil & Gas, I think those are sectors which are a little lumpy. And Oil & Gas has also grown quite well.

Rama Kirloskar : I think for Oil & Gas, you will have to look at the KBL sector along with the KPL Financial, because that would show you the true sector growth.

Himanshu Upadhyay : And for Small Pump business, what happened in the last year? Some thoughts will be helpful.

Rama Kirloskar : I am sorry. Can you speak up a little because you are very soft?

Himanshu Upadhyay : So what I was asking was on Small Pump business, can you give an idea of what happened in last year and the growth and the retail side of the business ?

Rama Kirloskar : Yes. So overall, we have seen about a 7% growth in our Small Pump business. We have focused a lot on market penetration. There have been around 200 new products that we have launched, specifically energy efficient products with energy efficient motors, large submersible products going up to around 10-inch, oil filled submersible range. So there have been quite a few products we have introduced for certain markets that are our focus

areas. And as far as our footprint is concerned, we have been focusing on our distributor network, our service network as well, including the sort of cost competitive products that we have launched in the last year. That is not exactly competing with some of the other players in the market because the other players are essentially compromising quality for giving the kind of cost benefit, but we are able to actually give good quality products in a cost competitive manner, so that would be our USP. Specifically on the agricultural side, we have come up with a new range of economy models which we see a lot of traction in the rural markets.

Himanshu Upadhyay : And this question is to Alok. This Thailand, we saw significant improvement, in terms of revenue, but the margins have been very tepid for last 4-5 years. And what is your thought process on this business and longer term, what do you think is the potential size of this market where we are working?

Alok Kirloskar : Himanshu, I think that Southeast Asia is a very big market. One of the issues that are, maybe current issue like you mentioned that we are facing there is because a lot of American and European companies apart from of course Chinese companies, but a lot of American and European companies have plants in China. And as you appreciate, they have done this over many years where they have shut down their plants in France and Germany and other places and moved them to either India or China. And so what happened is overtime, they have become very

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competitive and they retain their Western European brands which have the Western European perception, and so in Southeast Asia, usually they sell their products from their Chinese plants. So the markets have been very competitive. But that said, even in that competition, like you said, the March, we were not in negative. So we are able to really get deeper penetration because that is something we have been trying to do for some time, and we are getting good traction there. And we are also looking at specific areas like I think I mentioned it last in palm oil. And we have got major breakthroughs in palm oil now, where we are supplying large number of pumps for this application because now these are specialized applications, pumping various kinds of

chemicals also in the process. So our focus really is to continue building the distribution network within Southeast Asia and then to also focus on these kinds of special applications unique to Southeast Asia where we can get better realization because of criticality of the application. Does that answer your question?

Himanshu Upadhyay : Yes, thanks, Alok. Because the revenue line, if you look at it has been very volatile in last few years, so that was the reason for the query? Can we maintain that?

Alok Kirloskar : But I would say that because last year, not in this financial year, in the last financial year, we had a very big project that went through, which was the second repeat project for the storm water system for Bangkok, which I think we had advertised that we had won that job. So that was a very big project. So sometimes when we win these projects, it skews the numbers, but generally our focus is to make it remain a core product business and when I say project is still a regular product, but our focus is to make it more around industrial, building construction, water kind of business where the products are sold through distributors and some critical products are sold directly. So that is still our aim. But yes, we do have good presence in water jobs and sometimes these big water jobs come through every few years and that adds a little bit volatility in the numbers.

Himanshu Upadhyay : And can I ask one more question?

Sanjay Kirloskar : Yes, go ahead.

Himanshu Upadhyay : See, one of the places where we have done

one very good and exceptional work is on the cash flow

conversion cycle. We are now nearly 80% of PAT to operating cash flow or operating cash flow PAT is around that. We have nearly Rs. 700 crores of cash on the balance sheet. Any thoughts on what type of opportunities you will be looking for business development? I am assuming that the type of business what we are doing will continue to do that type of business for the next 5-7 years and hence the conversion will remain around that level so that is what I am clearly assuming. Based on that assumption, I am asking this question that opportunities for cash utilization near future?

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Sanjay Kirloskar : Well, there will be opportunities. We are looking at improvements in our operations. We are looking at improvements in our sales network, so obviously the Board is also seized of this matter and at the appropriate time we will take a decision.

Himanshu Upadhyay : But will we evaluate inorganic opportunities, or it will remain organic only?

Sanjay Kirloskar : Well, there are all kinds of options available, and all kinds of offers come to us, but at the appropriate time, we will do whatever is right for the company.

Himanshu Upadhyay : Thanks from my side.

Sanjay Kirloskar : Thank you.

Moderator : Thank you. We have our next question from the line of Khush from Nexemon PMS. Please go ahead.

Khush : Hi, sir. Thanks for the opportunity. Sir, just two questions. One, what is the average execution timeline on your order book, domestic and overseas? And second, what would be your CAPEX number for the next 2-3 years?

Rama Kirloskar : So for our Kirloskarvadi business, we have time goes anywhere from 16 weeks to 18 months. And for our Small Pump business, we don't show the order board because it gets executed within a week. As far as CAPEX is concerned, it will be in line with previous years.

Khush : Alright. And I know that we don't give particular numerical items?

Rama Kirloskar : CAPEX is around Rs. 100 crores that is what generally.

Khush : That is the maintenance CAPEX?

Rama Kirloskar : Yes.

Sanjay Kirloskar : We do maintenance CAPEX of about Rs. 100 crores, which includes debottlenecking, modernization, replacement and obviously when replacements happen, a few machines may go. So it is all those kind of activities to ensure that the plant is able to meet the expectations of the customer.

Khush : Right. And sir, I am aware that we are not giving particular guidance, but directionally if you can help us understand what kind of growth are we looking at for the company in the medium term?

Sanjay Kirloskar : I think we always have said that we will strive for double digit growth.

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Khush : Alright. Thank you.

Sanjay Kirloskar : That hasn't changed.

Khush : Right.

Moderator : Thank you. We have our next question from the line of Tushar Gupta from Sag un Capital. Please go ahead.

Tushar Gupta : Thank you for the opportunity. Sir, I want to know about what is the industry growth rate in pumping segment or what we can expect in that and how much market share we are catering to?

Sanjay Kirloskar : So we believe we are in line with the growth in the industry as far as pumps are concerned and I would be very careful to mention that we do not supply systems because some companies are showing growth in systems, we supply pumps. And as far as we are concerned our market share we believe is around 15% on the retail side and as far as the small and medium pumps is concerned, it is around 24 %-25% and as far as large pumps are concerned, we believe we are closer to 40 %.

Tushar Gupta : Sir, what is the main --

Sanjay Kirloskar : And this is also only in centrifugal pumps, because pumps should also include the positive displacement pumps. Centrifugal pump is about 66% of the

the pump market and my percentages were for centrifugal pump.

Tushar Gupta : Sir, Thank you. Sir, one more question I want to ask. Sir, we are dealing in so many segments.

So what is our major focus except pump?

Rama Kirloskar : We also make valves, hydro turbines, steam turbines, which is part of our portfolio, which sometimes is part of the pump package.

Tushar Gupta : So what sort of growth are we expecting from that segment?

Sanjay Kirloskar : I think something similar, though hydro turbine tends to be lumpy depends on State Government programs, so sometimes you will suddenly see a rise and then nothing might happen in the next year, so it is difficult to give a number for hydro turbines. Steam turbines, I think, we will grow in line with the Oil & Gas industry because our steam turbines are related to the API standard and valve normally grows at the same rate as pumps.

Tushar Gupta : Thank you, sir. Thank you so much.

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Moderator : Thank you. We have our next question from the line of Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu : Yes. Thank you once again for giving me the opportunity. My question is on margin. While you answered some part of it in the previous answer, my question was, we did a very big rejig at Kirloskarvadi, right where we had numerous units, we consolidated that, right. So just wanted to understand are the gains of any of these onetime rejigs already in the numbers or you see that there could be some more benefits which could come out of some of these one-time exercise that we have done on the cost side. Because the incremental margin is something which company can strive to continue to achieve and then there could be mix change also which could help margins, but is there anything onetime which is still left or gains of this change that you have made it Kirloskarvadi still left to be visible in the margin numbers?

Rama Kirloskar : Yes. So Kirloskarvadi is a very large plant. So what you mentioned earlier essentially relates to our megastore that we put up. The megastore essentially consolidated 30 raw material stores in the plant and that did help in productivity improvements at the plant, although it will continue to give a certain level of cost benefit in the future. However, actually 2 main rejigs there are going to be the foundry and the factory which is still yet to be done.

Prolin Nandu : So Rama, can you just double click on each one of it as to what is the rejig that you are talking about and what is the timeline for this?

Rama Kirloskar : So essentially it is looking at streamlining of various parts of the plant and ensuring we have better material flow, better productivity. It is all going to be aimed at better productivity, but it is a very large plant, so it has to be done in phases.

Prolin Nandu : Any timelines as to when do you intend to start with this?

Rama Kirloskar : No, not as of now, but in the near future.

Prolin Nandu : Understood. Thank you so much.

Moderator : Thank you. The last question for today is from the line of Priyesh Babaria from Mahindra Manulife Mutual Funds. Please go ahead.

Priyesh Babaria : Hi, team. Good afternoon. So actually just one question with respect to, if you can give color on inquiry pipeline for the domestic market and also for the export market, sir?

Sanjay Kirloskar : So if I could tell you about that water and irrigation, I think the State Governments continue to invest in infrastructure for both water and irrigation and we continue to be a good player in that with orders from all kinds of EPC contractors. We have one product company that does not get

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into JV's or into consortiums. We supply equipment, yet because of our quality and the product

performance we do get very large numbers

of orders in water and irrigation . In today's press

release , you can see the numbers of pumps that we have mentioned over there . As far as power is concerned, the outlook seems to be bright. Thermal power stations are being put up in large numbers . I understand that BHEL is full of orders. We hope to get orders from them as well.

Industry, different sectors of industry grow at different rates, but we are present since we have a whole range of products, we have a whole range of materials that we offer them in. We are always one of the top players in that part . Building and Construction , I have always spoken about the urbanization that is taking place all across the country . We are big players on the firefighting side and incre asingly on the HV AC and hydro -pneumatic side . We expect that to do well . Marine & Defense , again we supply both to the docks as well as on ships. And this is one sector that is slowly coming into its own ; however, the orders still tend to be lumping. There is no daily business as Alok calls it, t he orders are more project related where we supply our pumping equipment. As far as Oil & Gas is concerned, I think that is also growing quite well with all the announcements being made by the sector. So all in all, we are very posi tive about the way forward and we hope that we will be happy with the performance in the current year.

Priyesh Babaria : Thank you, sir. Are you experiencing in terms of let us say, order deferment, because couple of companies are actually experiencing the same given current uncertain environment , so are you experiencing this?

Sanjay Kirloskar : I didn't catch on to what you were saying.

Priyesh Babaria : So basically, order de ferm ent, the delay from the client side in terms of giving the orders to you ?

Sanjay Kirloskar : Yes, I had mentioned at the beginning itself that there are certain delays in placement of orders, but eventually they come.

Priyesh Babaria : Thank you. Thank you so much .

Sanjay Kirloskar : So I think that was the last question . I woul d like to thank everyone who is on the call for their good wishes and your interest in the company and hope to meet you again next quarter. Thank you.

Moderator : Thank you. I now hand the conference over to Ms . Rama Kirloskar for closing comments.

Rama Kirloskar : We woul d like to thank everyone for joining the call today. We hope we have given you a detailed overview of our business and also have answered your queries. Should you have any further clarifications, please feel free to reach out to SGA, our Investor Relations Advisor. Thank you.

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Alok Kirloskar : Thank you.

Moderator : Thank you. On behalf of Kirloskar Brothers Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

(no extractable text — likely a scanned image PDF)

Call: Nov 2025

SEC/ F:25 Novem ber 11, 2025

BSE Limited National Stock Exchange of India Ltd.
Corporate Relationship Department, 5th Floor, Exchange Plaza,
2nd Floor, New Trading Ring, Bandra (East)
Phiroze Jeejeebhoy Towers, Mumbai – 400 051.
Dalal Street, Mumbai – 400 001.
(BSE Scrip Code – 500241) (NSE Symbol - KIRLOSB ROS)

Dear Sir/Madam,

Sub: Transcript of Conference Call with Analysts / Investors on Una dited Financial
'Results for the Quarter and Half-year ended on Sept ember 30, 2025

Ref: Regulation 30 & 46 read with Clause 15 of Para A of Part A of Schedule III of the
SEBI (Listing Obligations and Disclosure Requirement s) Regulations, 2015

This is in continuation of our letter dated October 28, 2025 giving intimation of the subject
mentioned conference call and subsequently furnishi ng the web link for accessing the Audio
recording of the said conference call vide our lett er dated November 04, 2025.

Please find attached the transcript of the above sa id Conference Call held on November 04,
2025 with Analysts / Investors on Unaudited Financi al Results of the Company for the quarter
and half-year ended September 30, 2025.

Please note that the said transcript has also been uploaded on the website of the Company
(<https://www.kirloskarpumps.com/>) which can be acce ssed at the following link:

Link: <https://www.kirloskarpumps.com/investors/analyst-me eting-transcript/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KIRLOSKAR BROTHERS LIMITED

Devang Trivedi
Company Secretary
Encl.: As above.

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"Kirloskar Brothers Limited
Q2 FY '26 Earnings Conference Call "
November 04 , 2025

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the
stock exchange on 04th November 2025 will prevail.

MANAGEMENT : MR. SANJAY KIRLOSKAR – CHAIRMAN AND
MANAGING DIRECTOR – KIRLOSKAR BROTHERS
LIMITED
MR. ALOK KIRLOSKAR – MANAGING DIRECTOR,
KIRLOSKAR BROTHERS INTERNATIONAL B.V.
MS. RAMA KIRLOSKAR – JOINT MANAGING DIRECTOR
– KIRLOSKAR BROTHERS AND MANAGING DIRECTOR –

KIRLOSKAR EBARA PUMPS LIMITED
MR. HEMANT SHALIGRAM – ASSOCIATE VICE
PRESIDENT – KIRLOSKAR BROTHERS LIMITED

Kirloskar Brothers Limited
November 4 , 2025

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Moderator: Ladies and gentlemen, good day . And welcome to Kirloskar Brothers Limited Q2 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on the date of this call. These statements are not guarantee of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, you may signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Kirloskar , Chairman and Managing Director from Kirloskar Brothers Limited. Thank you, and over to you, sir.

Sanjay Kirloskar: Thank you. Good afternoon, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to everyone for joining us on the call today. I hope all have had the opportunity to go through the financial results and investor presentation, which have been uploaded on the stock exchanges and on the company's website.

On this call, I have with me Mr. Alok Kirloskar, Managing Director, Kirloskar Brothers International B.V. ; Ms. Rama Kirloskar, Joint Managing Director, KBL and MD Kirloskar Ebara Pumps Limited ; and as Mr. Chheda is on leave, Mr. Hemant Shaligram , AVP, who is his Deputy, is also here; and Strategic Growth Advisors, our Investor Relations Advisors.

Talking about our Q2 fiscal year '26 performance, let me begin my remarks by giving some business highlights. For the quarter ended September 30, 2025, our consolidated revenue stood at Rs.1,028 crores, remaining broadly stable on a year -on-year basis.

For the first half of fiscal year '26, revenue was Rs.2,007 crores, reflecting a modest decline of 3% compared to the same period last year. While the quarter was marked by certain seasonal and external challenges, our diversified business model and disciplined execution helped us maintain stability and position the company for stronger growth in the coming quarters.

Our standalone performance was temporarily affected by seasonal headwinds, particularly due to an extended monsoon. However, demand across both the small pumps and industrial segments remained robust, demonstrating the inherent strength and resilience of our diversified portfolio.

As all of you are aware, our company maintains its strict commercial policies. While we were quite hopeful when the center released funds for Jal Jeevan Mission, dispatches and further manufacturing have been held due to non -release of funding at state level.

Excluding the small pumps business, our standalone order book stands at Rs.2,127 crores, a strong 13% growth over the previous year, underscoring a healthy pipeline and sustained customer confidence. Domestic subsidiaries have registered a revenue growth of 14% year -on-year and PAT has improved by 26% year -on-year.

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On the international business performance, our operations in the US and Thailand delivered strong year -on-year growth of 21% and 158%, respectively, in constant currency. This impressive performance was driven by the execution of orders that were deferred from earlier quarters due to election -related delays, along with an improvement in overall product demand. South Africa also continued to perform exceptionally well, registering a 27% growth in constant currency. While the UK operations faced temporary softness due to delay of certain orders to subsequent quarters, the overall international order book remains strong, expanding 25% year -on-year to Rs.1,289 crores. T

These results reaffirm the strength of our global presence and our ability to capture growth across diverse markets.

EBITDA for the quarter stood at Rs.124 crores with margins at 12%. For the first half of fiscal year '26, EBITDA was Rs.251 crores. The year -on-year moderation was primarily due to changes in product mix and forex revaluation impact. Importantly, the underlying business fundamentals remain robust, supported by stable volumes, improving efficiencies and a strong order pipeline across segments.

During the quarter, we also recorded healthy order inflows across both domestic and international markets, reflecting continued customer trust and demand momentum. This strong inflow, combined with our growing order book and diversified portfolio gives us high visibility for sustained performance in second half of the fiscal year.

Looking ahead, we remain optimistic about the growth trajectory of our business with a healthy balance between domestic and international markets, a robust order pipeline and continued focus on operational excellence and customer engagement. We are well -positioned to deliver sustainable and profitable growth in the periods to come.

So, with this, let me open the floor for question-and-answers.

Moderator: The first question is from the line of Balasubramanian from Arihant Capital .

Balasubramanian : Good afternoon, sir. Sir, on the distribution network, especially for Jal Jeevan Mission, the funds have been stuck. What concrete steps we have taken to derisk the channel and how the government fund flows at this point of time, and what is the exposure of receivables in the channel side?

Sanjay Kirloskar : There was an echo. So if you can talk a little slowly. You said about the Jal Jeevan Mission , something about channel management. So I didn't get...

Balasubramanian : Yes, sir. Actually, some liquidity issues are there.

Sanjay Kirloskar : Yes.

Balasubramanian : In the Jal Jeevan Mission channel side, how we are managing and what is the exposure of receivables?

Sanjay Kirloskar : Yes. So as far as exposure on receivables is concerned, it is zero. As you are aware, and I mentioned that in my speech as well, the company maintains its strict commercial policies. We

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do not dispatch anything from the factory unless we are sure of the payment. As I mentioned, the center released funds, but states have to contribute in certain cases 10% of the funds and in certain cases 50% of the funds.

The states unfortunately, have not been able to put in the funds from their share , and therefore, as I have said earlier, since we do not deal directly with the government and deal with Jal Jeevan orders through our distribution channel, we have ensured that our distribution channel stays healthy. And therefore, we have withheld dispatches of a certain amount of products to ensure that only when the money is sure to come, we will dispatch those pumps.

I'd also like to mention over here that the pumps are generic. If for a certain period of time, they are not lifted by the state government, they can be diverted to other customers. We are holding on to them, expecting that this will be taken care of in the near future.

Balasubramanian : Okay, sir. Sir, on the pump side, especially for retail petroleum pumps, it's one of the strategic products. What is the specific go -to-market strategy to compete with international players? Like if you could throw some light on in terms of price, service or technology side and what is the targeted market share and the revenue from this segment over the next two years to three years' timeframe?

Rama Kirloskar : Yes. So as far as these -- am I audible?

Balasubramanian : Yes, ma'am.

Rama Kirloskar : Yes. So as far as these pumps are concerned, we are dealing with two monopolistic American players. So we were able to break through there in the

market. So we will be now an indigenous player in this market. These are a type of canned motor pumps that we have made. They are going for a critical application.

As you know, that we always need to be L1 in these orders, right, because it's tender based. And that's why we don't necessarily want to give the value or the margin because really, it will depend on that tender. So it will be very tender specific. So unnecessarily, we don't want to cause confusion in the market by giving a fixed price because that's not how this business works. Although this is a large area and considering that there are only two to three global players, we do see that this is one area for expansion in the future. And there is a lot of potential for exporting these products. However, this being our first large order, we would like to concentrate on executing this business domestically first . So it would be very premature for me to give a long - term outlook as of today.

Balasubramanian : Okay, ma'am. Ma'am, on the data center side, the value is around 5 million to 7 million per site. And what is the estimated total addressable market, especially for specific cooling and firefighting packages in the US and Europe , and how we are contributing in those areas?

Alok Kirloskar : On the data centers, our main focus in data centers is in the US and that's really what we're focusing on with the major players who are either putting up data centers , or of course, some of the others who are occupying those data centers.

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So I would say that's really our focus market. The majority, by far, of data centers are coming up in the US followed by the UK, and Ireland strangely because that's where the communications cables come in from the US. So I would say that is our focus area in data center s.

In firefighting, our market share in the US continues to be about between 15% and 20%. In India, of course, our share in firefighting is much higher at -- closer to 55% to 60%. So I hope those are the two answers, I think.

I think the last one is district cooling. District cooling mainly we are focusing in the Middle East. We see a lot of projects coming up for district cooling in UAE , as well as in Saudi at the moment. But that said, I would say that there is some sluggishness in Saudi, especially on the NEOM projects, where a couple of large district cooling projects were coming up and spending has reduced at the moment on those proje cts.

But that said, I would say that the Middle East is where we get the district cooling projects. And at the moment, we probably have a handful ongoing with the major district cooling developers. Balasubramanian : Okay, sir. Sir, my last question regarding the UK structural headwinds. I think some high power cost issues were there, especially for deindustrialization. What percentage of UK service and project revenue is exposed to this risk industrial customers? Secondly, I think our Dutch entities are -- like, profitability is on track right now and like what kind of strategy we have to launch new products, especially like hydrogen pumps and all? And is there any plan to scale up that profitability over the next three year s to five years' timeframe?

Alok Kirloskar : Yes. I think over the last few calls, I've mentioned the point that you have made that there has been heavy deindustrialization in the UK , because the power prices are close to GBP280 a megawatt hour. If you compare that to Germany, it's about GBP120 per megawatt hour. And if you compare it to Sweden, it's about GBP52 a megawatt hour. The US also is in the same range as Sweden. So it's a fra ction of the prices of the UK.

And because of that, there's been heavy deindustrialization in the UK, especially in the North, the chemical plants, actually any energy -intensive facilities. So chemicals, steel, all these have seen the plants only idling

. And because of the UK Government confused strategy on oil and gas, there has been no licenses that have been issued in the North Sea. So you may have read in the news, Total has recently decommissioned and exiting the UK market, UK North Sea market by decommissioning their rigs.

Now what that means for us generally is that, as you know, we have service contracts with chemical companies, petrochemical companies , as well as steel companies and water companies. So we do see that even though we have three-year or five-year new contracts with them. The activity on contracts in the chemicals, petrochemical segment and even steel segment has reduced significantly because many of them are only idling their plants.

And our focus has been to offset that by new contracts that we have received in the water and power plants segment. And so we -- while the total contracts available now are total executable service contracts have come back to what they were, we did face th e first few months in the year

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when a lot of work was not coming for service. And you can see the impact of that in the overall margin.

So in the UK, especially, we have found two issues. One is some supply chain issues, which continue to be there which is on the large project side. And the other side, we have issues in terms of the number of available service contracts. So while we have service contracts, the available service contracts where there is ongoing work was reduced. So those are the two areas that we were trying to balance.

We have enhanced the revenue by enhancing sales on other segments within the UK and we will continue to grow the service business, as we've said, in the UK , as well as in Europe and try and offset the softness in the service business in the UK. And we are continuing to win new service contracts in power plants, water in the UK and in other segments outside the UK to be able to stabilize those service revenues and then slowly after stabilizing, move into growth phase again.

So does that answer all your questions?

Balasubramanian : Yes. And that opportunities for Rodelta?

Alok Kirloskar : Yes. I mean, as I mentioned, we have opportunities in service. We continue to add new major service contracts with water utilities, power plants. And as you go into Europe, where power prices are still lower with chemical plants. So we are developing those . We have won a number of these in the last quarter as well.

As you know, once you win them, it takes at least two months to three months to work with the operator to agree what will be the plan in terms of service for the next three to five years, depending on the service contract, either three or five. And how much of it will be done every year.

So once we agree and sign that off, then the service contract comes -- so that's really why we have not yet seen new business coming out of the contracts that have been signed recently. But we do hope to see that soon once we have reached an agreement of what will happen in year one, year two, year three on those contracts.

So, yes, we do have an upside. As you are aware, we have another upside, which is fish-friendly pumps. The UK, along with Europe has now, as per policy, said that all canals and rivers need fish-friendly pumps and we need to retrofit those pumps. So we see that we are again investing in that because we have a ready product to sell in those markets.

The other is there has been growth in the water segments, both in Benelux region, which is Belgium, Luxembourg and Netherlands as well as I've mentioned on previous calls, the AMP8 has now come into effect in the UK. So AMP8 is an 88 billion program over five years, where we are optimistic that this time, there are more clear water pumps rather than sewage pumps. And similarly, we're seeing an uptick in the investments in Benelux on the water side. So I would

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say there's still many areas that are looking interesting in these segments.

Moderator: Next question is from the line of Pratik Kothari from Unique PMS.

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Pratik Kothari : Sir, first on the standalone. I mean -- so we have been winning orders every quarter. Gradually, our order book also has been ramping up. So apart from this Jal Jeevan case, anything if you can highlight the positive, negative, what is going on? So for last 3-odd quarters, we have been either stagnant or degrowing in that segment. So just some comments except of Jal Jeevan, how are things panning out there?

Sanjay Kirloskar: I think the booking has been consistently going up. It's possibly the sales that have not grown to our expectations. But that many times, I have said, don't look at our performance from quarter-to-quarter, even if it's for two quarters or three quarters because now as we go towards the end of the year, if you've looked at the historical performance of the company, about 35%, 36%, 38% is done in the first half and about the rest of it, whatever, 60% to 62% is done in the second half.

And this is because of seasonality of our business. It's because of the fact that most industrial companies and especially pump companies do very well when it's coming towards the government and our own year-end. And so this is what it is.

Pratik Kothari : Second to Alok -bhai, I mean, I think very well explained the challenges in UK. I think even US seems to be doing really well. I mean it has come very close to where UK is. I mean just some color, some highlights what is going right in US.

Alok Kirloskar : I mean I would say that the US, as you know, there are industries that are new, that are coming back into the US, and we have inquiries from those, and we now have orders also from many of them. And that's probably part of Mr. Trump's overall program to attract industries back. So we see some new inquiries and focus on those industries. But apart from that, I would say that the big other growth is, as I think was mentioned earlier, data centers.

There are a large number of data centers coming up. And most of these data centers, as you know, we are catering both fire and cooling systems for these data centers. So -- and we moved away from just supplying pumps to supplying container systems because data centers have a quick lead time of 18 to 24 months. And so they want to have modular concepts.

So I would say that we are -- as you know, SyncroFlo's specialty is modular systems and making pump houses -- containerized pump houses is something they do. So SyncroFlo does that not only for our pumps, but a lot of SyncroFlo's distributors are also selling pumps of other manufacturers, other major US manufacturers.

And often, those distributors are buying the pumps from those major US manufacturers, issuing the pumps free of cost to SyncroFlo. And SyncroFlo is then packaging those into very complex houses, which have the piping, the control systems, everything else, valves, pumps, of course, which are pre-issued, everything else inside that and supplying it as a full package for -- again, for data centers and other process units.

So I would say, really, that's the big area. And you would probably be knowing that even now there is almost 2,000 data centers coming up in the US, which have received planning permission.

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So it's a large number of data centers. Just to put it into context for you, a hyperscale data center, which is what most of the data centers today are, requires almost 2 million liters of water every day, which is called top-up water just for -- just coming from the evaporation inside the data center. Just top-up water is 2 million liters per day. So quite large systems going into these data centers. Does this answer your question?

Pratik Kothari : Yes. Absolutely. Yes. And last one, just number, we see Rs.30-odd crores of FX loss in our cash flows. I mean, was it this quarter? Does it go through our P&L?

Alok Kirloskar : Yes. I mean, as you know, we have moved to hedge accounting. And even with hedge accounting, we have mark-to-market these losses because of the heavy deterioration or depreciation of the dollar, as you're aware, compared to the pound. So even though we have hedge accounting, we had these excess losses that came up. In addition to this, we also have another situation, which is that we are holding deposits.

As you're aware, we are holding cash in KBIBV, and we are holding large deposits in dollars in the Netherlands. And as our -- and they're held in dollars, but as KBIBV accounts are made in euros, we are showing translation losses also of \$0.5 million on that amount. So, yes, it is -- the mark-to-market losses are notional from the operating side of the business. Now the translation loss will remain notional as long as we don't use the money in any other currency but dollars. If we do spend that money from KBIBV for -- in any other currency but dollars, then it will convert to a real loss.

Pratik Kothari : Correct. So one of the reasons for lower margins this quarter or first half is also this, I mean, this FX loss that we see.

Alok Kirloskar : Yes. Yes. The FX loss, as you rightly said, is about GBP1.8 million, which is about Rs.20 crores. From an operating point of view, KBIBV's operating profit is stronger than last -- same time last quarter, last year.

Moderator: Next question is from Raj Shah from Enam AMC .

Raj Shah : My first question was regarding the Jal Jeevan Mission issue that you highlighted. So for the last year, say, in FY '25, what kind of contribution Jal Jeevan Mission would have in our standalone business?

Sanjay Kirloskar: Jal Jeevan exactly would be 2%, 3% about 5%, maybe about 5% at the most.

Raj Shah : 5% of the annual standalone revenues.

Sanjay Kirloskar: Of the annual standalone revenue.

Raj Shah : That is what the impact is for the current year?

Sanjay Kirloskar: Yes, sort of.

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Raj Shah : This is for Alok, sir. The Dutch business are smaller in numbers, but we have seen that the Rs.24 crores last year same quarter revenue has come down to Rs.8 crores, even six monthly numbers are down as well as there is some loss that has been reported in the Dutch entity.

Alok Kirloskar : Yes. I mean, the Dutch entity order book position is stronger than last year. But because it's so lumpy the business, there is a huge amount of executable order book in this quarter, which is there last quarter. So we are trying to ensure that we can push that out to ensure that they have better numbers compared to last year.

Sanjay Kirloskar: To a great extent, I think both in America and Western Europe, there have been many elections that have been taking place, and there has been a lot of uncertainty. But we know that it is going to translate into business. As mentioned earlier, whatever uncertainty there was in the previous -- I think it was the previous call, we had said that there was uncertainty in the US before Trump got elected.

After Trump got elected, the order flow has started. Similarly, Netherlands has had elections recently. I think they just completed them last week. Thailand has been going through its own special issues. So this is going to happen. But what we are very confident about is the fact that step by step, we are establishing our businesses in these countries, and they will only grow.

Raj Shah : Sir, on UK business, as you mentioned that the margins have been lower due to various issues. But do you see that from the 6% margin, we can go back up to, say, double digit, close to double-digit margins, which we used to report earlier?

Alok Kirloskar : It depends

on what time frame you're asking me this question in. But -- however who is asking me from a short-term point of view and not a long-term point of view, I would say that from a medium-term point of view, definitely, because finally, that margin that you saw is coming from mix of the product and services.

And as the service revenue is going up, it's easier for us to meet those margins. We obviously, as I mentioned to you, because of the labor government coming in and it being in a very confused state, the industries have been hit quite badly who are energy-intensive industries. But over time, as you know, everyone adjust themselves and then it becomes business as normal. So I would say that in the medium term, it's possible. In the very short-term, we are trying to see how to make it possible using the existing order book position that we have. The order book position is quite strong. But like I've said that the more product side we execute, the margins obviously are lower than the service side. So we always need that level of executable service business.

While -- like I said, we have 120 service contracts on the books. A lot of them in the North of England right now are idling, which is not 50 or 60 of them, but there are many large ones of them. And so we are trying to see how to ensure that we can execute the order book in a way that delivers close to what you are expecting.

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Raj Shah : Lastly, sir, our aspiration, as you have mentioned earlier also has been to report at least double-digit revenue growth. So do you see -- because H1, it is 3% negative growth. So do you see H2 will be better enough to compensate for?

Sanjay Kirloskar: Yes. Like I've said -- historically, we have performed in a certain manner. And we believe that by H2, all things going properly, we will be able to meet our aspirations.

Moderator: Next question is from Manish Goyal from Thingwise Wealth Advisors.

Manish Goyal : I have a couple of questions. First, on the PetroTurbo pump set. So you just mentioned that it would not be fair to share the order value. But I just want to clarify that on 1st October, you had -- the press release said that we have been declared L1 while the presentation says that we have received the orders. So just want to clarify that formally have we received the orders and how will it get executed in what time frame?

Rama Kirloskar : What was the last part of your question? Yes, we have received the order, but you had another question...

Manish Goyal : No. So I was asking that like what is the time frame of execution of this order? That was the question.

Rama Kirloskar : It's around nine months.

Manish Goyal : So if you cannot give an exact value of the order, but would it be possible to give a price range ideally?

Rama Kirloskar : No. We can't do that. We can't do that because this is a tender-based business. So it's not a fixed value. We have to be L1 and we have to be competitive. And there's a huge variety in the features and the type of pump that is required. Since there's a lot of variability, we don't want to give a fixed price because that would not be accurate.

Sanjay Kirloskar: If the product mix changes, then you might see smaller numbers having higher value or higher numbers having smaller value. So we don't want to confuse anyone.

Manish Goyal : Okay. So also, like as you mentioned that you would like to focus on domestic market initially, how big is the opportunity? Like we received the order from IOC. So like there are other OMCs also, BPCL, HPCL and many others. So like what is the opportunity -- how should we look at it is on a recurring basis that this opportunity can be over a period of next two years to three years?

Rama Kirloskar : Pump requirement per year.

Manish Goyal : Maybe if you can say that how much is required over a period of, say, one, two, three year

s, like

any -- as such?

Sanjay Kirloskar: I think last time also, Rama had mentioned it's about 25,000 or 30,000 pumps per year.

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Manish Goyal : Fine. Also like once you supply to IOC, does it that you probably need to get qualification with other OMCs or like once you have already supplied, then you are probably have the supply benchmark already established and you can probably supply.

Rama Kirloskar : Yes. Once we supply, then we are established and...

Sanjay Kirloskar: With IOCL.

Manish Goyal : No. But what about, sir, with other OMCs like BPCL...

Sanjay Kirloskar: It depends on what their requirements are. They could be different.

Manish Goyal : On the standalone business, like you have definitely mentioned about impact due to JJM. But I would like to get a perspective on demand side from the industry pumps as well as pumps which probably we supplied for infrastructure on various accounts because power was picking up quite

well. Order book for irrigation was picking up. So if you can just give us perspective because last three quarters, somehow the standalone sales is probably quite muted. So how should we look forward probably in near to midterm?

Sanjay Kirloskar: Yes. So I have mentioned that we believe that the two growth drivers will be urbanization and the power sector. Power sector, we have continued to receive orders, and we look forward to receiving orders because large number of new power stations are coming up, not only in the thermal space, but we expect that the nuclear side also will start picking up soon.

But as you are aware, these orders would be executed over a period of time because, number one, there are -- they need to set up the power station to receive the pump. And that usually will take care of the manufacturing period.

So in this, what we have done is the kind of orders that we have received from one of our customers, we've set a new benchmark of delivering within a year, some very large pumps, which earlier would have taken 18 months because that customer is really a demanding customer and wants to establish these power stations very quickly.

On the other side is urbanization. Our building and construction sector continues to grow very smartly. And I think a few quarters ago, Alok had also mentioned that due to our strong presence on the firefighting side, we've been able to bundle HVAC and utility pumps. So that also continues and is continuing to grow our market share in that sector.

Manish Goyal : Right, sir. So we should be able to probably see a double -digit growth. Like last year, we were aspiring for double -digit growth. So hopefully...

Sanjay Kirloskar: I don't think -- I think you were not listening to my answer to the previous gentleman...

Manish Goyal : No. I just wanted to get reassurance from it.

Sanjay Kirloskar: I have now said it for a few quarters. I think the last two quarters have been where everyone has questions. But looking at the order book, looking at the way the situation is with customers as

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well as some of the changes that we are making in the plant, I'm very confident of meeting these targets.

Manish Goyal : Sure, and a question for Alok. Alok mentioned that AMP8 program has started in UK. So I would like to know like have we started getting orders or probably it will take one or two quarters more that we see -- we start seeing meaningful orders flowing?

Alok Kirloskar : Yes. We are getting orders. But , yes, I would say when you consider that AMP8 should be 1% of the spending should go to pumps. I would not say that it is meaningful as yet. But , yes, they are starting to release orders that classified as AMP8 orders.

Manish Goyal : Last question on the services side, Alok, so like how much time do you think that you probably -- the new contr

acts what we have won, we should be able to probably offset the loss of the -- some of the existing business, and we should probably get back to normalized growth run rate?

Alok Kirloskar : I mean I'm giving you my estimation. I would not say that -- like I said, it's based on us, like in my previous answer, I said based on us and the customer agreeing what will happen in year one, year two, year three, and we're signing off on that and then restarting the process on that. But I would say three months. usually, it takes about that much time for us. They're going back and forth and then it's really translating into the products coming in because as you know, the products are the n dismantled at site, brought into our plant.

We dismantle the products in the plant. We go through a process. We have to, as a part of the process, submit a price and then they accept that price which is part of the overall agreement. And then -- but we still have to follow that process. And then we start the repair and then we dispatch it. So it's not just agreeing, but it's also this process after which you see the invoicing and hence, the margin. So I would say at least three months, it takes to do all these things.

Manish Goyal : Last question on the development order for the nuclear power primary coolant pump. Would it be possible to share how is the progress on the same, sir?

Sanjay Kirloskar: The progress continues. There are various components of that for the primary pump. And as far as we are concerned, I think like I said earlier, the hydraulic performance is proved. The casting of the main one is in progress. And as the hydraulic performance is proved, I don't expect too many problems when we make the first pump.

Moderator: Next question is from Jainam Doshi from Kriis PMS .

Jainam Doshi : In the presentation, the strategy going forward, we have mentioned that steps are being taken for debottlenecking and cost optimization at our key domestic subsidiaries. So if you could highlight on what are the steps being taken and how much it would flow to our margins on all level over the years, that would be helpful.

Rama Kirloskar : Yes. I have a question actually. Did you say subsidiaries? Or did you say factories?

Jainam Doshi : Subsidiaries we've made, in slide number 41.

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Sanjay Kirloskar: Yes. So as far as KPML is concerned, we have taken a few steps to ensure that the output can be in step with the small pump business. As you're aware, the small pump business is heavily dependent on KPML for motor components and motors. So we've been able to put in facilities as well as improve the machining lines as well as the process -- other processing lines to ensure that output can be faster and the costs can be brought down.

Similarly, you might have seen that at TKSL, the sales have gone up, reducing the losses from the previous time. And we are very happy that actually the power sector is coming into focus as in giving us orders. So we expect that whatever was our original reasoning for buying TKSL, which was to have a steel foundry, which can make large steel castings, which are required in the power plants, will be -- they'll be able to deliver.

Digitization efforts continue. Whatever has been done has been able to help us understand things better. The EREP packages have also been implemented at the subsidiary. One other thing that we've done is the Group Captive Solar to ensure that costs, especially in our foundry at TKSL, the energy costs can be brought down.

Jainam Doshi : You have mentioned like in the JMM, we aren't -- like there are states who are not able to release funds to a certain extent. So if you could help us name which are the states who are not able to release.

Sanjay Kirloskar: I think this news is available. I'm not going to name and shame any one of these companies.

Jainam Doshi : One more

thing is like as we have mentioned, we are supplying systems in the data centers. So what would be the addressable market size for our systems there? And how many projects have been executed till now? And what is the trajectory going ahead.

Alok Kirloskar : The addressable systems in the data center that we are currently supplying are the fire package, which is actually a fire system in this case, like I mentioned earlier, because it's a modular pump house. The cooling -- the primary cooling package, which is going connected to the chiller, the secondary cooling package, which moves stuff from the chiller to the on-chip cooling system and, of course, the intake water systems.

Those are what we mainly are focused on in data centers. Of course, it depends data center to data center because some are colocation, some are hyperscale. That's mainly the ones that are being focused on by us.

And what we do in the data center also depends because sometimes the customer wants one system for fire, some other system for cooling and maybe a third system for secondary cooling. Of course, we try and supply the whole thing as one big package, but it really depends on customer preference as well in many of these cases. I think your last question was...

Jainam Doshi : Like how many projects until now have we executed?

Alok Kirloskar : Yes. Till now, maybe we've done about 25 to 30 projects. And at the moment, any time in our plant, we have about four to five projects worth of data centers in the US because that's mainly Kirloskar Brothers Limited

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where a lot of the data center work is happening. So -- and those may not be all the systems I mentioned. It could be one of the systems that I've mentioned at any time.

So even now there are about five or six projects are on the shop floor for data centers. So -- and when I say a project, it is either the fire system or the secondary booster system or the primary system or the intake system. So , yes, so I mean we have a good number of different things going on, on data centers.

Jainam Doshi : Lastly, I just wanted to have a view on the -- like the current bid pipeline for the projects which we have, both in the domestic and the international market. If you could highlight that would be of great help.

Sanjay Kirloskar: No. I've not understood the question. Can you just repeat that?

Jainam Doshi : Total -- the bid pipeline for the project business, which we have in the domestic as well as the international market.

Sanjay Kirloskar: We don't give this number.

Moderator: Next question is from Ishita Lodha from SVAN Investments.

Ishita Lodha : Sir, what is the impact of the commodity price inflation on our margins? And how much of our order book is fixed price?

HEMANT SHALIGRAM : I think as of now, there is no impact as such on the financial.

Ishita Lodha : Are we seeing any slowdown in the project or tendering due to commodity price inflation?

Sanjay Kirloskar: We don't see so.

Ishita Lodha : Is it possible to quantify how much of the pumps which have been withheld for dispatch? What

is the value of the inventory sitting in our books, which has been withheld for dispatch for Jal Jeevan Mission ?

Sanjay Kirloskar: Numbers. I think the fact that these pumps can be dispatched to other people if they are not picked up within a certain time should give you the confidence that we will wait for a certain while and then it will come out.

Ishita Lodha : How are you seeing the pipeline in domestic market and the pricing trend? Is it stable? Is it increasing?

Sanjay Kirloskar: It is stable.

Moderator: Next question is from Manish Goyal from Thinqwise Wealth Advisors.

Manish Goyal : Just a couple of questions on -- I just want to clarify, which Pratik was earlier asking on the ForEx unrealized losses. So the cash flow shows -- consolidated cash flow shows Rs.32 crores is the exchange

loss in the first half of the current year. So Alok, when you mentioned GBP1.8

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million, roughly Rs.20 crores, were you referring to the quarter two number? And has it been passed through the P&L for sure?

Alok Kirloskar : Yes. Those numbers have passed through the P&L. But I'm mentioning the translation loss also. It is coming from the fixed deposits.

Manish Goyal : So that is something which probably -- till you use it, that number will not reverse back or maybe whatever variation in exchanges will happen, again, it will perform that way. Because what I'm seeing is that your...

Alok Kirloskar : I mean, if we can execute many of those jobs in the last quarter, that mark -to-market loss will come down, right? Because the UK has this issue because 70% of the production, as you know, is exported. The only reason that it's become a little larger this time is because there's been more depreciation in the dollar.

But even then it is only, I think the mark -to-market proportion of the 1.8 million, if I'm not mistaken, is 700 -something thousand pounds. And the remainder is translation losses because of dollar deposits held in KBIBV.

Manish Goyal : One more question, again, for standalone cash flow, what we probably continue to see is that provisions for doubtful debts and advances, even in the first half of the current year, that number is roughly Rs.15 crores, whereas last full year, it was Rs.41 crores. So again, is that number which is passing through the P&L? And is it pertaining to the old contracts? If you can clarify this as well?

Hemant Shaligram : I think if you see the numbers, it is reducing on a quarterly basis. And I think -- it is as per our policy, we need to provide it is passed through P&L. It's our policy, we need to provide that in our books.

Manish Goyal : No. I agree that that number optically is reducing, but probably would like to know that like how far do we see that this number would continue?

Hemant Shaligram : No. No. I think if you see the trend, the last trend because our recovery is very good, we don't see any bad debts as such. But even if there is a delay in the receipt of payment, we provide in the books.

Manish Goyal : Last question on the -- in the presentation, in the updates, probably what we refer to various sector updates for our standalone business, there is -- probably I saw for the first time, Engineering Service division where sales have increased 27%. So what is this business? Is it aftermarket or if you can clarify on this? And what is the size of this business? Because just 27% growth, we are not able to get a perspective as to how relevant it is?

Rama Kirloskar : No. So this is the same sector, which they generally call customer support and ESD. I think this time, they've just mentioned the full form of ESD as engineering service division. It's not a new sector and we don't generally give the contribution sector -wise.

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Moderator: Next question is from Mr. Vishal from Bandhan AMC. Mr. Vishal, you may proceed with your question, please. Mr. Vishal, your line has been unmuted. You may proceed with your question.

As there is no reply from Mr. Vishal, we will conclude this call. I would now like to hand the conference over to Mr. Hemant Shaligram for closing comments.

Hemant Shaligram : Okay. Thanks, ma'am. Thank you all of you for joining today's call. We hope the session provided a comprehensive overview of our business and address your queries effectively. Should you have any further questions or require any clarification, please feel to reach out to SGA, our Investor Relations Advisor. We truly appreciate your continued trust and support. Wishing you

all a pleasant evening. Thank you.

Moderator: On behalf of Kirloskar Brothers Limited, that concludes thi

s conference. Thank you for joining

us and you may now disconnect your lines.

Call: Feb 2026

SEC/ F: 26 February 11, 2026
BSE Limited National Stock Exchange of India Ltd.
Corporate Relationship Department, 5th Floor, Exchange Plaza,
2nd Floor, New Trading Ring, Bandra (East)
Phiroze Jeejeebhoy Towers, Mumbai – 400 051.
Dalal Street, Mumbai – 400 001.
(BSE Scrip Code – 500241) (NSE Symbol - KIRLOSB ROS)

Dear Sir/Madam,

Sub: Transcript of Conference Call with Analysts / Investors on Unaudited Financial
Results for the Quarter and Nine months ended on December 31, 2025

Ref: Regulation 30 & 46 read with Clause 15 of Part A of Schedule III of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

This is in continuation of our letter dated January 30, 2026 giving intimation of the subject
mentioned conference call and subsequently furnishing the web link for accessing the Audio
recording of the said conference call vide our letter dated February 06, 2026.

Please find attached the transcript of the above said Conference Call held on February 06,
2026 with Analysts / Investors on Unaudited Financial Results of the Company for the quarter
and nine months ended on December 31, 2025.

Please note that the said transcript has also been uploaded on the website of the Company
(<https://www.kirloskarpumps.com>). This can be accessed at the following link:

Link: https://www.kirloskarpumps.com/investors/financial-information/analyst_meeting_transcript/

This is for your information and records.

Thanking you,

Yours faithfully,

For KIRLOSKAR BROTHERS LIMITED

Devang Trivedi
Company Secretary
Encl.: As above.

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"Kirloskar Brothers Limited
Q3 FY26 Earnings Conference Call "
February 06 , 2026

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the
stock exchange on 06th February 2026 will prevail.

MANAGEMENT : MR. SANJAY KIRLOSKAR – CHAIRMAN AND
MANAGING DIRECTOR – KIRLOSKAR BROTHERS
LIMITED
MR. ALOK KIRLOSKAR – MANAGING DIRECTOR ,
KIRLOSKAR BROTHERS INTERNATIONAL B.V.
MS. RAMA KIRLOSKAR – JOINT MANAGING DIRECTOR
– KIRLOSKAR BROTHERS AND MANAGING DIRECTOR –

KIRLOSKAR EBARA PUMPS LIMITED
MR. BHAVESH CHEDDHA – CHIEF FINANCIAL OFFICER
– KIRLOSKAR BROTHERS LIMITED
MR. HEMANT SHALIGRAM – ASSOCIATE VICE
PRESIDENT – KIRLOSKAR BROTHERS LIMITED

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Moderator: Ladies and gentlemen, good morning and welcome to the Kirloskar Brothers Limited Q3 FY '26 Earnings Conference Call. Before we begin, a brief disclaimer. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantee of future performance of the company and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.

I will now hand the conference over to Mr. Sanjay Kirloskar, Chairman and Managing Director from Kirloskar Brothers Limited for opening remarks. Thank you, and over to you, sir.

Sanjay Kirloskar : Thank you. Good morning, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to everyone for joining us on our call today. I hope you've had an opportunity to go through the financial results and the investor presentation, which have been uploaded on the stock exchanges and the company's website.

On this call with me, I have Mr. Alok Kirloskar, Managing Director, Kirloskar Brothers International B.V.; Mr. Rama Kirloskar, Joint Managing Director, KBL and MD Kirloskar Ebara Pumps Limited; Mr. Bhavesh Cheddha , Chief Financial Officer; Mr. Hemant Shaligram, our Associate Vice President and Strategic Growth Advisors, our Investor Relations Advisors. So speaking about our Q3 FY '26 performance, let me begin my remarks by giving some business highlights, which are in line with capital goods industry trends. For the quarter ended December 31, 2025, our consolidated revenue stood at Rs.1,116 crores. For the 9 months of FY '26, revenue was Rs.3,123 crores.

While the quarter continued to be marked by some external challenges, however, our diversified business model and disciplined execution helped us maintain stability and position the company for stronger growth in the coming quarters. Our standalone performance was temporarily affected due to an overall slowdown.

And additionally, our dispatches and further manufacturing was held back due to non -release of JJM funding to our dealers. However, demand across both small pumps and industrial segments remained healthy, demonstrating the inherent strength and resilience of our diversified portfolio. Excluding the small pump business, as we never give order backlog in that business or a pending order statement.

The domestic order book stands at Rs.2,438 crores, a strong 25% growth over the previous year, underscoring a healthy pipeline and sustained customer confidence. Domestic subsidiaries have registered a revenue growth in quarter 3 of FY '26 of around 10% on a year -on-year basis.

On international business performance, our operations in the U.S. and the Netherlands delivered strong year -on-year growth of 15% and 155%, respectively. This impressive performance was Kirloskar Brothers Limited

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driven by the execution of orders, along with the improvement in overall product demand. South Africa also continued to perform well in constant currency.

The U.K. operations continued to face temporary softness due to uncertainty in the U.K. government's energy policies. However, the U.K. order board is higher than last year by 10% due to focus on diversified market segments and the overall international order book remains strong, expanding 13% year -on-year to Rs.1,289 crores.

These results reaffirm the strength of our global presence and our ability to capture growth

h across

diverse markets. EBITDA for the quarter stood at Rs.161 crores with margins at 14.4%. For the 9 months of FY '26, EBITDA was Rs.412 crores with margins at 13.2%. The year -on-year moderation was primarily due to changes in product mix and adverse operating leverage. Importantly, the underlying business fundamentals remain strong, supported by stable volumes

and a strong order pipeline across segments. During the quarter, we also recorded healthy order inflows across both domestic and international markets, reflecting continued customer trust and demand momentum.

This strong inflow, combined with our growing order book and diversified portfolio gives us high visibility for sustained performance in the coming quarters. Looking ahead, we are optimistic about the growth trajectory of our business with a healthy balance between domestic and international markets, a robust order pipeline and continued focus on operational excellence and customer engagement. We are well positioned to deliver sustainable and profitable growth in the periods to come. This is all from our side.

We can now begin the question-and-answer session. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. We take the first question from the line of Raj Shah from Enam AMC.

Raj Shah : Am I audible?

Sanjay Kirloskar : Yes. You are.

Raj Shah : Yes. Sir, so when we interacted in the previous concall in early November, as per your comments, it was very clear that H2 would be much better than H1. And going back to our historic stated aspiration of growing double digit every year. This year, we expected in this quarter that the revenue growth would be much better, say, at least close to double digit that we have stated. Can you please help us understand granularly sector-wise, where there were some disappointments or what didn't go in our favor?

Sanjay Kirloskar : Sure. We have always said don't look at us quarter-to-quarter. We've also given you the kind of behavior the company exhibits on the revenue side with around 19% in the first quarter, 21% in the second quarter. Third quarter is around 24% and the remainder is in the last quarter. This has been the historical trend. And I continuously point this out in the last few quarters that don't look at us quarter-to-quarter.

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Coming to the quarter, as I have said, JJM continues to be an issue. State governments were supposed to fund the rest of the money. Some of you might think that we take JJM orders directly. But like I said a few quarters ago, we do not take any orders directly from the state government or the central government.

And that's why we do not participate in the KUSUM program or the JJM program directly. We do this with our dealers. These dealers are long-term dealers working with us for many generations. Some of them are with us for 4 generations. We ensure that their financial health is also maintained. They placed orders on us.

We have always looked at the fact as whether they are going to get the money because we do not want to just push out equipment and have them have a cash flow situation and destroy their business. So JJM actually was a large disappointment with us because we felt that, that would come through in this quarter. That hasn't.

The company has not produced against certain orders, and it is holding some inventory so that the dealers are not saddled with that inventory. That's one of the main reasons for that. Number two reason is that the company has always been conservative with its order board, with its order intake. Even in large projects, we do not book orders, though you see a large order booking.

We do not book orders unless they are confirmed with advances especially for large pumps. So though the order book is large, there are orders which are still not recognized. W

e also informed

last time that there is a foundry ERP taking place being put into the system, SAP system.

And this will give us higher efficiency. It will give us visibility of materials that are being used and enable us to ensure that the right orders are made at the right time. So we've had some hiccups in that, but I can report over here that by the end of last quarter, the system is performing much better because now we are able to identify waste and also reduce costs. So as an old company, we continuously try to improve our operations, bring in the latest technology in order to ensure that efficiencies are improved in all our processes constantly. So I hope that answers your question.

Raj Shah : Certainly, sir. Sir, if you can quantify this impact due to ERP implementation, say, in terms of revenue or profitability, how did it affect us from the quarter?

Sanjay Kirloskar : What I can tell you is that normally, we need about 700 castings per day from our cast iron foundry where we have implemented it. And we had dipped to about 200, 300 castings per day. That would have had an impact of about Rs.50 crores in revenue.

Raj Shah : Okay. Got it. Sir, in relation to this, do we stand by our aspiration of growing double digit for the current financial year, FY '26 over FY '25?

Sanjay Kirloskar : I have said that we will always try to go for double-digit growth. But as you may be aware, we place priority on cash flow, profitability and revenues in that order.

Raj Shah : I have few more bookkeeping questions. Will fall back in the queue.
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Sanjay Kirloskar : Sure.

Moderator: We take the next question from the line of Rabindra Nayak from Sunidhi Securities.

Rabindra Nayak : Am I audible?

Moderator: Rabindra, your audio is too low. Could you please use your handset and proceed with your question.

Rabindra Nayak : Is it okay right now?

Moderator: Yes, please go ahead.

Rabindra Nayak : Okay. Sir, my question regarding this other expenses in the stand alone entity that is a significant decline. What is the reason for that? And what is the percentage of reduction in sales in this year, particularly for the JJM project payment issue? If you can quantify it would be helpful, sir ?

Sanjay Kirloskar : Could you repeat your question, please? I didn't...

Rabindra Nayak : Yes. The decline in other expenses in the stand alone business in this quarter is a decline. So what is the reason for that?

HEMANT SHALIGRAM Okay. I think the decline in the other expenses is because we could able to recover our old outstanding, which was lying with our customer. So this quarter, we got a success and we could recover a material amount from our old outstanding from our customers. So whatever the provision that was there in the other expenses got reversed.

Sanjay Kirloskar : And management expenses also, we have controlled.

HEMANT SHALIGRAM Controlled. So -- and the other efficiencies, we improved because of which the other expenses has gone down.

Rabindra Nayak : Okay. Thank you for the clarification. So can you please quantify what is the reduction in revenue or some impact of revenue due to the Jal Jeevan Mission payment issue? And if you can throw some light on this -- again, in this budget, they have increased the same allocation they have paid for Jal Jeevan Mission and they've spent very less. So what is the ground reality? Can you please throw some light on that?

Sanjay Kirloskar : Because of JJM, we believe that the revenues have reduced by Rs.50 crores to Rs.100 crores. As far as we know this JJM was supposed to be financed by 80% by central government and 20% by state governments. And it affects mainly the water and irrigation sector of the company. The central government has made its money available.

Unfortunately, as you are aware, the state government's finances are not as good as they should

be. And therefore, they have delayed it. There was some controversy about the process not working properly. I think the investigations that the central government has ordered are over, but what has happened is that, I guess, now that they have started releasing the funds.

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The state governments are unable to put up their part, which is resulting from some of the schemes that were announced by various state governments. And like Ladki Bahin and I don't know whether there was a Ladka Bhau, but there was definitely a Ladki Bahin scheme. And you must be aware because it was also reported in the newspapers that the contractors in Maharashtra have sued the Maharashtra government for non -payment of Rs.92,000 crores or something like that. And so as a company, we are very careful. And nor do we want our channel partners to get into trouble.

Rabindra Nayak : Okay. And sir, regarding the non -India business, the margin has actually contracted in this quarter because you said that it is a very good quarter for the international business, but still the margin is low. What is the reason? And what is the guidance for this margin going ahead?

Sanjay Kirloskar : You're talking about the international business, right?

Rabindra Nayak : Yes, sir.

Sanjay Kirloskar : I'll ask Alok to respond.

Alok Kirloskar : Yes. I think majority of the margin contraction, as you can see in the papers, has come from the U.K. business. And that's mainly, as I had mentioned even in the previous analyst meeting, the U.K. prices are GBP 283 a megawatt hour. And so major industries , which are power intensive, which are steel or glass or petrochemical or regular chemical production, companies like INEOS, which are, of course, in the news, I -N-E-O-S, if you want to look it up.

So most of them have said they have suspended their production in the U.K. And as you know, with many of these entities, we have long -term framework contracts on the service side. And so the revenues on the service framework contracts in the energy -intensive segment of our – sub-segment of our business has reduced because most of those plants are only idling right now.

And that's why it has reduced the sale and hence, also reduced the margins correspondingly. The margins on the service business are larger. And so the hit, of course, also is larger on the margins of the U.K. business, which is where majority of our service business sits. That said, we have diversified our portfolio.

And recently, we have won the United Utilities framework contract, which is also a very large framework contract with a water utility. So our focus has been now to defocus energy-intensive industries in the U.K. for service and focus more on the essential industries to ensure that the net zero policy that the government is following does not cause further damage to us.

Rabindra Nayak : Okay. So what is the guidance there? And whether we are going to be a beneficiary on this Indo-European Union tariff deal, anything you can say?

Alok Kirloskar : I think you would have seen that even with the 50% -- an effective 60% tariff of Indian goods from SPP U.S.A., we have still shown growth in the U.S.A. business. So like I said at that time, it really doesn't make a difference whether there is a tariff or there isn't. But I would say, on balance, yes, if there is a tariff, it's a little better for us because it protects our business in the U.S.

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Rabindra Nayak : Okay. So that means the EBITDA margin in international business will reverse in Q4? Is it the right understanding?

Alok Kirloskar : No, I think we have shown better EBITDA margins in our U.S. business in the quarter where there was 50% tariff, as you can see. And we've also shown higher sales. So my point being that having the tariff is good. If the tariff

is not there, it's all right, but because it doesn't matter. But

my point, is not a quarter-to-quarter point, but it's a long-term point. From a long-term perspective, if there is a tariff of more than 20%, it is good for our U.S. business because our U.S. business remains protected in America. But if you're just asking quarter-to-quarter, yes, maybe having a lower tariff quarter-to-quarter may be slightly helpful.

Moderator: We take the next question from the line of Pratik Kothari from Unique PMS.

Pratik Kothari : Sir, one on, again, India standalone keeping JJM aside. If you look at the order book, our inflow, all of that has been growing strongly over the last 3, 4, 5 quarters. So if you can just highlight ex of JJM, how are things panning out in your customized or the engineered to order pumps, the industrial pumps basically?

Sanjay Kirloskar : You're a little unclear. There's an echo. So if you can talk a little slowly.

Pratik Kothari : Sure. I hope this is better. My question was on the standalone ex-JJM, your industrial engineered customized pumps. So if you look at our order book, order inflow, all of them have been growing strongly over the last few quarters. But given the JJM issue, it's not getting reflected in our execution. So if you can just talk about how has that been ex of JJM, if you can show some numbers, how is the execution being on the revenue side?

Sanjay Kirloskar : Sure. I'll go segment by segment. Some of our businesses are relating to the small pumps segment. I think that has grown compared to competition. It has grown by 10% year-on-year. And this is the small pump segment. And we are one company like I said earlier, doesn't participate in KUSUM.

What we understand from the market is that our competitors in this segment who participate in KUSUM, actually, the rise in their sales is lower than us, but it is supported by KUSUM sales, which includes not only pumps but also includes the entire system. So that takes care of the small pump segment.

The other small and medium pump segment, which is mainly affected by the foundry ERP. The order booking is good, and we expect that as now the foundry has shaped up and we are able to monitor exactly what is going on, exactly costs, et cetera, et cetera, we expect that we will be able to execute the orders for the sectors of industry, building and construction and the customer service and support spares, which we have, I think, shown separately.

The rest are lumpy businesses, oil and gas and marine and defense. But as you have seen, the order inflow, though lumpy is now getting to be less lumpy. And there has been strong order inflows coming in. Large pumps, which uses a very different foundry, where we've still not implemented the ERP system, which we plan to do in the coming year, has not been affected. The order inflows are good. But at the end of the day, most of the customers are government and

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they like most of the dispatches take place in the last quarter. So I hope that explains the entire company.

Pratik Kothari : Yes. Fair enough. And second question to Alok. So Alok, by keeping the -- I mean, the drop that we see in SPP U.K. because of -- I mean, you have said this over multiple calls, the issues that persist there. Is it fair to say that this now forms a new base for us and then we'll have to grow something from here? So the challenges that we faced, let's say, 10, 12 years back in terms of oil and gas, now this is a new challenge that we'll have to navigate through and then we'll have to figure out our way from around here or do you think there's still pain left to be felt?

Alok Kirloskar : I think that, yes, I mean, oil and gas was, like you said, a structural challenge, and it really impacted the company. If you remember, oil and gas constituted almost 65% or 70% of the company's business

when you included the product and the spare business from oil and gas. As you can see, when the oil and gas business collapsed, the company was in loss.

Today, even though there are a lot of headwinds, I mean, significant headwinds in the U.K., I don't think the company is doing badly per se. Yes, it's not doing as well as it did last quarter at the same time last year, but it's not doing badly per se. It's still profitable and it's still cash generative.

So I would say that probably it's a midterm to a short-term challenge with where the energy prices are. But we have enough levers of building our service business outside the U.K. as we have done before because as I mentioned, we have framework contracts with PETRONAS. We have framework contracts in Azerbaijan and in other regions.

So we will continue to do that in energy-intensive industries outside the U.K. And inside the U.K., like I mentioned, we are now more focused on essential industries. So our service contracts will come from power plants, from water utilities, like I just mentioned, we won United Utilities a few weeks ago, which is another big water company.

So that will be our focus because while the current government is in charge and Ed Miliband is focused on net zero, the energy prices are going to be out of the roof. So as the country going towards deindustrialization, there is no need for us to focus on energy-intensive industry because that would not be a good strategy. Does that answer your question?

Pratik Kothari : Yes, it does.

Moderator: We take the next question from the line of Sani Vishe from Axis Securities.

Sani Vishe : So my questions are kind of follow-up on the earlier question. Just first to confirm the numbers you mentioned for JJM impact was around Rs.50 crores to Rs.100 crores. Is that correct?

Sanjay Kirloskar : Yes.

Sani Vishe : So sir, I mean, state-driven business will be like this also even going ahead. So even if it improves for a quarter, in the longer run, it is bound to be like that. So given that, how do we

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plan to deal with it? Where do we expect the growth to come from if JJM is going to be like this?

Sanjay Kirloskar : I mean you just faded off towards the end.

Sani Vishe : So I'm asking if JJM is going to be like that, we can't expect the state funding to be smoother anymore going ahead also. So how do we plan to deal with it and our ambition to grow double digit, how do we plan to do that if JJM is not giving us much growth?

Sanjay Kirloskar : Yes. As we move towards Viksit Bharat, the water supply system has to be improved one way or the other. And the fact remains that while we deal with dealers and not with the state government, infrastructure will have to be provided to make our cities livable because urbanization is also taking place.

And like it or not, these pumps are going to be required. We believe that we have the best model of addressing this challenge. We also have the highest market share because of the quality and reliability of our products. So I'll get back to my original statement. Don't look at performance quarter-to-quarter.

Look at the nation's requirements and understand that our pumps are going to be required one day or the other. It may be late, it may be now, but I believe it will be sooner than later. So I'm not that concerned about it. There are many projects in various states for water supply. Water and industry also supplies pumps for flood control, which is a major sector where, again, we give the best solutions.

In fact, I don't know if you're aware, for large concrete volute pumps, we are the only suppliers in Thailand for flood control. We expect that as global warming effects and climate change effects take place, these requirements are there. Again, once you bring the water, water needs to be taken away and disposed of properly. So treatment

plants are also coming up, which are separate from water distribution projects.

On the other hand, you would have seen that the company has developed new kinds of products

for other sectors, the products coming from the same plant. The submersible turbine pumps that have been developed for oil and gas sector, we believe that there is going to be a good market for that, and that will take care of our growth.

Sani Vishe : Okay. So I understand that we just cannot focus on quarterly performance. I think as a company, there will be seasonality and all. But if we look at even the execution, it has to go on a quarterly basis, right? And for the last three quarters, I think we have only managed to execute around 30% of the order book, while it used to be well ahead of 34%, 35% and maybe ahead of 40% in the Q4. So that drop, do you expect it to improve from the Q4? Do you think we'll be able to execute more than 40% of our current order book in the Q4, given that the year key issues are getting resolved now?

Sanjay Kirloskar : You are asking me to make a forward -looking statement. I will continue with my statement that we will strive for double -digit growth.

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Sani Vishe : Okay. But order execution, shall it improve or at least you can comment on that, right?

Sanjay Kirloskar : I have already informed you that the foundry performance, which had deteriorated in the third quarter, has already been taken care of. And we expect that things will move forward from here.

Sani Vishe : Okay. About the start of the Q4 or is it middle of the quarter?

Sanjay Kirloskar : I can't say anything about the quarter.

Sani Vishe : Okay.

Sanjay Kirloskar : Right. I can't say anything about this quarter.

Sani Vishe : No, but the issue whether it was resolved. It got resolved at the end of Q3 or start of the Q4?

Sanjay Kirloskar : I have said that the performance of the foundry, which was where we needed 700 castings per day went down to 200 to 300 castings per day. And I also informed you that towards the end of the quarter, it has reverted to where we want it to be. So I think I can't say anything more than that.

Moderator: We take the next question from the line of Shrikant from Brighter Mind .

Shrikant: My question is about the data center opportunity that we are tapping in United States and other geographies. And what are the plans to explore the Indian market as we have seen in the hyperscaler are starting in India also?

Alok Kirloskar : Yes. I mean the data center opportunity is also coming up in India. As you know that on the contractor side, there's AdaniConneX and there's obviously many announcements coming up in Andhra Pradesh about Google and other entities setting up data centers. We work closely with the big consultants, people like AECOM and Sudlows and others. So usually, we look to ensure that they are aware of our capabilities.

And because they are aware and they have worked with us, we are one of the preferred vendors when these projects come up wherever they are. It's not just India. As you know, AECOM, as an example, I'm using AECOM as a name, works worldwide on data centers. And because we are approved and supplied to many of their data centers or where they are consultants, automatically, you get the inquiry and you're on the preferred vendor list.

So I would say our focus is not specifically India or any place for that. But of course, in India, because we have a base, we are reaching out to AECOM and other big players in the Indian geography as well as in the Southeast Asian markets because many of the offices in the region, either the offices in Southeast Asia look after India or Indian offices look after Southeast Asia. So I would say that is our focus area. But yes, as I mentioned last time, we do have good opportunities given that we have supplied to a large number of Amazon as well

as Meta as well

as Equinix data centers in the U.S. and also in Southeast Asia. So we are looking forward to new opportunities here.

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But just to put it in context for you, at the moment, there are 4,000 data centers operational in America, and there are 2,000 data centers which have already received planning permission. In comparison to that, there are currently 20 data centers seeking planning permission in India. So just so that we understand the difference of scale.

Shrikant: Okay. My next follow -up question on that. So what our view of the nuclear opportunities that are in India?

Sanjay Kirloskar : Nuclear opportunity. What are the nuclear opportunities?

Shrikant: Nuclear pumps that we are -- are we seeing nuclear energy that government is putting to have a larger energy mix. So how do you see that opportunity?

Sanjay Kirloskar : We are quite bullish about that opportunity. As I have mentioned earlier, we historically have been on the secondary side. We have been on the primary side for the fast breeder reactor. And we also have developed the primary heat transfer pump for the fleet order requirements. The pumps that we have developed have been hydraulically proved, mechanically proved. And I think this was a prototype pump. The performance was far better than expected, far better than expected by NPCIL. And one change that we need to make is the material, which we believe that we will be able to do that as well. So we believe that we will be participating in the primary heat transfer pump for the fleet order.

That being said, let's understand that no single company will get all the orders because government when it's putting up so many power stations at one time, cannot depend on one company. The other pumps that were required, there were three other primary circuit pumps that were required.

The company has invested by itself because you know the company invests close to 2% of its turnover on R&D every year. So we decided that since the opportunity is large, we will make 2 more types of pumps. Both of them have, I believe, passed all the tests required by NPCIL. So those also will be considered by the players who participate in putting up power stations. There's one more pump that is required on the primary side that also should be getting ready in this quarter.

So this is as far as the primary circuit of the nuclear power plant is concerned. On the secondary side, we have a full suite of pumps that have been used for the power stations and our -- especially our large circulating water pumps, which are known for their reliability. And I'd like to mention it over here, the first pumps that we supplied to what was then Bombay Suburban Electric Supply are running at almost the same efficiency and the spare parts that were supplied with the pump in 1994 have still not been used.

So they are absolutely reliable. And they are what we call lowest life cycle cost pumps. So no requirement of spare parts. I think we have also told you a little earlier that on the thermal side, we have been working with Adani Power. We have been favored with orders for the first few stations.

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And I think it's only because they have seen the performance of these pumps, which will last longer than the life of the power station. The company's products are known for high efficiency and high reliability. And I think we've also told you that we were the first ones in the world to make pumps which meet European efficiency standards before any of our large European competitors. So we work in a way that ensures that the customer gets value for money. And despite being not L1, we get orders.

Moderator: We take the next question from the line of Raj Shah from Enam AMC.

Raj Shah : My question was on the progress that we have

made on the IOCL retail pumps order, how we have executed till now? And do we expect more such orders in the coming periods?

Rama Kirloskar : So I'll give you just a summary of what's happening in the oil and gas sector. In general, for API and non-API, we are seeing expansion in refineries. There is a BPCL, Bina Vadar expansion happening as well as Kochi refinery, IOCL has a few expansions. So we are focusing on all these projects.

Other than that, we are also concentrating on offshore floating platforms, other applications in the fertilizer segment as well for ammonia, carbonate, lean and semi-lean amine solution. And we also see an expanding export market. For the retail pumps that you are talking about, we have already supplied quite a few.

I've mentioned this many times is that generally around 30,000 such quantities are ordered every year from various PSUs. So that would be the total potential. Of course, we are also putting up many more petrol stations, so that should increase in the future. We have already developed and supplied and they are working. So we are taking a conservative approach there because this is a new product for us, and we want to ensure that everything goes smoothly.

Raj Shah : Got it. Second question was on the PPT, Slide number 8, is this elimination line item, which normally used to be for the quarter in the single-digit terms. But in this quarter, the EBITDA for elimination has risen to Rs.56 crores. So I just wanted to understand, is there any change in the strategy or transactions that take place between various entities of the organization?

HEMANT SHALIGRAM No, I think there is no change in the accounting policy as such. I think it is the impact of that. It is the impact of the regular transaction. I think it is mentioned in the detailed note in the financials.

Raj Shah : Okay. I'll have a check. Secondly, can you please quantify the reversal of provisions, the receipt of erstwhile debtors for the quarter in standalone entity?

HEMANT SHALIGRAM I think it might be around Rs.40 crores, Rs.50 crores that we could be able to collect from our old

customers. So of which we have made the provision in our books. So we got this money so we reversed that one.

Raj Shah : Rs.40 crores to Rs.50 crores. Is that correct?

Alok Kirloskar : Yes.

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Raj Shah : Okay. My last question was to Alok. So we have been mentioning that our focus has been to grow the Benelux region through various products as well as service offerings. So the Dutch entity has been reporting very good growth numbers since last few quarters . So I just wanted to know the update over there of what efforts we are taking? And also in conjunction with the fish - friendly pumps that we have been talking about where we have been expecting some orders, if you can please highlight on?

Alok Kirloskar : Yes. So the Dutch entities, they are, like we said, focused on water, as well as services and also contracts. A lot of the contracts the Dutch entities do come from Turkish contractors because Turkish contractors at the moment are the most aggressive in Eastern Europe as well as CIS countries.

So I would say those are where a lot of the contracts come from and also, sorry, from Spanish contractors, big contractors like Técnicas Reunidas . So there are quite a few projects going on, I would say, through these European contractors for projects mostly outside Europe. But I mentioned last time one major project, which is called Stegra , which is a project for green hydrogen for steel production. So it's what they call green steel.

So we were the first pump company to get this reference in Europe for green steel with Stegra. And we believe a lot of steel companies will start moving towards green steel. And our reference here will be very useful because of the use of hydrogen in the production of steel. So I w

ould

say there are some projects like this, which are doing well.

We do see traction on water supply in Benelux, especially in Netherlands and in Belgium. At the same time, there is going to be like the U.K., which I mentioned, the AMP8 cycle, there is a new cycle coming up in the Netherlands this year. And we hope that we should get some momentum from it later this year or next year. So there are quite a few opportunities there on the water side.

Fish-friendly projects, yes, they're both coming up in Benelux as well as in the U.K. The U.K. has also recently adopted the European fish -friendly norms. I understand from the numbers put up by the environment agency because fish -friendly pumps are going into canals and things like that. They don't come under the water utility companies.

They come under the environment agencies. And so a lot of these fish -friendly pumps are going to be changed by environment agency. And I understand that almost -- actually over 300 pump stations are being evaluated just in the U.K. for retrofits to fish -friendly pumps. So yes, I mean, we do see opportunities there.

As you know, we already have sold a few in the Netherlands. We have operational references in the Netherlands for these kinds of big pumps. So yes, I think we are still looking forward to more opportunities there. I would not say they are at the level that we are expecting at the moment because I think these are projects and they take time to fruition. But I think the government at least has put the regulation that they have to be done. So we hope that we will start seeing them coming up in larger numbers maybe later this year or next year.

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Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. Hemant Shaligram for his closing comments.

Hemant Shaligram : Thank you. Thank you, everyone, for joining the call today. We trust the discussion provided with you with a comprehensive overview of our business and address your questions. Should you have any further queries or require any additional clarification, please feel free to reach out to SGA, our Investor Relations Advisors . We sincerely appreciate your continued trust and support and wishing you all the pleasant day. Thank you.

Moderator: Thank you. On behalf of Kirloskar Brothers Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

KIRLOSKAR BROTHERS LIMITED

A Kirloskar Group Company

SEC/ F: 26 May 20, 2026

BSE Limited National Stock Exchange of India Ltd.

Corporate Relationship Department, 5th Floor, Exchange Plaza,

2nd Floor, New Trading Ring, Bandra (East),

Phiroze Jeejeebhoy Towers, Mumbai - 400 051.

Dalal Street, Mumbai – 400 001.

(BSE Scrip Code – 500241) (NSE Symbol - KIRLOSB ROS)

Dear Sir/Madam,

Sub: Transcript of Conference Call with Analysts / Investors on Audited Financial Results for the Quarter and Financial Year ended on March 31, 2026

Ref: Regulation 30 & 46 read with Clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

This is in continuation of our letter dated May 12, 2026 giving intimation of the subject mentioned conference call and subsequently furnishing the web link for accessing the Audio recording of the said conference call vide our letter dated May 15, 2026.

In terms of the subject referred Regulations, please find attached the transcript of the Conference Call held on May 15, 2026 with Analysts / Investors on Audited Financial Results of the Company for the Quarter and Financial Year ended on March 31, 2026.

Please note that the said transcript has also been uploaded on the website of the Company (<https://www.kirloskarpumps.com>) and which can be accessed at the following link:

Link: <https://www.kirloskarpumps.com/investors/analyst-meeting-transcript/>

This is for your information and records.

Thanking you,

Yours faithfully,

For KIRLOSKAR BROTHERS LIMITED

Devang Trivedi

Company Secretary

Encl.: As above.

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"Kirloskar Brothers Limited

Q4 and FY '26 Earnings Conference Call "

May 15, 2026

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 15th May 2026 will prevail.

MANAGEMENT : MR. SANJAY KIRLOSKAR – CHAIRMAN AND
MANAGING DIRECTOR – KIRLOSKAR BROTHERS
LIMITED

MR. ALOK KIRLOSKAR – MANAGING DIRECTOR ,

KIRLOSKAR BROTHERS INTERNATIONAL B.V.
MS. RAMA KIRLOSKAR – JOINT MANAGING DIRECTOR
– KIRLOSKAR BROTHERS AND MANAGING DIRECTOR –
KIRLOSKAR EBARA PUMPS LIMITED
MR. HEMANT SHALIGRAM – ASSOCIATE VICE
PRESIDENT – KIRLOSKAR BROTHERS LIMITED
MR. DEVANG TRIVEDI – COMPANY SECRETARY –
KIRLOSKAR BROTHERS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Kirloskar Brothers Limited Q4 and FY '26 Earnings Conference Call. This conference call may contain certain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone.

I now hand over the conference to Mr. Sanjay Kirloskar, Chairman and Managing Director, Kirloskar Brothers Limited. Thank you, and over to you, sir.

Sanjay Kirloskar : Thank you. Good afternoon, everyone. On behalf of Kirloskar Brothers Limited, I extend a very warm welcome to everyone for joining us on our call today. I hope you've had an opportunity to go through the financial results and the investor presentation, which have been uploaded on the stock exchanges and on the company's website.

On this call, I have with me Mr. Alok Kirloskar, Managing Director, Kirloskar Brothers International; Ms. Rama Kirloskar, Joint Managing Director, Kirloskar Brothers Limited; Mr. Hemant Shaligram, our Associate Vice President; Mr. Devang Trivedi, our Company Secretary; and Strategic Growth Advisors, our Investor Relations Advisors.

Let me begin my remarks by giving some business highlights and talking about our Q4 FY '26 performance. For the quarter ended 31st March 2026, our consolidated revenue stood at Rs. 14.151 billion, marking a growth of 10% on a year -on-year basis. For the full year, revenue was Rs.45.380 billion, reflecting a marginal growth of 1% compared to the same period last year. For Q4 FY '26, our domestic revenue stood at Rs.9.091 billion, registering a growth of 3% year -on-year basis. For the full year, the revenue was Rs.28.281 billion, reflecting a degrowth of 3% compared to the same period last year. On the international business performance, our revenue for Q4 grew by 25% and for the full year, our revenue grew by 7%.

This growth was driven by growth in the Dutch entity, South African entity, SPP U.K. and SPP U.S.A. on account of a healthy order book execution, along with the improvement in overall product demand.

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Our consolidated EBITDA for the quarter stood at Rs.2.093 billion with margins standing at 14.8%. For the full year, EBITDA was Rs.6.213 billion with margins standing at 13.7%. PAT for Q4 FY '26 was Rs.1.121 billion, and for the full year, PAT was Rs.3.772 billion. Our performance during the year was impacted on the back of, if you remember, in Q4, there was a one-time expense of Rs.258 million relating to implementation of the new Labour Codes. The total impact due to implementation of the new Labour Code is Rs.389 million in FY '26. As this impact arises from regulatory change and is a nonrecurring in nature, it has been classified as an exceptional item. The group will continue to monitor further developments and

revise estimates based on additional clarifications and notified rules.

The second point is that in the first half of last year, we witnessed adverse seasonal trends, which affected demand in the small pump segment, primarily catering to the agricultural sector. There were delays in Jal Jeevan Mission relating funding issues – funding to dealers, which affected dispatches and the production schedules.

As you are aware, the company continues to maintain strict commercial policies. While we were quite hopeful when the center released funds

for the Jal Jeevan Mission, dispatches and further

manufacturing were impacted due to delays in fund release at the state level.

And the third point was, in addition, we had SAP -based ERP implementation at the foundry operations in Kirloskarvadi. This led to temporary operational disruptions during the transition phase impacting production levels and execution, particularly in the small and medium pump segment. However, the system has now largely stabilized and is expected to improve operational efficiency, cost control and order execution going forward.

However, our domestic order book stands at Rs.24.680 billion, registering a robust growth of 30% over the previous year, while the international order book also remained strong, growing 21% year -on-year to Rs.14.808 billion. These results reflect a healthy pipeline and continued customer confidence while reaffirming the strength of our global presence and our ability to capitalize on growth opportunities across diverse markets.

Looking ahead, we are optimistic about the company's growth trajectory backed by a healthy mix of domestic and international business, a robust order pipeline and continued focus on operational excellence. The company is well positioned to deliver sustainable growth in the periods ahead.

I'm happy to share that the Board has recommended a final dividend of Rs.7, that's 350%, per equity share of Rs.2 each for the financial year '25 -'26. This dividend is subject to shareholders' approval in the ensuing Annual General Meeting.

So that's all I have to say. We can now begin the question -and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Pratik Kothari from Unique PMS.

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Pratik Kothari Sir, first on our standalone, so we have seen very strong order inflow and building up of our order book. So if you can just talk about where are these orders coming from? What is going right, which end industry, etc.?

Sanjay Kirloskar : Sure. Is that the only question or...

Pratik Kothari : No, there are two more if -- so second is, one, we call out JJM as an issue which is hurting our execution. But in the previous call, we had called out that JJM was sub 4%, 5% of revenue, so not as material. So anything else that is disrupting the execution despite the strong order book that is filling out? So these two on India and then maybe later, one to Alok?

Sanjay Kirloskar : Okay. On the standalone order book, we are seeing growth in building and construction. I had mentioned that building and construction is the infrastructure is doing very well in India. And the company has certain products, which the competition doesn't have, and we are able to bundle those products along with others.

So we are seeing good growth in building and construction, in marine and defense, as Government of India puts in more and more emphasis on the defense industry. Oil and gas, again, is another area where we are seeing good growth. Some of the best numbers are coming from power.

That is because of the different power stations, different types of power stations, that's both coal -fired as well as nuclear, which is showing good promise. And water and irrigation, again, is also quite strong at the moment.

So these are the areas that we are seeing growth in. I think the company's product portfolio is extremely strong. We make some of the most efficient pumps. And I believe that customers have started understanding lowest life cycle cost and the fact that the loss in efficiency with our products is far less than anyone else. And therefore, we do get premiums for our orders even against multinational companies who don't have such products.

And the other thing which you might think is a little -- that we are being too strict, but we continue

to follow -- despite all this, we continue to follow our commercial policies, which is especially for the small and medium and Kirloskarvadi range of products, we insist on -- in advance and we insist on a letter of credit. The retail business, whether it's from the small pumps

or small and medium pumps, continues to be done on a cash basis.

So we are maintaining very strong commercial terms. And at the same time, the product portfolio is very strong. I don't know if you are following the company, you would have seen that the Government of India itself recognized one of our products as the App liance of the Year. So that is what is driving the growth. In fact, all new products that fall into that category, when we improve them or redesign them or come out with new products, we ensure that they meet the European Minimum Efficiency Index norms. So I think that also is something that customers appreciate and want to come back to us for or want to give us a premium for.

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As far as JJM is concerned, yes, though it is 4% to 5%, it does affect one of the sectors very badly, that's the water sector. And what we've seen is there have been all kinds of investigations, which don't affect the company as such, but it does affect the ability to ship out products. S o while we do have orders which are unfulfilled and we've not moved ahead on that , there are other orders where we release the products to our dealers or the contractors only when we are assured of 100% payment either in advance or an LC. So that will, I t hink, move slowly. Hopefully, the problems will be behind us in the next few quarters.

The other thing which we had mentioned some time ago, and I think in the last quarter, I had said was a little difficult was the implementation of the ERP in the foundry, where we are trying to get exact material accounting and ensure that orders are follo wed, orders go out of our system as they are placed into the system. You would understand that there are many orders for different types of pumps that come together in different materials.

So we want to smoothen this process by ensuring that a customer regardless of the type of pump and the material of construction of pump he orders in, he gets everything together and in time. That has been an issue earlier, but now we expect it to sort itse lf out. So that was something that affected our foundry affected our small and medium pump business.

If you have a question for Alok or you have a follow -up question to me, I can take that.

Pratik Kothari : No, thank you for that, sir. Sir, to Alok, one, again, very strong order inflow continues. This, I think, this quarter will be one of the highest. So one, what is going right there? And two, on margins, surprisingly, I mean, we did a lot of corrective actions in the past. But again, I mean, keeping the SPP U.K. aside, which is where the issues are, but even in , say, U.S. and other geographies. So one, if you can talk about the margins and the order inflow?

Alok Kirloskar : Yes. So I think just to address I'll start with the margins because they are connected to order inflow. When you look at Slide 11 of the presentation, the big drop in EBITDA comes only from SPP U.K., which moved from Rs.95 crores to Rs.58.1 crores, Rs.37 crore s drop in EBITDA. If you look at it compared to the U.S., it's Rs.3 crores. And I mean, the others in terms of real value, it's not very much. I mean the others are increased are doing better, except South Africa, which as a percentage is lower, but as a actual value is higher in terms of EBITDA. But I would say that this mainly is coming from the mix of the products.

So to answer your question, we have more orders in the U.K., a lot of them coming from oil and gas. And as I mentioned in the last quarter, the service booking had reduced because as you probably know, the U.K. power prices ha

ve crossed Rs.30 a unit, which means that not manufacturing actually for us, but for very energy -intensive industries, for which we would do the service like steel or chemicals or petrochemicals or glass industries, etcetera, they are struggling and they are only idling in the U.K. at that level. And so the amount of service work done for them even under a framework has reduced.

Like I mentioned, we have looked to diversify out of industry. I mean, we diversified into industry and other areas to move away from oil and gas. But unfortunately, because of misguided

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views of politicians, even industry is struggling because of power prices. So we've moved to water. As I mentioned last time, we have won the framework agreement for United Utilities, which controls basically the water supply for almost all of Eastern England.

But it takes some time for us to bring the service work in because at least a quarter was in analysis, surveys, agreeing with the customer what requires maintenance, those kinds of things.

So I would say the mix has changed. The service business has reduced. The product business has increased. The order book that you see right now coming into the U.K. and U.S. is fueled by oil and gas, water and data centers. As a norm, like we said, oil and gas is the lowest margin. Data centers is great margin, but they are not as close to service.

So what we are trying to do right now is reconfigure the sales. But looking at the order book position, we feel that and this is just indicative what I'm saying. It's not our second quarter, which is calendar year second quarter for the international companies, but closer to third quarter, probably we will be able to realign the margins back to what we want. But that said, we still are very optimistic, and we would probably look to get back to the margin levels that we're looking for even on a whole year basis. That's what we are trying to achieve.

Pratik Kothari : That's very encouraging. Thank you. Thank you and all the best .

Moderator: Thank you. Next question is from the line of Raj Shah from ENAM AMC. Please go ahead.

Raj Shah : Yes, sir. Thank you for the opportunity. Sir, my first question is on the stand-alone numbers. So we were expecting, as you had mentioned in the last con call as well, that the year should see a back-ended kind of growth, that Q4 should show a significant growth. While you mentioned, sir, that there were issues related to SAP implementation in the foundry, but if that would not have taken place, do you see this year would have grown at double-digit rate, which was your aspiration earlier?

Sanjay Kirloskar: I think, the growth in the last quarter is indicative of basically the way it will continue to grow because quite a few things were smoothened out. And therefore, the double-digit growth that we expected was actually impacted by the first quarter, second quarter and third quarter. But the last quarter, the sale was higher than the previous year's last quarter. So basically, now we do expect that quite a few things have gotten cleared, and we will continue to grow as we did earlier.

That being said, there's one big caveat in the sense that there is a war, which we don't know whether it has started or stopped or restarted and how that is going to affect, but that's going to affect everyone. Like other people, we did have problems with gas availability because as you're aware, we do have our own foundry. We were able to quickly change over and ensure that most of the requirements were met by electricity, and that really helped us have far better numbers than we could have had. But as you can see, the order board is all there.

The company follows a very conservative policy of recognizing orders. There are many orders that we have, which are not recognized because they've not met commercial terms. And therefore

they do not get counted as orders. So, I would like to make that statement because that's the way we operate, and it might give you a sense that, are these all the orders.

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Raj Shah : Got it. Got it, sir. Sir, secondly, you mentioned about the problems that you faced under the Jal Jeevan Mission scheme. Sir, recently, government laid out the Jal Jeevan Mission second part or second tranche, where the focus will be more rather than infrastructure development, it will be more towards service delivery and the network. So given all the problems that exist in the short term, do you see the second Jal Jeevan Mission via our dealers can be an opportunity for the business?

Sanjay Kirloskar: I think any spend on infra will be an opportunity for our business. Of course, we've learned from the first time and so have our dealers. So we will be quite careful. And I hope that the rest of industry also follows because all of us in the industry have had the same problem. We need to be careful, and we will see there will be business out of this as well.

Raj Shah : Got it. Got it. Sir, second set of questions on nuclear sector. So there are various parts to this.

First is, sir, all of us read and we congratulate you for the success of the Fast Breeder Reactor that we had supplied a few years ago, the primary and secondary sodium pumps. So, now when Stage 3 starts, what could be the time line that it will take for -- I know it is very tough to answer, but how much time will it take? And what could be the opportunity over here for us?

Sanjay Kirloskar: I'm the wrong person to ask such a question because I don't give the orders for the nuclear power plants. But at the end of the day, as we see it, and I think I believe I had told you this last time also, we are sufficiently bullish about this sector because the company has developed certain pumps using its own money. So we've invested in new designs. We've invested in new -- what is it called, prototyping and testing of new pumps, which we had not made before. These pumps have been totally designed in India.

And so the IP is controlled in India. And we worked very closely with the Department of Atomic Energy to ensure that what we make is also going to be useful for them. And I'm quite confident that despite the fact that we have made these pumps, we will get orders for these kind of pumps. The opportunity is quite large. Government has announced that 100 gigawatts of nuclear power

would be generated through nuclear power. We believe that it should be closer to 200 because for Viksit Bharat, we need something like 1,000 gigawatts of power and baseload, if slowly the coal-fired power plants go out, this will have to be done by nuclear power plants.

So for the Fast Breeder, we've developed most of the pumps on the primary side. On the secondary side for the pressurized heavy water reactors, we already had the secondary side. Now we have a large portion of products developed in-house for the primary side. Our primary heat transport pumps, the performance of those pumps is better than what we had thought. We are now ensuring that the full-scale prototype will be delivered on schedule to the NPCIL. And the requirements are quite large.

I mean the SHANTI bill has, I believe, ensured that many players who want to generate nuclear power are interested. And the company has been asked to give budgetary quotes for all types of pumps, which have been given. As soon as whatever constraints they have are cleared, I believe that we will see step-by-step customers placing orders on pump suppliers for the different types of pumps required in a nuclear power station.

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Raj Shah : Got it, sir. Got it. That's very helpful. Sir, in connection to this, the pumps that we are developing and we have i

n portfolio, will it also be part of the upcoming Bharat Small Modular Reactor program that is made up by the government?

Sanjay Kirloskar : The Bharat Small Reactor is a 200 -megawatt small modular reactor that is being designed. We are being asked to give quotations for different types of pumps. I think , whenever that is finalized, we do expect that there will be prototype orders because it's a totally different type of pump. The small modular reactors are all light water reactors. Our company has experience in designing pumps for light water reactors and has delivered. So we expect that we will be asked to participate in tenders for development of this type of reactor as well.

Raj Shah : Got it. Thank you very much, sir. That was very helpful.

Moderator: Thank you . Next question is from the line of Gayathri from Catamaran Ventures. Please go ahead.

Gayathri: Hello, sir. Thank you for the opportunity. My question is on the topic of data centers. So in the previous conversations as well, you have mentioned that the scale of data centers being established in India is relatively small when we compare it to the likes of U.S.A. However, following just the recent update of there being a mild delay in the execution of data centers even in the U.S., how do you forecast that demand? And if we were to set up 1 gigawatt of like data center capacity then what sort of a cost element is correlated to the pumps which are required in percentage? Do we have any idea there?

Alok Kirloskar Yes. I mean just to put it in context because as you mentioned, everyone says there are a lot of data centers coming in India and compares it to the U.S. I've had many conversations with people, but I'll just put some numbers to you. At the current time, there are over 4,000 data centers operating in the U.S. And as we speak, over 2,000 data centers in the U.S. have received all planning permissions to proceed for construction.

So compared to that, as you would imagine, the number of data centers in India or coming up in India are much smaller. Not to say they are not, but there are data centers, we are aware who puts them up because on one side, you have consultants like AECOM, etcetera, who we work with on a regular basis. And on the other side, you have the people who finance them like Brookfield and others who also we work with.

So that's generally the ecosystem. And of course, there are a few people like Amazon, which I mentioned earlier, with whom we work in the U.S., and they are one of few who put up their own data centers, Amazon and Microsoft, of course. So I would say that's the general landscape. For a 1 -megawatt data center, there are different types of pumps. And I think just to put it in context, one is the main intake water pump that brings the water into a data center. And the value of these pumps varies greatly because it depends whether you're using seawater or freshwater or different kinds of water. So that changes the metallurgy of the pump.

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So I would not want to because it will misguide you, the price of a regular pump would be I'm

giving you an example, \$0.5 million, but maybe the price of a seawater intake pump for the same sort of installation would be close to maybe \$4.5 million, just to put in context. The variation is huge depending on the intake. So, it's probably better to discuss not the intake, not the treatment because that's the next stage.

But after treatment, you have the HVAC system. So you have an HVAC system, which basically cools the water where we participate. And that usually for the HVAC side could be around \$2 million. Then you have and this is not just a pump. This is a containerized system. You have the fire package, again, which is about maybe \$1 million is again a package system, not just the fire pumps by themselves because nowadays most of them buy them

in a container or modular unit.

Then you have a booster package, which maybe \$200 or \$300, which basically takes the chilled water towards the on-chip cooling system. Now the on-chip cooling system as a company, we don't have much exposure with much smaller pumps that go into the attached to the on-chip cooling system. We don't participate so much in that.

And then you have the return system bringing the water back to the chiller. So that's the loop. That I think should give you a general idea of what value is there in a hyperscale data center, which usually requires 2 million liters of top-up water every day.

Gayathri: Understood that. Yes, I follow that. Thank you, a lot, for sharing. So essentially, the end part where you said there's a return cooling system. Is there pumps involved in that step as well or not?

Alok Kirloskar: Yes, it's similar to the booster package.

Gayathri: Thank you very much. That's all from my end.

Moderator: Thank you. Next question is from the line of Ashwani Sharma from Emkay Global. Please go ahead.

Ashwani Sharma: Yes. Hello, sir. Good afternoon and thank you very much for the opportunity. Sir, my first question is again on the JJM. So after this JJM 2, has there been a meaningful pickup in the tendering or awarding of the orders in any state?

Sanjay Kirloskar: Not yet that I'm aware of.

Ashwani Sharma: Okay. And we have been reading news on the releasing of funds by many states. Any rough idea that how much would be outstanding at a country level for JJM?

Sanjay Kirloskar: I think the ministry would be the best people to ask such a question because like I always held pumps are usually 1% to 1.5% of any project.

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Ashwani Kumar Sharma: Got it, sir. Secondly, sir, on the growth, for example, on the domestic and internationally, given the fact that there has been a meaningful jump in the order inflow and order backlog, is it fair to say that we can grow 15%, 20% next year in FY '27 in both the businesses, domestic and international?

Sanjay Kirloskar: I have been saying that for the last few years that we will show double-digit growth.

Unfortunately, last year, with all its challenges, we could not do that. So I will say that we'll strive for double-digit growth this year as well. I cannot predict wars, I cannot predict gas shortages. But everything that is being done, whether you see new product development, that's something that the company believes in.

We believe that as a company, we can develop products in India for the world. And increasingly, we see a lot of people from around the world placing orders on us. And the operations are being streamlined, as we have mentioned. And the distribution network also is being enhanced, whether it's in Southeast Asia or whether it is in India or around the world. So fortunately, for us, as a nation, we are in a good place. And as a company, then it is our responsibility to take full advantage of that.

Ashwani Sharma: Got it, sir. And sir, on the , given the fact that there's so much of geopolitical scenario, are we facing any supply chain issues in the operations, raw material availability challenges, anything which are kind of , obviously, it is there for most of the industries, but how are you dealing with it?

Sanjay Kirloskar: Costs obviously start going up. You've seen the , as soon as the Strait of Hormuz closed, none of us realized that fertilizer would be affected, helium supplies would go down, causing all consequential issues, oil prices, again, will affect food and agriculture. So each of these actions have consequences. And I don't think when Mr. Trump decided to go to war, even he had thought it out very well as to where, what would get affected.

But then it's our responsibility as management to ensure that the least amount of impact comes on us. And fortunately, I would say, with

the kind of product line that we have and the strong

distribution network that we have, we are able to pass on price rises whenever required.

Ashwani Sharma: Just one clarification. In the JJM, when you take an order, do we have that O&M portion also? Or it just product order?

Sanjay Kirloskar: No, we just take a product order.

Ashwani Sharma: We just take the product order. We don't have?

Sanjay Kirloskar: In most of these cases, sometimes if the project is also large and the products are also large, we would split the product order into order for the product and then order for installation and commissioning, especially when it is going to take time. But here, the orders have come through dealers or contractors and usually, they can handle it. Our dealers have been trained to install our products properly. So we would prefer to be paid for whatever we have provided as soon as possible.

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Ashwani Sharma: And other than JJM, when we look at the product business, do we have that aftersales service attached to it? Is there a contract for that?

Sanjay Kirloskar: Yes, yes, yes. There are authorized filters and everything that the company has.

Ashwani Sharma: So if I have to, let's say, out of the domestic product order book, how much would be the aftersales service in that? Is it possible to quantify?

Sanjay Kirloskar: This kind of question does come whether it is aftersales service or what portion of your business comes from energy or whatever. We don't give these numbers.

Ashwani Sharma: No problem sir thank you very much.

Sanjay Kirloskar: Thank you.

Moderator: Thank you. Next question is from the line of Himanshu Upadhyay from SteadFort.

Himanshu Upadhyay: Hi Alok. The question is to Alok. Alok, one of the places or geographies which has done pretty well for us has been U.S., okay? From Rs.300 crores in '22 to today, it is Rs.540 crores, okay?

And the margins are also pretty decent. How diversified is our business in that geography across the segments and products today it means? Do we still depend on 1 or 2 particular sectors, let's say, 30%, 40% of our revenue or it is much more diversified, granular? So some thoughts on that. And again, something on product. And from here on, what would be your thoughts for next 3 years to take that business ahead?

Alok Kirloskar: Mr. Upadhyay, thank you for the question. I think like I mentioned maybe a few calls ago that the US business started with the fire business. And the reason for that was, as we said, when we approached the old US distributors of other companies who've obviously been the distributors of those other US companies sometimes up to a century, multigenerational, they were not keen to take our products at that time when we started this business. And so we finally made them take the fire product because fire product was one product where most US companies were not so keen in.

And the reason that the dealers didn't want to disturb the existing relationships is obviously because of spare parts that they were getting and ready spare part business were getting from the historic installed base of those American companies.

So we entered using the fire pump business. And the fire pump business grew and they liked our products, and that's how we slowly widened our scope with the distributors, starting with fire pumps. And of course, fire pumps don't have any spare parts because usually a fire pump should not be used that often unless there is a fire and doesn't require so much service. So it was a very fire pump heavy business.

And from fire pumps, we sort of got larger and got into water. And we were having traction issues. And so that's the reason we bought SyncroFlo. SyncroFlo was more in the municipal business. And there were some synergies between the distributors that we had on the fire side

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and SyncroFlo side. So that's how together we could offer a larger basket of products from our overall basket that was available.

So that said, I would say today, if we look at it, about 35% of our business still comes from fire.

As the , we were not able to make a breakthrough in the water business because of the old relationships. And even though we had an excellent water product, as I mentioned, in the UK water utilities, we have 85% market share in the water business. And one of the reasons for that

is high efficiency of the product, but also very low downtime because all the maintenance on our products, which are our LLC products can be done from the outside.

And so when data centers picked up first on the fire side, and we showed this product to them for HVAC on the water side, it was very attractive because, as you know, hyperscale data centers say 99% uptime, which means they only have 6 hours of maintenance in the entire year. So that's the reason why suddenly this product got traction in the data center market and now 25% of our US business comes from data centers.

So and the remainder of the business comes from diversified business in water utilities, retail packages for high-rise buildings, so what we call booster systems as well as municipal booster packages, which account for the remainder of the business. So that is the key sectors.

So if I break it up, I'd say fire that goes into commercial buildings, industrial buildings as well as industrial sites; data centers, which by itself is a 25% chunk; and then the remainder is municipal booster systems for water and booster packages and HVAC, and it's very small HVAC packages, mainly booster packages that go into high-rise buildings, commercial buildings, golf courses, things like that. Does that answer your question?

Himanshu Upadhyay : Yes, Alok. Very helpful

Alok Kirloskar : Yes. And going forward, I would say our focus is really how can we use our traction in data centers to get into other HVAC areas because obviously, we have an advantage there into other HVAC areas and enhance what in India, we call our commercial building services division or B&C division. So we will look to have a holistic approach into that division on one side.

And the second side is push harder into the municipal market, which like we have in the U.K., strength in the U.K., we push harder into that and start getting the municipal market because the U.S. infrastructure, as you know, has gotten older over the many years. And they are investing now in infrastructure, just like AMP8 is coming up in the U.K., we didn't see so much movement this year, but we do see the inquiries. So we do expect movement from next quarter in AMP8. But similarly, there are programs in the U.S. for growth in the municipal side.

So we expect that we can participate in a better way using these existing relationships because there are a lot of common contractors for the intake water systems of a data center, which obviously come from a river or from the sea and the big municipal consultants because those are usually common because they are working on one side with the government and the other side, a private party. So they are common consultants. So that will help us spec the product, and it Kirloskar Brothers Limited

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will get us into the municipal market. So those are the few sectors we're looking at extending from the base we've already created.

Himanshu Upadhyay : And how many distributors would we be having now in U.S. versus, let's say, 4 years back?

Alok Kirloskar: So approximately, just as distributors, we have about 46 distributors in the U.S. 4 years ago, we had 12 distributors. And we had, at that time, one national distributor out of those 12, which was Ferguson. Today, apart from Ferguson, we also have Core &

Main, which is another national distributor.

So we are adding also a few big national distributors like Ferguson in the new 42, but we are also going deeper now into every state and from the state down to all the counties to see that can we now further divide it? Because when we started in the U.S., we were looking at a very overall country level, state level.

Now of course, we are able to go down to county level. So that's really what we are doing as we deepen our footprint. But there still continue to be about 10 states in the U.S. where we do nothing, absolutely nothing. And there are probably another 7 or 8 states which are partially covered.

So I would say that probably one of the best covered states for us are today on the Eastern Coast of the U.S. and Texas. Those are our best covered states. But as you start going to the north and as you start going to the west, our penetration is lower at the moment.

Himanshu Upadhyay : Okay. And one question to both, either you or Sanjay can reply. See, one of the segments where we have a pretty wide product profile is on the power side, okay, which is showing growth in India. But outside India, is there any market where you see the potential for that product and cross-sell or cross-subsidize in those markets and it becomes a large product profile for us overall or how are you seeing the situation play out on the power side outside India?

Alok Kirloskar: So I think power is divided into nuclear, thermal and hydro. I would say our strength historically has been, of course, in nuclear and thermal in these. As you know, the thermal power concept in Europe and U.K. has not been very palatable. And that's the reason why our power prices today in the U.K. have crossed Rs.30 a unit. But Southeast Asia, we do see a limited number of these

projects coming up, and we do participate. So in Thailand, we have a good penetration. In Indonesia, we have a good penetration in thermal power plants. We do see some coming up in the U.S., but I think power will be very interesting for us connected to data centers because as you know, they are looking at gas-fired turbines for data centers because data centers are consuming so much power even in the U.S. that they cannot put up power plants fast enough. So they are going for gas-powered turbines. So the quickest opportunity for us to use our existing strength would be there, if you ask me where the quick opportunity and turnaround is.

Sanjay Kirloskar : And to give you a little background, when the first independent power producers came to India in the '90s, whether it was Bechtel with Enron or other companies, Rolls-Royce, Marubeni, Kirloskar Brothers Limited
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Doosan, Daewoo, Siemens, all of them participated in the putting up power stations in India. And our pumps are running in every single one of them. This was followed by them using our pumps for their projects overseas. And one thing that we saw was other than Bechtel, which used our pumps for 2 very large power stations in Illinois and Texas and some smaller ones what they call the Sunbelt states. The Europeans and the East Asians only used these pumps from us for all their projects outside of their home countries. And so we've supplied to Siemens, we've supplied to Alstom. We've supplied to the Japanese and the Koreans, but it's more in the Middle East, Central Asia. We are also working with many Turkish companies like Calik or Enter for -- ENKA for their projects around the world because the product line is a very robust product line and a lot of these companies like us to participate. As far as nuclear is concerned, yes, in India, we can provide. Government has been quite liberal 1 or 2 times when we ask them for permission to quote. They first looked at where the power plant was being set up, what were the safeguards for that power plant and then gave us permission

to quote for our products with those EPC contractors who are operating in certain countries.

Himanshu Upadhyay: Okay, okay.

Moderator: Thank you. Next question is from the line of Shyam Maheshwari from Aditya Birla Mutual Fund. Please go ahead.

Shyam Maheshwari : Yes, thank you for the opportunity and congratulations team on a decent set of results. All of my questions have largely been answered. Just one question on the profitability bit. So on the standalone side, on the domestic business, you have taken a lot of measures, particularly on cost efficiency, implementing the ERP systems.

So having done all of it, how should we think of profitability margins improving, especially with execution of the high order book that we have? That is on the standalone side. And for Alok, a similar question on the international piece. Of course, FY26 was sort of a disappointing year in that sense. But now again, with the order book coming back and the inquiry pipeline looking decent in AMP8, should we expect the profitability to revert back to our FY25 numbers? Yes.

So those questions basically.

Rama Kirloskar: So just to answer your question on the standalone bit, a couple of areas we are working on towards growth of the profitability. One is operational efficiency. You know that our plants and our operations are quite complex. So this cannot be done overnight. It will have to be done in a staggered manner.

We are very foundry intense, and we have 5 foundries. We have concentrated on one of the largest ones this year. We did have a few teething issues, which is why we were hit on the revenue side because as you know, we have a healthy order board, but because of some teething issues with the foundry, that did hurt our dispatch.

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The other aspect was in terms of the war and gas shortages. There were supply chain disruptions for our retail business as far as gas shortages were concerned, but we have now ensured that we hedge risks towards those gas shortages by enhancing capacity internally. So this should not be a problem going forward. As our Chairman has mentioned, in this manner, we strive to enhance our performance as far as profitability is concerned. I hope I've answered your question.

Shyam Maheshwari : Yes, yes, it does. And Alok, on the international side?

Alok Kirloskar: Yes. especially, I think we discussed earlier that the issue was not just the orders, but it's the mix that we are looking at. And the mix needs to move back to services, which is what I said earlier when this question was asked, I think, by Pratik at the start that we are looking to move it back towards FY25 in terms of percentage and actual margins .

Because we do expect the service business to come back as we've diversified even further now away from industrial towards more core industries or industries like water, which are imperative for human requirement because that's the only thing we can do to keep either dodging volatility or misguided government views. And so that's really what we have done. So we do expect that we will get back to that level.

The order book, as you know, is strong. But the order book is more tuned towards, like I mentioned earlier, energy, water and data centers. And the higher margin comes more from services. So that's really what we've been focusing on. And we are retuning mainly in the UK for moving into services now into enhancing the service percentages from water and power because that will have a little bit more dependability than industrials, which we hope will ensure that there is less volatility going forward. Does that answer your question?

Shyam Maheshwari : Yes, it does. And just one follow -up to that. So, we had seeded, I think in the Microsoft in the US as a framework contracting data center ?

Alok Kirloskar: No Amazon . We will seed Amazon .

Shyam Maheshwari : Amazon.

Sorry, my bad. Have you been able to get any other successes there? Or are you seeing something in the pipeline developing?

Alok Kirloskar: Yes. We actually have many data center opportunities. And even as we speak right now, we have 8 data center packages on the shop floor in the US plant. So going to various data centers. The model, as you probably know, has changed because Google -- not Google, sorry, Microsoft and Amazon are the ones who are the most active putting up their own data centers.

But a lot of the other players are getting data centers put up by I'm just putting a name out there. There are many companies like this, but one of the big names, of course, is Brookfield. So these are the ones who put up these big data centers and then these become like annuity revenue to the private equities when people , like, as an example, let's say, SAP or someone else comes and uses that data center for putting in their or hosting their customers.

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So we are also working more closely with the large private equities now. And maybe a few meetings back, I had mentioned that we work with UK Export Finance for projects in water. But UK Export Finance is also working with us now with people like Brookfield and others to approach them for financing, which is ECA financing, export credit agency financing for these kinds of data centers because they are able to give long financing arrangements, usually 22 years after commissioning and at very concessional rates.

And of course, the requirement is that the product has to come from the country that provides the ECA funding. So, let's say, if it's UK -EF, then it would have to be UK So that's quite interesting, and they do provide 85% financing for the entire project value as long as 25% content comes from, let's say, in this case, say, the UK . So, we are using all the options that are available to get better traction with even the private equities because we do understand what makes them tick.

Shyam Maheshwari : Interesting. That's quite amazing. All the best team for the next year.

Alok Kirloskar: Thank you.

Moderator: Next question is from the line of Ashish from Leo Capital.

Ashish: My question has been partially answered. I just confirm that 25%, 30% of the SPP US revenue is liquid cooling applications. Is my understanding correct?

Alok Kirloskar: Yes, data centers, not just liquid cooling.

Ashish: Data centers.

Alok Kirloskar: Yes, because like I mentioned, there are categories of data centers. It's data centers.

Ashish: So, the segment of order book...

Alok Kirloskar: It is data centers, but not intake water systems of data centers, just so that you have a better...

Ashish: This comes under which segment of the order book?

Alok Kirloskar: It will come in SPP Inc.

Ashish: No, no, order book, order book ?

Alok Kirloskar: I don't know if we break the order book like this.

Sanjay Kirloskar: I don't believe we -- Hemant, how do we break the...

Alok Kirloskar: Yes, I don't think the order book can be broken like this.

Sanjay Kirloskar: Yes, we just give...
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Ashish: It's not that the liquid cooling application or the AI data center comes under building and construction?

Alok Kirloskar: No, no, no.

Ashish: Okay. Sorry, that's -- my bad. Who do we compete with in this space in the DC liquid cooling application? Who are the US incumbents?

Alok Kirloskar: The US -- the North American incumbents are Amstel, Taco and then Grundfos has a division in America, Xylem. So, we compete against them. So we compete against them.

Ashish: And are we cheaper on a cost basis from them?

Alok Kirloskar: We're not cheaper, but we changed the model before to a modular model, and we provide a container system to them, which has the pumps, has a control system,

it already is pre-piped and

is just plug and play in something that looks like a shipping container or it can look like a house depending on what they specify.

And it just sits next to their -- the data center ready-made and plugs in on -- let's say, for the cooling application on one side to the water source and the other side to the chiller.

Ashish: Got it. Thank you.

Sanjay Kirloskar: Plug-and-play type of equipment, I think it's better value for them. They don't need to think much. Their architects don't need to think much. All they need to do is tell us the dimensions available, the amount of water they need, at what pressure, what temperature. And we can supply a pump house, which has both fire and utility requirements can be met.

Ashish: Got it. Okay. Thank you.

Sanjay Kirloskar: It's a far better solution than Grundfos or the other companies can give who operate only in one of these segments.

Ashish: Got it. Thank you

Alok Kirloskar: Also, I think one important aspect is that the lead time for data centers usually is 18 to 24 months. So from that point of view, it saves some construction time for them for, let's say, a pump house because we just drop a container in there next to the main building.

Moderator: Next question is from the line of Nirman from Unique PMS.

Nirman: My question is again on the international bit. So while you mentioned that the profitability was affected by the UK operations, but if we see for this particular quarter, profits across entities, I mean, even the US and the Dutch entities, the South Africa entity also was lower. So is there any particular reason for this?

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Alok Kirloskar: Yes. I mean, you'll appreciate that this quarter, while it is KBL's quarter 4, it is their first quarter.

So normally, the first quarter is a little bit slower comparatively. But I would say the first quarter, it varies really because it's the first quarter, right? It depends very often on what is the spillover from the previous year into the first quarter. So as an example, SPP UK last year had a good spillover from Q4 into Q1, and that helped their first quarter. And that is also similar for the Dutch entities last year.

So I think that's really where it depends. But there's nothing in particular. I wouldn't say that there is anything that I would say necessarily on that. I would look at it more from a year-to-year point of view, and that's what I mentioned earlier on the same Slide 11, with the exception of SPP UK because the mix, like I said, the service is lower, all the others were better off than the previous year.

Nirman: Yes, got it. Understood. Thank you and all the best.

Moderator: Thank you. Due to time constraints, that was the last question of the day. I now hand the conference over to Mr. Hemant Shaligram for closing comments.

Hemant Shaligram: We thank you, everyone, for joining the call today. We hope we were able to provide you with the comprehensive overview of our business and address your queries satisfactorily. Should you have any further questions or require any additional clarification, please be free to reach out to SGA, our Investor Relations Advisors. Thank you once again for your continued trust and support. Wishing you, everyone, a very pleasant day ahead. Thank you.

Sanjay Kirloskar: Thank you.

Moderator: Thank you. On behalf of the Kirloskar Brothers Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.